Financial Stability Review 2025

Central Bank of Sri Lanka

Financial Stability Review 2025

Central Bank of Sri Lanka

PUBLISHER:

Central Bank of Sri Lanka
30, Janadhipathi Mawatha
Colombo 01
Sri Lanka

In terms of Section 70(1) of the Central Bank of Sri Lanka Act, No. 16 of 2023, the Central Bank is required to prepare and publish the Financial Stability Review (FSR) on or before the thirty-first day in the month of October of each year. Fulfilling this obligation, FSR of 2025 encapsulates the developments in the financial system, the risks and vulnerabilities identified thereof, and the policy measures taken by the Central Bank and other regulatory institutions in addressing such risks during the review period, which primarily covers data up to end June 2025. However, more updated selected developments are also reported in the publication. Data may include calculations made specially for this publication based on information obtained from various sources.

For inquiries, comments and feedback please contact:
Macroprudential Surveillance Department
Central Bank of Sri Lanka
30, Janadhipathi Mawatha
Colombo 01
Email: msd@cbsl.lk

ISBN 978-624-6764-11-1

CONTENTS

Abbreviations

Executive Summary

Highlights

Chapters

1. Macrofinancial Conditions **1**

1.1 International Economic Environment and Financial Conditions 2

1.2 Domestic Macrofinancial Conditions 8

2. Financial Markets **17**

2.1 Stock Market 18

2.2 Government Securities Market 22

2.3 Domestic Foreign Exchange Market 26

2.4 Domestic Money Market 29

3. Financial Institutions **33**

3.1 Banking Sector 34

3.2 Finance Companies Sector 56

3.3 Insurance Sector 65

4. Household and Corporate Sectors **71**

4.1 Risk Assessment on the Household and Institutional Sectors 72

4.2 Risk Assessment on the Listed Non-Financial Corporates 76

5. Policies for Financial Stability **81**

5.1 Enhanced Macroprudential Policies for Stability 82

5.2 Other Financial Sector Policies 84

Key Policy Changes and Regulatory Actions Implemented for the Financial Sector **89**

Special Notes

1. Real Estate Market Developments and Their Implications on Financial System Stability in Sri Lanka 14

2. Systemic Risk Survey 30

3. Strengthening Sri Lanka's Financial System Resilience through the Resolution Framework 64

Appendices **97**

List of Figures

1 Macrofinancial Conditions

Figure 1.1	World Uncertainty	2
Figure 1.2	Global Economic Growth	2
Figure 1.3	Global Manufacturing PMI	3
Figure 1.4	World Trade Volume Percentage Change (Q-o-Q)	3
Figure 1.5	Global Commodity Prices	3
Figure 1.6	US Dollar Index (DXY) Vs. Gold Price Index	4
Figure 1.7	Global Inflation	4
Figure 1.8	Policy Rates in Central Banks of Advanced Economies	5
Figure 1.9	Financial Conditions Index	5
Figure 1.10	US Corporate Bond Spread	6
Figure 1.11	Y-o-Y Growth in Foreign Currency Credit (USD) to EMDEs	6
Figure 1.12	Long Term Government Bond Yields:10-year	6
Figure 1.13	MSCI Share Price Indices	7
Figure 1.14	Behaviour of Volatility Indices	7
Figure 1.15	Credit Growth of Banks and FCs	8
Figure 1.16	Private Sector Credit Cycle	8
Figure 1.17	Domestic Credit to GDP - Comparison with Selected Regional Economies	9
Figure 1.18	Credit-to-Deposit Ratio of the Banking Sector	9
Figure 1.19	Movement of Credit Supply Survey Indices	9
Figure 1.20	Exposure to Public and Private Sector	10
Figure 1.21	Condominium Market Performance	10
Figure 1.22	Banking Sector's Exposure to Real Estate Sector and Stage 3 Loans Ratio	11
Figure 1.23	Market Interest Rates	11
Figure 1.24	AWNDR and Real AWNDR	11
Figure 1.25	Secondary Market Yield Curve of Government Securities	11
Figure 1.26	Quarterly GDP Growth	12
Figure 1.27	Headline Inflation	12
Figure 1.28	Unemployment Rate and Wage Rate Indices	12
Figure 1.29	Business Conditions Index	13
Figure 1.30	Key Fiscal Balances	13
Figure 1.31	Gross Official Reserves	16

2 Financial Markets

Figure 2.1	Financial Stress Index	18
Figure 2.2	Share Price Indices	18
Figure 2.3	Monthly Stock Market Turnover and Real Returns	18
Figure 2.4	Volatility of Share Price Indices	19
Figure 2.5	Market Valuation Indicators	19
Figure 2.6	Country Level Comparison of PER and PBV as of August 2025	20
Figure 2.7	Performance of Sectoral Price Indices	20
Figure 2.8	Sensitivity of Key Sectors Measured by Beta Against ASPI	20
Figure 2.9	Sector wise Positioning	21
Figure 2.10	New Listings, Right Issues and De-Listings	21
Figure 2.11	Foreign Investor Participation in the Stock Market	22
Figure 2.12	Secondary Market Yields	22
Figure 2.13	Term Structure of Yield Volatilities	22
Figure 2.14	Interest Rates	22
Figure 2.15	Accepted Amounts at Auctions	23
Figure 2.16	Demand for Treasury Bills and Bonds	23
Figure 2.17	Outstanding Treasury Bills and Bonds	23
Figure 2.18	Treasury Bills and Bonds Matutrities Over the Next Year	24
Figure 2.19	Secondary Market Trades	24
Figure 2.20	Secondary Market Yield Spreads	24
Figure 2.21	Composition of Secondary Market Transactions	25
Figure 2.22	Term Premiums	25
Figure 2.23	Yield Curve	25
Figure 2.24	Foreign Flows into the Government Securities Market	25
Figure 2.25	Foreign Holdings of Treasury Bills and Bonds	26
Figure 2.26	Movement of USD/LKR	26
Figure 2.27	Key Exchange Rates Against LKR	26
Figure 2.28	Bid-Ask Spread of USD/LKR	27
Figure 2.29	Interbank Forex Transactions	27
Figure 2.30	Composition of Forward Transactions	28
Figure 2.31	One Month Forward Premium	28

Figure 2.32	Central Bank Inteventions in the Domestic Forex Market and GOR	28
Figure 2.33	Domestic Money Market Volume	29
Figure 2.34	Participants in the Call Money Market	29
Figure 2.35	Participants in the Repo Market	29
Figure 2.36	AWCMR	32
Figure 2.37	AWRR	32
Figure 2.38	Money Market Liquidity Distribution	32

3 Financial Institutions

Figure 3.1	Banking Soundness Index	34
Figure 3.2	Banking Soundness Map	34
Figure 3.3	Loans and Receivables	34
Figure 3.4	Quarterly Change in Credit based on Currency	35
Figure 3.5	Quarterly Change in Credit based on Bank Category	35
Figure 3.6	Stage 3 Loans Ratio	36
Figure 3.7	Stage 3 Loans Ratio based on Bank Category	36
Figure 3.8	Bank wise Stage 3 Loans Ratio	36
Figure 3.9	Impairment Coverage Ratios	36
Figure 3.10	Change in Stage 3 Loans and Stage 3 Impairment	37
Figure 3.11	Bank wise Stage 3 Loans and Stage 3 Impairment Coverage Ratio	37
Figure 3.12	Net Stage 3 Loans to CET-1 Capital	37
Figure 3.13	Credit Composition of the Main Economic Sectors	37
Figure 3.14	Sector wise Contribution to the Change in Credit during the Year ended Q2 of 2025	38
Figure 3.15	Credit to Consumption Activities	38
Figure 3.16	Credit to Construction Activities	38
Figure 3.17	Economic Sectors with High Stage 3 Loans Ratios	39
Figure 3.18	Credit Composition by Borrower Category	39
Figure 3.19	Default Risk by Borrower Category at end Q2 of 2025	39
Figure 3.20	Composition and Default Risk of Sector wise Credit to MSMEs	40
Figure 3.21	Large Exposures at end Q2 of 2025	40
Figure 3.22	Banking Sector Exposure to the Government and SOEs	41
Figure 3.23	Sovereign Exposure by Bank Category	41
Figure 3.24	Rupee LCR	42

Figure 3.25	Rupee LCR based on Bank Category	42
Figure 3.26	All Currency LCR	42
Figure 3.27	NSFR	43
Figure 3.28	Composition of HQLA (All Currency)	43
Figure 3.29	FCY Asset Composition	43
Figure 3.30	Holdings of Foreign Sovereign Securities by Measurement Category	43
Figure 3.31	FCY Balances with Financial Institutions (FIs) Abroad	44
Figure 3.32	Composition of Balances with FIs Abroad	44
Figure 3.33	FCY Liability Composition	44
Figure 3.34	Net FCY Assets	44
Figure 3.35	Retail and Wholesale Funds	45
Figure 3.36	Retail and Wholesale Funds by Bank Category	45
Figure 3.37	Large Depositors by Bank Category	46
Figure 3.38	Maturity Gap by Time Period	46
Figure 3.39	Off-Balance Sheet Items	46
Figure 3.40	Half-Yearly PAT	47
Figure 3.41	Components of PAT of H1 of 2024 and H1 of 2025	47
Figure 3.42	PAT by Bank Category	48
Figure 3.43	NII by Bank Category	48
Figure 3.44	Movement of NII	48
Figure 3.45	Composition of Non-Interest Income	48
Figure 3.46	New Impairment Charged on Assets	49
Figure 3.47	ROE and ROA	49
Figure 3.48	NIM by Bank Category	49
Figure 3.49	Bank wise NIM Vs. PAT at end Q2 of 2025	50
Figure 3.50	RORWA and RWA Density	50
Figure 3.51	Interest bearing Assets and Liabilities	50
Figure 3.52	Interest Rate Sensitivity Ratio	51
Figure 3.53	NAP to Regulatory Capital	51
Figure 3.54	Currency wise On-Balance Sheet Position	51
Figure 3.55	Equity Investments	52
Figure 3.56	Capital Adequacy Ratios	52

Figure 3.57	Capital raised from Listed Debentures	53
Figure 3.58	CAR by Bank Category	53
Figure 3.59	Total Capital and RWA by Bank Category	53
Figure 3.60	Change in Regulatory Capital	54
Figure 3.61	Composition of Regulatory Capital	54
Figure 3.62	RWA for Credit Risk	54
Figure 3.63	Capital in Excess of the Minimum Regulatory Requirement under Pillar 1	54
Figure 3.64	Leverage Ratio	55
Figure 3.65	Leverage Ratio by Bank Category	55
Figure 3.66	Finance Companies Soundness Map	56
Figure 3.67	Gross Loans and Advances	56
Figure 3.68	Composition of Gross Loans and Advances	57
Figure 3.69	Product wise Contribution to the Y-o-Y Credit Growth	57
Figure 3.70	Stage 3 Loans Ratios	58
Figure 3.71	Gross Stage 3 Loans Ratio by FCs Size	58
Figure 3.72	Stage 3 Impairment Coverage Ratio	58
Figure 3.73	Product wise Stage 3 Loans Ratios	59
Figure 3.74	Sector wise Stage 3 Loans Ratios	59
Figure 3.75	Regulatory Liquid Assets to External Funds and Total Assets	59
Figure 3.76	Composition of Liquid Assets	60
Figure 3.77	Distribution of Surplus Liquid Assets	60
Figure 3.78	Funding Structure of the FCs Sector	60
Figure 3.79	Maturity Gap by Time Period	61
Figure 3.80	Quarterly PAT	61
Figure 3.81	Components of PAT of Q2 of 2024 and Q2 of 2025	62
Figure 3.82	Quarterly NII	62
Figure 3.83	Profitability Indicators	62
Figure 3.84	NIM of the FCs Vs. Asset Base and PAT (Q2 of 2025)	63
Figure 3.85	Capital Adequacy Ratios	63
Figure 3.86	RWA for Credit Risk	63
Figure 3.87	Growth in GWP (Y-o-Y)	65
Figure 3.88	Subsector wise GWP	66

Figure 3.89	Growth in Assets (Y-o-Y)	66
Figure 3.90	Composition of Assets of General and Long Term Insurance Subsectors	66
Figure 3.91	Claims Paid by General and Long Term Insurance Subsectors	67
Figure 3.92	Claims Paid in H1 of 2025	67
Figure 3.93	ROA and ROE	67
Figure 3.94	Subsector wise Combined Operating Ratio	67
Figure 3.95	Long Term Insurance Profitability - Loss Vs. Retention Ratios	68
Figure 3.96	General Insurance Profitability - Loss Vs. Retention Ratios	68
Figure 3.97	Liquidity Ratios	68
Figure 3.98	Premium Stability Ratios	69
Figure 3.99	Capital Adequacy Ratio	69
Figure 3.100	Reinsurance Subsector	69

4 Household and Corporate Sectors

Figure 4.1	Household Sector Credit	72
Figure 4.2	Household Sector New Credit	72
Figure 4.3	Composition of Household Sector Credit	73
Figure 4.4	Household Sector Credit-to-GDP	73
Figure 4.5	Household Sector NPL Ratios	73
Figure 4.6	Household Sector Credit Quality	73
Figure 4.7	Composition of Household Sector NPLs	74
Figure 4.8	Credit Risk Distribution of Household Borrowers by end June 2025	74
Figure 4.9	Distribution of Household Sector NPL Ratios and Loans by end June 2025 (%)	74
Figure 4.10	Institutional Sector Credit	75
Figure 4.11	Composition of Institutional Sector Credit	75
Figure 4.12	Institutional Sector NPL Ratios	75
Figure 4.13	Institutional Sector Credit Quality	75
Figure 4.14	Composition of Institutional Sector NPLs	76
Figure 4.15	Revenue and Growth in Revenue of NFCs	76
Figure 4.16	Share of NFCs that reported an Increase in Revenue	76
Figure 4.17	Sectoral Contribution to Growth in Revenue – H1 of 2025	77
Figure 4.18	Net Profit and Growth in Net Profit of NFCs	77

Figure 4.19 Share of NFCs that reported an Increase in Net Profit 77
Figure 4.20 EBITDA and Growth in EBITDA of NFCs 77
Figure 4.21 Components of Net Profit 78
Figure 4.22 Sectoral Contribution to Growth in Net Profit – H1 of 2025 78
Figure 4.23 Profitability Indicators of NFCs 78
Figure 4.24 Key Financial Performance Indicators of NFCs 79
Figure 4.25 Sectoral Interest Coverage Ratio – H1 of 2025 79
Figure 4.26 Sectoral Financial Performance Indicators - H1 of 2025 79

5 Policies for Financial Stability

Figure 5.1 D-SIB Indicators and Weighting Framework 82
Figure 5.2 Evolution of LTV Framework since 2015 83

List of Tables

3 Financial Institutions

Table 3.1 FCs Distribution by Profitability Indicators 62

5 Policies for Financial Stability

Table 5.1 Caps on LTV Ratio on Credit Facilities for Purchase of Motor Vehicles 84

Abbreviations

AC	Amortised Cost
ADB	Asian Development Bank
AI	Artificial Intelligence
AML/CFT	Anti-Money Laundering and Countering the Financing of Terrorism
ASPI	All Share Price Index
ASTRI	All Share Total Return Index
AWCMR	Average Weighted Call Money Rate
AWDR	Average Weighted Deposit Rate
AWLR	Average Weighted Lending Rate
AWNDR	Average Weighted New Deposit Rate
AWNLR	Average Weighted New Lending Rate
AWPR	Average Weighted Prime Lending Rate
AWRR	Average Weighted Repo Rate
BCBS	Basel Committee on Banking Supervision
BIS	Bank for International Settlements
BSI	Banking Soundness Index
BSPA	Banking (Special Provisions) Act, No. 17 of 2023
CAR	Capital Adequacy Ratio
CASA	Current Account/Savings Account
CBA	Central Bank of Sri Lanka Act, No. 16 of 2023
CBSL	Central Bank of Sri Lanka
CCPI	Colombo Consumer Price Index
CDD	Customer Due Diligence
CDR	Credit-to-Deposit Ratio
CEFTS	Common Electronic Fund Transfer Switch
CET-1	Common Equity Tier-1
CMO	Commodity Markets Outlook
COR	Combined Operating Ratio
CRIB	Credit Information Bureau
CSE	Colombo Stock Exchange
DDO	Domestic Debt Optimisation
DMT	Department of Motor Traffic
D-SIBs	Domestic Systemically Important Banks
DTAs	Deferred Tax Assets
DXY	US Dollar Index
DY	Dividend Yield
EBIT	Earnings Before Interest and Tax
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortisation
EMDEs	Emerging Markets and Developing Economies
ESG	Environmental, Social and Governance
EUR	Euro
FBA	Finance Business Act, No. 42 of 2011
FCs	Finance Companies
FCY	Foreign Currency
FEA	Foreign Exchange Act, No. 12 of 2017
FIs	Financial Institutions
FIUs	Financial Intelligence Units
FLA	Finance Leasing Act, No. 56 of 2000
FLOs	Fixed Line Operators
FSB	Financial Stability Board
FSF	Financial Stability Fund
FSI	Financial Stress Index
FSSNP	Financial Sector Safety Net Strengthening Project
FTRA	Financial Transactions Reporting Act, No. 6 of 2006
FVTOCI	Fair Value Through Other Comprehensive Income
FVTPL	Fair Value Through Profit or Loss
GBP	Great British Pound
GDP	Gross Domestic Product
GFSR	Global Financial Stability Report
GOR	Gross Official Reserves
GoSL	Government of Sri Lanka
GPR	Geopolitical Risk
GWP	Gross Written Premium

HLA	Higher Loss Absorbency
HQLA	High-Quality Liquid Assets
IADI	International Association of Deposit Insurers
ICR	Interest Coverage Ratio
IFRS	International Financial Reporting Standards
IMF	International Monetary Fund
IMF-EFF	International Monetary Fund - Extended Fund Facility
INR	Indian Rupee
IPO	Initial Public Offering
IRCSL	Insurance Regulatory Commission of Sri Lanka
IRSR	Interest Rate Sensitivity Ratio
ISBs	International Sovereign Bonds
IT	Information Technology
JPY	Japanese Yen
LBs	Licensed Banks
LC	Letter of Credit
LCB	Licensed Commercial Bank
LCR	Liquidity Coverage Ratio
LFIs	Licensed Financial Institutions
LKR	Sri Lanka Rupee
LMFCs	Licensed Microfinance Companies
LPOPP	LankaPay Online Payment Platform
LPPL	LankaPay (Pvt) Ltd
LSBs	Licensed Specialised Banks
LTBO	Local Treasury Bills Ordinance
LTV	Loan to Value
MDR	Merchant Discount Rate
MFP	Multi Finance PLC
MNOs	Mobile Network Operators
MoF	Ministry of Finance
MoU	Memorandum of Understanding
MP	Monetary Policy
MPAPs	Mobile Payment Application Providers
MSCI	Morgan Stanley Capital International
MSMEs	Micro, Small, and Medium Enterprises
NAP	Net Asset Position
NAV	Net Asset Value
NBFIs	Non-Bank Financial Institutions
NCGIL	National Credit Guarantee Institution Limited
NFCs	Non-Financial Corporates
NFIS	National Financial Inclusion Strategy
NII	Net Interest Income
NIM	Net Interest Margin
NITF	National Insurance Trust Fund
NKY	Nikkei 225
NLFP	Nation Lanka Finance PLC
NPL	Non-Performing Loan
NSB	National Savings Bank
NSFR	Net Stable Funding Ratio
OBBBA	One Big Beautiful Bill Act
OPR	Overnight Policy Rate
PAT	Profit After Tax
PBCs	Performance-Based Conditions
PBT	Profit Before Tax
PBV	Price to Book Value
PDCs	Primary Dealer Companies
PER	Price Earnings Ratio
PMI	Purchasing Managers' Index
PTL	Perpetual Treasuries Limited
Q-o-Q	Quarter-on-Quarter
RHS	Right Hand Side
RII Act	Regulation of Insurance Industry Act, No.43 of 2000
ROA	Return on Assets
ROE	Return on Equity
RORWA	Return on Risk Weighted Assets
RSI	Relative Strength Index

RSSO	Registered Stock and Securities Ordinance
RWA	Risk Weighted Assets
S&P SL20	Standard & Poor's Sri Lanka 20
SD	Standard Deviation
SDF	Standing Deposit Facility
SDGs	Sustainable Development Goals
SEC	Securities and Exchange Commission
SLC	Specialised Leasing Company
SLDBs	Sri Lanka Development Bonds
SLDIS	Sri Lanka Deposit Insurance Scheme
SLF	Standing Lending Facility
SLFRS	Sri Lanka Financial Reporting Standard
SLIPS	Sri Lanka Interbank Payment System
SMEs	Small and Medium Enterprises
SOBs	State Owned Business Enterprises
SOEs	State Owned Enterprises
SPD	Standalone Primary Dealer
SRC	Standing Rate Corridor
SRCC	Strikes, Riots and Civil Commotion
SRS	Systemic Risk Survey
T-bills	Treasury Bills
T-bonds	Treasury Bonds
USD	United States Dollar
VAT	Value Added Tax
VIX	Volatility Index (U.S. S&P 500)
VSTOXX	Euro STOXX 50 Volatility Index
WEO	World Economic Outlook
Y-o-Y	Year-on-Year

Executive Summary

The resilience of the financial sector improved during the first half (H1) of 2025 compared to H1 of 2024. This was supported by favourable developments in domestic macroeconomic conditions amidst heightened global uncertainty and lingering effects of the economic crisis experienced in the recent past.

- Amidst the improvement in domestic macrofinancial conditions, credit granted by financial institutions, particularly to the private sector, increased during the period under review. This was supported by the easing pressure on balance sheets of households and firms with the expansion in economic output and subdued price levels.
- Although credit granted by banks and Finance Companies (FCs) increased, private sector Credit-to-GDP remained below the pre-crisis level, indicating room for further expansion, particularly given the reduced demand for credit by the public sector.
- Nevertheless, the private sector Credit-to-GDP Gap widened within the expansionary phase of the credit cycle, suggesting the need for continuous monitoring of any buildup of systemic risk.
- Meanwhile, financial intermediation, as reflected through the Credit-to-Deposit ratio of the banking sector, also remained at subdued levels.
- Amidst these developments in credit expansion, the tilt in exposure towards the Government and public corporations continued to decline, reflecting the impact of ongoing revenue-based fiscal consolidation measures and cost-reflective pricing.
- In terms of interest rate movements, although rates have been declining, the spread between lending and deposit rates remained elevated relative to its pre-crisis average, highlighting room for further improvement of the domestic interest rate structure.

The stress in the financial markets as reflected by the Financial Stress Index (FSI), remained subdued during the eight months ending August 2025 as overall market conditions improved compared to the corresponding period of 2024.

- The stock market recorded a strong performance with historically high price indices, and this development was underpinned by the participation of domestic investors. Conversely, foreign investor interest in the domestic stock market continued to decline during this period. Amidst the upward trajectory in price indices, market volatility increased, while an upward movement was observed in the Price to Book Value (PBV) ratio during the first eight months of 2025.
- In the Government securities market, the yield curve shifted downward and remained relatively stable, supported by fiscal consolidation measures and accommodative monetary policy. Although yields fell, the demand for Government securities continued, as reflected by the increase in the subscription for Government securities at the primary auction. Moreover, this increase was driven by Treasury bonds while the stock of Treasury bills declined, depicting the desire of investors towards longer term securities to lock in higher yields.
- Meanwhile, the domestic foreign exchange market witnessed an improvement in liquidity, supported by inflows in the form of workers' remittances and tourist earnings. While liquidity conditions improved as reflected by narrowing bid-ask spreads, the Sri Lanka rupee depreciated against the US dollar during the first eight months of the year following two consecutive years of appreciation.
- Domestic money market transaction volumes reached an all-time high in August 2025 and monthly repo market volumes consistently outpaced the monthly call money market volumes during the period, reflecting more active involvement by market participants in securitised lending. Meanwhile, money market liquidity remained positive during the review period, due to surplus liquidity positions of state owned banks and foreign banks.

Amidst the recovery in macroeconomic conditions, the resilience of the banking sector improved as reflected through profitability, capital adequacy, efficiency, asset quality, and resilience to market risk indicators. This was reflected in the performance of the Banking Soundness Index.

- However, the Stage 3 Loans ratio[1] of the banking sector, remained elevated despite recording a declining trend.
- Liquidity levels of the banking sector, as measured in terms of the Rupee Liquidity Coverage Ratio (LCR), remained well above the regulatory minimum requirements, albeit with a modest decline amidst the continued credit expansion. A similar trend was observed in the Net Stable Funding Ratio (NSFR) as well, indicating adequate liquidity levels to support continued credit expansion in the economy at the current juncture.
- Meanwhile, profitability of the sector improved during H1 of 2025 with the increase in net interest income.
- With increased profitability and Tier-2 capital, the Total Capital Adequacy Ratio (CAR) also improved by end Q2 of 2025 compared to the corresponding period of 2024.

The FCs sector recorded a strong credit expansion during H1 of 2025. Increase in credit growth of the sector was driven by the expansion in vehicle and gold backed facilities amidst removal of restrictions on vehicle imports, increased gold prices, and lower market interest rates.

- Thus, the credit portfolio of the sector was predominantly backed by few asset categories, resulting in higher collateral risk.
- Reflecting the significant expansion of the credit portfolio of the FCs sector, the Stage 3 Loans ratio of the sector declined considerably by end Q2 of 2025 compared to end Q2 of 2024.
- Meanwhile, liquid assets of the FCs sector recorded a decline for four consecutive quarters, on a y-o-y basis, although remaining above the minimum regulatory requirement.
- Similar to the banking sector, profitability of FCs also reported a significant increase supported by the increased net interest income during the period under review.
- Meanwhile, CAR of the sector remained well above minimum regulatory requirements, although a marginal decline was observed due to an increase in Risk Weighted Assets (RWA) of the sector in line with the credit expansion.
- In the insurance sector, Gross Written Premium (GWP) of both long term and general insurance subsectors witnessed an increase, amidst a marginal improvement in insurance penetration of the country.

Credit to both Household[2] and Institutional[3] sectors reported an expansion during H1 of 2025. This growth in credit was supported by lower market interest rates and improvement in macroeconomic conditions.

- Credit to the Household sector reported a notable uptick compared to the modest growth during H1 of 2024. While the banking sector continued to be the main source of formal funding for the Household sector, the share of funding from the Non-Bank Financial Institutions (NBFIs) increased, particularly with the removal of restrictions on vehicle imports.
- The Institutional sector also reported a strong credit growth during the period and the banking sector accounted for a significant portion of credit to the sector.
- Credit quality, as reflected by the time bound Non-Performing Loans (NPL) ratio, depicted a gradual improvement from Q2 of 2024.

1 The Stage 3 Loans ratio introduced under the IFRS 9 Framework can be considered as an indicator reflecting the Non-Performing Loans (NPL) ratio.
2 Household sector debt is based on aggregate credit data obtained from the Credit Information Bureau (CRIB) and comprises loans and advances obtained by individuals identified through their National Identity Card or Passport number, and may also include borrowings by households for business activities.
3 Institutional sector debt, based on CRIB data, includes loans and advances obtained by institutions which are registered as business entities and accommodations to State Owned Business Enterprises (SOBEs) and the Government.

- The listed Non-Financial Corporates[4] (NFCs) recorded a healthy performance with a significant increase in profitability, while a modest expansion in revenue during the period under review was observed. Amidst these developments, creditworthiness of the listed NFC sector improved. Thus, these developments highlight the listed NFC sector's enhanced financial resilience during the period under review.

The Central Bank took an array of policy measures to support financial system stability during the period.

- Macroprudential policies aimed at securing financial system stability included the designation of Domestic Systemically Important Banks (D-SIBs) and the introduction of revised Loan to Value (LTV) caps for credit facilities granted in respect of motor vehicles.
- The Central Bank also issued directions on corporate governance for licensed banks and further strengthened the regulatory framework of FCs in terms of improving risk management practices.
- Moreover, amidst the observance of rising incidence of financial frauds and scams along with cybersecurity threats, the Central Bank implemented proactive policy measures to strengthen financial consumer protection, enhance digital payment security, and promote public awareness.
- In addition, steps to strengthen the country's resolution framework and boost the operational preparedness of financial institutions were also taken during the period.
- Alongside these policies, the Central Bank implemented a range of other measures related to financial literacy, financial inclusion, and AML/CFT[5] initiatives to further strengthen the stability of the financial system.
- Moreover, amidst the increasing risks of climate change faced by the financial sector, the Central Bank in collaboration with relevant financial sector stakeholders launched the Sustainable Finance Roadmap 2.0 in May 2025, which extends the scope of the roadmap to the social aspect as well.

Financial Stability Outlook

The momentum in macroeconomic recovery along with ongoing fiscal consolidation is expected to improve the stability of the financial sector.

- Amidst the uptick in domestic output, low levels of inflation and interest rates along with fiscal consolidation measures, expansion in credit granted by financial institutions is expected to persist, particularly with continued private sector lending.
- Moreover, the pressure on balance sheets of households and firms could continue to ease with increasing output and stable price levels, thereby supporting credit quality of financial institutions.
- However, as the economy progresses through the expansionary phase of the credit cycle amid still elevated Stage 3 Loans, close monitoring and implementation of proactive measures to address potential vulnerabilities and emerging risks would be a crucial factor in sustaining financial system stability.
- Moreover, downside risks to financial stability in terms of macrofinancial conditions also exists, particularly in the form of external sector developments. As a small open economy highly dependent on external trade, the country is susceptible to global uncertainties, particularly in terms of potential constrains on export earnings amidst an uptick in imports.
- While continued favourable progress of macrofinancial conditions would support the developments in capital markets, concerns persist in the form of limited foreign investor participation, low transactions in the secondary market for Government securities, and trade and geopolitical uncertainties.

The performance of both banks and FCs is also expected to improve with the envisaged increase in credit supporting productive economic activities while credit quality of the sector and impairment coverage for Stage 3 Loans requires close monitoring to strengthen the resilience of the sector.

4 Based on the financial performance of 207 companies listed on the Colombo Stock Exchange (CSE).
5 Anti-Money Laundering and Countering the Financing of Terrorism.

- However, attracting funding through deposits to sustain credit expansion may pose challenges going forward in the current low-interest rate environment while current excess liquidity levels could also be impacted through the expected credit expansion.
- Moreover, although both capital and profitability are currently at favourable levels, continued maintenance of capital buffers would be important in ensuring resilience of the financial sector.

Thus, going forward, financial system stability is expected to be maintained, with continued improvements in the macroeconomic conditions.

- An integral part of this would be the maintenance of external sector stability along with continued measures ensuring fiscal consolidation.
- While credit expansion is likely to support in strengthening economic output, a continued widening of the credit gap could further heighten the buildup of potential risks within the financial sector.

Thus, the Central Bank will continue to monitor and assess the stability of the financial sector in conjunction with activities within the broader economy and take measures to implement proactive and timely policies in collaboration with relevant stakeholders to ensure continued stability of the financial system, thereby facilitating an effective transmission of monetary policy, protecting savings of the public and supporting sustained high economic growth.

MACROFINANCIAL CONDITIONS

Domestic macrofinancial conditions continued to improve, supporting overall financial stability, although global uncertainties heightened...

Domestic Conditions

- Improving economic activity
- Low inflation
- Easing pressure on households' and firms' balance sheets
- Subdued real income
- Strengthened fiscal performance
- Improved external sector resilience

Domestic Financial System

- Expanding credit growth
  - Widening Credit-to-GDP gap
  - Potential buildup of systemic risk
- Recovering banking sector intermediation
- Improving credit quality
- Declining sovereign exposure
- Relatively low and stable interest rates
- Improving debt repayment capacity

Global Conditions

- Rising uncertainty
- Slower global growth
- Moderating commodity prices
- Easing financial conditions amid vigilant markets
- Improved global liquidity

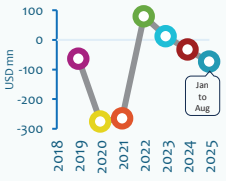
FINANCIAL MARKETS

Stock Market

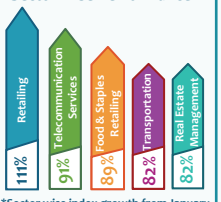
As at end Aug 2025

Market Capitalisation	PBV	PER
Rs. 7,425.5 bn	1.4	9.8

Net Foreign Inflows/ Outflows



Sector-wise Performance*

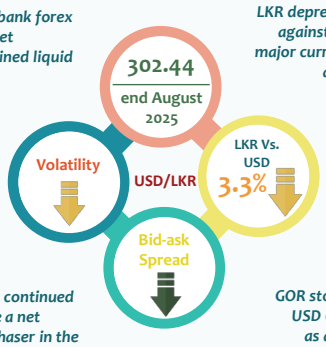


*Sector wise index growth from January to August 2025

Forex Market

Interbank forex market remained liquid

LKR depreciated against other major currencies as well



CBSL continued to be a net purchaser in the forex market

GOR stood at USD 6.2 bn as at end August 2025

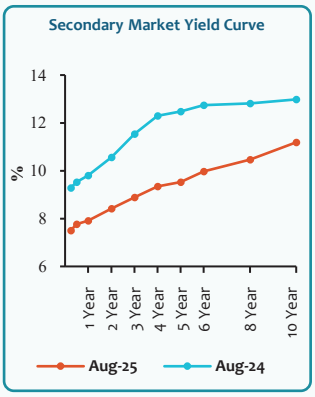
Government Securities Market

As at end Aug 2025

91-day T-bill Rate	182-day T-bill Rate	364-day T-bill Rate
7.58%	7.89%	8.03%

- Government securities yields declined and remained stable
- Secondary market liquidity was low and primarily driven by short term maturities
- Fiscal buffer fund management eased debt reliance and yield pressure

Secondary Market Yield Curve



Money Market

Money market activities continued to surge

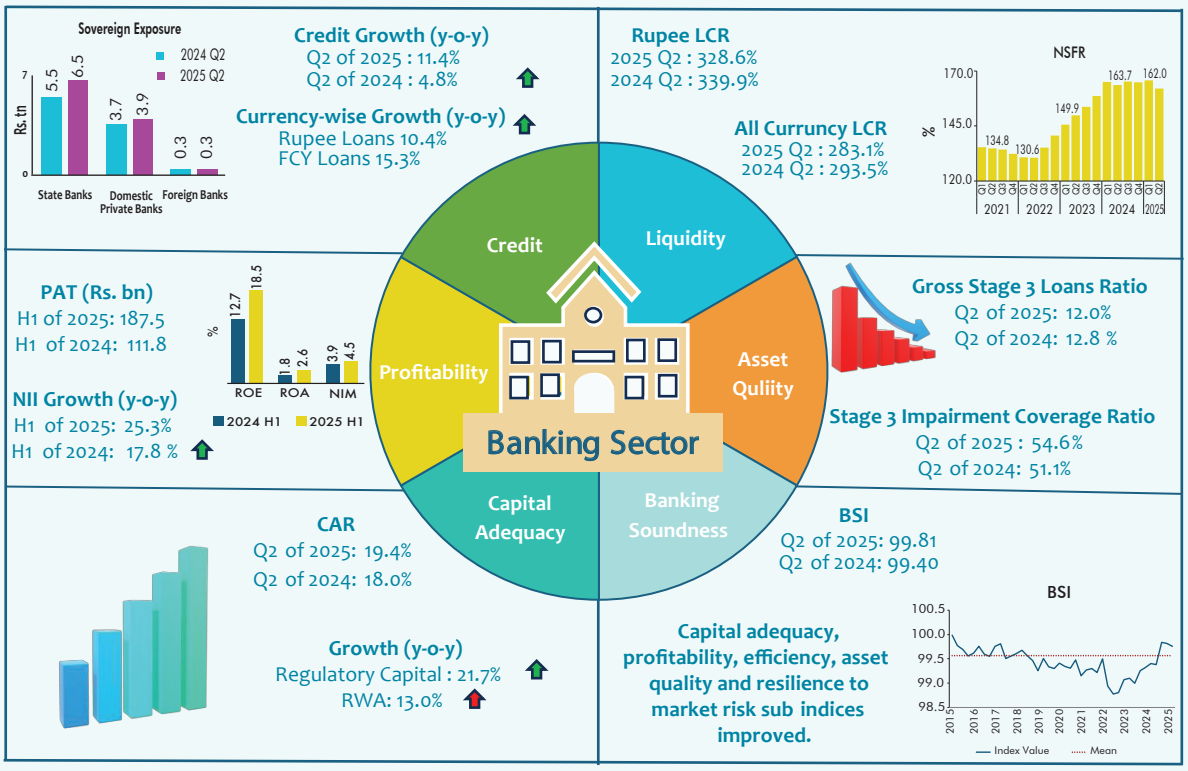
As at end Aug 2025

AWCMR: 7.86% | OPR: 7.75% | AWRR: 7.87%

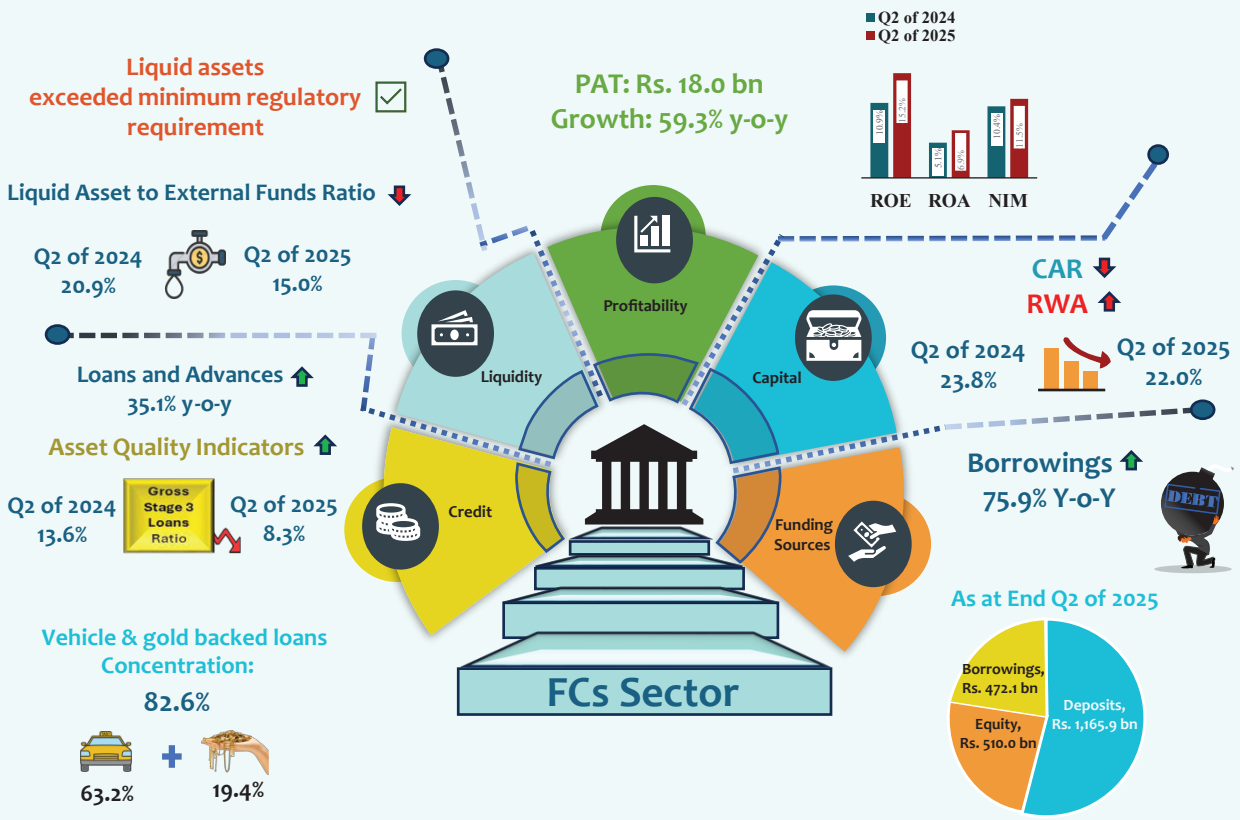
Money market liquidity remained surplus

Central Bank's intervention in the market through OMOs was minimal

BANKING SECTOR



FINANCE COMPANIES SECTOR



INSURANCE SECTOR

Insurance Sector Performance
As at end H1 of 2025

CAR: ☑ Exceeded Min. Requirement
Long term : 345.0% General : 265.0%

Assets ↑ 15.7% Y-o-Y
Long-term ↑ 15.9% Y-o-Y
General ↑ 10.5% Y-o-Y

Insurance Penetration
2025 H1: 1.2%
2024 H1: 1.1% ↑

GWP ↑ 18.9% Y-o-Y
Long-term 25.0% ↑ Y-o-Y
General 11.2% ↑ Y-o-Y

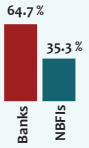
HOUSEHOLD AND CORPORATE SECTORS

Household Sector

Household sector* credit expanded during H1 of 2025
2.5% Q2 2024 → 14.8% Q2 2025

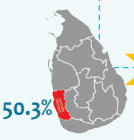
Supported by:
- Lower Interest Rates
- Favourable Macroeconomic Conditions

Banks remained the principal source of Household sector credit



Household sector Credit-to-GDP ratio recorded a modest increase

NPL ratio of the Household sector declined
17.1% Q2 2024 → 15.0% Q2 2025



The Western Province held the largest share of Household credit

*Based on CRIB Data

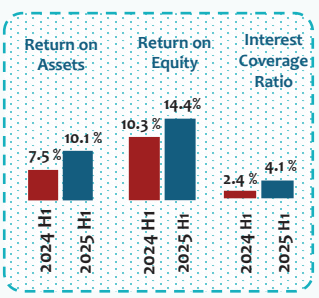
NFC Sector

Listed NFC sector reported a moderate revenue growth during H1 of 2025
6.8% H1 2024 → 7.6% H1 2025

A significant net profit growth was reported during H1 of 2025
26.7% H1 2024 → 65.5% H1 2025

Driven by:
- Higher gross profit
- Increased other income

Listed NFC sector showed improvements in key profitability indicators



-2.5% H1 2024 → 33.5% H1 2025

Listed NFC sector experienced a notable y-o-y increase in EBITDA

Macrofinancial Conditions

1

The continued improvement of domestic macrofinancial conditions supported overall financial system stability during H1 of 2025, amidst heightened global uncertainties. On the domestic front, credit growth picked up in H1 of 2025, supported by the accommodative monetary policy, the expansion in economic activities and stronger business sentiments. Meanwhile, the continued widening of the private sector Credit-to-GDP Gap signals the persistence of the expansionary credit cycle, highlighting the need for continuous monitoring of any potential buildup of systemic risks. However, private sector Credit-to-GDP remained well below pre-crisis levels. Financial intermediation as indicated by banking sector Credit-to-Deposit Ratio (CDR), which had previously declined, is gradually recovering, with banks showing greater willingness to lend and businesses reporting stronger demand for credit. Moreover, market interest rates have broadly stabilised at lower levels, reflecting effective monetary policy signalling and improved investor confidence. The easing of pressure on the balance sheets of households and firms with the continued expansion in economic output and subdued price levels supported the improvement in credit quality of financial institutions. Fiscal performance also strengthened, supported by higher revenues, resulting in narrower overall deficit and a primary surplus, contributing favourably towards financial stability. Sri Lanka's external sector also remained resilient, recording a current account surplus despite rising imports, although heightened uncertainties in the global context posed considerable challenges.

In the global economy, persistent trade tensions, tariff revisions, and ongoing geopolitical conflicts have created significant uncertainty, weighing on investor sentiment, and elevated risks of supply chain disruptions. While global growth is projected to continue, it remains below pre-pandemic averages, reflecting ongoing headwinds. Global trade and manufacturing activity remain uneven, with temporary gains from front-loading in early 2025 expected to gradually fade. Commodity prices have moderated, thereby easing inflationary pressures across many economies, though upside risks remain from potential supply shocks. Monetary policy has generally shifted towards an easing stance, although central banks remain cautious in balancing the risks of inflation with growth concerns. Meanwhile, although global financial conditions have improved, high levels of sovereign debt and persistent fiscal pressures in advanced economies keep vulnerabilities elevated.

Amidst these developments, Sri Lanka's macrofinancial outlook remains cautiously optimistic while downside risks remain. The combination of subdued inflation, relatively low interest rates, and stronger fiscal and external balances in the domestic economy provides a supportive backdrop for recovery. Nonetheless, challenges remain, including subdued real incomes, high Stage 3 Loans in certain sectors and potential rise in external outflows amidst elevated global uncertainties. In addition, close monitoring and implementation of proactive measures within the expansionary phase of the credit cycle would support in ensuring financial stability. Moreover, enhanced resilience through maintaining stronger economic buffers, continued policy discipline, and structural reforms will ensure conducive macrofinancial conditions.

1.1 International Economic Environment and Financial Conditions

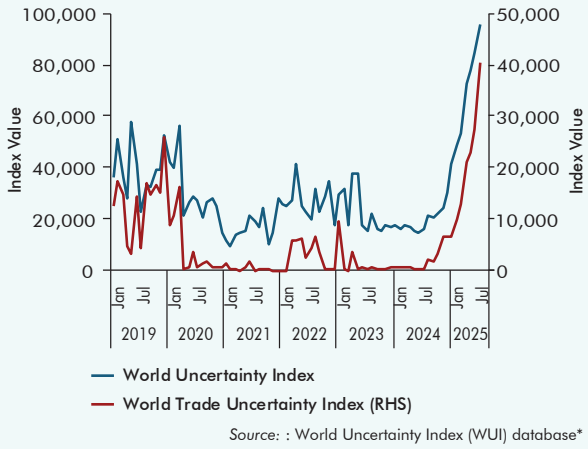
Global Macrofinancial Developments and Outlook

The global economy demonstrated tenuous resilience amidst a sharp increase in global uncertainty particularly during Q2 of 2025. Global uncertainty surged well above pre-pandemic levels, heightening concerns over downside risks to macrofinancial stability. Escalating protectionist measures, particularly the U.S. tariff revisions announced in early April 2025 alongside persistent trade tensions, amplified trade related uncertainty, exacerbating downside risks within the global context. Meanwhile, recurring geopolitical tensions further heightened concerns over financial and trade fragmentation. These elevated uncertainties collectively pose risks of supply chain disruptions and constrained financial flows, which could dampen global economic activity.

Global uncertainty surged above pre-pandemic levels, with persistent trade tensions and recurring geopolitical tensions…

Global growth is projected to moderate during 2025 amidst economic and geopolitical headwinds. According to the IMF's World Economic Outlook (WEO) Update of July 2025, global growth is projected at 3% in 2025 and 3.1% in 2026. Although this outlook is slightly higher than the April 2025 WEO projections, it remains below the 2024 outturn of 3.3% and pre-pandemic average of 3.7%. This envisaged growth outlook will be primarily led by emerging market economies, particularly China and India, while all major advanced economies are also expected to contribute positively towards this expansion. While the modest upward revision in growth primarily reflects the impact of front-loading trade in anticipation of higher tariffs, lower average effective U.S. tariff rates than previously announced and improvement in global financial conditions, risks remains tilted towards the downside as this resilience is fragile and heavily dependent on temporary factors. Thus, the global outlook remains subject to significant downside risks, including persistent trade uncertainty, geopolitical tensions, and rising fiscal deficits. These could disrupt global supply chains, weigh on investor sentiment, tighten financial conditions, and dampen economic activity. To navigate these challenges various measures aimed at restoring policy credibility, rebuilding fiscal buffers, and accelerating structural reforms are likely to be implemented by global economies to sustain confidence, and safeguarding financial stability.

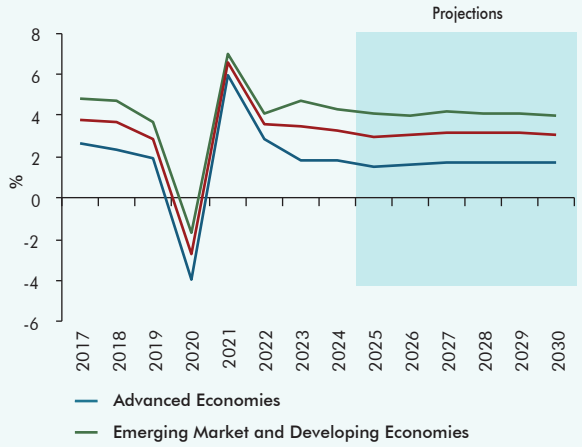
Figure 1.1 World Uncertainty



Source: : World Uncertainty Index (WUI) database*

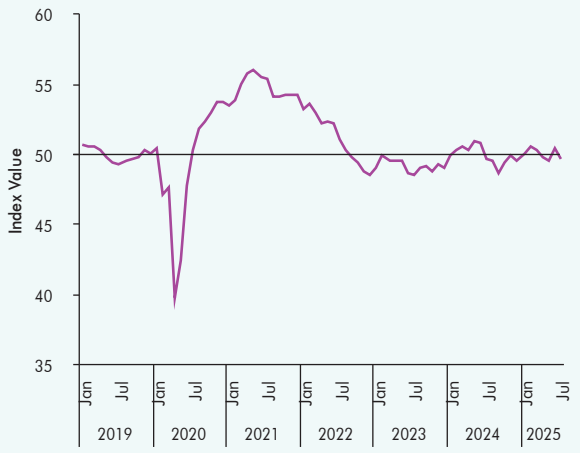
*The WUI database is constructed based on methodology in H. Ahir, N. Bloom, D. Furceri. 2022. "The World Uncertainty Index." NBER Working Paper 29763.

Figure 1.2 Global Economic Growth



Source: IMF WEO-April 2025 and July 2025

Figure 1.3 Global Manufacturing PMI

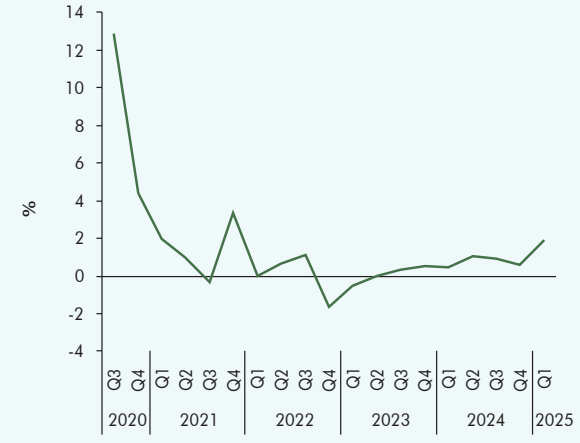


Source: S&P Global

Global Manufacturing and Trade

Manufacturing activity remained broadly stable yet stagnant thus far during 2025, with the Global Manufacturing Purchasing Managers' Index (PMI) hovering around the neutral threshold. The mild expansions observed within the Global Manufacturing PMI during Q1 of 2025 were offset by subsequent contractions, as output, new orders, exports, and employment deteriorated. Meanwhile, world trade volumes depicted an expansion based on the q-o-q growth recorded in Q1 of 2025. In addition, the July 2025 WEO update revised trade projections upward for 2025, reflecting front-loading of trade flows amid heightened trade policy uncertainty and expectations of tighter restrictions. However, these temporary gains are expected to decline in H2 of 2025, while the growth in global trade is expected to decelerate further in 2026. Overall, the recovery remains uneven, weighed down by geopolitical tensions, policy uncertainties, and evolving trade measures.

Figure 1.4 World Trade Volume Percentage Change (Q-o-Q)

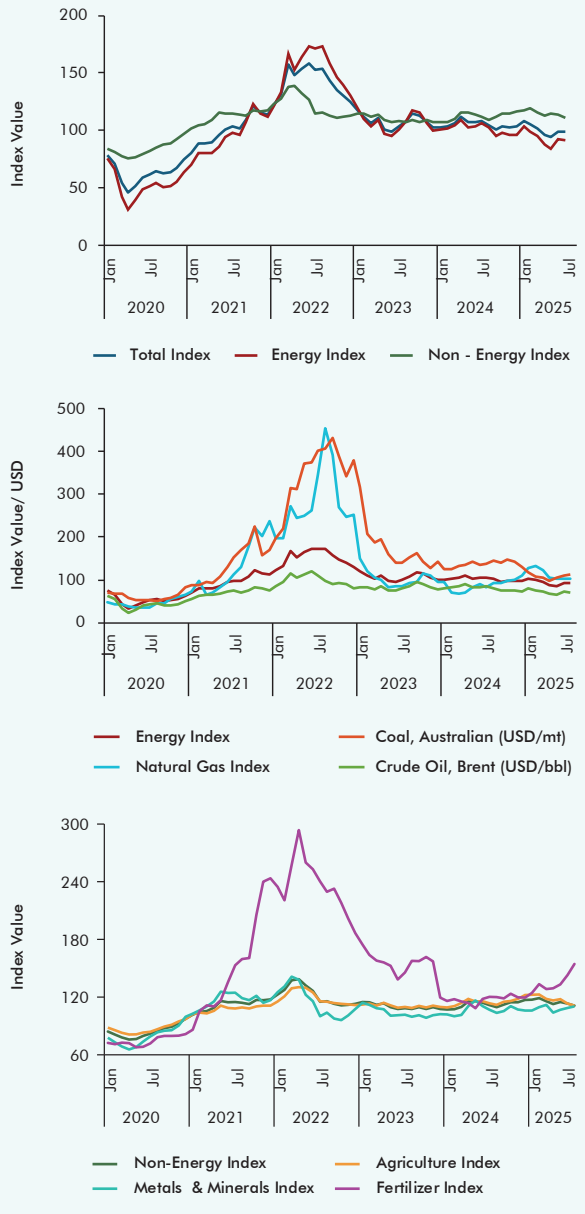


Source: CPB World Trade Monitor

Global Commodity Prices, Inflation and Monetary Policy

Global commodity prices, which fell thus far during 2025, are expected to further decline during the year, due to weaker economic activity and improved supply conditions across major commodity groups. According to the World Bank's

Figure 1.5 Global Commodity Prices



Source: World Bank

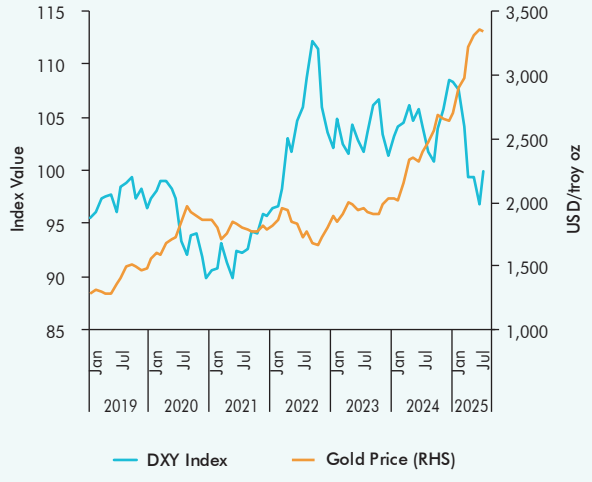
Commodity Markets Outlook (CMO) April 2025, commodity prices are expected to sharply decline by about 12% in 2025, followed by an additional 5% drop in 2026. Oil prices are expected to contribute significantly to this decline, as slowing global oil consumption coincides with expanding supply. In the near term, easing commodity prices are likely to reduce global inflationary pressures. However, risks to the outlook remain tilted to the downside, particularly from a sharper-than-expected global slowdown driven by worsening trade relations or prolonged tighter financial conditions. On the other hand, upside risks exist, including a rebound in global growth, escalating geopolitical shocks affecting energy supply, and extreme weather events disrupting agricultural markets.

In contrast to the broader decline in global commodity prices, gold prices soared to record highs, while the US Dollar Index (DXY) declined. The increase in gold prices was fuelled by strong safe haven demand amid heightened policy uncertainty, rising geopolitical tensions, and a recent shift away from other traditional low risk assets. Price gains were supported by continued central bank purchases, partly reflecting their reserve management strategies. In parallel, DXY exhibited a weakening trend, influenced by slower economic activity and policy uncertainties. Moreover, the inverse movement between gold prices and DXY reflects a broader shift in investor sentiment toward safe haven assets. As uncertainty persists, gold's appeal is expected to remain strong, although its trajectory will continue to depend on changes in monetary policy, financial market conditions, and geopolitical developments. These developments in global gold prices would have considerable repercussions on the domestic financial sector particularly in the context of increasing exposure to gold backed loans.

Global inflation is projected to continue its declining trend, supported by easing demand and falling energy prices. Headline inflation1 is expected to fall to 4.2% in 2025 and further to 3.6% in 2026, broadly in line with earlier projections. However, underlying trends remain mixed, as reflected through cross country differences, with inflation projections in the U.S. expected to remain above target levels while inflation in other large economies is expected to remain subdued. Tariff-related supply shocks are expected to gradually passthrough to consumer prices in some economies, while in others, tariffs are acting as negative demand shocks, easing inflationary pressures. Exchange rate movements and shifts in intermediate goods costs are also influencing inflation dynamics. In some cases, inflation remains subdued due to currency appreciation, lower energy prices, and temporary

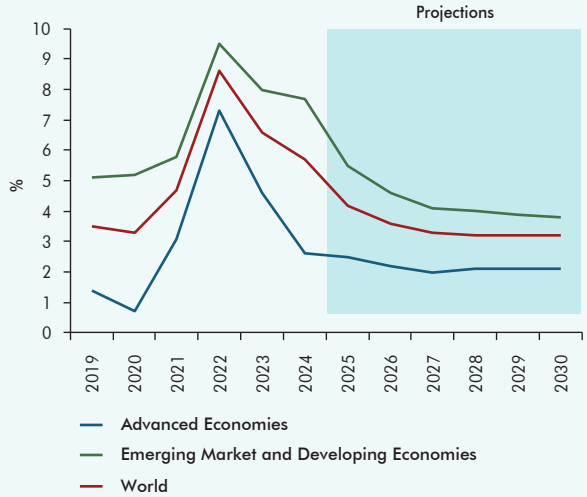
1 As per the July 2025 WEO Update.

Figure 1.6 US Dollar Index (DXY) Vs. Gold Price Index



Source: Bloomberg, World Bank

Figure 1.7 Global Inflation



Source: IMF WEO-April 2025 and July 2025

fiscal measures. Despite the general trend of disinflation, risks remain tilted to the upside, stemming from trade policy uncertainty, geopolitical tensions, and cost pressures that could delay convergence toward inflation targets.

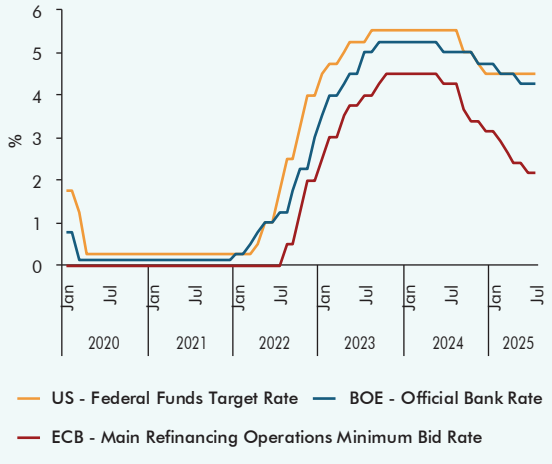
Despite many countries loosening their monetary policy stance during 2025, central banks remained cautious on further easing measures amid ongoing global uncertainty. The U.S. Federal Reserve has kept its policy rate steady through 2025 thus far, with the July 2025 WEO Update projecting a gradual decline in H2 of 2025. The Bank of England has lowered rates steadily since mid-2024, responding to weaker growth prospects and easing inflationary pressures. The European Central Bank began its rate cuts slightly earlier, with a more pronounced downward adjustment amid persistently weak growth conditions in the Euro area and is projected by the IMF to maintain its policy rate at the current level in H2 of 2025. Despite these moves, short term interest rates remain above pre-pandemic levels, as central banks continue to balance inflation risks against the need to support growth. Moreover, the monetary policy stance remains somewhat asynchronous across economies, reflecting differing macroeconomic conditions and policy priorities. Thus, the pace of policy normalisation remains cautious and data-dependent, with geopolitical uncertainties, trade disruptions, and potential commodity price shocks posing risks to the disinflation path.

Global Financial Markets

Financial conditions, which depicted a gradually tightening trend from the beginning of 2025 peaked in April and eased thereafter in recent months. This was driven by U.S. tariff revisions, heightened economic policy and trade uncertainty, which triggered turbulence across global financial markets. However, supported by favourable macroeconomic data, improved liquidity, and U.S. tariff rates remaining at lower levels than anticipated, global financial conditions eased in recent months. Reflecting these easing conditions, corporate bond spreads, which had previously widened due to investor concerns over the adverse impact of higher global tariff rates on corporate earnings, continued to narrow. Overall, the combination of supportive financial conditions and moderately narrowed credit spreads suggest a comparably favourable funding environment. However, markets remain vigilant to potential shocks stemming from policy shifts or growth uncertainties amidst larger fiscal deficits, recurring economic and geopolitical uncertainties as well as heightened risk aversion, which could reverse this easing trend in financial conditions.

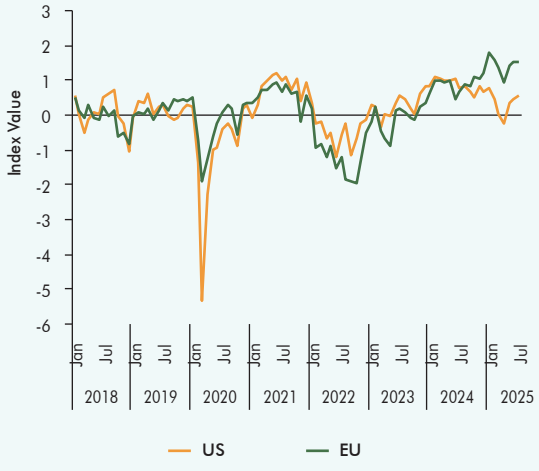
Global liquidity conditions continued to ease, mirroring the gradual easing of monetary policy across major economies. According to the Bank for International Settlements (BIS) Global

Figure 1.8 Policy Rates in Central Banks of Advanced Economies



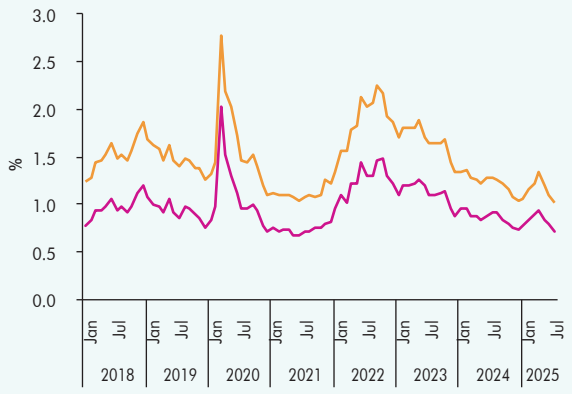
Sources: Bank of England, The Federal Reserve and European Central Bank

Figure 1.9 Financial Conditions Index



Source: Bloomberg

Figure 1.10 US Corporate Bond Spread

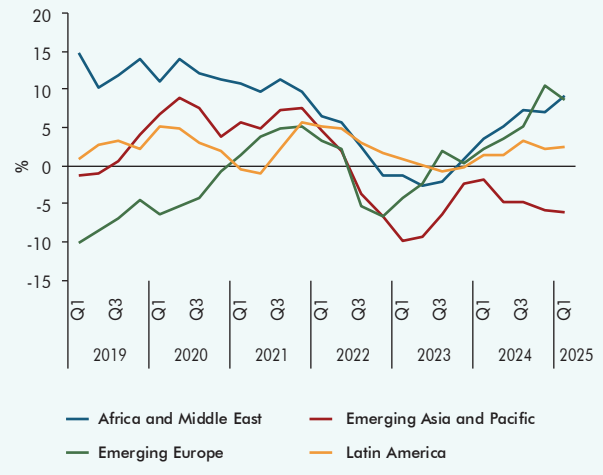


Source: Bloomberg

Liquidity Indicators available as at end March 2025, cross-border bank credit expanded significantly, reaching new highs. USD-denominated foreign currency credit to non-bank borrowers outside the U.S. grew by 5% y-o-y as of Q1 of 2025, up from 3% growth in the previous quarter. This growth was driven primarily by borrowers in Africa and the Middle East, followed by emerging Europe and Latin America. In contrast, USD credit to the Asia-Pacific region declined further, driven by a notable rise in Chinese Renminbi credit to the region, offsetting the USD decline. These developments reflect a resilient external credit environment with continued access to USD funding for most Emerging Markets and Developing Economies (EMDEs) amid persistent risks related to global financial cycles in early 2025.

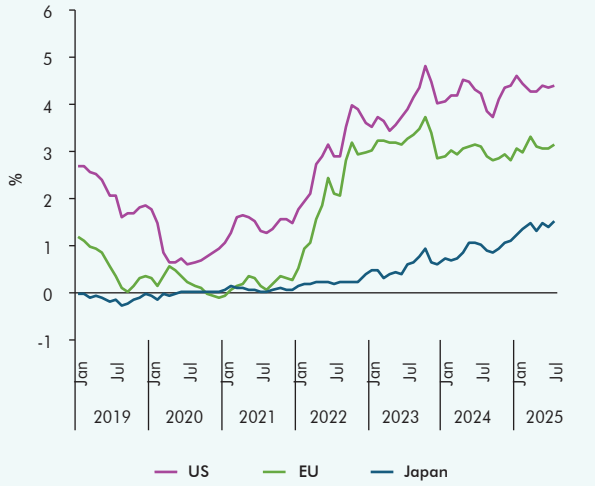
Global government bond markets have undergone significant shifts since early 2022. 10-year yields rose sharply in most major advanced economies, particularly the U.S. and Euro area, while Japan's yields increased more gradually. According to the April 2025 IMF Global Financial Stability Report (GFSR), persistent upward pressure on long term yields stems from a combination of widening fiscal deficits, elevated government bond issuance, reduced demand from traditional long-duration investors, and the quantitative tightening of the U.S. Federal Reserve, which is nearing completion. Moreover, U.S. Treasury issuance is expected to remain substantial to finance deficits and refinance maturing debt, potentially pushing yields higher. In the Euro area, government bond issuances are projected to increase to support higher defence and infrastructure spending. In contrast, local currency yields in emerging markets declined in general, influenced by a weaker USD. However, the GFSR warned that emerging market economies will face refinancing risks due to elevated yields and upcoming debt maturities. Moreover, investor concerns about public debt sustainability and persistent geopolitical tensions may further heighten vulnerabilities in sovereign bond markets, particularly for countries with limited fiscal buffers.

Figure 1.11 Y-o-Y Growth in Foreign Currency Credit (USD) to EMDEs



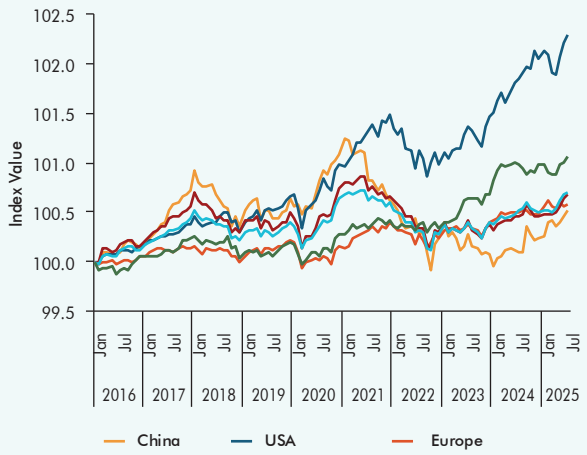
Source: Bank for International Settlements

Figure 1.12 Long Term Government Bond Yields:10-year



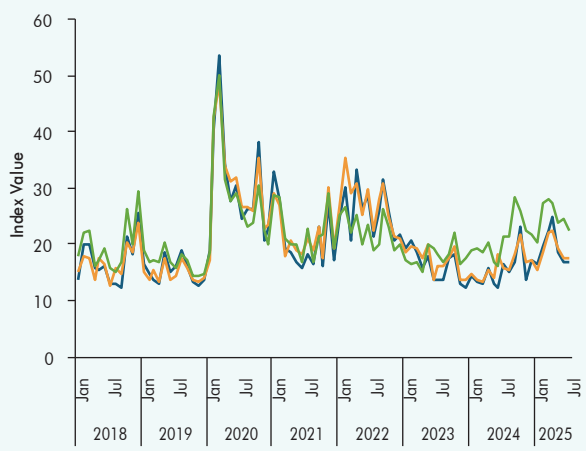
Source: Federal Reserve Bank of St. Louis - Economic Data

Figure 1.13 MSCI Share Price Indices



Source: Bloomberg

Figure 1.14 Behaviour of Volatility Indices



Source: Bloomberg

Equity markets demonstrated notable resilience, delivering positive performance despite evolving geopolitical and trade uncertainties. According to the Morgan Stanley Capital International (MSCI) share price indices, equities continued to advance. Since mid April, markets staged a rapid recovery following the U.S. tariff announcements on 02 April 2025, supported by the scaled-back tariff proposals and robust earnings reports that restored investor confidence. Positive drivers in the U.S. market include the passing of the One Big Beautiful Bill Act (OBBBA), which boosted earnings expectations, especially in the technology sector. Gains in Europe were fuelled by a boom in the banking sector, while Asian equity markets appeared to be gaining momentum.

Global financial market volatility eased in recent months, despite persistent trade policy uncertainties. Volatility indicators spiked sharply in early April following the U.S. imposition of tariffs, reflecting a surge in risk aversion. Since then, market volatility eased steadily, even as uncertainty over trade policy remained high. The VIX, measuring expected volatility of the U.S. S&P 500 Index, the VSTOXX, capturing anticipated volatility for the EURO STOXX 50 in the Eurozone, and the NKY Volatility Index, tracking expected movements in Japan's Nikkei 225, all reflected these alternating shifts in market sentiments. However, persistent geopolitical tensions, fiscal sector vulnerabilities and concerns over fragmentation could reignite volatility in financial markets.

Macrofinancial prospects worldwide remain fragile, with significant downside risks stemming from trade tensions, geopolitical conflicts, and fiscal vulnerabilities. A renewed escalation of tariff and nontariff barriers could disrupt supply chains, dampen trade, and fuel persistent inflationary pressures, while heightened geopolitical tensions, particularly in the Middle East and Ukraine, risk triggering further supply shocks and commodity price spikes. Large fiscal deficits in major economies could tighten global financial conditions, amplify market volatility, and exacerbate debt sustainability concerns. Additionally, front-loaded activity in early 2025 raises the risk of inventory overhangs that could weigh on trade and output if demand falters. Conversely, credible and comprehensive trade agreements could ease uncertainty, lower protectionist measures, and support global growth through stronger investment, productivity gains, and resilience to external shocks.

Global macrofinancial developments present elevated challenges for the domestic economy. As an open economy heavily reliant on trade, Sri Lanka remains vulnerable to elevated uncertainties. Escalating protectionism and geopolitical tensions

can disrupt domestic supply chains, reduce export opportunities, increase commodity prices, and constrain capital flows. However, easing commodity prices and improved global liquidity and financial conditions could provide some relief by moderating inflation and reducing financing costs. In this background, proactive policy measures aimed at reducing the impact of heightened global uncertainty on the domestic economy along with steps towards broadening external trade prospects and attempts towards strengthening buffers in the fiscal, external and financial sectors would support strengthening resilience amidst uncertain international macrofinancial conditions.

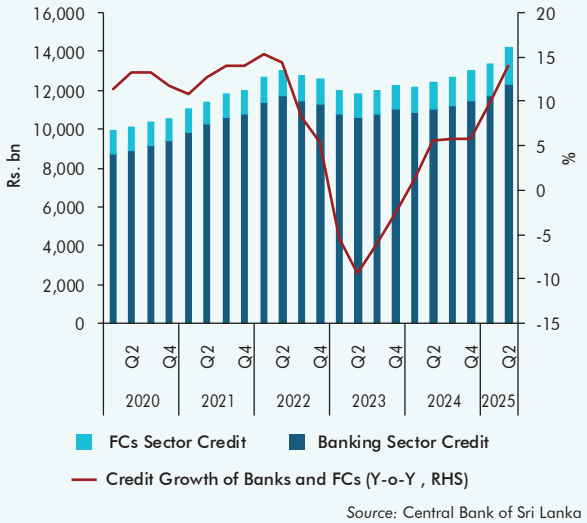
1.2 Domestic Macrofinancial Conditions

Within the domestic economy, total credit growth of regulated entities (i.e. banks and Finance Companies (FCs)) gathered pace after a period of subdued performance. This reflects a gradual recovery in lending activities amidst the demand for credit with the expansion in economic activities and the accommodative monetary policy stance of the Central Bank. Accordingly, as per the regulatory data, overall credit of banks and FCs sector reported a considerable y-o-y growth of 14.0% by end Q2 of 2025. While the FCs sector recorded significant growth in their lending portfolio recording an expansion of 35.1%, the banking sector contributed to the majority of credit expansion albeit with a lower growth rate of 11.4% during the period under review. Private sector credit continued to expand, supported by the low lending rate environment and broad based distribution across key sectors of the economy. Moreover, during the period under review, considerable growth in asset-backed credit, which includes collateral in the form of gold and vehicles, reported a significant expansion for both bank and FCs sectors.

Domestic credit growth picked up amidst accommodative monetary policy, economic expansion and stronger business confidence...

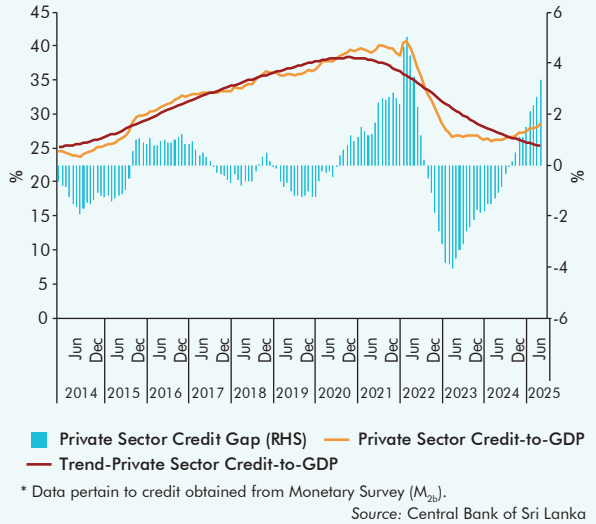
Although an acceleration in credit growth was observed, private sector credit as a percentage of GDP remained at lower levels, while the private sector Credit-to-GDP Gap (Credit Gap) sustained a widening trend, during H1 of 2025. Private sector Credit-to-GDP, which stood at 28.6% at end H1 of 2025, remained well below pre-crisis levels, indicating room for further expansion. Moreover, the moderation in the credit granted to the Government sector would

Figure 1.15 Credit Growth of Banks and FCs



Source: Central Bank of Sri Lanka

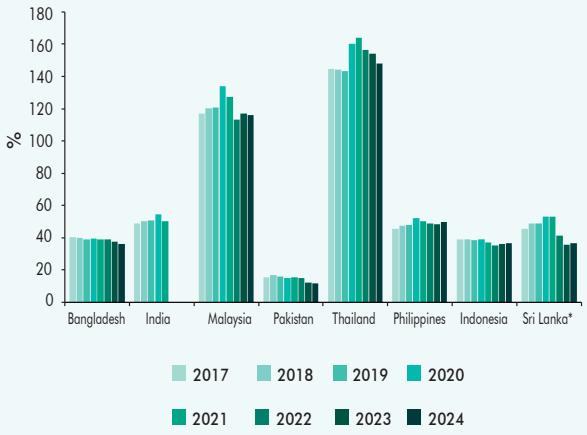
Figure 1.16 Private Sector Credit Cycle*



* Data pertain to credit obtained from Monetary Survey (M_{2b}).

Source: Central Bank of Sri Lanka

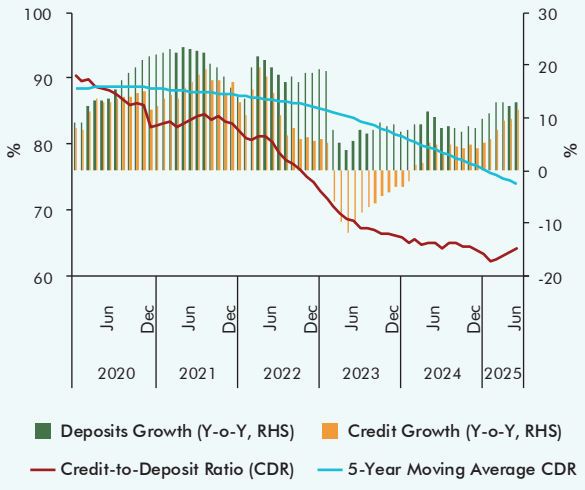
Figure 1.17 Domestic Credit to GDP - Comparison with Selected Regional Economies



* Sri Lanka Credit-to-GDP calculated based on national GDP and Financial Survey (M_4) Data.

Sources: World Development Indicators- World Bank , Central Bank of Sri Lanka

Figure 1.18 Credit-to-Deposit Ratio of the Banking Sector

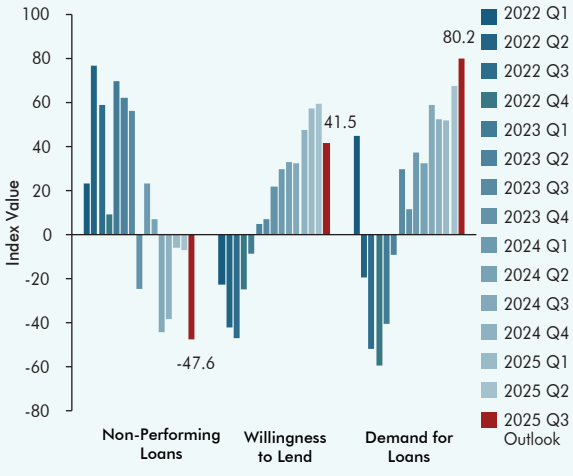


Source: : Central Bank of Sri Lanka

further support this development. Meanwhile, the private sector Credit Gap, computed based on the Central Bank monetary survey data, shifted into the positive territory in mid-2024 and has continued to widen since then, driven by credit expansion under the accommodative monetary policy stance. As the Credit Gap is an early-warning indicator, which reflects the stage of the credit cycle and signals the potential buildup of vulnerabilities in the financial system, this suggests a potential accumulation of systemic risk within the sector. However, going forward higher GDP growth in tandem to the credit expansion would support a healthy expansionary phase, which would be more conducive towards safeguarding financial stability and avoiding the buildup of excessive risks within the financial sector. Furthermore, domestic private sector Credit-to-GDP ratio remains lower than that of some regional countries, suggesting the potential for further expansion in private sector credit.

Despite the easing of monetary conditions, financial intermediation remained subdued during the period. As indicated by the CDR of the banking sector, the recovery in financial intermediation remained broadly stagnant, albeit with a modest pick-up during the latter part of the period under review. The CDR mostly remained on a deteriorating trend until February 2025, owing to stronger deposit growth relative to sluggish credit expansion. These lower CDR levels indicated that the banks remained cautious in lending, directing a greater share of funds towards investments. However, from March 2025 onwards, the CDR began to show signs of recovery, supported by a gradual improvement in banking sector credit. Moreover, as per the Credit Supply Survey conducted by the Central Bank, both banks' willingness to lend and demand for loans increased during the period, supported by accommodative monetary policy and are expected to continue to increase in Q3 of 2025. Survey results for Q2 of 2025 highlighted that prevailing economic and political stability, stable interest rates, enhanced liquidity positions of banks and expectations regarding general economic activities contributed to greater

Figure 1.19 Movement of Credit Supply Survey Indices



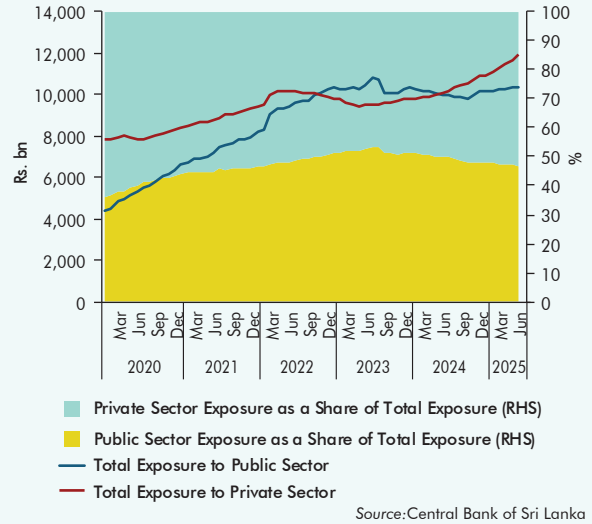
*Source:*Central Bank of Sri Lanka

willingness to lend. On the demand side, reduced interest rates, increased wages, vehicle imports and improvement in business activities appear to have supported stronger demand for loans. Thus, going forward the continued expansion in credit may support the improvement in CDR.

The tilt in exposure towards the Government and public corporations continued to decline, though there remains scope for further enhancement of private sector credit. Financial institutions' exposure to the Government and public corporations, which had exceeded that of the private sector in 2022, reversed in June 2024 and this correction has persisted into 2025, with the Government sector exposure standing at 46.5% of total exposure, by end June 2025. These developments were supported by increased lending to the private sector alongside ongoing fiscal consolidation measures. While the private sector exposure rose from its lowest point in mid-2023, it remains below pre-pandemic levels, indicating room for further credit expansion. Expanding private sector credit could support strengthening production capacity and contribute towards sustained economic growth. Therefore, the continued correction in the allocation of credit is necessary to ensure balanced financial intermediation and support the envisaged growth path of the economy.

Moreover, credit towards the real estate sector continued to increase amid improving economic conditions, while banking sector exposure to the sector remains elevated. Supported by the positive economic outlook and accommodative financial conditions, real estate activity has shown a steady improvement. According to the Central Bank's market analysis for Q2 of 2025, the price index for new condominiums in the Colombo District continued its upward trend, while the condominium property sales volume index has slightly declined in Q2 of 2025, following the sharp increase recorded in Q1 of 2025. Meanwhile, the banking sector's exposure to real estate related activities continues to remain elevated, with the share of loans and advances to the sector amounting to 14.5% by end Q2 of 2025. Although sectoral Stage 3 Loans have been declining, they remain elevated, with a Stage 3 Loans ratio of 14.0% at the end Q2 of 2025. While the improving economic environment offers some relief to household balance sheets, the combination of elevated credit exposure, high Stage 3 Loans, and rising property prices may heighten the risk of potential market corrections, emphasising the importance of prudent risk management and close monitoring to preserve financial sector resilience. (Refer Special Note 1, page 14 for further details).

Figure 1.20 Exposure to Public and Private Sector

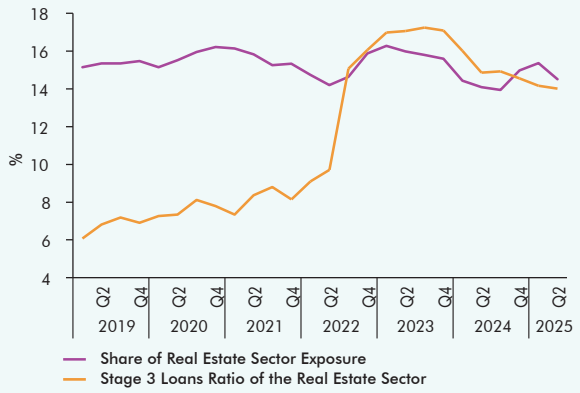


*Source:*Central Bank of Sri Lanka

Figure 1.21 Condominium Market Performance

Source: Central Bank of Sri Lanka

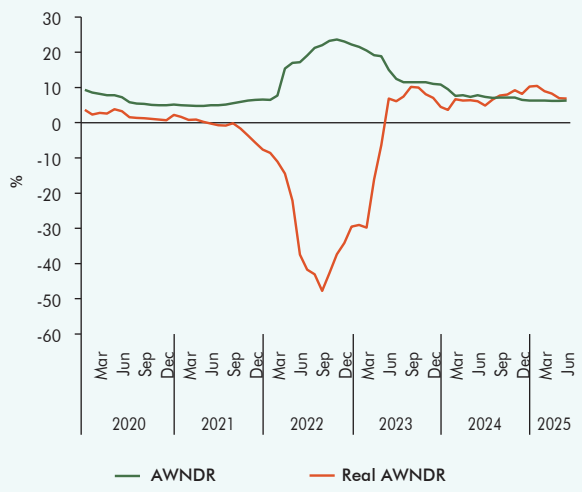
Figure 1.22 Banking Sector's Exposure to Real Estate Sector* and Stage 3 Loans Ratio



*This includes loans extended for purchase of land, construction and development of all types of residential buildings or remodeling and renovating existing residential structures; construction, development or renovation of all types of non-residential buildings or remodeling and renovating of such structures; real estate activities, including development of condominium projects, with own or leased property; and other construction activities.

Source: Central Bank of Sri Lanka

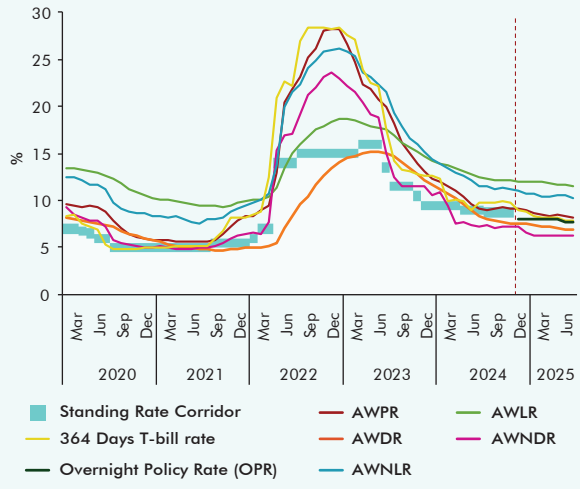
Figure 1.24 AWNDR and Real AWNDR



Source: Central Bank of Sri Lanka

Reflecting the passthrough of monetary easing, a broad based decline in market interest rates was observed during the period. The introduction of the Overnight Policy Rate (OPR) as the single policy rate of the Central Bank in November 2024 has strengthened monetary policy signalling. Nevertheless, the spread between lending and deposit rates remains elevated relative to its pre-crisis average, largely due to a sharper reduction in deposit rates compared to lending rates, as well as relatively high interest rates on certain loan products. However, this spread is expected to gradually normalise with a further decline in lending rates. Meanwhile, the real deposit rate, measured by the Real Average Weighted New Deposit Rate (Real AWNDR), remained positive despite recent moderation, amidst declining nominal interest rates and easing deflationary pressures up to July 2025. Moreover, real deposit rates are expected to decline further as inflation converges towards its target. Meanwhile, yields on Government securities continued to decline steadily, supported by improved fiscal performance, lower risk premia, and progress in public debt restructuring. The secondary market yield curve experienced a further downward shift, reflecting

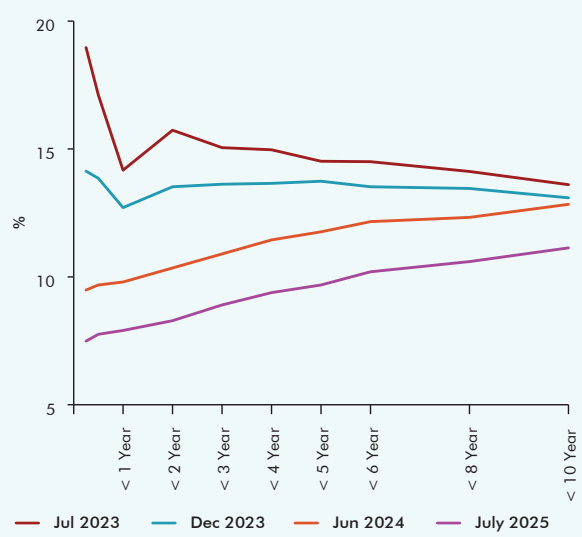
Figure 1.23 Market Interest Rates



*The Central Bank of Sri Lanka implemented a Single Policy Interest Rate Mechanism by Introducing the Overnight Policy Rate from 26 November 2024 onwards.

Source: Central Bank of Sri Lanka

Figure 1.25 Secondary Market Yield Curve of Government Securities



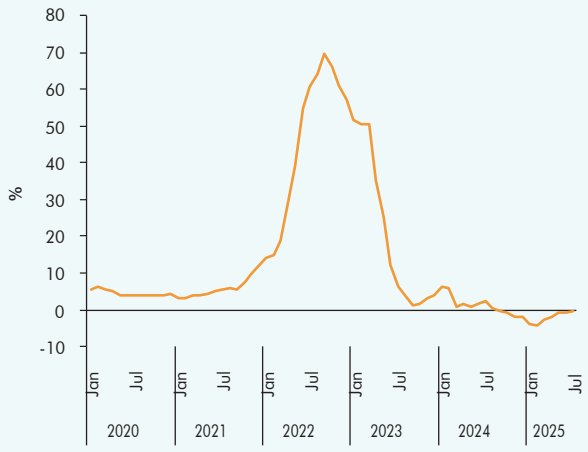
Source: Central Bank of Sri Lanka

improved investor sentiment and positive economic prospects, although yields on longer-tenure securities adjusted more gradually.

Real sector regained momentum, gradually easing pressure on household and corporate balance sheets....

Against this backdrop as the real sector regains momentum, pressure on household and corporate balance sheets is gradually easing, thereby reducing credit risks faced by financial institutions. The steady growth in economic output during eight consecutive quarters up to Q2 of 2025, subsequent to the economic crisis, supported in gradually easing the pressure on the balance sheets of households and corporates. Meanwhile, deflationary conditions which persisted from September 2024, largely driven by declines in energy and transport related prices, have gradually dissipated and turned positive by end August 2025. Thus, prices which had previously reached significantly high levels have declined till end July 2025, albeit marginally, offering some relief to the balance sheets of households and firms. However, the deterioration in real incomes, as reflected in subdued real wage rate indices, and elevated price levels, continues to weigh on the debt-servicing capacity of households and firms. In this context amidst the current accommodative monetary policy stance and low inflationary conditions, economic activity is expected to maintain its upward momentum. Moreover, although the labour force participation rate has improved during the period, it still remains below 50%. This reveals structural and persistent weaknesses in the labour market, with more than half of the working age population disengaged from employment while indicating potential for further improvement going

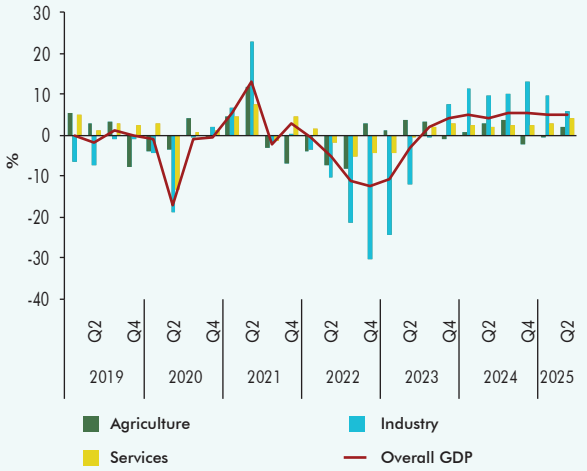
Figure 1.27 Headline Inflation*



*Y-o-Y intiation was measured using the CCPI (2013 = 100) up to 2022, and with the rebased CCPI (2021=100) thereafter.

Source: Department of Census and Statistics

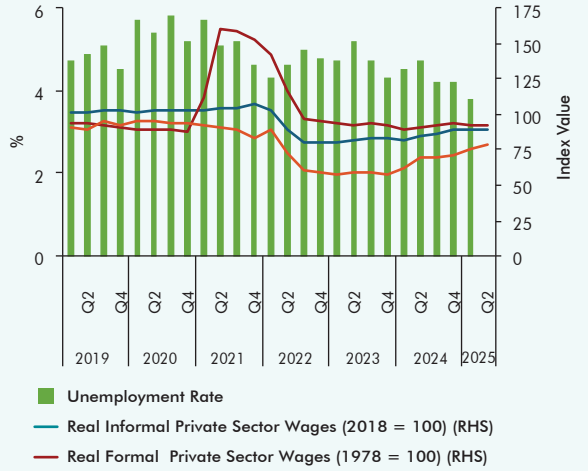
Figure 1.26 Quarterly GDP Growth*



*Growth of Quarterly GDP at Constant Prices (base year 2015).

Source: Department of Census and Statistics

Figure 1.28 Unemployment Rate and Wage Rate Indices



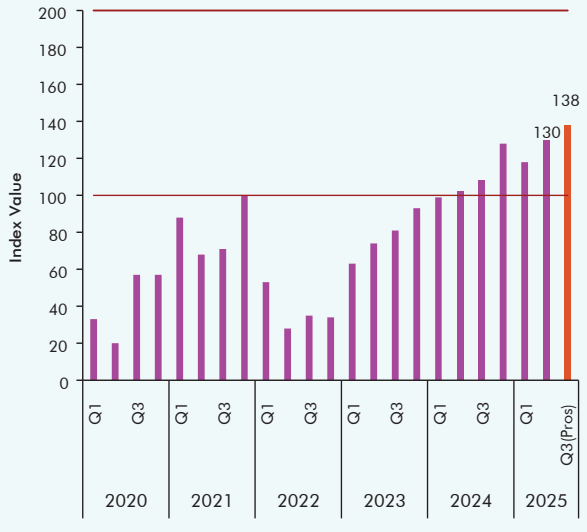
Source: Department of Census and Statistics

forward. The pick-up in economic activity should further support in easing the pressure on the balance sheets of households and firms, thereby contributing towards continued improvement in credit quality within the financial sector.

Improved macroeconomic conditions have also supported positive domestic business sentiments, which strengthened further during the review period. The Business Conditions Index compiled by the Central Bank remained above the neutral threshold, signalling a continued recovery in business conditions. Looking ahead, conditions are expected to strengthen further in Q3 of 2025. The positive sentiments reflected in the Business Outlook Survey include improvements in macroeconomic conditions, particularly the lower interest rates and a stable exchange rate as the primary drivers of these positive developments. Moreover, survey respondents also indicated broad based improvements across key business indicators, including demand, sales, capacity utilisation, and investment, with expectations of continued strengthening in the period ahead. In addition, survey respondents indicated a sustained increase in the demand for bank credit while the credit accessibility eased in Q2 of 2025 after remaining constrained for a significant period of time.

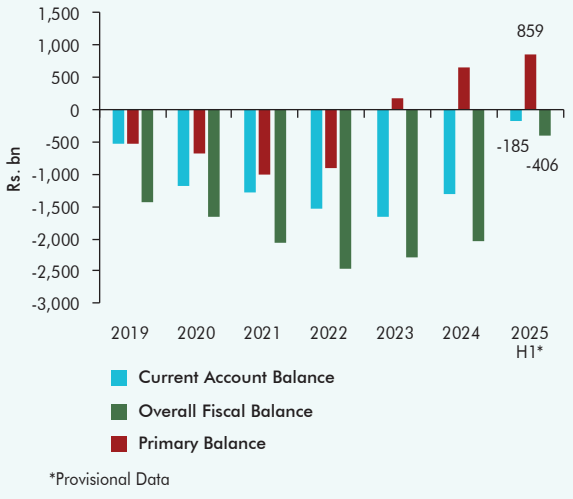
The fiscal sector recorded an overall improvement, supported by ongoing revenue based consolidation measures. The improved fiscal sector performance was reflected in all key balances, in the form of a primary surplus, narrower fiscal deficit, and reduced debt ratios. Total revenue and grants increased sharply, supported by revenue reforms particularly in terms of tax collections. Further, motor vehicle import taxes are expected to contribute significantly to the revenue increase in 2025. Despite higher recurrent expenditure, capital expenditure remained subdued, contributing to narrower fiscal deficits. Moreover, following the successful completion of the Domestic Debt Optimisation (DDO) programme, the Government successfully completed its external debt restructuring process in December 2024, except for a minor portion, marking a key milestone in economic recovery. However, during H1 of 2025, the Government continued to rely primarily on domestic sources to finance the budget deficit, as accessing international capital markets has not been resorted at this stage. This reliance on domestic sources was reflected through the continued expansion of credit to the public sector from the financial sector albeit at a lower rate than the credit growth to the private sector highlighting the impact of fiscal consolidation measures in allocation of financial resources within the domestic economy.

Figure 1.29 Business Conditions Index



Source: Central Bank of Sri Lanka

Figure 1.30 Key Fiscal Balances



*Provisional Data

Source: Ministry of Finance, Planning and Economic Development

Special Note 1

Real Estate Market Developments and Their Implications on Financial System Stability in Sri Lanka

Background

The real estate[1] sector is a significant component of Sri Lanka's economy, closely linked to housing, construction, and financial services. It plays a central role in supporting economic and social development by providing essential residential, commercial, and industrial spaces. Over time, the sector has evolved in response to urbanisation, infrastructure development, and evolving demographic needs, attracting both domestic and foreign investments. However, the construction industry, a key driver of real estate, has faced prolonged challenges, initially from the COVID-19 pandemic and later from the domestic economic crisis. Despite recent signs of recovery, the sector continues to grapple with cost pressures, delays in project implementation, and lower investor confidence, which has been further exacerbated by the reintroduction of Value Added Tax (VAT) on condominiums. Meanwhile, the banking sector has significant exposure to the real estate sector and record a higher Stage 3 Loans ratio compared to the sector average. Thus, developments in the real estate sector can have far-reaching implications for financial stability.

Banking Sector Exposure to the Real Estate Sector

The significance of the real estate sector to financial stability is further highlighted by the extent of banking sector exposure. The banking sector's exposure to the real estate sector stood at approximately 15% of total loans and receivables as of June 2025, primarily through lending for construction, housing, and property development activities. Within this, lending for residential real estate remains higher than lending to non-residential real estate activities, highlighting the importance of this portfolio in banks' credit exposure. Moreover, the y-o-y growth in total real estate-related lending, which had been on a declining trend until early 2024, reversed course towards the end of the year and recorded a y-o-y growth of 14.8% as of June 2025, signaling a gradual improvement in market sentiment and a potential recovery in real estate investment activity. However, the sector continues to exhibit a higher Stage 3 Loans ratio, which stood at 14% by end Q2 of 2025, reflecting the elevated credit risk associated with this portfolio.

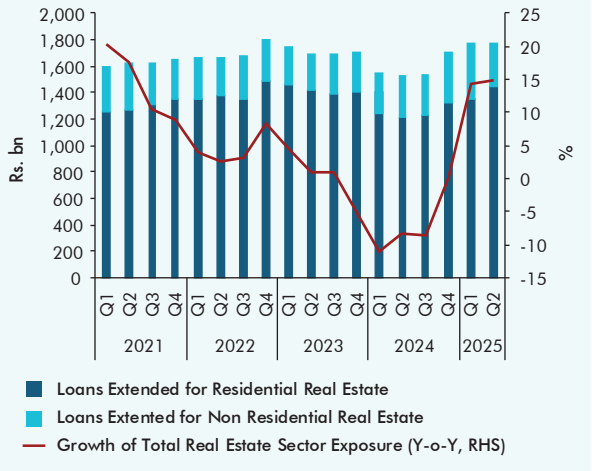
Market Price Movements in the Residential Real Estate Sector

Analysing price trends in the real estate sector provides valuable insights into market sentiments and broader economic conditions. Movements in asking prices over the past few years reveal evolving dynamics across different property segments in Sri Lanka. The asking price index for lands shows a moderation during periods of elevated lending rates and gradually recovered as rates declined, reflecting the sensitivity of land markets to financing conditions.

In contrast, the asking price indices for houses and condominiums have broadly depicted an upward trend, indicating resilient demand and the continued perceived value of residential real estate assets. These upward trends in property prices have persisted even amid higher lending rates, likely supported by long term investment perspectives, demographic factors, and the limited availability of high quality houses. The persistence

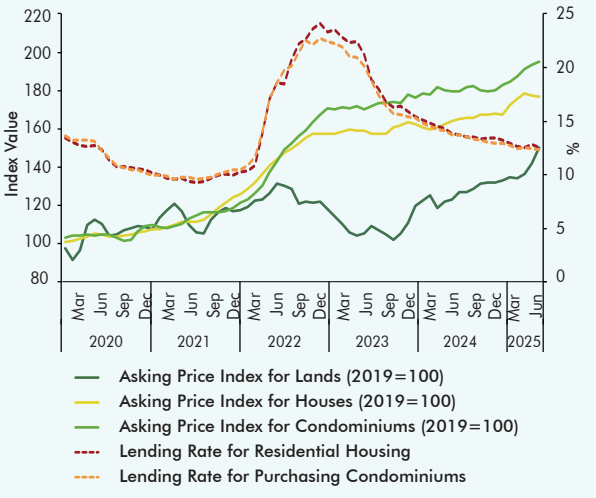
1 This article focuses on the Residential Real Estate segment, which includes transactions, leases, and rentals of houses and condominium apartments. The broader real estate sector also comprises Commercial Real Estate and Industrial Real Estate.

Figure 1 Banking Sector Exposure to the Real Estate Activities



Source: Central Bank of Sri Lanka

Figure 2 Real Estate Prices and Lending Rates



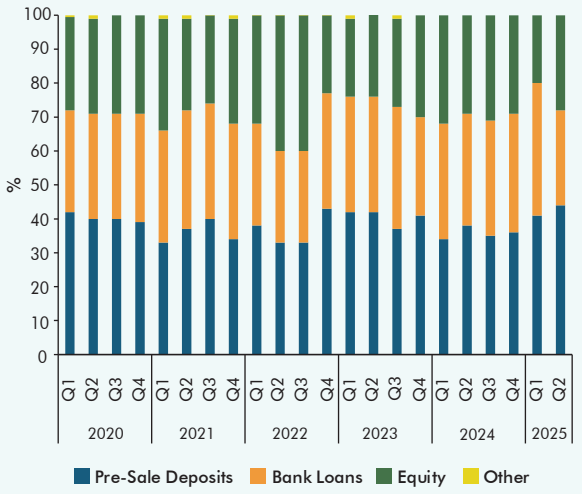
Source: Central Bank of Sri Lanka

of elevated prices despite tighter financing conditions during the crisis period may also signal irrational pricing. The relative stability in residential property prices, despite macroeconomic fluctuations, highlights its importance in household wealth accumulation and investment portfolios.

Developer Financing and Buyer Motivations

Understanding both the supply and demand sides of the condominium market further illuminates the potential risks and resilience in the sector. The latest Condominium Market Survey conducted by the Central Bank for Q2 of 2025 highlights that, on the supply side, condominium developers in Sri Lanka rely more on pre-sale deposits (advance payments from buyers) and bank loans, compared to equity contributions. This highly leveraged funding structure can be fragile if developers face liquidity constraints, leading to project delays or defaults which could increase credit risk for banks and create negative spillovers within the financial system. On the demand side, most condominium purchases have been made by Sri Lankan residents, primarily for immediate occupancy using personal funds. This reduces speculative risk but also means that buyer confidence and household income are key to sustaining demand. Therefore, economic stability to ensure continued household income is critical to sustaining credit quality within the residential real estate segment.

Figure 3 Funding Structure of Condominium Developments



Source: Central Bank of Sri Lanka

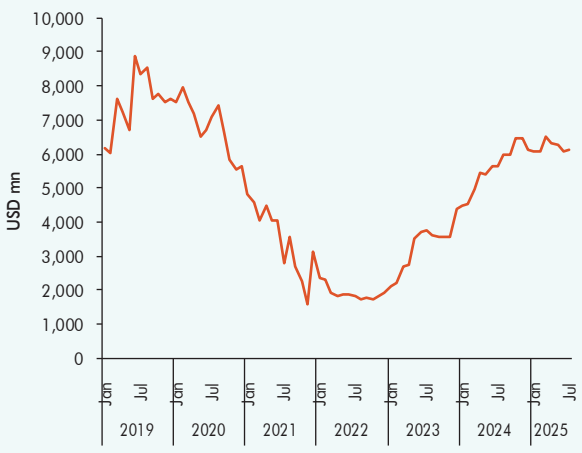
Way Forward

As the real estate sector supports Sri Lanka's economic recovery, a well-calibrated policy framework is vital to ensure sustainable and inclusive growth while preserving financial system stability. On the demand side of the condominium market, enhancing buyer protection through stronger regulatory safeguards such as clearer disclosure standards, timely project delivery requirements, and accessible grievance mechanisms can enhance transparency and protect against developer-related risks. Introducing financial arrangements that hold buyer funds separately until project milestones are met can further strengthen prudential oversight, reduce risks to the financial system, and prevent misallocation of resources. From a financial stability perspective, continuous monitoring of banking sector exposure to the real estate sector and proactive supervision of lending institutions are essential. The proactive use of macroprudential tools, including caps on loan to value and debt to income limits, when warranted, can help curb excessive risk-taking and credit-fueled price bubbles. A coordinated approach among financial regulators, planning authorities, and industry stakeholders is key to fostering a resilient real estate market that protects buyers and preserves financial system stability.

Sri Lanka's fiscal and external positions improved, while the macrofinancial outlook remains cautiously optimistic…

Sri Lanka's external sector exhibited resilience, supported by current account surpluses amidst rising import demand and global uncertainties. The external current account, which recorded a surplus for the second consecutive year in 2024, posted a further surplus of USD 1.5 bn in H1 of 2025, driven by strong inflows from services, secondary income and a narrowed primary income deficit despite widened trade deficit. The merchandise trade deficit widened as imports, notably vehicles, outpaced export growth, led by textiles, garments, and food and beverage products. While the Sri Lanka rupee appreciated for a second consecutive year in 2024, it depreciated modestly in H1 of 2025, reflecting higher import demand and global currency movements. Despite sizeable Government debt service payments, official reserves were sustained above USD 6 bn, supported by the Central Bank foreign exchange purchases and the disbursement of the fifth tranche in July 2025 under the International Monetary Fund - Extended Fund Facility (IMF-EFF) programme. Looking ahead, economic recovery and the resultant import

Figure 1.31 Gross Official Reserves*



*This includes proceeds from the PBoC swap arangement, which is subject to conditionalities on usability.

Source: Central Bank of Sri Lanka

demand, debt service obligations, and persistent global uncertainties may exert pressure on the external accounts. These trends could also heighten the financial sector's exposure to external vulnerabilities, through higher import financing needs and potential capital flow volatility. Therefore, maintaining adequate reserve buffers, strengthening external competitiveness, and pursuing prudent macroeconomic management to mitigate risks arising from the external sector would ensure financial stability.

The domestic macrofinancial environment has demonstrated notable improvement, supported by steady economic recovery and prudent policy implementation, albeit with persistent risks, which continue to warrant close monitoring. During the review period, the domestic macrofinancial environment exhibited significant improvements, supported by steady economic recovery, low inflationary pressures, declining interest rates, and continued fiscal consolidation efforts contributing to improve the resilience of the financial system. Positive developments are evident across multiple sectors, including strengthened business conditions, a notable recovery in private sector credit, and sustained resilience in the external sector. However, structural challenges remain, such as continued pressure on real incomes, and elevated Stage 3 Loans in key sectors including the real estate sector, which collectively weigh on resilience of the financial sector. Market interest rates have broadly declined following monetary easing, yet elevated lending-deposit spreads and high Government security yields compared to deposit rates indicate lingering distortions requiring continued policy attention to support further credit recovery to the private sector. Fiscal positions have strengthened through revenue based consolidation measures, while the external sector has maintained resilience with current account surplus and stable reserves, despite rising imports and global uncertainties. Taken together, these developments point to a cautiously optimistic outlook, emphasising that sustaining balanced credit allocation, enhancing private sector engagement, maintaining fiscal discipline, and managing external vulnerabilities will contribute towards consolidating economic gains and ensuring long term macrofinancial stability.

Financial Markets 2

Stress in the domestic financial markets, as captured by the Financial Stress Index (FSI)[1], reversed its upward trend observed since late August 2024, marked a sharp decline in October 2024, and continued to hover below zero thereafter. Decreased volatility in banking stocks, decreased yields on Government securities and improved performance in the stock market contributed to the low FSI levels.

The stock market continued to demonstrate an upward trajectory in price indices from January to August 2025. This growth was supported by enhanced domestic investor sentiments, favourable macroeconomic conditions and improved corporate earnings, alongside the accommodative monetary policy stance. Sectoral performance was particularly strong in retail sector industries. The market Price-to-Book Value (PBV) increased closer to its long term average level. Meanwhile, the Price Earnings Ratio (PER) grew moderately but remained below both its long term average and regional peers, indicating opportunities remain for further market growth contingent on sustained corporate performance. In the meantime, net foreign inflows declined, underscoring the importance of attracting new capital inflows to support market development.

Reflecting the accommodative monetary policy stance and improved fiscal performance, yields on Government securities declined and remained relatively stable during the review period. The market expanded modestly, with Treasury bond stock increasing due to debt restructuring and issuances, while the stock of Treasury bills contracted. Prudent management of buffer funds had also supported a reduced reliance on short term debt issuances thereby lowering rollover risks and curtailing the upward pressure on yields. Secondary market liquidity was dominated by short term maturities and longer end of the yield curve remained inactive, contributing to elevated term premiums. Foreign investment inflows to the Government securities market showed a gradual increase.

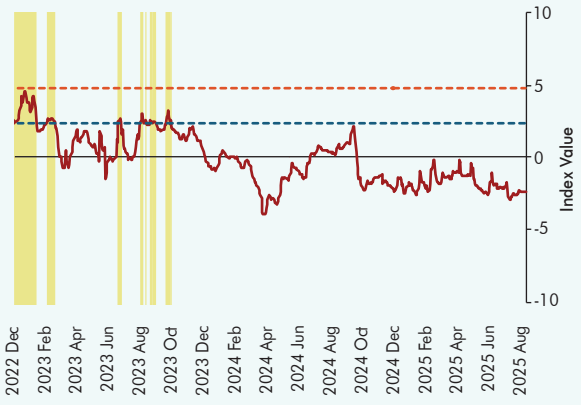
Liquidity in the domestic foreign exchange market improved as reflected by narrower bid-ask spread and increased interbank transaction volumes. The Sri Lanka rupee slightly depreciated against the USD, following an appreciation in the past two years. The Central Bank actively absorbed foreign currency on a net basis, supporting the official reserve position amidst rising import demand including the pent-up demand for vehicle imports, and repayments of multilateral debt and swaps. Continued foreign currency inflows to the Government and the private sector remain crucial for maintaining the current momentum.

The domestic money market transaction volumes increased, driven by increased activities in the repo and call money markets, with the repo market consistently outpacing the call money market. State owned banks remained net lenders, while domestic private banks were net borrowers. The Average Weighted Call Money Rate (AWCMR) and the Average Weighted Repo Rate (AWRR) remained broadly aligned with the Overnight Policy Rate (OPR), exhibiting low volatility and tight spreads. Liquidity in the domestic money market remained surplus, mainly supported by net foreign exchange purchases by the Central Bank, despite liquidity absorptions due to Government foreign debt service payments and currency withdrawals.

Overall, financial markets exhibited resilience and gradual improvement during the period under review. Looking ahead, maintaining macroeconomic stability is essential to support continued growth and investor confidence. While positive momentum is observed, challenges persist on limited foreign investor participation in the stock and Government securities markets, low transactions in the secondary market for Government securities, and global uncertainties. Maintaining stability will require robust foreign currency inflows, balanced market development, and prudent monetary and fiscal policy management. Continuous monitoring and coordinated policy interventions are imperative to mitigate risks and ensure the orderly functioning of financial markets amid dynamic domestic and global conditions.

1 This index captures the combined stress emanating from equity, domestic foreign exchange, Government securities and domestic money markets.

Figure 2.1 Financial Stress Index



Sources: Central Bank of Sri Lanka
Colombo Stock Exchange
Bloomberg

2.1 Stock Market

Stock market price indices demonstrated an upward trend up to end August 2025. All Share Price Index (ASPI) recorded a historic milestone on 01 September 2025, reaching 21,000 points. As of end August 2025, ASPI and S&P SL 20 indices of the Colombo Stock Exchange (CSE) recorded year-to-date growth rates of 31.7% and 25.0%, respectively. This growth is in addition to the growth of 34.5% and 40.8% recorded, respectively, during the final quarter of 2024. This strong performance of the share price indices was mainly reinforced by the improved domestic investor participation stemmed from reduced political uncertainties, positive domestic macrofinancial developments and improved corporate financial performance amidst the accommodative monetary policy stance of the Central Bank. Despite the overall upward momentum, ASPI and S&P SL20 experienced intermittent declines during the year 2025, falling by 0.9% and 4.5%, respectively, by end April 2025, mainly attributed to trade tensions amidst uncertainties surrounding geopolitical factors and global macrofinancial outlook. As of end July 2025, the Relative Strength Index (RSI)[2] for ASPI stood slightly above 70%, indicating an overbought market condition, then moderated during August 2025. Such upward pressures underscore the need for fundamentally driven further improvements in the market, including the strong financial performance of listed companies to sustain and build upon the prevailing positive momentum. As of end August 2025, market capitalization stood at Rs. 7,425.4 bn, reflecting a year-to-date growth of 30.4% compared to Rs. 5,695.6 bn at end 2024.

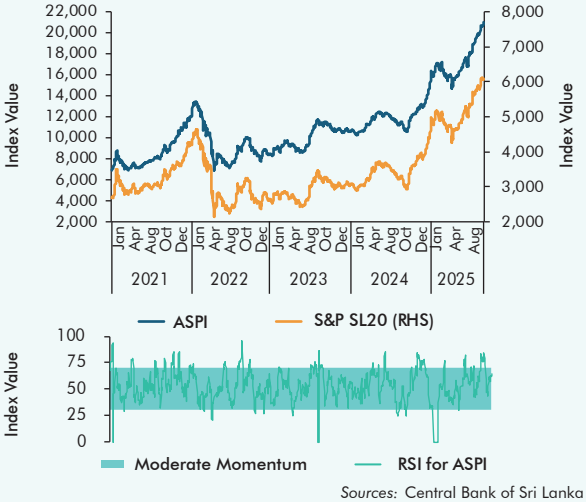
Real return[3] of the stock market as reflected by the inflation adjusted All Share Total Return Index (ASTRI) remained positive since June 2023.

2 The Relative Strength Index (RSI) is a momentum oscillator varying between 0 and 100 that measures the speed and the magnitude of recent price movements of stock market indices, providing insights into their price strength. It is widely recognised and referred to in academic publications as a technical indicator for analysing market momentum.

3 Real return for All Share Total Return Index is calculated as:

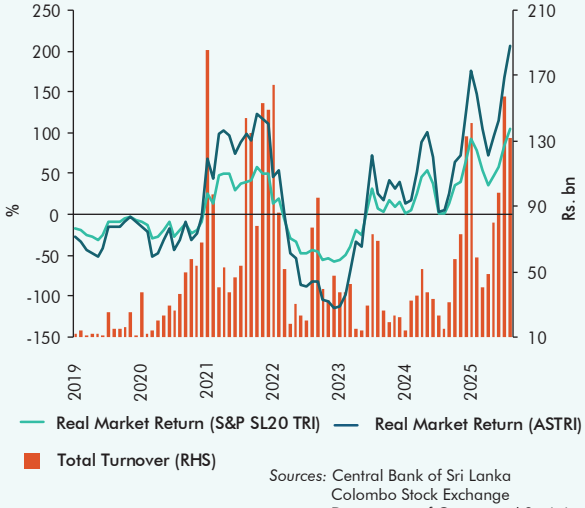
$$\text{Real Return} = \frac{1+\text{Monthly ASTRI return (y-o-y)}}{1+\text{Monthly CCPI inflation rate (2021=100)}} - 1$$

Figure 2.2 Share Price Indices



Sources: Central Bank of Sri Lanka
Colombo Stock Exchange

Figure 2.3 Monthly Stock Market Turnover and Real Returns



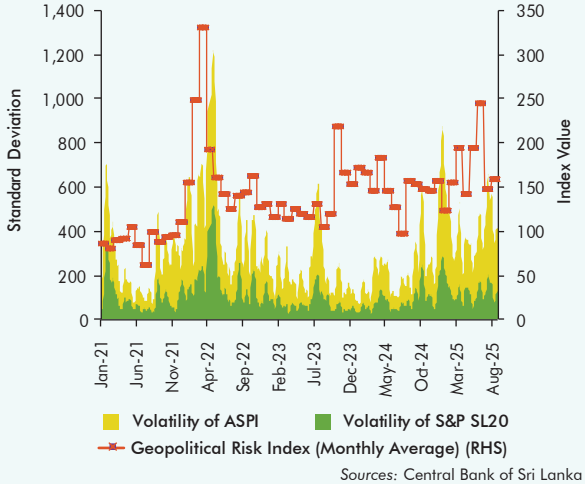
Sources: Central Bank of Sri Lanka
Colombo Stock Exchange
Department of Census and Statistics

Average real return of the market as measured by the geometric mean of monthly real returns up to August 2025 remained positive at 65.1% in value compared to 24.8% and -5.8% recorded, respectively, in 2024 and 2023. This was supported by a significant growth in market capitalisation alongside bullish sentiments that prevailed in the market, negative inflation persisted in the economy and dividend payouts during the period under consideration. Conversely, high monthly turnover values were observed in periods with higher real returns. For the first eight months of 2025, the average daily market turnover was Rs. 4,840.6 mn compared to Rs. 2,240.2 mn in 2024.

Stock market price indices posted robust year-to-date gains with elevated volatility…

Stock market volatility[4] as measured by 20-day moving standard deviation of price indices, exceeded the average volatility levels prevailed in 2024, during the first eight months of 2025. Both ASPI and S&P SL20 indices recorded their highest volatility levels in January 2025, since April 2022, due to the higher gains in indices during early January and bearish sentiments observed towards end January. Geopolitical tensions as indicated by Caldara and Iacoviello Geopolitical Risk (GPR) Index[5] remained elevated during the first eight months of 2025 compared to the previous year, likely due to elevated geopolitical uncertainties with rising armed conflicts, trade wars and economic fragmentation. Inclined geopolitical tensions may also have contributed to the significant volatility levels observed during the bullish stages as well as the heightened volatility levels during the declining phases.

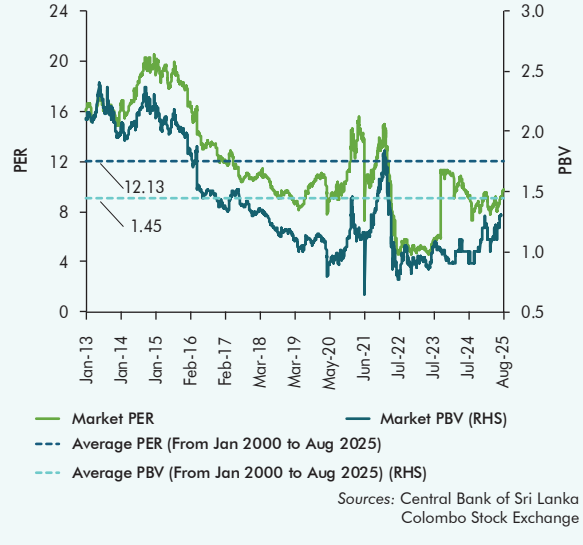
Figure 2.4 Volatility of Share Price Indices



Sources: Central Bank of Sri Lanka
Colombo Stock Exchange
Bloomberg

The Price-to-Book Value (PBV) ratio of the stock market continued to increase, standing at 1.41 at the end of August 2025 compared to 1.17 at the end of 2024, albeit remaining slightly lower than the long term average of 1.45. As a result of strong bullish market sentiments, market prices exhibited significant growth compared to the Net Asset Value (NAV) of shares. This indicates a positive outlook among the investors regarding the prospects of CSE stocks. Meanwhile, the Price to Earnings Ratio (PER) recorded only a moderate growth during the period under review, standing at 9.81 at the end of August 2025 compared to 8.89 at the end of 2024 and long

Figure 2.5 Market Valuation Indicators

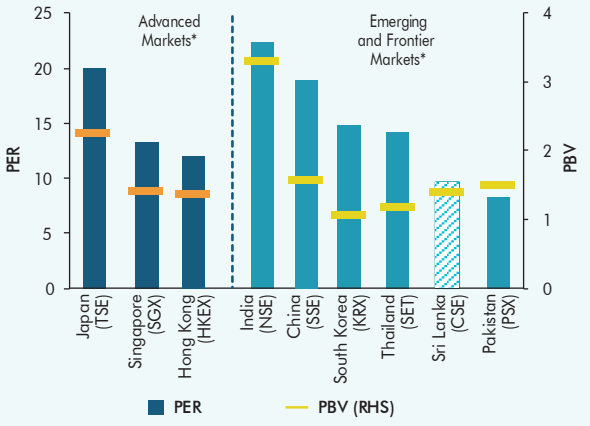


Sources: Central Bank of Sri Lanka
Colombo Stock Exchange

4 Stock market volatility is measured by the standard deviation of ASPI and S&P SL 20 for preceding 20 days of active operation at CSE.

5 The GPR index cited by International Monetary Fund (IMF) in its Global Financial Stability Report (GFSR), quantifies adverse geopolitical events and associated risks by systematically counting terms related to geopolitical tensions across leading international newspapers. It reflects broader global geopolitical risk exposure and is not solely country-specific for Sri Lanka.

Figure 2.6 Country Level Comparison of PER and PBV as of August 2025



* Based on country classification within the MSCI equity securities universe.

Sources: Central Bank of Sri Lanka
Colombo Stock Exchange
Bloomberg

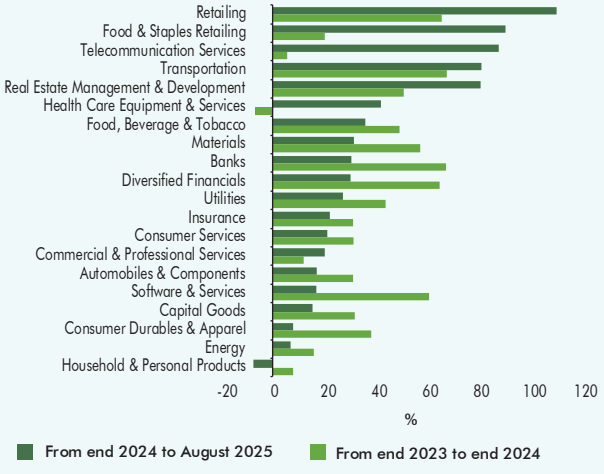
term average of 12.13. Further, the PBV and PER of CSE remained at lower levels compared to most of the other stock exchanges in the region, demonstrating its potential for further growth supported by strong performance of the corporates underpinned by macrofinancial stability.

The highest year-to-date sectoral index growth was recorded by the Retailing sector with 111.4% growth by end August 2025, followed by the Food & Staples Retailing and Real Estate Management & Development sectors each with growth rates above 80%. In year 2024, the Transportation sector recorded the highest annual growth followed by Banks, Retailing and Diversified Financials sectors. However, the Household and Personal Products sector recorded a negative growth rate in the stock market during the first eight months of 2025 while all other sectors registered positive growths. The Banks sector exhibited the highest sensitivity to the changes in ASPI as reflected by its sector beta[6] value, followed by the Diversified Financials, Retailing, Capital Goods and Materials sectors. These five sectors together represent 52% of the total market capitalisation highlighting their significant influence on the overall movement of ASPI as well. However, the Food & Staples Retailing sector which recorded a significant sector index growth in the first eight months of 2025, logged a lower beta against ASPI.

Based on the secondary market data from August 2020 to August 2025, PBV ratio of several key sectors remained below the reference point (PBV = 1), indicating that these sectors were generally undervalued. Although the Banks sector consistently appeared as an undervalued sector with a moderate average dividend yield during the past several years, overall PBV of this sector stood at 0.90 as of end August 2025, up from 0.76 as of end 2024 and 0.47 as of end 2023. The Food & Staples Retailing sector recorded the highest increase in PBV during the first eight months of 2025, rising from 2.67 to 4.71, followed by the Retailing sector. PBV of all sectors except for Banks, Commercial & Professional

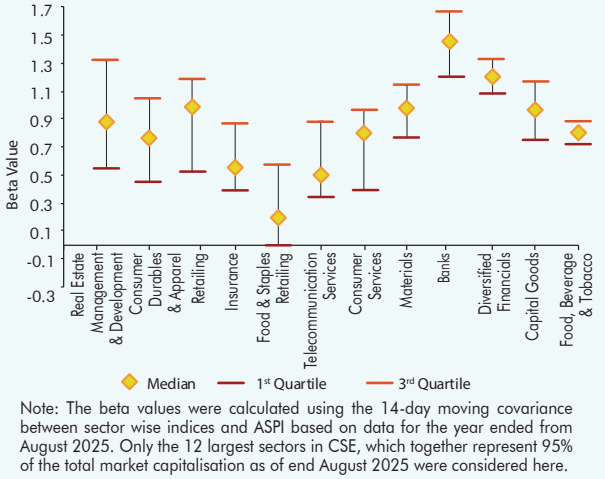
6 The sector beta value indicates the percentage change in the sector price index against a 1% change in ASPI.

Figure 2.7 Performance of Sectoral Price Indices



Sources: Central Bank of Sri Lanka
Colombo Stock Exchange

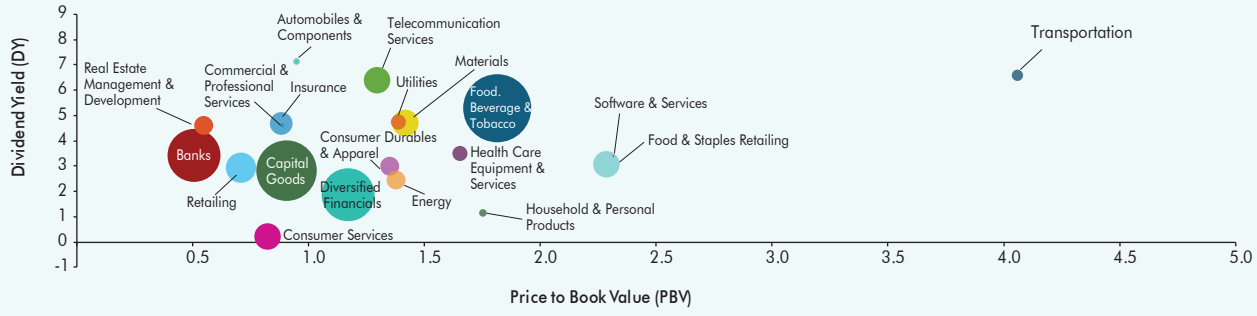
Figure 2.8 Sensitivity of Key Sectors Measured by Beta Against ASPI



Note: The beta values were calculated using the 14-day moving covariance between sector wise indices and ASPI based on data for the year ended from August 2025. Only the 12 largest sectors in CSE, which together represent 95% of the total market capitalisation as of end August 2025 were considered here.

Sources: Central Bank of Sri Lanka
Colombo Stock Exchange

Figure 2.9 Sector Wise Positioning



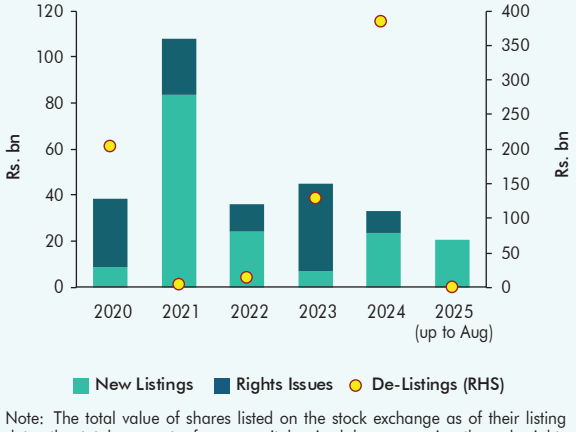
Notes: Market capitalisation of the respective sectors as at end August 2025 is indicated by the size of the circles.
The overall average of monthly DY and PBV ratios from August 2020 to August 2025 are used as the coordinates for each sector in the chart.
Extreme dividend yield values recorded in the Transportation sector during late September and early October 2024, following the de-listing of the largest company of the sector, were excluded from calculations.

Sources: Central Bank of Sri Lanka
Colombo Stock Exchange

Services, Energy, Real Estate Management & Development, and Transportation stood above the reference point (PBV = 1). In terms of long term dividend yield and PBV, Automobiles & Components, Real Estate Management & Development, Insurance and Commercial & Professional Services sectors were characterised by modest PBV ratios with relatively high dividend yields. Further, the total market capitalisation of the market concentrated, with 70% represented by the four largest sectors: Food, Beverage & Tobacco, Capital Goods, Diversified Financials and Banks, while the remaining was distributed across other 16 sectors.

Primary market activities in CSE during the first eight months of 2025 remained subdued compared to previous years, with only one equity Initial Public Offering (IPO) raising Rs. 1.57 bn and introducing securities worth of Rs. 20.72 bn to market capitalisation. In contrast, four companies raised Rs. 2.80 bn during the year 2024 and introduced Rs. 23.72 bn to market capitalisation. However, during the year 2024, 10 companies were delisted from CSE, including the company that held the largest market capitalisation as at the end of 2023, underscoring the strategic imperative to attract new listings to the stock market to support market development and sustain trading activities. Although no companies in the stock market raised capital through rights issues during the first eight months of 2025, several companies announced plans for rights issues to be conducted after August 2025.

Figure 2.10 New Listings, Rights Issues and De-Listings

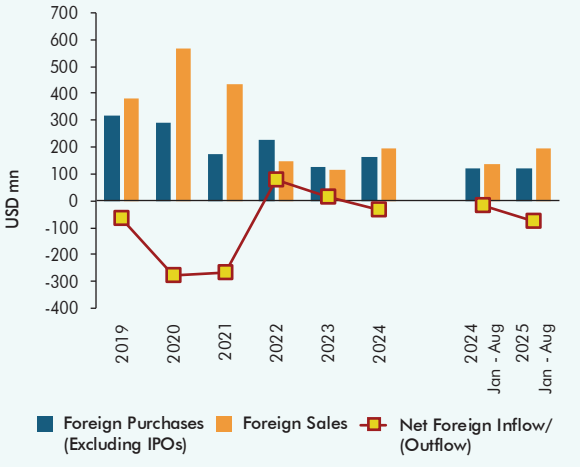


Note: The total value of shares listed on the stock exchange as of their listing date, the total amount of new capital raised by companies through rights issues calculated at the per share price consideration and the market capitalisation of companies at the time they were de-listed are considered here.

Source: Colombo Stock Exchange

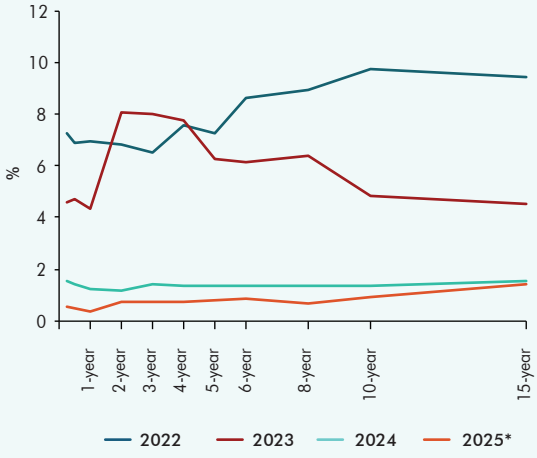
During the first eight months of 2025, CSE experienced a net foreign outflow in the secondary share market, amounting to a cumulative net foreign outflow of USD 74.4 mn as of end August 2025. This is further to the cumulative net foreign outflow of USD 32.6 mn recorded in the secondary share market during the year 2024. Although, the primary market recorded an inflow of USD 65.5 mn in 2024, primary market inflows were limited only to USD 5.1 mn up to August 2025. The proportion of shares held by foreign investors in CSE stood at 16.8% as of end July 2025 compared to 17.6% at the end of 2024. Alongside the anticipated continuation of macroeconomic stability, attracting foreign inflows into the market is essential to sustain growth of the stock market and to help stabilise the domestic foreign exchange market.

Figure 2.11 Foreign Investor Participation in the Stock Market



Sources: Central Bank of Sri Lanka
Colombo Stock Exchange

Figure 2.13 Term Structure of Yield Volatilities



* For the eight months period ending August 2025.

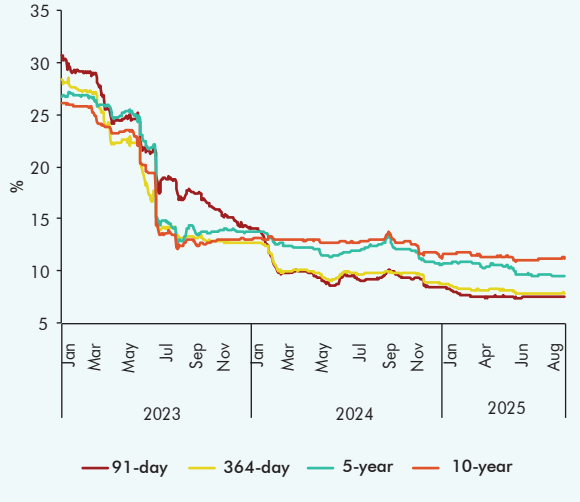
Source: Central Bank of Sri Lanka

2.2 Government Securities Market

Reflecting the accommodative monetary policy stance and improved fiscal performance, yields on Government securities declined in the last quarter of 2024 and early 2025. Despite intermittent upward pressures observed, yields mostly remained stable indicating subsiding of investor uncertainties. Reduced borrowing requirements particularly in the short term, coupled with the buffer fund maintained by the fiscal authorities contributed to stable yields on Government securities to a certain extent. Accordingly, lower volatilities in yields were observed across maturities during 2024 and in the first eight months of 2025 in contrast to 2023 and 2022. However, volatilities of longer tenured securities remained marginally higher compared to shorter tenured securities.

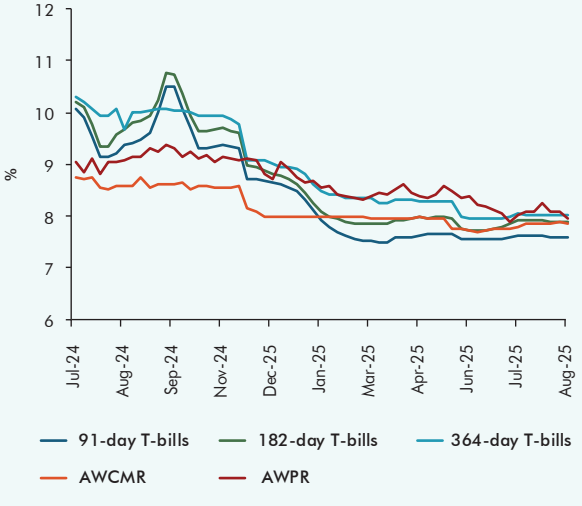
Persistent demand for Government securities continued at the primary market despite the decline in yields and acceleration in private sector credit growth. Yields of Treasury bills which increased in the primary market auctions during September 2024, mainly due to election related uncertainties, subsequently declined, supported by sustained demand, even amid stronger private sector credit growth. Despite the downward movement

Figure 2.12 Secondary Market Yields



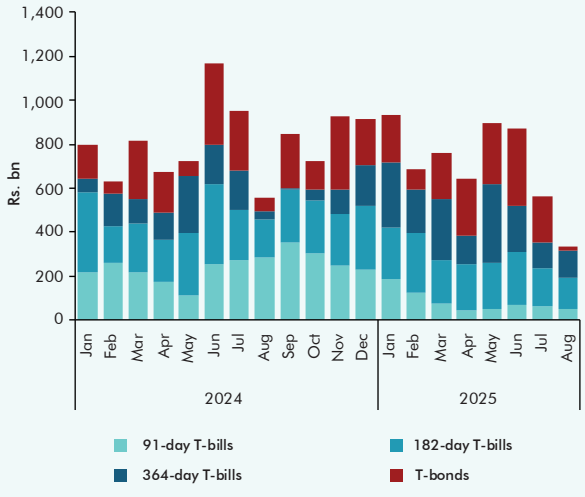
Source: Central Bank of Sri Lanka

Figure 2.14 Interest Rates



Source: Central Bank of Sri Lanka

Figure 2.15 Accepted Amounts at Auctions



Source: Central Bank of Sri Lanka

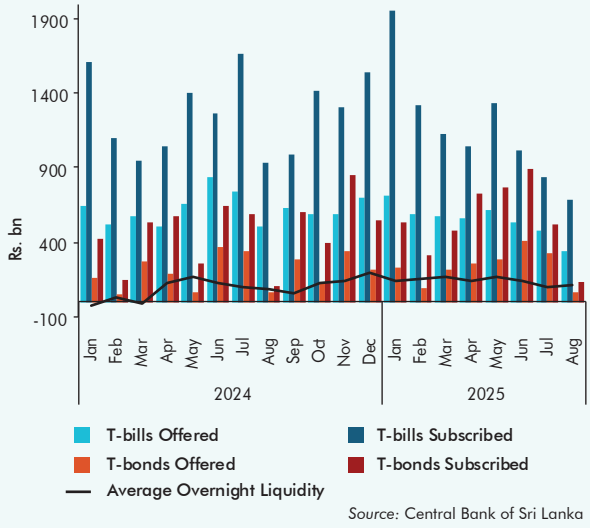
in yields, subscription rates for Treasury bills and bonds continued to remain at reasonably high level. However, compared to 91-day and 182-day Treasury bills, subscription and allocation levels of 364-day Treasury bills and Treasury bonds remained high during most periods in the first eight months of 2025, as investors tried to lock in higher yields whilst the issuer allocated more for longer tenures to mitigate short term rollover pressures.

The expansion of the Government securities market continued, albeit at a slower pace. Accordingly, the overall market size of Treasury bills and bonds increased to 63.3% of GDP[7] by end August 2025, from 62.3% recorded at end August 2024. During the 12-month period from end August 2024 to end August 2025, outstanding stock of Treasury bonds increased by Rs. 1,931.5 bn due to the effects of debt restructuring and higher primary issuances. However, the outstanding stock of Treasury bills contracted during the same period. Improved fiscal revenue and prudent management of buffer fund had supported a reduced reliance on short term debt issuances thereby lowering rollover risks amid curtailing the upward pressure on yields. However, the outstanding stock of rupee securities had grown by Rs. 711.9 bn during the first eight months of 2025 indicating further expansion of the debt stock amid the requirement to rollover maturing debt along with the required coupon payments of outstanding securities.

Yields on Government securities declined and stabilised amidst accommodative monetary policy, improved fiscal performance and prudent buffer fund management...

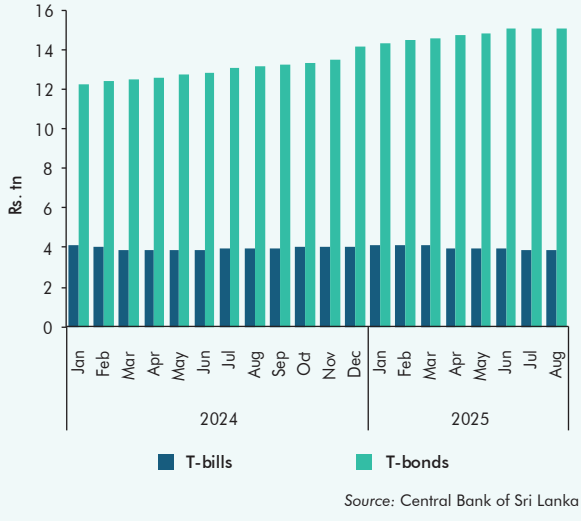
7 The market size as a percentage of GDP is calculated using the nominal GDP figure at the end of the previous year for consistency and comparability.

Figure 2.16 Demand for Treasury Bills and Bonds



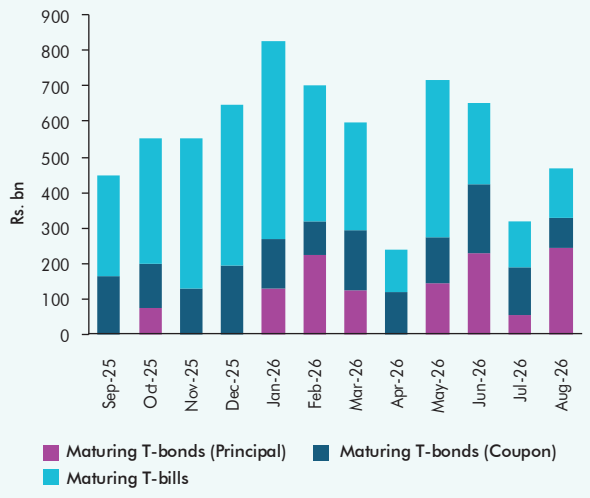
Source: Central Bank of Sri Lanka

Figure 2.17 Outstanding Treasury Bills and Bonds



Source: Central Bank of Sri Lanka

Figure 2.18 Treasury Bills and Bonds Maturities Over the Next Year



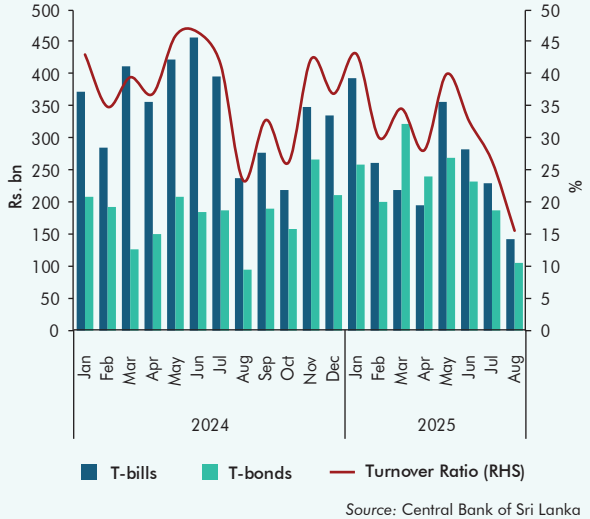
Source: Central Bank of Sri Lanka

The Government securities market remained less liquid with lower secondary market transactions. Although the secondary market turnover recovered after the slump observed during the months from August to October 2024, the annualised Turnover Ratio[8] reached to a peak of 43.2% in the month of January 2025. Subsequently Turnover Ratio slid below 40% during most of the first eight months in 2025 and reached a low of 15.6% in August 2025. The narrowing of quoted bid-offer spread, and lowered volatilities observed along the yield curve did not transpire into stronger market making, as institutional investors continued their buy and hold strategy, depicting the persistent liquidity constraints in the secondary Government securities market. Moreover, restructured Government securities remained untraded due to the complexity in price discovery from their embedded features, further aggravating the illiquid condition. Financial institutions predominantly hold rupee Government securities for regulatory purposes; however, the limited liquidity available in the Government securities market may exert downward pressure on market prices of such securities or increase the dependency on the Central Bank facilities during liquidity stress events.

The longer end of the yield curve remained inactive, exerting upward pressure on term premiums. Out of the limited turnover observed in the overall secondary market for Government securities, most of the trades in terms of larger ticket sizes and cumulative volume were concentrated in the shorter end of the yield curve. Accordingly, from January to August 2025, on average, 54.5% of monthly trade volume was in maturities below one year and 89.0% of monthly trade volume was in maturities below five years highlighting a significant skew in the secondary market turnover towards shorter maturities. However, trading volume below one year maturity was recorded at 37.4% out of the total turnover in the first eight months of 2025, compared to 56.0% in 2024,

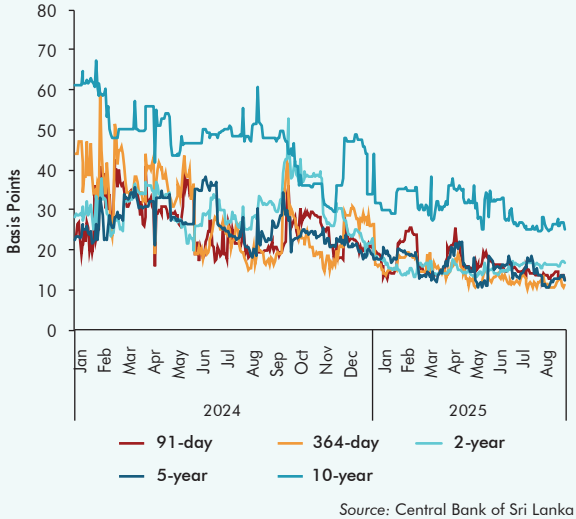
8 The Turnover Ratio is the annualised ratio of secondary market turnover during a given month to the average outstanding securities, calculated as the mean of the beginning and end of month outstanding amounts.

Figure 2.19 Secondary Market Trades



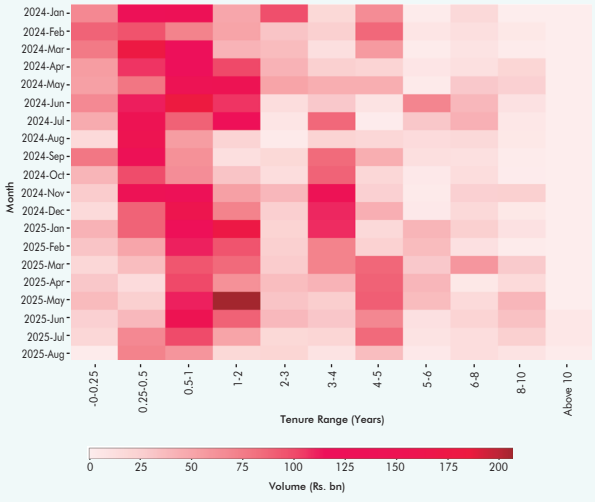
Source: Central Bank of Sri Lanka

Figure 2.20 Secondary Market Yield Spreads



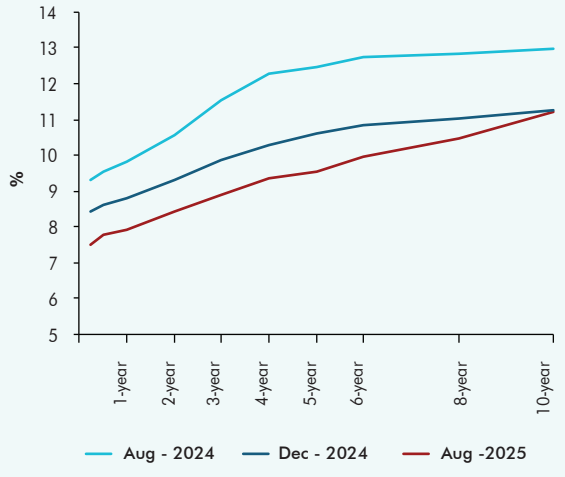
Source: Central Bank of Sri Lanka

Figure 2.21 Composition of Secondary Market Transactions



Source: Central Bank of Sri Lanka

Figure 2.23 Yield Curve

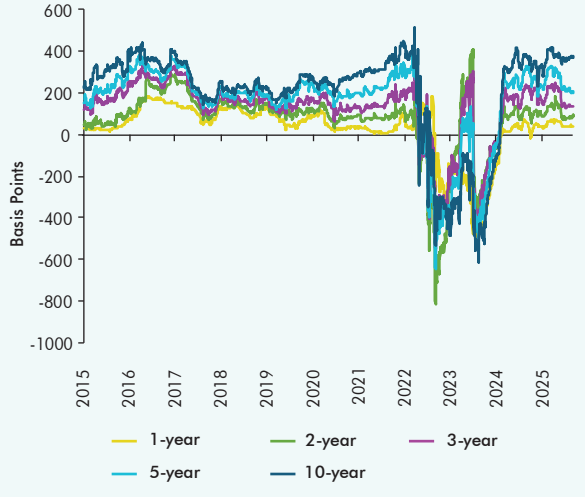


Source: Central Bank of Sri Lanka

signalling a marginal shift in trading towards shorter to medium tenured securities. Nevertheless, from the beginning of 2024 there were no trades recorded for tenures exceeding 12 years, leaving substantial part of the yield spectrum inactive. As at end August 2025, 39.8% of outstanding Government securities had maturities above five years while the latest issuances were mostly towards relatively longer maturities. As such, lower turnover contributed to higher liquidity premiums along the yield curve, exerting downward rigidity in term premiums. Therefore, term premiums remained elevated despite the decline observed in yields and yield volatilities.

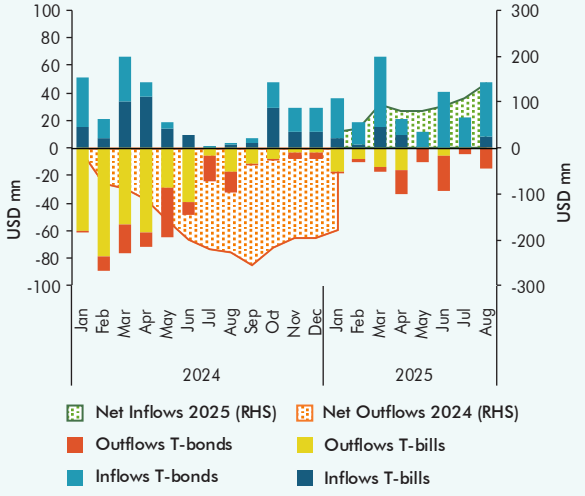
Foreign portfolio investments into rupee Government securities continued to remain at subdued levels although a gradual improvement was observed in first half of 2025 compared to the corresponding period of 2024. Monthly net foreign inflows into the Government securities market continued from October 2024 to August 2025, except for April 2025, leading to a modest increase in foreign holdings. With the declining yields, inflows were mostly into Treasury bonds which may have encouraged investors to buy and subsequently sell to benefit from roll-down gains along the yield curve in a low interest rate environment. Despite net foreign inflows, volume of the inflows remained lower over

Figure 2.22 Term Premiums



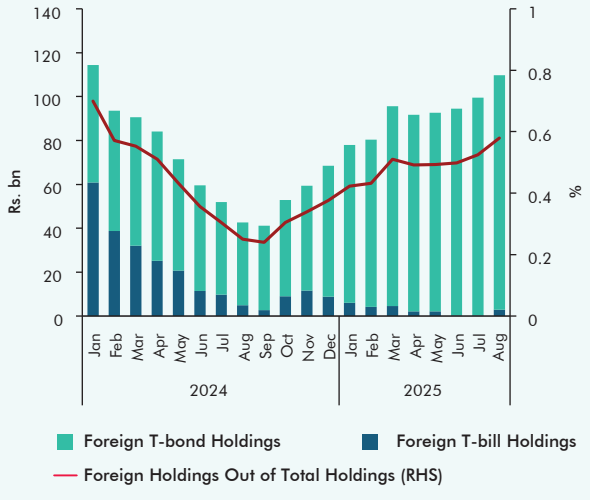
Source: Central Bank of Sri Lanka

Figure 2.24 Foreign Flows into the Government Securities Market



Source: Central Bank of Sri Lanka

Figure 2.25 Foreign Holdings of Treasury Bills and Bonds



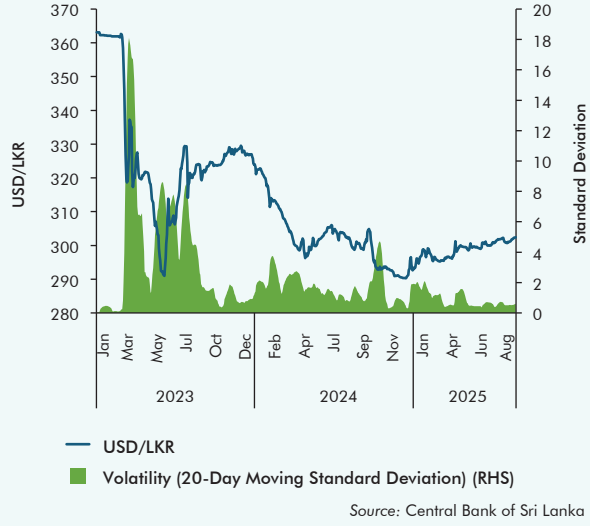
Source: Central Bank of Sri Lanka

the same period, with the highest monthly inflow of USD 66.3 mn being recorded in March 2025. As of end August 2025 the foreign holdings of Treasury bills and bonds were below 0.6% of total holdings. As such, the expected impact on market prices of Treasury bills and bonds due to large scale portfolio outflows remained minimal.

2.3 Domestic Foreign Exchange Market

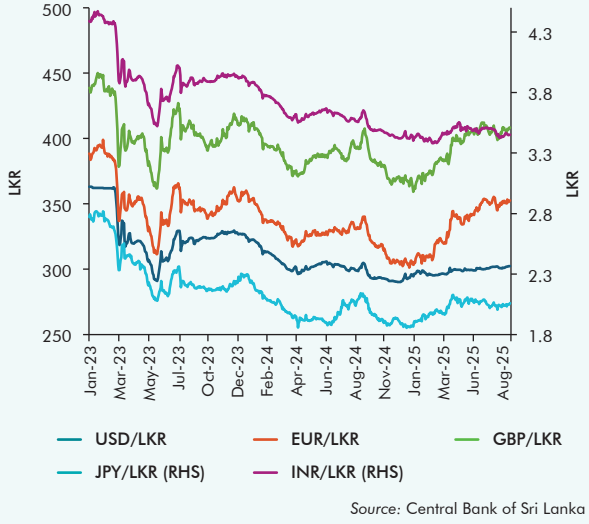
The Sri Lanka rupee recorded a year-to-date depreciation of 3.3% against USD by end August 2025 following the appreciation observed in 2024 and 2023. The appreciation observed in 2024 sustained throughout the year, except for May and June of 2024, amidst suspension of vehicle imports and the debt standstill conditions in effect. By end August 2025, the USD/LKR rate stood at LKR 302.44, reaching its highest level for the first eight months of the year. Despite an improvement in foreign exchange inflows owing to increased workers' remittances, tourism earnings and export proceeds, the rupee experienced this marginal depreciation during the first eight months of 2025. This was primarily driven by the surge in import demand including the resumption of vehicle imports since February 2025 and speculative trading activities amidst global uncertainties prevailed, coupled with recommencement of Government foreign debt repayments subsequent to the finalisation of debt restructuring. However, the volatility of the USD/LKR rate remained low during the first eight months of 2025 compared to the volatility levels observed in 2024. The rupee recorded higher depreciation rates against other major trading currencies; Euro (EUR), Great Britain Pound (GBP), Japanese Yen (JPY), reflecting the strengthening of those currencies especially against the USD while it experienced only a marginal depreciation against the Indian rupee (INR). However, since 2023, the rupee exhibited an overall appreciation trend against these currencies. Looking ahead, sustained foreign inflows to the financial sector will be vital to meeting the anticipated increase in foreign exchange demand arising from growing import needs amidst a challenging global outlook.

Figure 2.26 Movement of USD/LKR



Source: Central Bank of Sri Lanka

Figure 2.27 Key Exchange Rates Against LKR



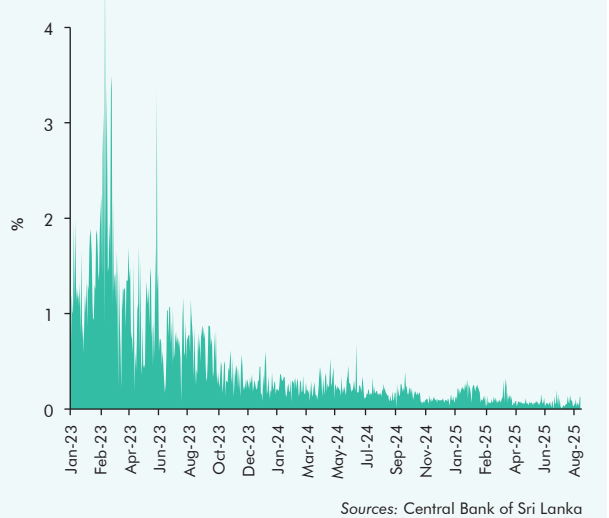
Source: Central Bank of Sri Lanka

Following two consecutive years of appreciation, the Sri Lanka rupee marginally weakened in 2025, alongside a significant rise in interbank forex market activity...

Reflecting the improved liquidity condition in the domestic forex market, the bid-ask spread of USD/LKR rate continued to narrow during the first eight months of 2025, sustaining the downward momentum observed in 2024. In parallel to the declined volatility of the exchange rate, the spread between buying and selling rates of USD/LKR remained low during the review period, except for the widen spread observed in April 2025. This anomaly was driven by the uncertainties emerged with the announcement on imposition of reciprocal tariffs on Sri Lankan imports by the USA in early April and liquidity pressures arose with the increase in import demand during the festival season. Despite these intermittent fluctuations, the bid-ask spread remained narrow reflecting improved liquidity and market efficiency in the domestic foreign exchange market. Maintaining this momentum in the long term through policy measures which promote foreign exchange inflows including increased merchandise and service exports, tourism and workers' remittances is essential to keep the transaction costs low while improving the confidence among market participants. Moreover, it will be crucial in attracting foreign investments, which ultimately contribute to overall financial stability.

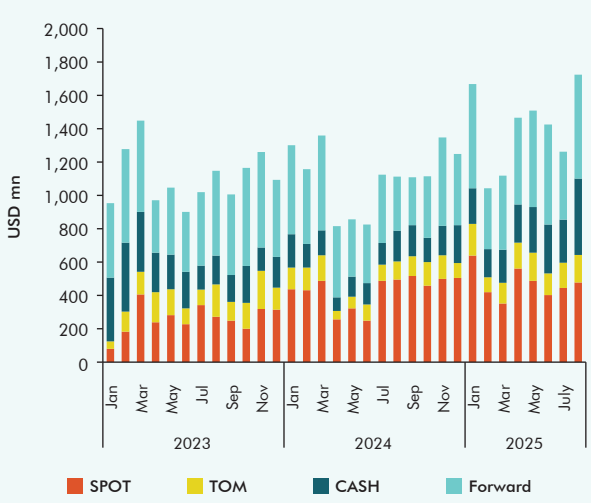
The total interbank forex transaction volume exhibited an improvement during the first eight months of 2025, in comparison to the corresponding period in 2024. In January 2025, the interbank foreign exchange market recorded the highest transaction volume since October 2020, reaching USD 1,668.0 mn, subsequently rose to USD 1,722.9 mn in August 2025. This surge in January 2025 was likely driven by market anticipation following the announcement of vehicle import resumption and front-loading foreign currency purchases alongside hedging activities amidst expectations of increased foreign exchange demand and potential exchange rate depreciation. However, the total interbank forex transaction volume declined in the following two months, possibly reflecting the ease in urgent demand for foreign currency, supported by improved export earnings, remittances and tourism revenues in February and March 2025. Further, from February 2025, the volume of forward transactions exhibited an upward trend until June 2025, suggesting possible market speculations regarding the anomalies. However, in July 2025,

Figure 2.28 Bid-Ask Spread of USD/LKR



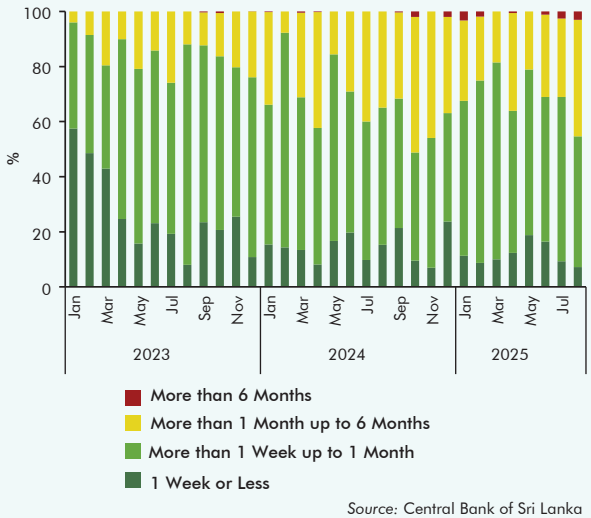
Sources: Central Bank of Sri Lanka
Bloomberg

Figure 2.29 Interbank Forex Transactions



Source: Central Bank of Sri Lanka

Figure 2.30 Composition of Forward Transactions



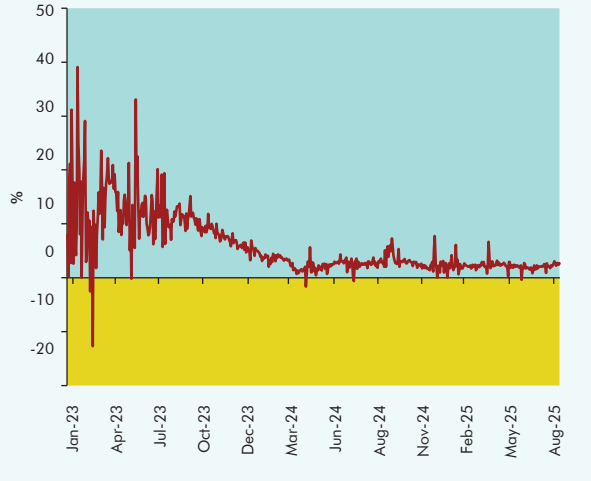
Source: Central Bank of Sri Lanka

forward volume declined compared to spot volume in the same month, reversing the trend prevailed. Despite this decline, forward volumes reached USD 622.0 mn in August 2025, accounting for 36.1% of the total forex transaction volume in the month. The total volume of forward transactions during the first eight months of 2025 increased by 22% compared to the corresponding period in 2024. In contrast, spot transactions increased by 19%, TOM transactions by 39% and Cash transactions increased by 85% during the same period. The notable increase in Cash transactions suggests a rise in urgent demand for foreign currency liquidity in the market in several months. In the forward market, the majority of the transactions entered into were more than one week up to a one month period. One month forward premium remained in a declining trend during the review period, continuing the momentum observed in 2024.

The Central Bank continued to be a net purchaser during the first eight months of 2025, sustaining the momentum from 2023 and 2024, thereby accumulating Gross Official Reserve (GOR). During the same period, the Central Bank intervened in the market in a timely manner by injecting forex to curtail significant pressure on the market while absorbing excess liquidity. From January to August 2025, the Central Bank absorbed USD 1,301.6 mn from the market and injected only USD 63.3 mn on a gross basis, thus recording a net absorption of USD 1,238.4 mn, compared to USD 2,024.3 mn during the corresponding period of 2024. As of end August 2025, GOR[9] stood at USD 6,164.2 mn, slightly higher than USD 6,122.0 mn as of end 2024, amidst increased import demand which reduced excess liquidity in the market alongside servicing of Government debt to bilateral and multilateral agencies and foreign currency obligations of the Central Bank. To sustain this positive trend amidst increasing import demand, scheduled repayment of external Government debt and the Central Bank's foreign currency obligations, consistent foreign currency inflows will be essential.

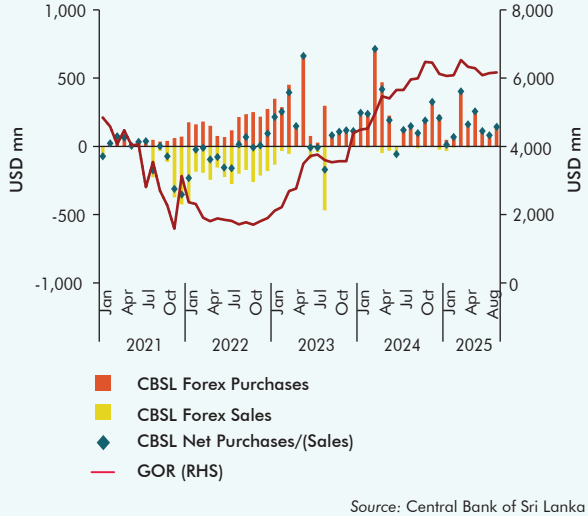
9 Including the swap facility of People's Bank of China

Figure 2.31 One Month Forward Premium



Source: Central Bank of Sri Lanka

Figure 2.32 Central Bank Interventions in the Domestic Forex Market and GOR

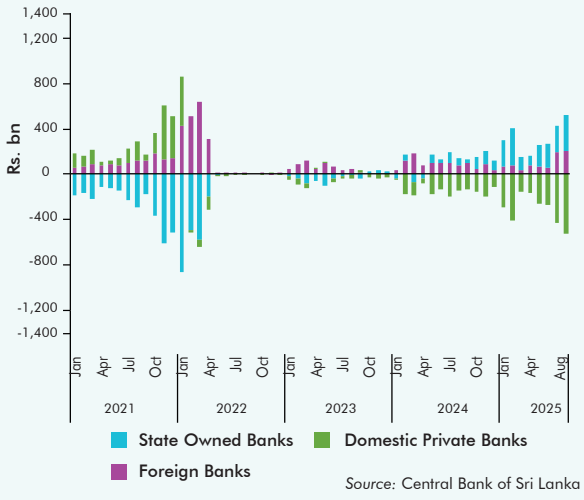


Source: Central Bank of Sri Lanka

2.4 Domestic Money Market

Domestic money market transaction volumes continued to increase during the first eight months of 2025 while the repo market recorded higher transaction volumes compared to the call money market. Total domestic money market transaction volume reached an all-time high level in August 2025, driven by increase in liquidity deficit of domestic private banks. The repo market recorded a monthly average of Rs. 923.4 bn during the period from January to August 2025, up from the monthly average of Rs. 656.4 bn in 2024. Similarly, average monthly call money market volumes during the first eight months of 2025 increased to Rs. 480.2 bn from Rs. 277.5 bn recorded in the same period of 2024. During the review period, monthly repo market volumes remained consistently higher than the monthly call money market volumes, reflecting more active involvement by market participants in securitised lending compared to clean lending. On a net basis, domestic private banks and Standalone Primary Dealers (SPDs) were net borrowers in the repo market during the first eight months of 2025, while state owned banks continued to be net lenders. In the call money market, state owned banks and foreign banks were net lenders during the same period, while domestic private banks were net borrowers. Despite improved market liquidity conditions, participation of foreign banks in call money market was slightly lower during the first eight months of 2025 compared to the corresponding period of 2024 and the pre-crisis levels. Nevertheless, foreign banks lent the highest amount in August 2025, indicating an improved participation amidst the increased overall call money market activities.

Figure 2.34 Participants in the Call Money Market

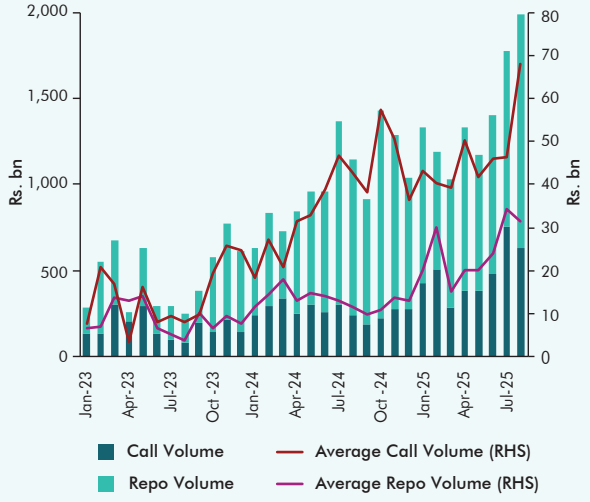


Source: Central Bank of Sri Lanka

Domestic money market activities further normalised...

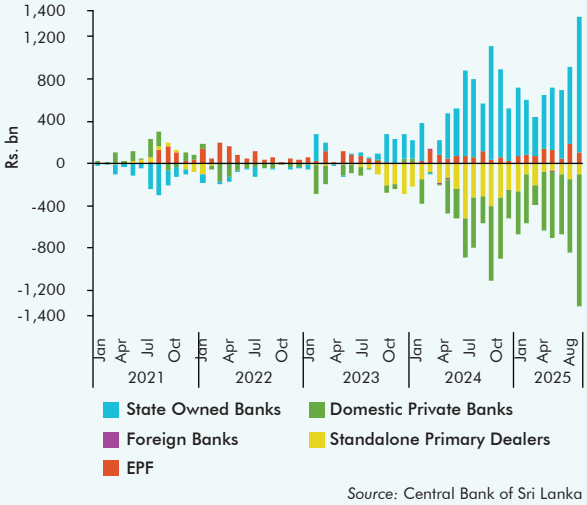
During the first eight months of 2025, the Average Weighted Call Money Rate (AWCMR) and the Average Weighted Repo Rate (AWRR) mostly remained aligned with the Overnight Policy Rate (OPR)

Figure 2.33 Domestic Money Market Volume



Source: Central Bank of Sri Lanka

Figure 2.35 Participants in the Repo Market



Source: Central Bank of Sri Lanka

Special Note 2

Systemic Risk Survey

The Central Bank of Sri Lanka has been conducting the Systemic Risk Survey (SRS) on a semi-annual basis since 2017, to assess the risks to the Sri Lankan financial system based on the perceptions of executives responsible for risk management in the financial sector institutions.[1] SRS is a forward looking survey and this special note summarises the key findings[2] of the two surveys conducted for the first half (H1) and the second half (H2) of 2025.

Confidence in the Financial System

Respondents' overall confidence[3] in the financial system for the short term as indicated by the net percentage balance, improved in both surveys conducted for the year compared to the previous year and reached the positive level for the first time since the survey started. This improvement reflects a shift in responses from less confident to more confident territories. However, confidence in the medium term exhibited a slight weakening during the survey conducted for H2 of 2025, tempering the improvement observed in H1 of 2025. During recent surveys, a substantial fraction of respondents expressed a 'Fairly Confident' or better outlook reflecting their improved confidence towards the financial system.

Perceived Probability of a High Impact Negative Event

The survey requested respondents to evaluate the likelihood of a high-impact negative event occurring within the financial system over the short to medium term. The perceived probability of the materialisation of a high impact negative event in the short term continued to decline as reflected by the net percentage balance,[4] which reached the lowest level in 2025 since 2019. Nevertheless, the perceived probability of a high impact negative event slightly increased in the medium term during H2 of 2025 amid escalating geopolitical tensions and challenging global economic outlook, despite improvements in domestic macrofinancial conditions.

Sources of Risks to the Financial System

'Global Macroeconomic Risks' emerged as the most critical concern that could cause the highest potential impact on the financial system during H2 of 2025, if it were to materialise, surpassing 'Domestic Macroeconomic Risks' which was the most prominent perceived risk category until H1 of 2025. 'Domestic Macroeconomic Risks' category was split into two separate categories as 'Fiscal and Sovereign Related Risks' and 'General Domestic Macroeconomic Risks' from H2 of 2025 onwards and the combined total of these two categories decreased compared to the previous survey round. The 'Risks Related to Financial Infrastructure' category also increased slightly compared to the previous survey round, indicating a rising trend in recent surveys.

Respondents identified 'Geopolitical Tensions and Risk Spillovers from Other Countries' as the most critical sub risk category with the potential to exert the greatest impact to the financial system in H2 of 2025. This was followed by 'Macroeconomic Policy Uncertainty' and 'Global Economic Outlook', likely influenced by geopolitical tensions and uncertainties related to the US tariff policies prevailed during the survey period. Risk perceptions associated with 'Cyber-attacks and Phishing' remained consistently among the most cited sub risks in both surveys conducted in 2025. In addition, the respondents across all sectors in the financial system including banks, finance companies and insurance companies cited 'Geopolitical Tensions and Risk Spillovers from Other Countries' alongside the challenges related to the 'Global Economic Outlook' as the most challenging risks to manage at the firm level.

1 The participants of the survey represent a diverse range of financial institutions including licensed banks, licensed finance companies, a specialised leasing company, insurance companies, unit-trust managing companies, stock brokerage firms, licensed microfinance companies and rating agencies.

2 Findings discussed in this note are derived from survey responses and do not necessarily convey the views of the Central Bank of Sri Lanka.

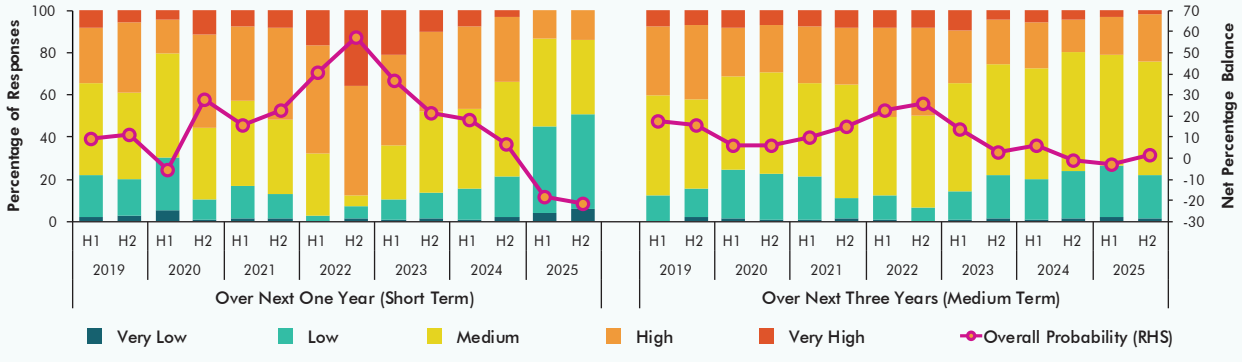
3 The overall level of confidence is measured by the net percentage balance. It is calculated by weighing 1 for 'Complete Confidence', 0.5 for 'Very Confident', 0 for 'Fairly Confident', -0.5 for 'Not Very Confident' and -1 for 'No Confidence' responses.

4 In this context, the net percentage balance is calculated by weighing 1 for 'Very High', 0.5 for 'High', 0 for 'Medium', -0.5 for 'Low' and -1 for 'Very Low' likelihood.

Figure 1 Confidence in the Financial System

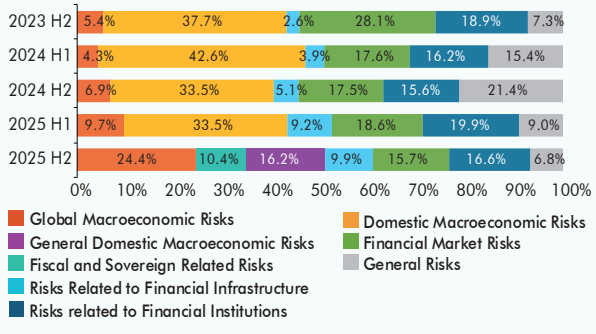
Source: Central Bank of Sri Lanka

Figure 2 Perceived Probability of Materialising a High Impact Negative Event in the Financial System

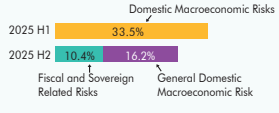


Source: Central Bank of Sri Lanka

Figure 3 Dynamics of Major Risk Categories



Notes: All five sub risks identified by each respondent were considered in calculating the total for each main risk category. 'Domestic Macroeconomic Risks' category in the previous surveys was split into two separate categories, i.e., 'Fiscal and Sovereign Related Risks' and 'General Domestic Macroeconomic Risks', in the survey conducted during H2 of 2025.



Source: Central Bank of Sri Lanka

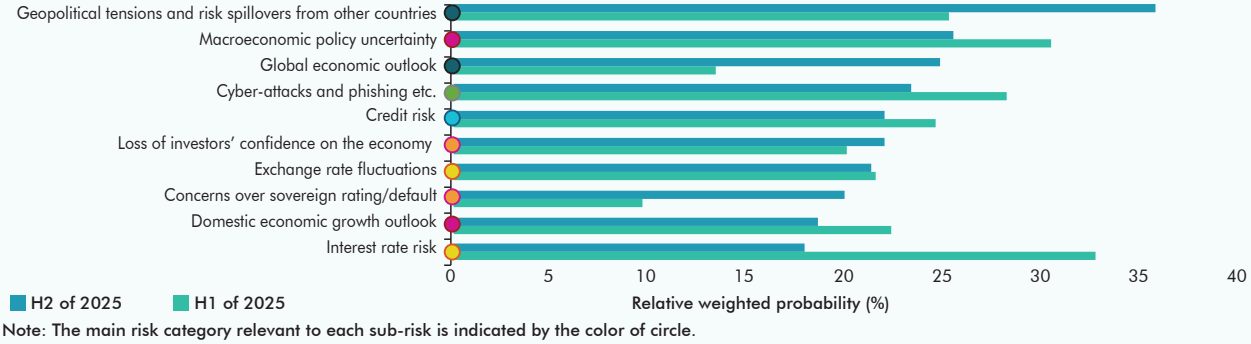
During H2 of 2025, survey participants indicated improved sentiment across all aspects concerning the 'Ability of the Financial System to Withstand High Impact Events'. Moreover, the overall sentiment across all the aspects remained positive during the year. This improvement in sentiments reflects the effectiveness of measures implemented by stakeholders to safeguard the stability of the financial system.

Conclusion

Findings of the recent SRS signal that respondents' overall confidence in the financial system for the short term improved in 2025, reaching positive levels for the first time since the inception of the survey. However, medium term confidence remained at negative levels, with a slight decline in the second half of the year. Perceived likelihood of the occurrence of a high impact negative event in the short term declined, while medium term risk perceptions rose slightly due to geopolitical tensions and global economic uncertainties. Respondents cited 'Global Macroeconomic Risks' as the top concern. 'Risks Related to Financial Infrastructure' showed a slight increase. Strengthening risk monitoring, enhancing cyber defences, ensuring regulatory compliance and implementing robust stress testing are essential to address such concerns and maintain the financial system stability.

The semi-annual publications presenting the key findings of the 2025 systemic risk surveys are available on the official website of the Central Bank of Sri Lanka and can be accessed at: https://www.cbsl.gov.lk/en/publications/other-publications/systemic-risk-survey/

Figure 4 Most Cited Sub Risks

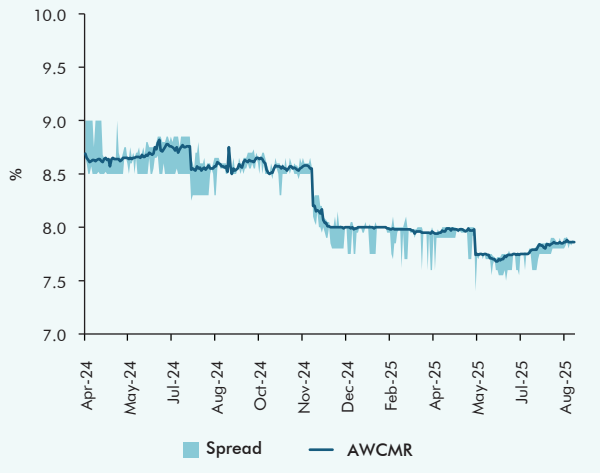


Note: The main risk category relevant to each sub-risk is indicated by the color of circle.

Global Macroeconomic Risks | Fiscal & Sovereign Related Risks | General Domestic Macroeconomic Risks | Risks Related to Financial Infrastructure | Financial Market Risks | Risks Related to Financial Institutions

Source: Central Bank of Sri Lanka

Figure 2.36 AWCMR

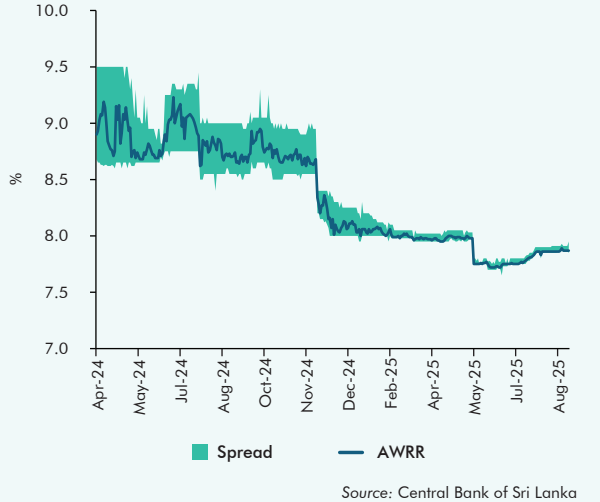


Source: Central Bank of Sri Lanka

albeit both rates exhibited a slight upward trend since July 2025. As at end August 2025, AWCMR and AWRR stood at 7.86% and 7.87%, respectively. Both rates remained slightly above the prevailing OPR of 7.75% yet closely aligned, reflecting the improved liquidity conditions in the domestic money market and efficacy of monetary policy transmission. During the review period, with the introduction of OPR in December 2024, spread between daily minimum and maximum rates of the call money market and the repo market narrowed firmly reflecting regular trading activities in the market, despite a few irregular fluctuations in the call money market rates on certain days. AWCMR and AWRR remained less volatile during the first eight months of 2025 compared to the average volatility levels observed in 2024 and 2023.

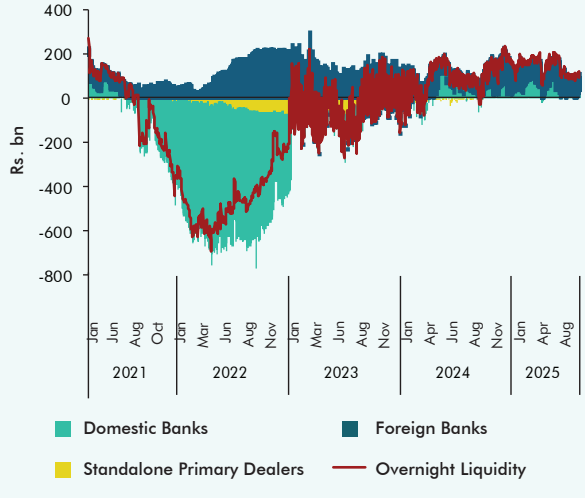
Money market liquidity remained positive throughout the period from January to August 2025, primarily supported by surplus liquidity positions of state owned banks and foreign banks. The surplus level of market liquidity declined to Rs. 114.1 bn as of end July 2025 compared to Rs. 168.1 bn as of end 2024, reflecting Government external debt repayments. However, it reached Rs. 146.5 bn in August 2025 resulting an easing of liquidity pressures observed in the previous month. The positive market liquidity during this period is mainly underpinned by the surplus liquidity position of the state owned banks, supported by net foreign exchange purchases and net foreign exchange swaps by the Central Bank, despite the liquidity absorption from net external debt repayments by the Government, net currency withdrawals and coupon payments to the Central Bank on account of its Treasury bond holdings. Due to improved market liquidity and better liquidity distribution in the money market that supported AWCMR to remain closer to the OPR, the Central Bank did not conduct reverse repo auctions to inject liquidity to the market since end January 2025. The surplus liquidity held by state owned banks, primarily owing to the buffer fund maintained by the fiscal authorities, have significantly contributed to this trend. Further, the utilisation of the Standing Lending Facility (SLF) remained minimal while foreign banks placed a significant share of their excess liquidity in the Standing Deposit Facility (SDF) of the Central Bank.

Figure 2.37 AWRR



Source: Central Bank of Sri Lanka

Figure 2.38 Money Market Liquidity Distribution



Source: Central Bank of Sri Lanka

Financial Institutions

3

During the year ended Q2 of 2025, financial institutions demonstrated increased resilience, supported by improved macroeconomic conditions and the implementation of prudent policy measures. The accommodative monetary policy stance contributed to a notable expansion in private sector credit, while the near completion of debt restructuring coupled with improved fiscal conditions helped dampen the banking sector's exposure to the public sector. Proactive policy measures further led to improvements in liquidity, profitability, and capital adequacy across many financial institutions. Despite these positive developments, vulnerabilities remained, particularly in relation to credit risk, highlighting the continued need for vigilant oversight and robust risk management practices.

The upward trend in the Banking Soundness Index indicated improved performance in the banking sector during the period under review. Credit growth accelerated notably in H1 of 2025, driven by increased lending to the Private sector, reflecting both stronger demand for credit and improved operational performance within the sector. Asset quality showed signs of gradual improvement, as reflected by the decline in Stage 3 Loans ratio. However, the Stage 3 Loans ratio remained at an elevated level. Stage 3 impairment coverage strengthened, reflecting banks' proactive efforts to mitigate potential credit losses and reinforce buffers against credit risk. Meanwhile, the sovereign-bank nexus remained significant, largely due to continued investments in government securities, underscoring the sector's close interconnectedness with the sovereign. However, credit facilities granted to the Government and SOEs as a share of the total loan portfolio of the banking sector have shown a declining trend. Rupee liquidity in the banking sector, as reflected by the Rupee Liquidity Coverage ratio, moderated slightly during the year ended Q2 of 2025, primarily due to the expansion of the credit portfolio. Profitability of the banking sector saw a substantial improvement in H1 of 2025, largely supported by strong growth in net interest income amidst a significant reduction in funding costs. Capital adequacy further strengthened from Q2 of 2024, underpinned by robust internal capital generation through retained earnings and additional Tier-2 capital issuances, thereby enhancing the overall resilience of the banking sector. Further, operational risks, particularly those stemming from IT and cybersecurity amidst rapid digitalisation, continued to pose challenges to the stability of the banking sector as well as the overall financial system.

The Finance Companies (FCs) sector demonstrated a strong growth during the year ended Q2 of 2025, supported by favourable macroeconomic conditions and rising credit demand. Credit growth accelerated sharply by end Q2 of 2025, driven by the easing of market interest rates and the lifting of restrictions on motor vehicle imports, which significantly boosted demand for vehicle backed loans. The sector concentration on gold backed facilities increased during the period under review amidst increasing gold prices in the global market. Asset quality of the sector improved, reflected by a decline in Gross Stage 3 Loans and a rapid expansion of the loan portfolio, resulting in a lower Stage 3 Loans ratio. Liquidity remained robust, with liquid assets consistently exceeding regulatory thresholds, ensuring a surplus throughout the period. Profitability of the sector improved significantly in Q2 of 2025, primarily due to higher interest income from the expanding loan book. Capital adequacy of the sector remained broadly resilient, although the Capital Adequacy ratio registered a marginal decline due to the increase in risk weighted assets stemming from rapid credit growth. While the overall performance of the FCs sector improved during the period, continued vigilance is essential regarding potential vulnerabilities emanating from the rapid credit expansion and collateral concentration.

Insurance penetration in the country remained low, despite a marginal improvement during the H1 of 2025. The sector's asset base expanded significantly by end Q2 of 2025, driven by a recovery in the general insurance subsector, while long term insurance assets continued to grow steadily. However, profitability indicators declined across both subsectors, although profit before tax in the general insurance segment recorded an increase. Capital adequacy in the general insurance subsector declined slightly, yet overall capital positions in both general and long term insurance segments remained well above regulatory requirements, ensuring continued stability of the sector.

3.1 Banking sector

Banking Soundness Index (BSI)[1]

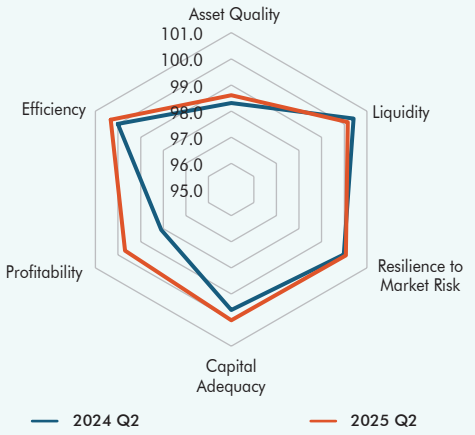
Overall soundness of the banking sector, as indicated by BSI, improved at end Q2 of 2025 compared to end Q2 of 2024, reflecting a steady progress and resilience of the sector. Improvement in BSI was mainly driven by the significant increase in banking sector profitability during the period. Capital adequacy, efficiency, asset quality, and resilience to market risk sub-indices also improved, while liquidity slightly declined during the period under review. Since Q1 of 2015, BSI reached the highest index value in Q4 of 2024, showing the strengthened capacity of the banking sector to withstand shocks, despite persisting vulnerabilities in the macrofinancial environment.

Credit Risk

The banking sector credit grew during the period under review amidst expansionary monetary policy cycle and improved macroeconomic conditions. Following the contraction recorded in 2023, credit growth of the sector turned positive on a year-on-year (y-o-y) basis since early 2024 but remained considerably low during that year.

1 BSI is a composite indicator which reflects the overall stability of the banking sector based on developments in Assets Quality, Liquidity, Capital Adequacy, Resilience to Market Risk, Profitability, and Efficiency. The index is weighted based on the market share of each Bank. BSI is to be interpreted by factoring that the index has been prepared based on SLFRS-9 data from Q1 of 2021 onwards.

Figure 3.2 Banking Soundness Map*

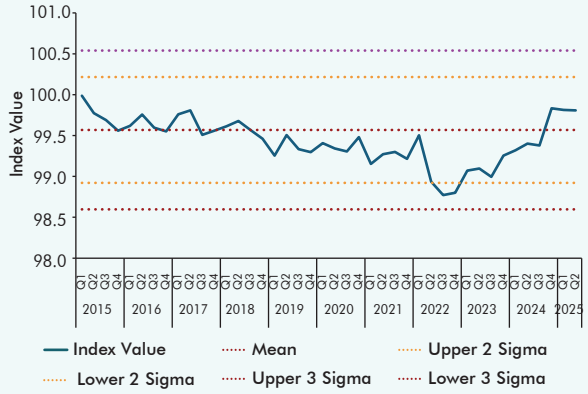


* Deviation from the centre indicates a positive impact to the banking sector stability.

Source: Central Bank of Sri Lanka

However, during H1 of 2025, credit growth picked up and recorded a significant growth of 11.4% y-o-y at end Q2 of 2025 compared to 4.8% y-o-y at end Q2 of 2024. In addition to the declining market interest rates, this growth may have been supported by the revival of businesses adversely affected by extraordinary macroeconomic conditions. A further expansion in the banking sector credit is expected with the improvement of liquidity positions of banks, favourable economic outlook, political stability, increased business confidence, improved fiscal conditions, growth anticipated in the tourism sector, and easing of vehicle import restrictions.

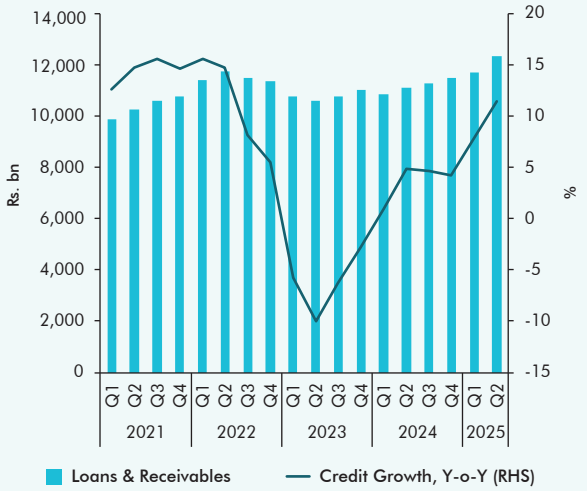
Figure 3.1 Banking Soundness Index*



*The Upper 2 Sigma represents two standard deviations above the mean index value since 2007, indicating the highest acceptable level of deviation from the mean. Similarly, the Lower 2 Sigma represents two standard deviations below the mean index value since 2007, marking the lowest acceptable level of deviation. Index values falling within these two boundaries are considered to be within an acceptable range.

Source: Central Bank of Sri Lanka

Figure 3.3 Loans and Receivables



Source: Central Bank of Sri Lanka

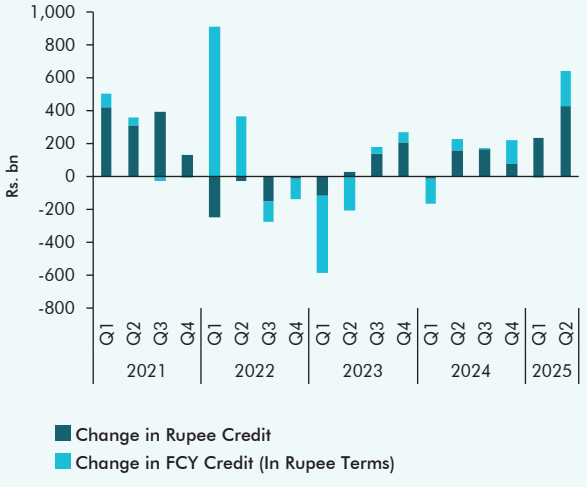
Credit growth of the banking sector significantly increased amidst monetary easing and improved macroeconomic conditions…

Credit expansion during the year ended Q2 of 2025 was supported by the increase in both rupee and Foreign Currency (FCY) denominated credit. Rupee denominated credit of the banking sector grew by 10.4% y-o-y at end Q2 of 2025 and accounted for 72.2% of the credit expansion during the period. Meanwhile, FCY denominated credit in rupee terms grew by 15.3% y-o-y at end of the review period and accounted for 27.8% of the credit expansion. Furthermore, domestic banks drove the credit expansion of the sector, which Domestic Systemically Important Banks (D-SIBs) contributed to 55.6% of the total credit expansion, while other domestic banks accounted for 43.5% of the expansion during the period under consideration. Contrastingly, credit increase of the foreign banks was relatively low compared to domestic banks.

Stage 3 Loans ratio[2] of the banking sector remained elevated, but it recorded a declining trend. The Stage 3 Loans ratio of the sector marginally declined to 12.0% at end Q2 of 2025 compared to 12.8% at end Q2 of 2024, mainly due to the expansion of credit. Furthermore, the Stage 3 Loans ratio of D-SIBs remained high at 12.8%, relative to the Stage 3 Loans ratios of other domestic banks and foreign banks at 10.8% and 2.7%, respectively, at end Q2 of 2025. High Stage 3 Loans of the two state owned D-SIBs, particularly in relation to the facilities granted to State Owned Enterprises (SOEs), led to the high Stage 3 Loans ratio of D-SIBs.

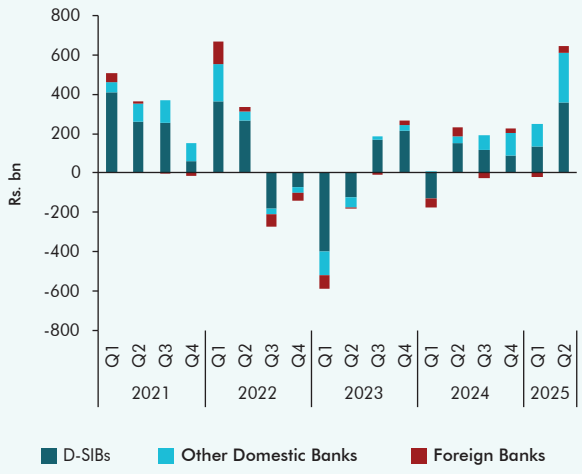
2 Including undrawn amounts.

Figure 3.4 Quarterly Change in Credit based on Currency



Source: Central Bank of Sri Lanka

Figure 3.5 Quarterly Change in Credit based on Bank Category



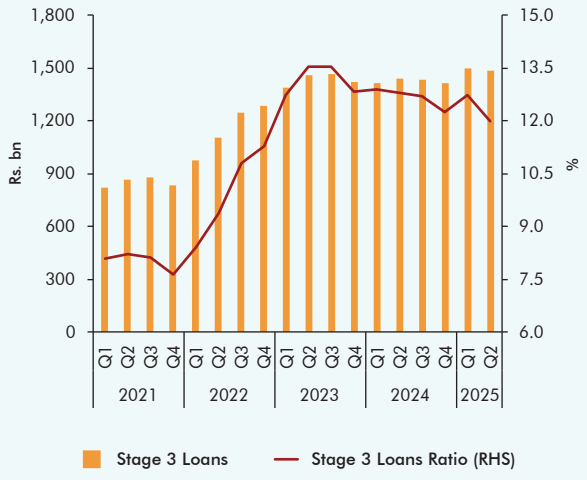
Source: Central Bank of Sri Lanka

Default risk of the banking sector, as indicated by the Stage 3 Loans ratio, remained elevated, but is on a declining trend…

Stage 3 Impairment Coverage ratio[3] recorded an improvement at end Q2 of 2025 compared to end Q2 of 2024, driven by faster growth in impairment provisions relative to the growth in Stage 3 Loans. Stage 3 Impairment Coverage ratio of the sector slightly improved to 54.6% at end Q2 of 2025 compared to 51.1% recorded at end of the corresponding period of the previous year, mainly due to the growth of Stage 3 impairment by 11.4% y-o-y relative to the lower growth

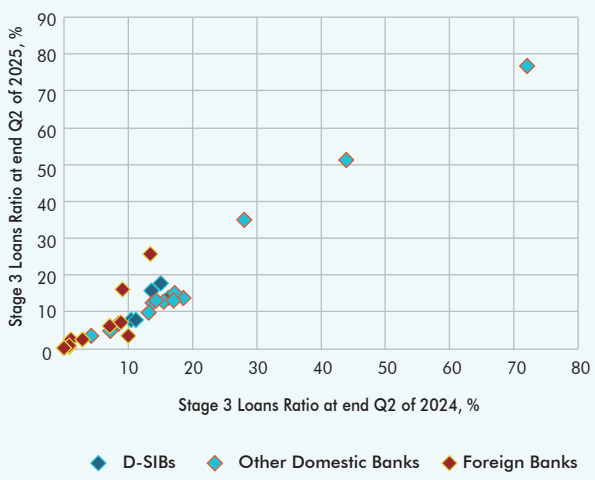
3 Including undrawn amounts.

Figure 3.6 Stage 3 Loans Ratio



Source: Central Bank of Sri Lanka

Figure 3.8 Bank wise Stage 3 Loans Ratio



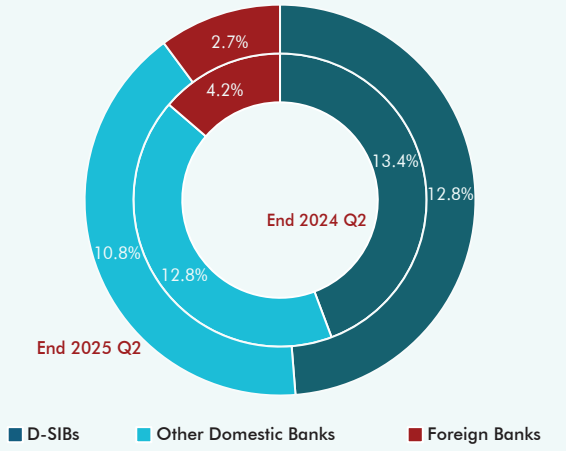
Source: Central Bank of Sri Lanka

of Stage 3 Loans by 4.0% y-o-y at end Q2 of 2025. The increase in impairment offers an additional buffer for banks to absorb potential future credit losses, thereby strengthening their resilience against asset quality deterioration. Moreover, a higher Impairment Coverage ratio reflects a prudent and proactive risk management approach by banks.

Net Stage 3 Loans to Common Equity Tier-1 (CET-1) Capital ratio significantly declined at end Q2 of 2025, due to a significant growth in CET-1 capital while Net Stage 3 Loans contracted. Net Stage 3 Loans to CET-1 Capital ratio, which measures the capacity of quality capital to absorb potential losses from defaults that have not been covered by impairment, significantly declined to 40.7% at end Q2 of 2025 compared to 52.0% at end Q2 of 2024. The growth of CET-1 capital by 16.3% y-o-y amidst the contraction of Net Stage 3 Loans by 4.8% y-o-y at the end of the period contributed to the decline in the ratio, signifying the increased quality of capital to absorb potential losses arising from defaults.

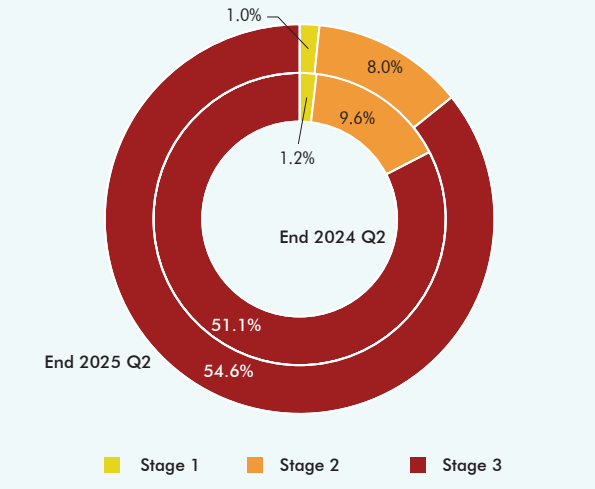
The sectoral concentration on the banking sector credit declined at end Q2 of 2025 compared to Q2 of 2024, amidst restructuring of credit facilities of an SOE. Credit of the banking sector was mainly concentrated to consumption, construction, trade,

Figure 3.7 Stage 3 Loans Ratio based on Bank Category



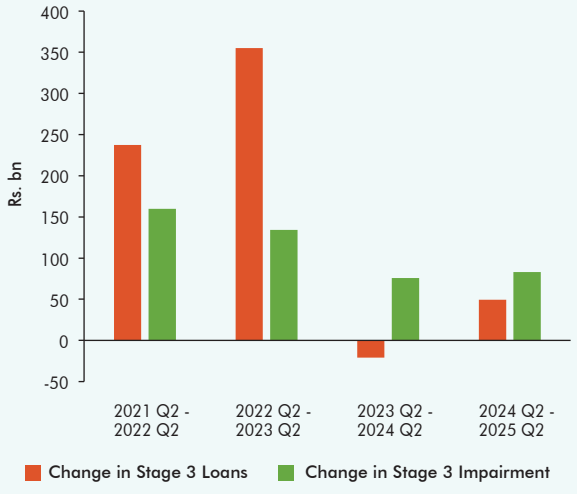
Source: Central Bank of Sri Lanka

Figure 3.9 Impairment Coverage Ratios



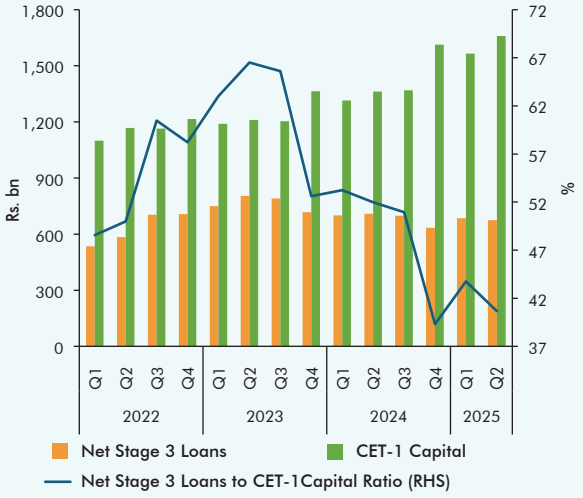
Source: Central Bank of Sri Lanka

Figure 3.10 Change in Stage 3 Loans and Stage 3 Impairment



Source: Central Bank of Sri Lanka

Figure 3.12 Net Stage 3 Loans to CET-1 Capital

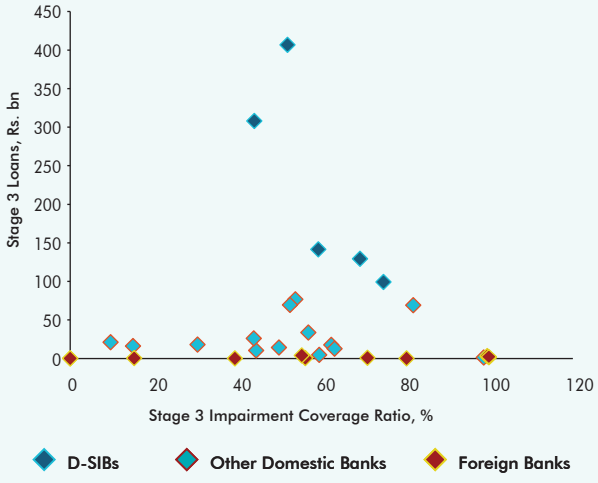


Source: Central Bank of Sri Lanka

manufacturing, agriculture, and infrastructure sectors, which collectively represented 71.7% of the total credit at end Q2 of 2025, compared to 74.1% at end Q2 of 2024, showing a decline in credit concentration. This decline was mainly due to certain trade-related credit facilities granted to an SOE being transferred to the books of the Government as part of restructuring the balance sheet of that SOE. Meanwhile, lending to financial services, construction, consumption, manufacturing, overseas entities, and agriculture exceeded Rs. 100 bn each, during the year ended Q2 of 2025, manifesting a revival of economic activities as well as core banking operations.

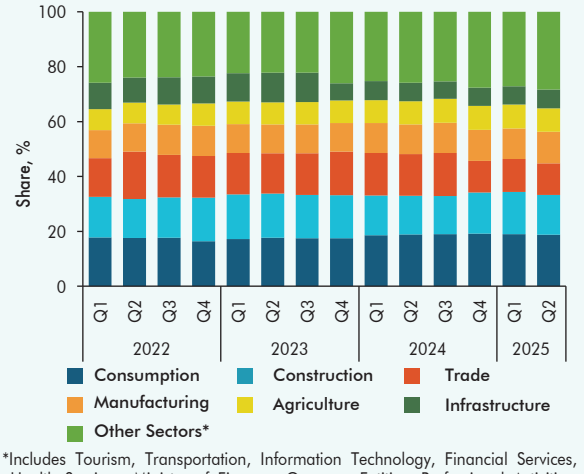
Consumption loans, which remained the largest credit segment of the banking sector, expanded at end Q2 of 2025 compared to the corresponding period of the previous year, primarily driven by personal loans and vehicle backed facilities. Consumption loans recorded a modest growth of 11.0% y-o-y to Rs. 2.3 tn at end Q2 of 2025, compared to a 10.7% y-o-y growth reported at end Q2 of 2024. The easing of vehicle imports restrictions from early February 2025, partially contributed to the acceleration in consumption credit, particularly in the form of leasing and hire purchase facilities which recorded a y-o-y growth of 140.5% at end Q2 of 2025. Furthermore, personal loans grew by

Figure 3.11 Bank wise Stage 3 Loans and Stage 3 Impairment Coverage Ratio



Source: Central Bank of Sri Lanka

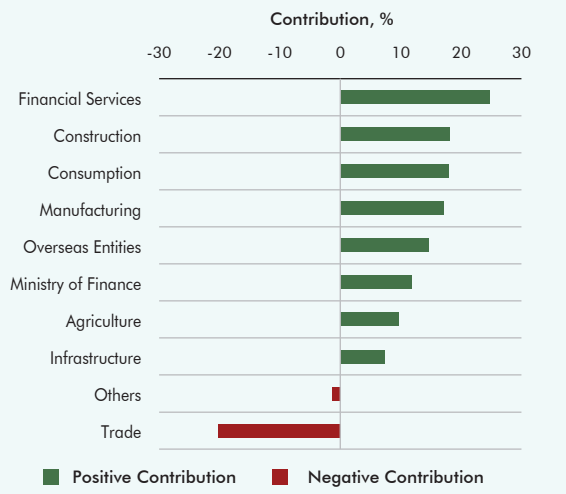
Figure 3.13 Credit Composition of the Main Economic Sectors



*Includes Tourism, Transportation, Information Technology, Financial Services, Health Services, Ministry of Finance, Overseas Entities, Professional Activities, Recreation, and Education sectors.

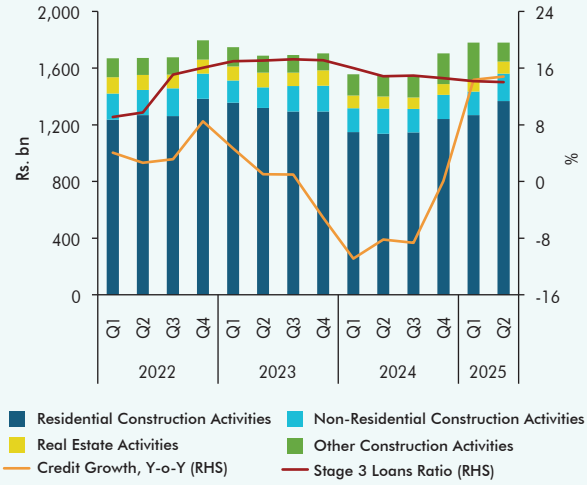
Source: Central Bank of Sri Lanka

Figure 3.14 Sector wise Contribution to the Change in Credit during the Year ended Q2 of 2025



Source: Central Bank of Sri Lanka

Figure 3.16 Credit to Construction Activities

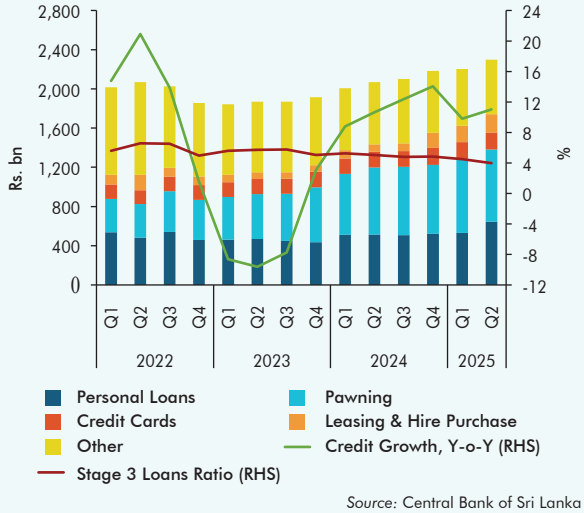


Source: Central Bank of Sri Lanka

25.3% y-o-y, while pawning and credit card portfolios also expanded, contributing to the overall expansion in consumption credit. Meanwhile, Stage 3 Loans ratio of consumption loans declined to 4.0% at end Q2 of 2025 from 5.0% at the end Q2 of 2024, mainly due to the higher expansion in consumption loans.

Credit granted to the Construction sector increased primarily due to residential construction activities during the period under review, while the default risk of the sector recorded a slight decline yet remained elevated. Credit to the Construction sector, which represented 14.5% of the total credit portfolio of the banking sector, recorded a notable credit growth of 14.8% y-o-y at end Q2 of 2025 compared to a credit contraction of 8.2% y-o-y at end Q2 of 2024. Construction sector was highly concentrated towards residential construction activities, which increased by 20.4% y-o-y at end Q2 of 2025, along with declining interest rates for housing loans and conducive macroeconomic conditions. Nevertheless, Stage 3 Loans of the Construction sector increased by 8.3% y-o-y at end Q2 of 2025, showing lingering issues associated with the sector subsequent to the crisis period. However, with the higher expansion in credit, Stage 3 Loans ratio marginally declined to 14.0% at end Q2 of 2025 compared to 14.9% at end Q2 of 2024 yet remained relatively high compared to the average ratio of the banking sector.

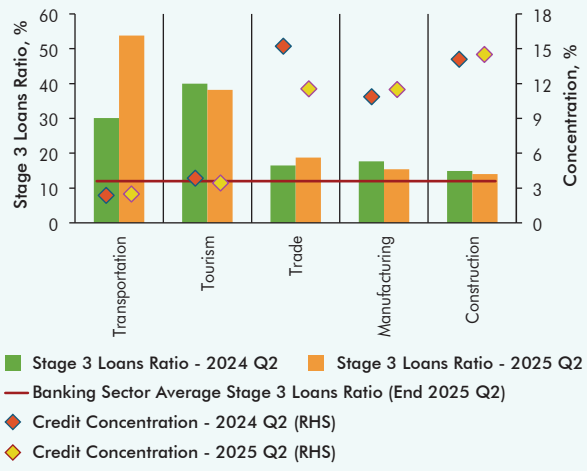
Figure 3.15 Credit to Consumption Activities



Source: Central Bank of Sri Lanka

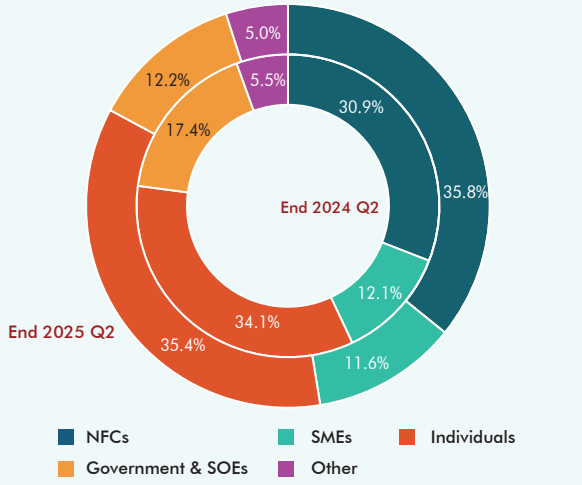
Despite the decline in the overall Stage 3 Loans ratio of the banking sector, certain economic sectors reported high Stage 3 Loans ratios at end of the period under consideration. The trade, manufacturing, and construction sectors, which each represented more than 10% of total credit of the banking sector, recorded relatively high Stage 3 Loans ratios, indicating a continuation of higher default risk spanning through multiple important economic sectors of the country. However, except for the Trade sector, downward trends in Stage 3 Loans ratios were observed in other two sectors at end Q2 of 2025 compared to Q2 of 2024. The default

Figure 3.17 Economic Sectors with High Stage 3 Loans Ratios



Source: Central Bank of Sri Lanka

Figure 3.18 Credit Composition by Borrower Category



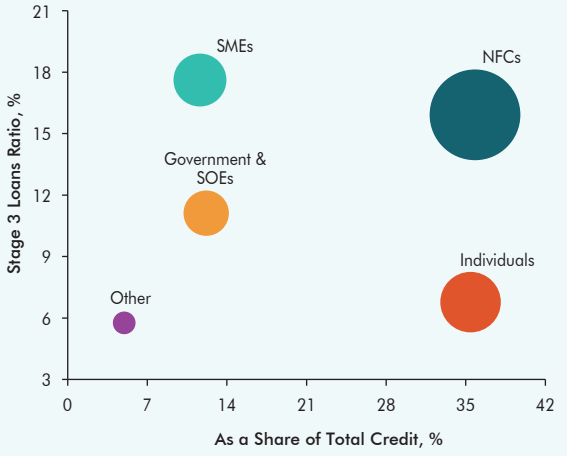
Source: Central Bank of Sri Lanka

risk of the Transportation sector surged at end Q2 of 2025 compared to end Q2 of 2024 mainly due to the downgrade of credit facilities granted to an SOE by a state owned Licensed Commercial Bank (LCB) at the beginning of 2025. As a result, Stage 3 Loans ratio of the Transportation sector significantly increased at end Q2 of 2025. Furthermore, the default risk of the Tourism sector was persistently high since the latter part of 2022; however, Stage 3 Loans ratio of the tourism-related loans slightly declined to 38.2% at end Q2 of 2025 from 40.0% at end Q2 of 2024. Nevertheless, the loans of the Transportation and Tourism sectors represented only 2.5% and 3.4% of the total credit portfolio of the banking sector, respectively, indicating a comparatively lower system wide impact.

The share of credit granted to Non-Financial Corporates (NFCs) out of total credit of the banking sector notably increased at end Q2 of 2025 compared to the corresponding period of the previous year. Share of credit granted to all the Private sector institutions out of the total banking sector credit increased to 51.2% at end Q2 of 2025 from 45.2% at end Q2 of 2024. This was mainly supported by NFCs, which represented 35.8% of the total banking sector credit at end Q2 of 2025 compared to 30.9% at end of the previous quarter. Nevertheless, the default risk of the Private sector institutions, as indicated by the Stage 3 Loans ratio, remained high at 15.2% at end Q2 of 2025, although this marked a decline compared to end of the corresponding period of the previous year. Accordingly, Stage 3 Loans ratios of NFCs and SMEs declined to 15.9% and 17.6%, respectively, at end Q2 of 2025, compared to 16.9% and 21.9%, respectively, at end Q2 of 2024. However, the Stage 3 Loans ratio of SOEs[4] increased notably at end of the quarter compared to the corresponding period of the previous year, mainly due to the downgrade of credit facilities granted to an SOE.

4 The Government & SOEs represent the banking sector loans to the Government, ministries, departments, SOEs, and any other Government-related entities.

Figure 3.19 Default Risk by Borrower Category at end Q2 of 2025*



*Bubble size represents the volume of Stage 3 Loans.

Source: Central Bank of Sri Lanka

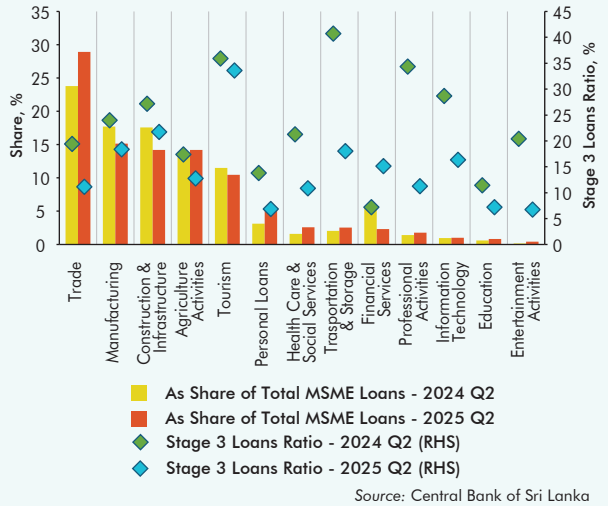
The increase in credit to trade-related Micro, Small, and Medium Enterprises (MSMEs)[5] primarily contributed to the credit expansion of the MSME sector at end Q2 of 2025 compared to end Q2 of 2024. Credit obtained by MSMEs in trade, manufacturing, construction and infrastructure, agriculture, and tourism sectors represented 82.9% of the total credit granted to MSMEs by the banking sector at end Q2 of 2025. Further, credit to trade-related MSMEs grew by 14.6% y-o-y at end of the quarter under consideration, significantly contributing to the credit expansion of the MSMEs sector, while credit to agriculture and healthcare sectors also notably increased during the period. Although most of the MSME sectors continued to display elevated Stage 3 Loans ratios, a notable decline in Stage 3 Loans was recorded at end Q2 of 2025 compared the corresponding period of the previous year. All five main MSME sectors reported improvements in their default risk, where the Stage 3 Loans ratio of the Trade sector declined significantly from 18.1% at end Q2 of 2024 to 11.1% at end Q2 of 2025, as a result of the significant credit growth. Further, tourism-related MSMEs continued to register the highest Stage 3 Loans ratio of 33.6% at end Q2 of 2025, reflecting persistent repayment challenges in this sector. Going forward, banks are expected to remain vigilant in managing MSME credit exposures, while ongoing measures such as Business Revival Units and relief measures are granted, and targeted support initiatives are expected to mitigate some of the sectoral vulnerabilities.

The cumulative value of large exposures[6] of the banking sector accounted for more than twice the cumulative Tier- 1 capital of the banking sector at end Q2 of 2025. Accordingly, the large exposures represented 231.2% of the Tier-1 capital of the banking sector at end Q2 of 2025. Furthermore, large exposures accounted for 20.6% of the total exposure of the sector, which includes both on-balance sheet loans and receivable and off-balance sheet exposures. D-SIBs represented 58.1% of the large exposures of the banking sector, mainly due to the large exposures of the two state owned LCBs which accounted for 258.4% of their Tier-1 capital. Large exposures of the state owned LCBs to the Government and SOEs persisted, subjecting these banks to a considerable sovereign risk. Large exposures of other domestic banks and foreign banks remained relatively low compared to D-SIBs and mainly consisted of lending to Private sector corporates. Furthermore, several Private sector conglomerates continued to have large

5 MSMEs are classified as follows: annual turnover is less than or equals to Rs. 15 mn – Micro; annual turnover is greater than Rs. 15 mn or less than or equals to Rs. 250 mn – Small; and annual turnover is greater than Rs. 250 mn or less than or equals to Rs. 1 bn - Medium.

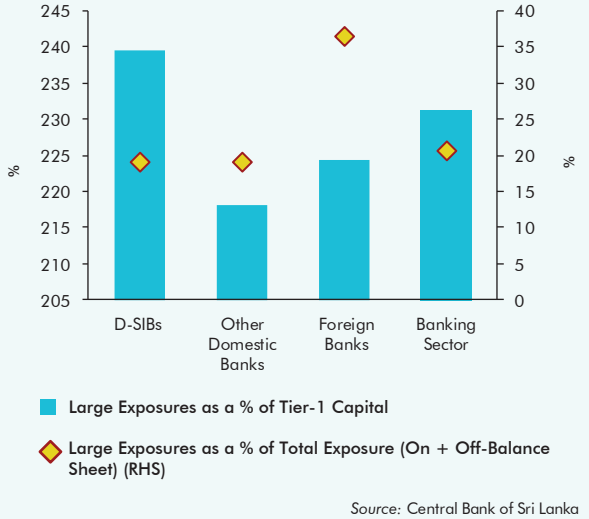
6 Large exposures shall mean those exposures of a Licensed Bank (LB) to an individual borrower or a group of connected borrowers, which is equal to or in excess of 10% of the Tier-I capital.

Figure 3.20 Composition and Default Risk of Sector wise Credit to MSMEs



Source: Central Bank of Sri Lanka

Figure 3.21 Large Exposures at end Q2 of 2025



Source: Central Bank of Sri Lanka

exposures to multiple banks; hence, the financial performance of such groups might affect the credit quality of the sector.

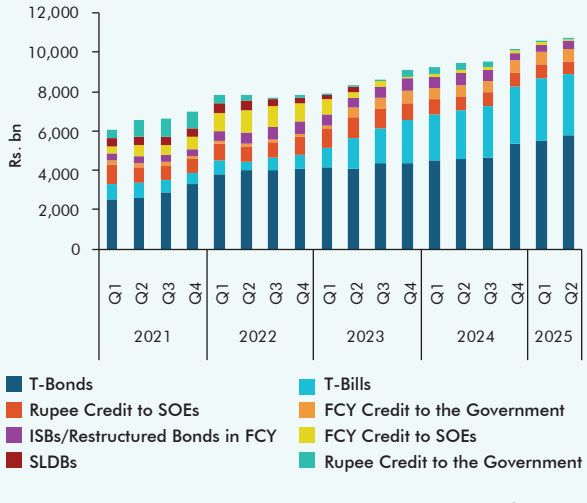
The banking sector exposure to the Government and SOEs (sovereign exposure[7]) continued to increase during the year ended in Q2 of 2025, particularly through investments in rupee denominated government securities. Sovereign exposure of the banking sector increased by 13.2% y-o-y and reached Rs. 10.7 tn end Q2 of 2025. Accordingly, sovereign exposure amounted to 45.0% of the banking sector's total assets at end of the quarter. Investments in Treasury bonds and Treasury bills increased by 26.6% y-o-y and 25.8% y-o-y, respectively, at end Q2 of 2025, primarily contributing to the increase of the sovereign exposure. Accordingly, these rupee denominated government securities accounted for 82.7% of the total sovereign exposure. Meanwhile, total credit granted to the Government by the banking sector contracted by 28.8% y-o-y, primarily due to a restructuring of rupee credit facilities granted by a state owned LCB to an SOE which had been taken over by the Government. As a result, credit granted to the Government as a share of total loan portfolio of the sector notably declined to 5.7% at end Q2 of 2025 from 8.9% at end of the corresponding period of the previous year.

7 At end Q2 of 2025, the sovereign exposure of the banking sector includes the investments made by LBs in Restructured Bonds denominated in FCY (formerly ISBs), Treasury Bonds, Treasury Bills, and loans and advances granted by LBs to the Government and SOEs in both rupees and FCY.

Furthermore, total credit granted to SOEs by the banking sector also declined by 11.8% y-o-y at end of the quarter, indicating a gradual reduction in credit exposure to the sovereign. Accordingly, credit granted to SOEs as a share of the total loan portfolio of the banking sector declined to 6.4% at end Q2 of 2025 from 8.1% at end Q2 of 2024. Moreover, restructured bonds denominated in FCY (formerly International Sovereign Bonds - ISBs) held by banks contracted by 36.6% y-o-y at end Q2 of 2025, mainly as a result of the completion of external debt restructuring process during the period under review.

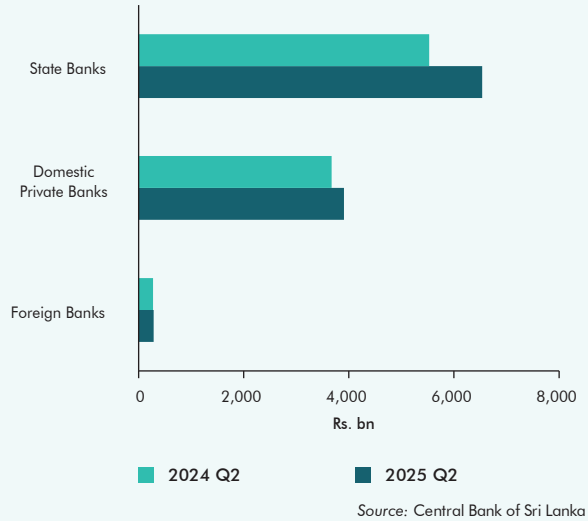
State banks continued to increase their exposure to the sovereign during the year ended in Q2 of 2025. Sovereign exposure of the state banks significantly grew by 18.2% y-o-y at end Q2 of 2025, accounting for 80.5% of the increase in total sovereign exposure of the sector and represented 60.9% of the total sovereign exposure at end of the quarter. This was mainly due to the increase in investments of rupee denominated government securities by the two state owned LCBs. Although the sovereign exposure of state banks remained relatively high, the Government maintained a significant amount of deposits with the two state owned LCBs, thereby resulting in a lower net exposure. Meanwhile, growth rates in sovereign exposures of domestic private banks and foreign banks were much lower at 6.3% y-o-y and 4.4% y-o-y, respectively, at end Q2 of 2025.

Figure 3.22 Banking Sector Exposure to the Government and SOEs



Source: Central Bank of Sri Lanka

Figure 3.23 Sovereign Exposure by Bank Category



Source: Central Bank of Sri Lanka

Liquidity Risk

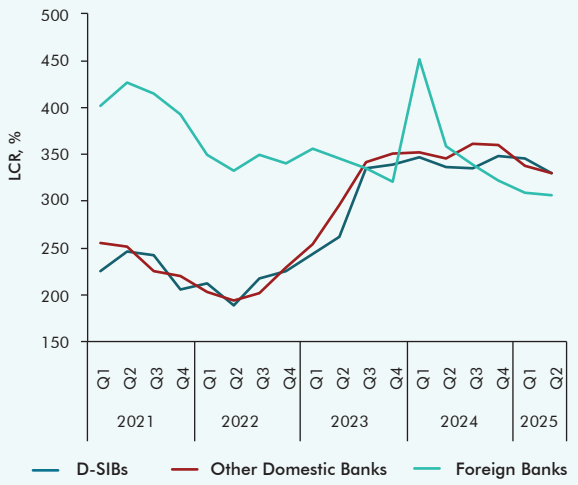
Reflecting the improved credit expansion of the banking sector, the liquidity condition, as measured by the Rupee Liquidity Coverage Ratio (LCR), recorded a slight decline in Q2 of 2025 compared to Q2 of 2024. The Rupee LCR decreased to 328.6% in Q2 of 2025 from 339.9% in Q2 of 2024; however remained well above the minimum regulatory requirement of 100%. The net cash outflows of the sector increased by 30.4% y-o-y while rupee High-Quality Liquid Assets (HQLA) grew by 25.2% y-o-y, leading to the decline of the ratio. A similar trend was observed in All Currency LCR which decreased to 283.1% in Q2 of 2025 from 293.5% in Q2 of 2024. The adequate liquidity level will facilitate the banking sector to continue its ongoing credit expansion momentum. Furthermore, the Net Stable Funding Ratio (NSFR), an indicator of the long term liquidity of the banking sector, stood at 162.0% in Q2 of 2025, indicating that banks possess adequate stable funding to cover their long term assets and are better positioned to withstand funding shocks.

Investments in government securities continued to dominate the liquid assets of the banking sector. Investments in government securities, accounted for 91.7% of the total HQLA[8] of the sector at end Q2 of 2025, subjecting the liquid asset portfolio to a high concentration risk and a market risk. Banks continued to invest in government securities, despite declining yields during the period under review, since they continued to provide a steady source of income. Consequently, government securities increased by 28.4% y-o-y at end Q2 of 2025, albeit contributing to a concentration risk in the sector's liquid asset portfolio. Furthermore, the marketability of these securities is highly uncertain in the event of a system wide selling pressure, due to the size and illiquid nature of the secondary market for government securities.

Overall FCY assets of the banking sector increased significantly, mainly through an expansion of loan and investment portfolios. Total FCY assets of the

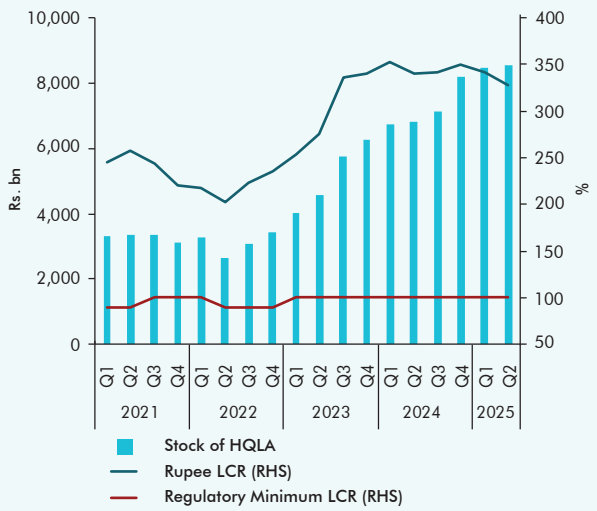
8 Total HQLA denominated in all currencies.

Figure 3.25 Rupee LCR based on Bank Category



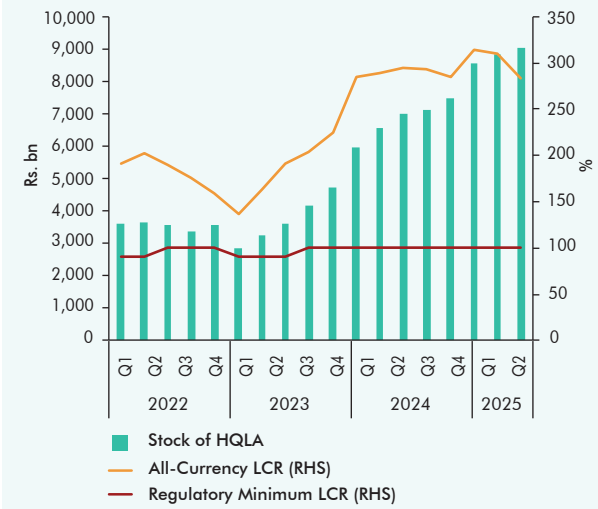
Source: Central Bank of Sri Lanka

Figure 3.24 Rupee LCR



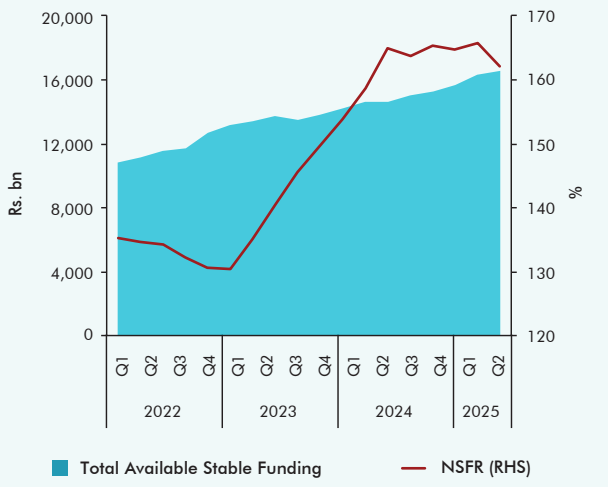
Source: Central Bank of Sri Lanka

Figure 3.26 All Currency LCR



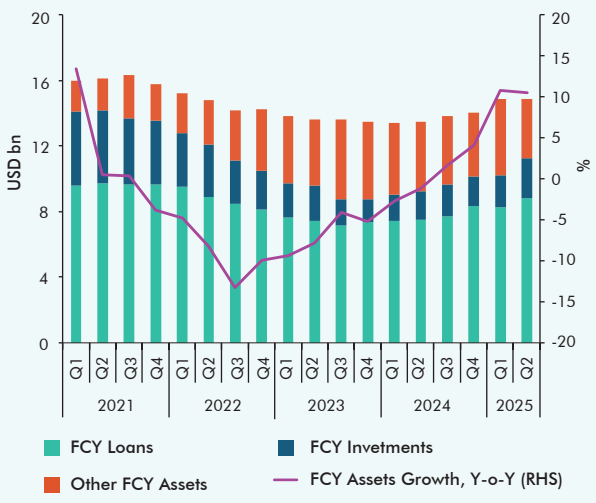
Source: Central Bank of Sri Lanka

Figure 3.27 NSFR



Source: Central Bank of Sri Lanka

Figure 3.29 FCY Asset Composition

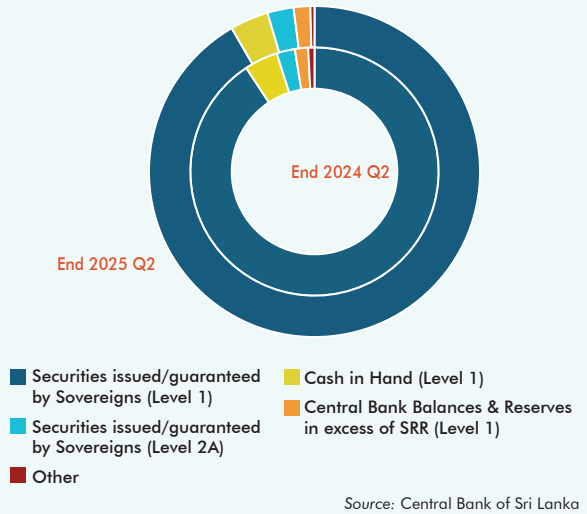


Source: Central Bank of Sri Lanka

banking sector increased by 10.5% y-o-y and stood at USD 14.9 bn at end Q2 of 2025, compared to a 1.2% y-o-y contraction recorded at end Q2 of 2024. This improvement in FCY assets was mainly due to the increase in FCY credit which recorded a growth of 37.7% y-o-y at end Q2 of 2025. Further, increased investments by banks in foreign sovereign securities contributed to a notable increase in FCY investments. D-SIBs were the largest investors in these securities, accounting for 84.8%. While investments in foreign sovereign securities carry minimal credit risk, they remain subject to exchange rate risk. Moreover, the distribution of such securities across measurement categories by end Q2 of 2025 suggests a tilt towards Fair Value Through Other Comprehensive Income (FVTOCI) holdings, indicating a strategy of maintaining flexibility in liquid sovereign investments while recognising fair value changes in equity.

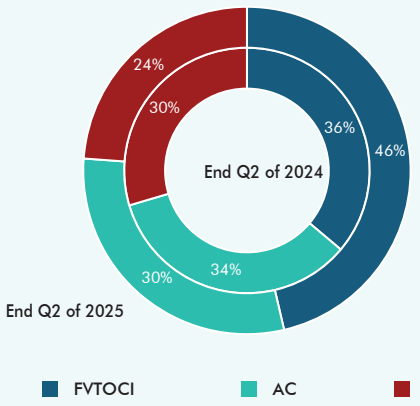
The banking sector significantly diverted FCY funds from balances with financial institutions abroad to FCY loans and investments in foreign sovereign securities. As at end Q2 of 2025, the banking sector maintained a balance of USD 2.9 bn with financial institutions abroad, subsequent to a contraction of USD 790.2 mn compared to the corresponding period of the previous year. D-SIBs maintained the highest amount of balances with

Figure 3.28 Composition of HQLA (All Currency)



Source: Central Bank of Sri Lanka

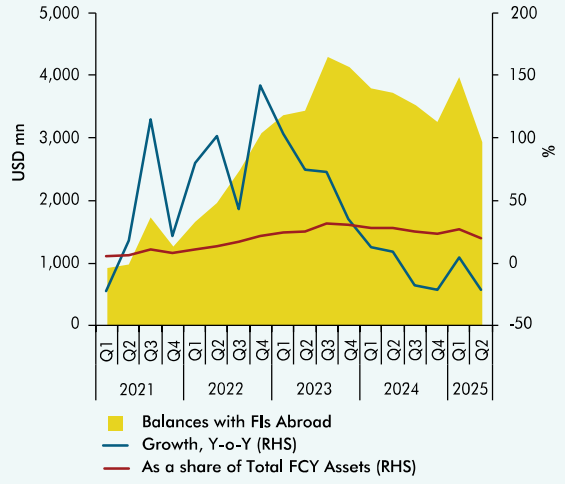
Figure 3.30 Holdings of Foreign Sovereign Securities by Measurement Category*



*FVTOCI - Fair Value Through Other Comprehensive Income; AC - Amortised Cost; FVTPL - Fair Value Through Profit or Loss

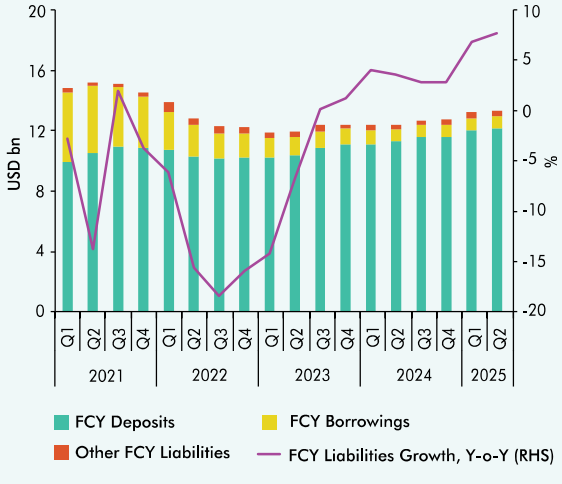
Source: Central Bank of Sri Lanka

Figure 3.31 FCY Balances with Financial Institutions (FIs) Abroad



Source: Central Bank of Sri Lanka

Figure 3.33 FCY Liability Composition

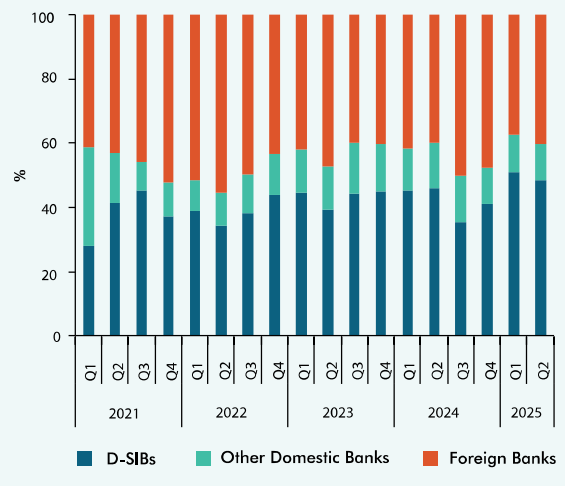


Source: Central Bank of Sri Lanka

financial institutions abroad of USD 1.4 bn, while foreign banks also possessed a significant amount of balances amounting to USD 1.2 bn, at end Q2 of 2025. A continued contraction in FCY balances with financial institutions abroad could weaken immediate access of banks to FCY liquidity and heighten vulnerabilities in the event of any unexpected demand shock for FCY.

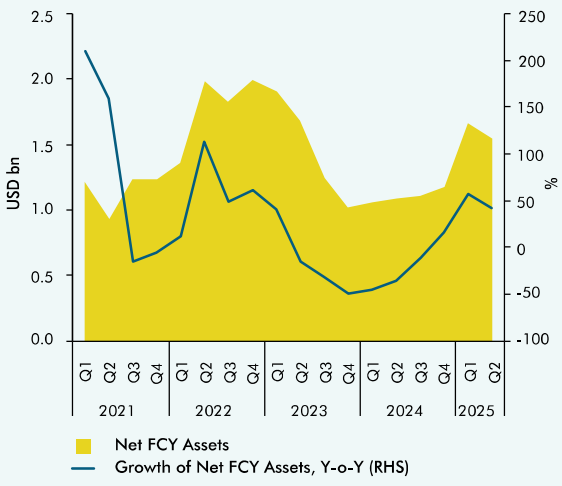
Banking sector experienced a notable expansion in total FCY liabilities mainly due to growth in FCY deposits. FCY liabilities increased by 7.6% y-o-y to USD 13.3 bn by the end Q2 of 2025, compared to the 3.6% y-o-y growth recorded at end Q2 of 2024. This growth was mainly driven by FCY deposits, which has been growing continuously since Q2 of 2023 on a y-o-y basis. However, FCY borrowings further contracted by 11.2% y-o-y, reflecting a reduced tendency or necessity for banks to secure new FCY debt and/or renew existing debt arrangements. Furthermore, with the higher expansion in FCY assets compared to FCY liabilities, net FCY assets of the banking sector significantly grew by 42.5% y-o-y to USD 1.5 bn at end Q2 of 2025. Accordingly, the net FCY assets of the banking sector surpassed the pre-crisis level during the period under review.

Figure 3.32 Composition of FCY Balances with FIs Abroad



Source: Central Bank of Sri Lanka

Figure 3.34 Net FCY Assets

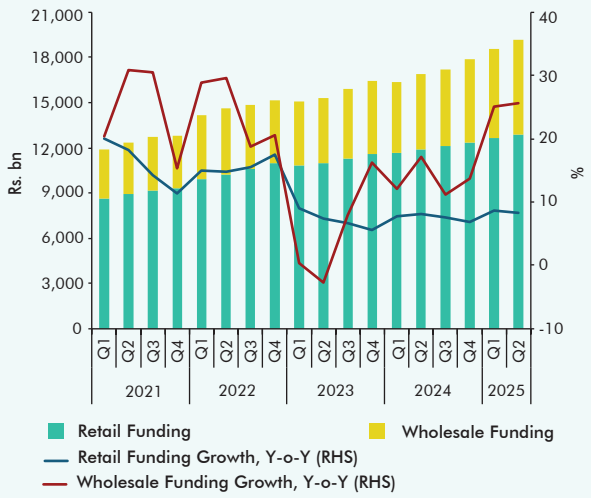


Source: Central Bank of Sri Lanka

Wholesale funding[9] of the banking sector has grown at a faster pace than retail funding[10] in recent periods. As at end Q2 of 2025, retail funding amounted to Rs. 12.9 tn, while wholesale funding stood at Rs. 6.3 tn. During the last 5-year period, i.e., from end Q2 of 2020 to end Q2 of 2025, retail funding has increased by 70.7%, whereas wholesale funding has increased by 142.3%, reflecting a sector wide increase in funding by institutions. In the current easing monetary policy environment, the lower interest rates offered on retail deposits may further slowdown retail funding growth. Foreign banks were observed to be predominantly reliant on wholesale funding compared to retail deposits, which was consistent with their business models, while D-SIBs also maintained a significant share of wholesale liabilities. Wholesale funding is typically more sensitive to market conditions, including interest rate changes, liquidity constraints and shifts in risk perceptions, making it less stable than retail funding. Consequently, banks with a substantial reliance on wholesale funding may need to maintain adequate HQLA to offset potential outflows in times of stress.

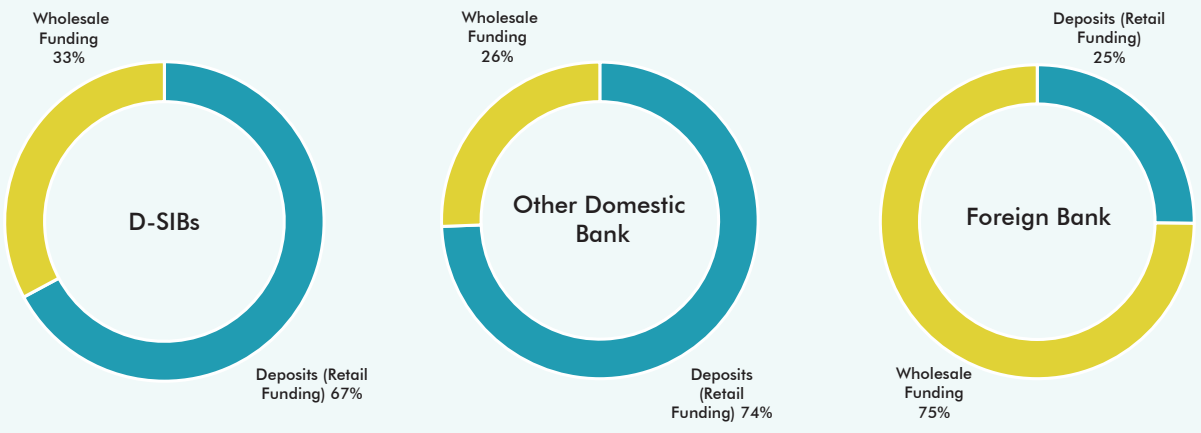
The depositor base of the domestic banks remained more diversified compared to the foreign banks. On average, large depositors[11] of foreign banks accounted for 59.1% of their total deposits at end Q2 of 2025, though this marked a decline from 62.4% in Q2 of 2024. In contrast, large depositors of D-SIBs and other domestic banks represented 21.9% and 18.1% of total deposits, respectively, at end Q2 of 2025, slightly higher than 19.5% and 16.1% recorded at end Q2 of 2024. Accordingly, while domestic banks continued to rely predominantly on a broad retail depositor base, the relative concentration of large deposits increased marginally during the year, whereas the foreign banks remained heavily dependent on large depositors despite a reduction in concentration. Amongst the

Figure 3.35 Retail and Wholesale Funds



Source: Central Bank of Sri Lanka

Figure 3.36 Retail and Wholesale Funds by Bank Category



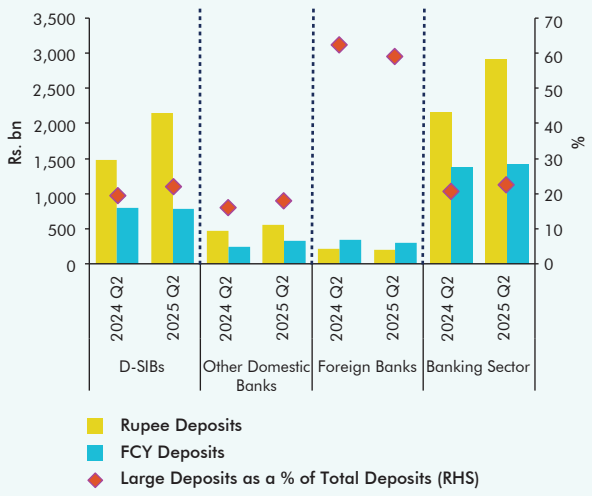
Source: Central Bank of Sri Lanka

9 Includes operational deposits generated by clearing, custody, and cash management activities; cooperative banks in an institutional network (qualifying deposits with the centralised institution); non-financial corporates, sovereigns, central banks, Multilateral Development Banks, and Public Sector Enterprises; and other legal entity customers.

10 Includes demand, savings and term deposits (less than 30 days maturity), and term deposits with residual maturity greater than 30 days.

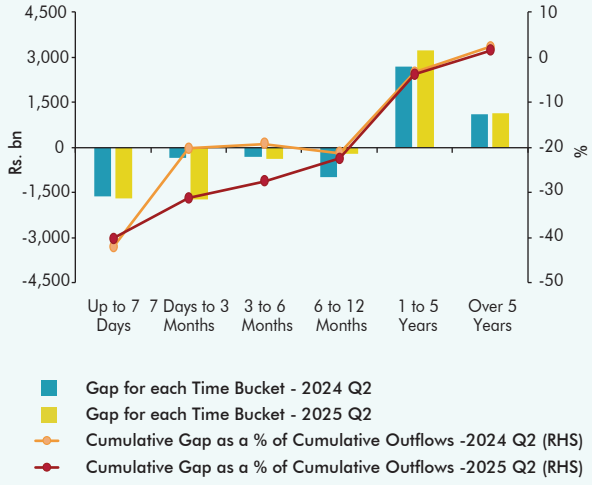
11 The large depositors include a summation of the deposit values of top 50 depositors in each bank as of Q2 of 2025.

Figure 3.37 Large Depositors by Bank Category



Source: Central Bank of Sri Lanka

Figure 3.38 Maturity Gap by Time Period



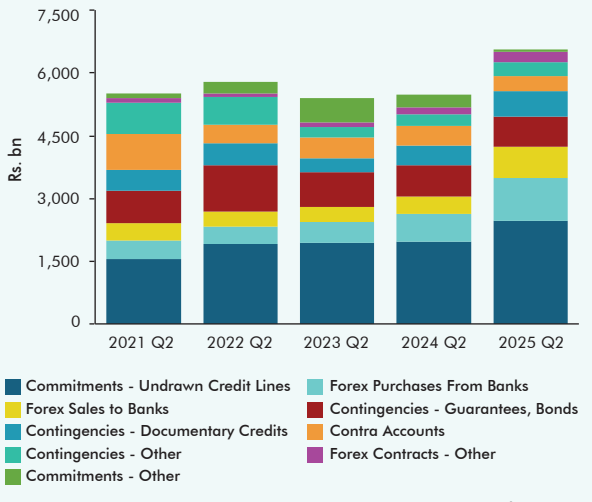
Source: Central Bank of Sri Lanka

large depositors, Government deposits in state owned LCBs amounted to more than Rs. 1.1 tn at end Q2 of 2025. Of this, a significant share of 80.7% was concentrated in term deposits maturing within one year, while the remainder was maintained as on-demand. The absence of deposits with maturities beyond one year highlights the short term nature of these balances. Although such deposits provide a substantial funding base for the banks, their maturity profile highlights potential liquidity risk in the event of sudden withdrawals driven by macroeconomic conditions.

The cumulative maturity gap as a share of cumulative outflows of the banking sector widened, notably in short term buckets, signalling increased liquidity risk. Maturity gap analysis at end Q2 of 2025 reveals that the banking sector experienced larger negative maturity gaps in short term horizons. The most notable deterioration was observed in the "7 Days to 3 Months" bucket followed by the "3 to 6 Months" bucket, where the negative maturity gaps expanded in Q2 of 2025 compared to Q2 of 2024. Reflecting these dynamics, the cumulative gap as a percentage of cumulative outflows for Q2 of 2025 showed heightened pressure in the shorter tenors, before easing gradually towards neutrality in the longer horizons. These trends highlight elevated liquidity risks in the sector.

Expansion of the off-balance sheet exposures could pose a notable liquidity risk to the banking sector. Undrawn credit lines increased from Rs. 2.0 tn at end Q2 of 2024 to Rs. 2.5 tn at end Q2 of 2025, indicating a growing volume of contingent obligations that could convert into actual funding requirements. Foreign exchange contracts also increased from Rs. 1.2 tn to Rs. 2.0 tn over the same period, mainly driven by forex purchase and sales, reflecting increased hedging activities. Moreover, documentary credits increased from Rs. 470.9 bn at end Q2 of 2024 to Rs. 616.4 bn at end Q2 of 2025, driven partly by the lifting of import restrictions, particularly on

Figure 3.39 Off-Balance Sheet Items



Source: Central Bank of Sri Lanka

vehicles, which suggests a rise in short term trade-related funding demands. While these exposures remain off-balance sheet, their potential to generate significant liquidity outflows underscores the need for banks to maintain adequate HQLA and strengthen contingency funding plans.

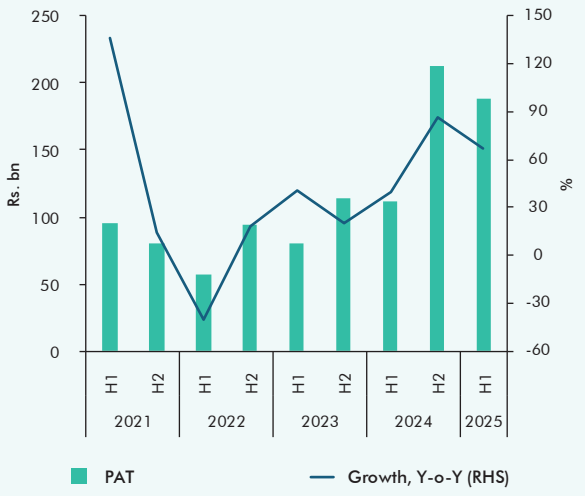
Profitability

The Profit After Tax (PAT) of the banking sector significantly improved in H1 of 2025 compared to H1 of 2024, mainly due to increased Net Interest Income (NII) of the sector. The banking sector reported a PAT of Rs. 187.5 bn in H1 of 2025 compared to Rs. 111.8 bn in H1 of 2024, recording a significant growth of 67.8%. The increase in NII by Rs. 103.9 bn in H1 of 2025 compared to the corresponding period of the previous year primarily drove the profit increase of the sector. Furthermore, the decline in impairment, and increases in net gain from trading, net fee-based income, and net other operating income also contributed to the profit increase during the same period. However, the PAT reported in H2 of 2024, was at an elevated level due to a significant reversal of impairment, consequent to the finalisation of restructuring of ISBs.

Banking sector profitability improved, driven by increased net interest income...

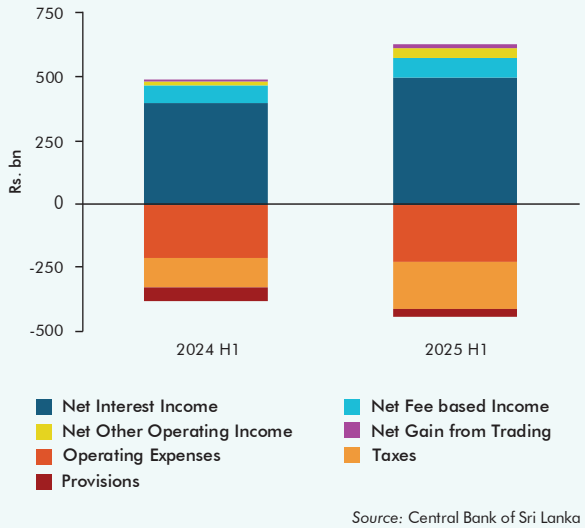
Although domestic banks reported significant increases in their profits, PAT of foreign banks declined in H1 of 2025 compared to the corresponding period of the previous year, mainly due to a decline in NII. PAT of D-SIBs significantly grew by 105.7% y-o-y to Rs. 122.9 bn, while other domestic banks also reported a notable growth in PAT of 53.1% y-o-y to Rs. 48.8 bn. The increase in NII was the main contributor to this high growth in PAT of domestic banks. However, NII of foreign banks declined in H1 of 2025 compared to H1 of 2024, leading to a contraction in PAT of foreign banks by 22.2% y-o-y to Rs. 16.1 bn. The downward rigidity in cost of funds compared to lending rates of foreign banks may have attributed to this decline in NII, since foreign banks highly depend on wholesale funding compared to domestic banks. Furthermore, the considerably slow credit growth of foreign banks compared to domestic banks may have also had an impact on their NII. In addition, while domestic banks recorded an increase in operating expenses and taxes, foreign banks experienced a slight decline in both during H1 of 2025 compared to H1 of 2024.

Figure 3.40 Half-Yearly PAT



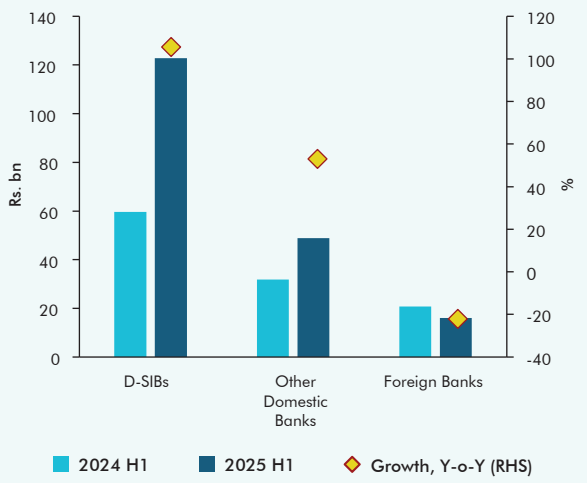
Source: Central Bank of Sri Lanka

Figure 3.41 Components of PAT of H1 of 2024 and H1 of 2025



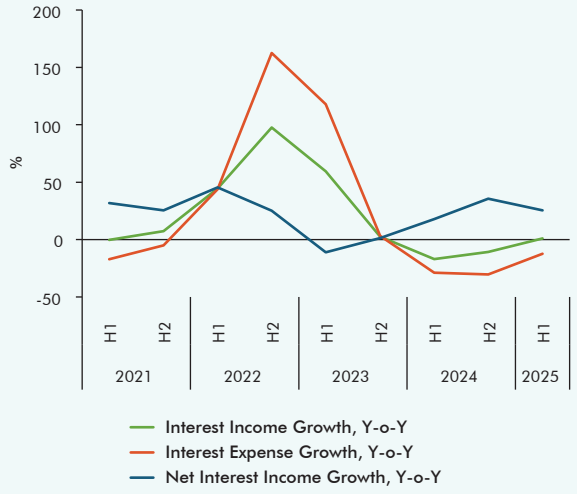
Source: Central Bank of Sri Lanka

Figure 3.42 PAT by Bank Category



Source: Central Bank of Sri Lanka

Figure 3.44 Movement of NII

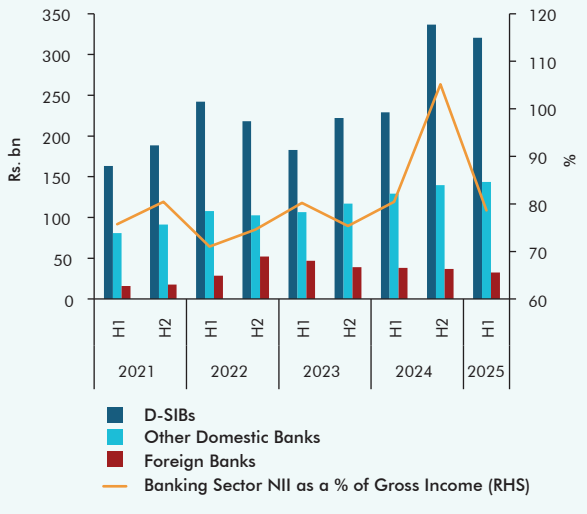


Source: Central Bank of Sri Lanka

NII of the banking sector improved mainly through the reduction of interest expenses due to the faster adjustment of deposit rates compared to lending rates during the Monetary Policy (MP) easing cycle commenced mid-2023. In contrast to the previous MP easing phase, which saw a 350 basis point reduction over 27 months (from May 2019 to July 2021), the current cycle recorded a 775 basis point cut over just 19 months (up to end-2024). This sharper and faster policy rate adjustments led to a more pronounced improvement in NII, as a quicker adjustment in deposit rates took place compared to lending rates. Accordingly, in H1 and H2 of 2024, interest expenses of the sector contracted significantly on a y-o-y basis by 28.8% and 30.4%, respectively, compared to a lesser contraction of interest income by 17.0% and 10.8%, respectively. Further, with the considerable credit expansion, interest income recorded a growth of 1.1% y-o-y in H1 of 2025, while interest expenses remained contracted by 12.5% y-o-y, leading to continued growth in NII by 25.3% y-o-y.

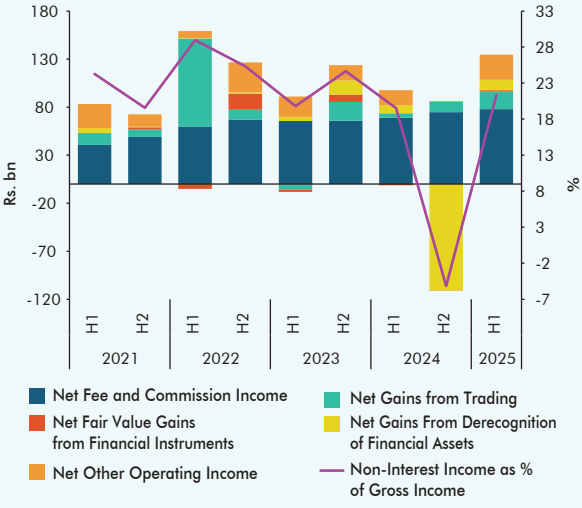
Non-interest income of the banking sector remains extremely low compared to NII, highlighting the relatively limited income generating avenues of Sri Lankan banks. In H1 of 2025, non-interest

Figure 3.43 NII by Bank Category



Source: Central Bank of Sri Lanka

Figure 3.45 Composition of Non-Interest Income



Source: Central Bank of Sri Lanka

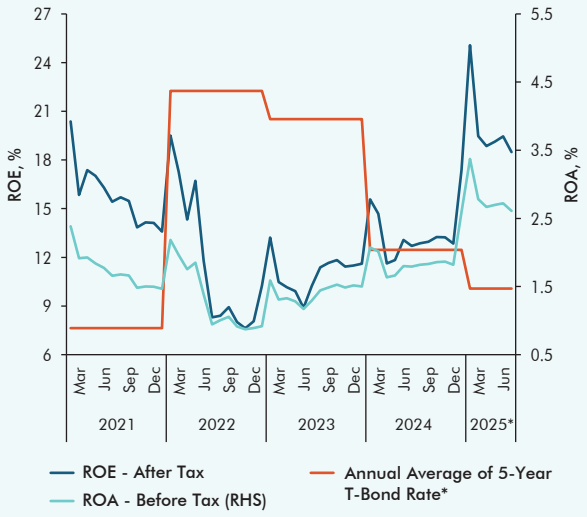
income of banks accounted for only 21.3% of the gross income[12] and reported Rs. 134.8 bn, while NII represented 78.7% of the gross income. More than half of the non-interest income consisted of net fee and commission income. Banks could increase non-interest income by introducing more innovative financial products; hence, lowering the heavy reliance on NII to maintain their profits. Such steps may allow the banks to pass more benefits to the borrowers by potentially reducing the lending rates.

New impairment charged on financial assets significantly declined in H1 of 2025 compared to H1 of 2024, following a significant impairment reversal towards the end of 2024. Total new impairment of the sector contracted by 38.4% y-o-y in H1 of 2025, primarily due to the decline in impairment charged on financial assets. Furthermore, during H2 of 2024, the restructuring of Sri Lanka's ISBs, which resulted in lower-than-anticipated first-day losses, allowed banks to reverse a portion of the additional impairment charged to profits in previous years, which amounted to a reversal of Rs. 274.4 bn. Moreover, new impairment charged on loans and receivables also contracted by 10.5% y-o-y to Rs. 24.6 bn in H1 of 2025.

Profitability ratios of the banking sector significantly improved in H1 of 2025 compared to the corresponding period of the previous year along with the increased profits. Return on Equity (ROE), Return on Assets (ROA), and Net Interest Margin (NIM) of the sector notably increased to 18.5%, 2.6%, and 4.5%, respectively, in H1 of 2025, compared to 12.7%, 1.8%, and 3.9%, respectively, in H1 of 2024. However, the elevated NIM is a concern, as it may suggest that the benefits of an MP easing cycle were not adequately passed down to the borrowers, while depositors being at a disadvantage position due to the substantial reduction in deposit rates. Furthermore, a significant dispersion in NIMs prevailed among bank categories during 2023 and 2024.

12 Gross income includes NII and non-interest income.

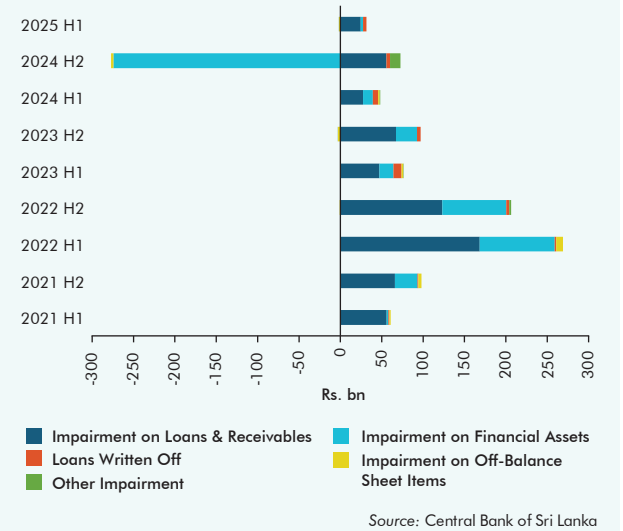
Figure 3.47 ROE and ROA



* 6-month average of 5-year T-bond rate for the period up to June 2025.

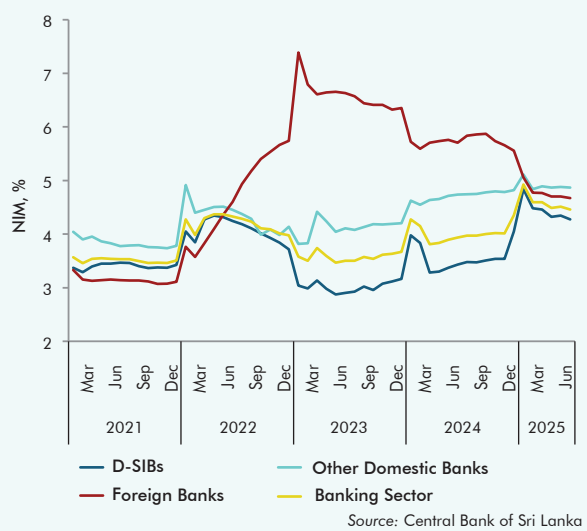
Source: Central Bank of Sri Lanka

Figure 3.46 New Impairment Charged on Assets



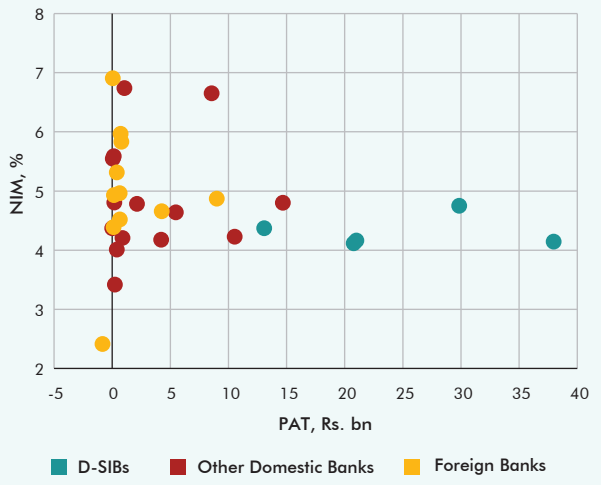
Source: Central Bank of Sri Lanka

Figure 3.48 NIM by Bank Category



Source: Central Bank of Sri Lanka

Figure 3.49 Bank wise NIM Vs. PAT at end Q2 of 2025



Source: Central Bank of Sri Lanka

Accordingly, the NIM of D-SIBs remained significantly low during said period compared to other domestic banks, particularly influenced by the NIMs of the two state owned D-SIBs. However, towards the end of 2024, NIMs of bank categories show a decrease in dispersion, particularly with the increase in NII of state owned D-SIBs and decline in NII of foreign banks.

Return on Risk Weighted Assets (RORWA)[13] of the banking sector significantly improved in H1 of 2025 compared to corresponding period of 2024, along with continued investments by banks in risk-free government securities. RORWA increased to 5.8% in H1 of 2025 compared to 3.9% in H1 of 2024, indicating a notable improvement in Profit Before Tax (PBT) earned for RWA. Further, the RWA Density[14] of the sector declined to 44.2% by end Q2 of 2025 compared to end Q2 of 2024, indicating a continued expansion of risk-free assets. However, RWA Density reported at end Q2 of 2025 was a slight increase compared to the previous quarter, indicating the impact of the credit expansion. Accordingly, a gradual decline in RORWA could be observed in the coming periods.

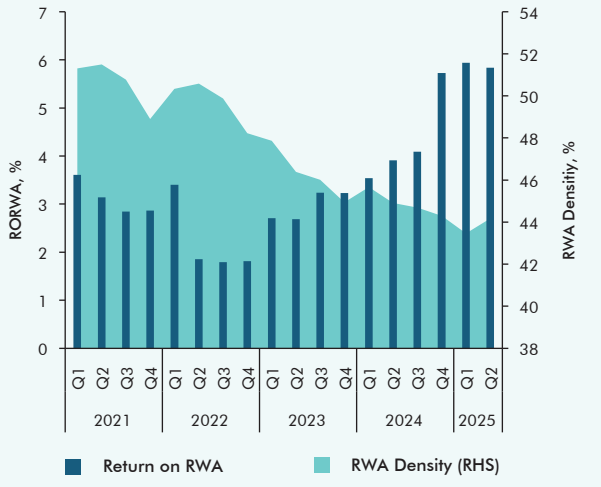
Market Risk

The banking sector continued to record negative net rate sensitive positions across maturity buckets up to 12 months, indicating dominance of the sector's liability sensitive balance sheet structure. As at end Q2 of 2025, the cumulative negative net rate sensitive assets widened to Rs. 2.7 tn within the 12 month maturity horizon, compared to Rs. 2.2 tn at end Q2 of 2024, reflecting faster growth in deposits and borrowings relative to interest earning assets. The negative net rate sensitive positions further suggest more interest rate sensitive liabilities are to mature than the interest rate sensitive assets during the next 12 months period from end

13 RORWA is a ratio where the numerator represents the returns or profits generated by the bank, and the denominator is the risk-adjusted measure of the bank's total assets. This metric reveals the cost efficiency per unit of risk a bank is generating.

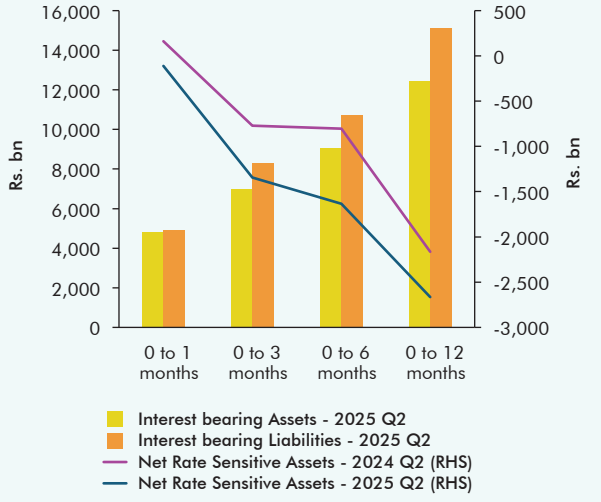
14 RWA Density is the percentage of risk weighted assets relative to total assets.

Figure 3.50 RORWA and RWA Density



Source: Central Bank of Sri Lanka

Figure 3.51 Interest Bearing Assets and Liabilities



Source: Central Bank of Sri Lanka

Q2 of 2025, which will facilitate the repricing of more liabilities at lower rates compared to assets. This may lead the banking sector to maintain its NIM at elevated levels.

The interest rate sensitivity profile of banks signalled moderation in short term sensitivity in interest bearing assets and liabilities. The Interest Rate Sensitivity Ratio (IRSR)[15] up to 6 months horizon declined to 84.7% at end Q2 of 2025 from 91.6% at end Q2 of 2024, reflecting a sharper increase in short term interest-bearing liabilities relative to assets. By contrast, IRSR in 6-12 months horizon increased to 76.6% at end Q2 of 2025 compared to 66.1% in Q2 of 2024, suggesting a partial rebalancing in the medium term maturity bucket. While the ongoing MP easing cycle reduces immediate risk of rising funding costs, the persistent liability sensitivity, particularly within the 0–6 month horizon, may pressure interest margins if asset yields decline more rapidly than funding costs.

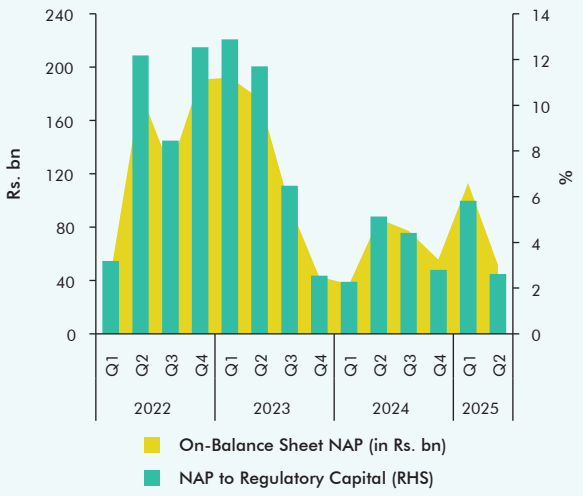
On-Balance Sheet FCY Net Asset Position (NAP)[16] to Regulatory Capital of the banking sector significantly declined at end Q2 of 2025 in comparison to end Q2 of 2024, indicating the reduced direct balance sheet exposure to foreign exchange risk. By end Q2 of 2025, banking sector recorded a FCY NAP to Regulatory Capital ratio of 2.6% from 5.1% at end Q2 of 2024, driven largely by a contraction in on-balance sheet FCY NAP along with an expansion in regulatory capital. The declined ratio suggests that the sector's capital provides an improved buffer against potential valuation losses from exchange rate movements, thereby mitigating direct forex balance sheet risk. Nonetheless, indirect risks through borrower forex exposures and macroeconomic vulnerabilities warrant continued monitoring. Further, the currency composition of exposures shows a continued reliance on USD long positions[17], while GBP exposures have remained

15 Interest Rate Sensitivity ratio is calculated as a proportion of the Interest bearing Assets to Interest bearing Liabilities during a given period.

16 Net Asset Position is the gap between FCY assets and FCY liabilities.

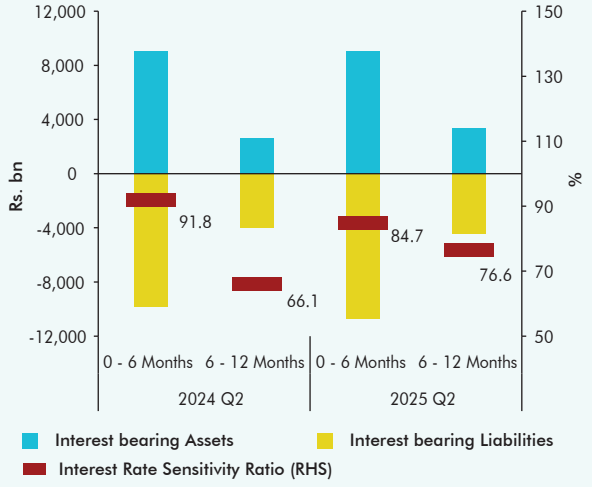
17 Asset side of the holding's balance sheet is higher than that of the liability side.

Figure 3.53 NAP to Regulatory Capital



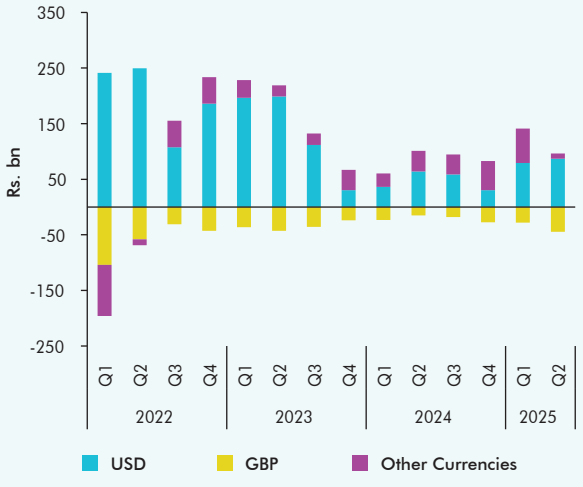
Source: Central Bank of Sri Lanka

Figure 3.52 Interest Rate Sensitivity Ratio



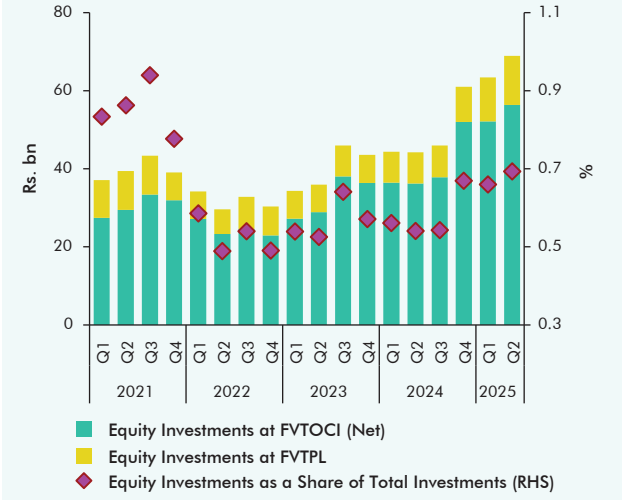
Source: Central Bank of Sri Lanka

Figure 3.54 Currency wise On-Balance Sheet Position



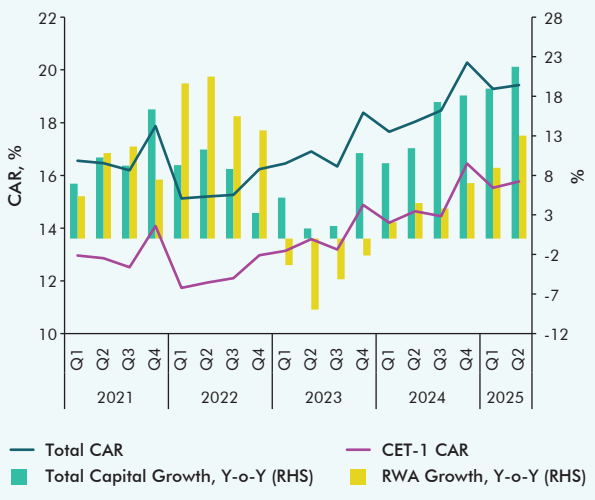
Source: Central Bank of Sri Lanka

Figure 3.55 Equity Investments



Source: Central Bank of Sri Lanka

Figure 3.56 Capital Adequacy Ratios



Source: Central Bank of Sri Lanka

persistently negative and widened further at end Q2 of 2025. This could increase vulnerability to cross-currency volatility, particularly in the event of non-USD currency appreciation. However, the banking sector's exposure to non-USD currencies remained minimal.

Equity risk of the banking sector remained minimal throughout the year ended in Q2 of 2025. The equities reported under the FVTPL and FVTOCI portfolios stood at Rs. 12.5 bn and Rs. 56.4 bn, respectively, at end Q2 of 2025. However, equity investments of banks represented only 0.7% of the total gross investments of the banking sector. The low share of equity investments portfolio of banks ensures that the market risk of the banking sector due to equity price fluctuations was minimal. However, despite the minimal exposure to the equity market, banks are required to follow certain prudential requirements to mitigate any potential risks.

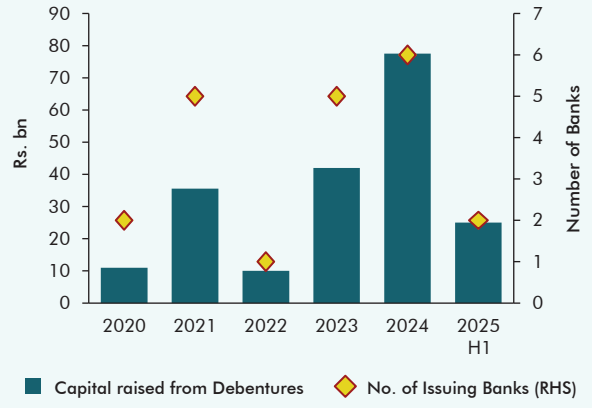
Capital Adequacy

Total Capital Adequacy Ratio (CAR) of the banking sector improved at end Q2 of 2025 compared to Q2 of 2024, with a considerable improvement in retained earnings. The banking sector recorded a Total CAR of 19.4% at end Q2 of 2025 compared to 18.0% at end Q2 of 2024, due to the higher increase in regulatory capital compared to the increase in Risk Weighted Assets (RWA). Accordingly, total regulatory capital of the sector considerably grew by 21.7% y-o-y, mainly due to an increase in profitability and Tier-2 capital. The CET-1 CAR rose to 15.8% at end Q2 of 2025 from 14.6% at end of the corresponding period of the previous year. Furthermore, in line with increased loans and receivables, a notable y-o-y growth of 13.0% in RWA was observed during the period under consideration. This increase in RWA is expected to continue, along with the expansion of credit portfolio in line with the accommodative monetary policy stance.

Capital adequacy of the banking sector considerably improved, supported by the increased profitability of the sector…

The Total CAR of D-SIBs significantly improved at end Q2 of 2025 compared to the corresponding period of 2024. D-SIBs reported a significant growth in their total regulatory capital, primarily due to increased profits during the period under consideration, which in turn improved the Total CAR of D-SIBs to 18.3% at end Q2 of 2025 from 16.4% at end Q2 of 2024. Foreign banks continued to record

Figure 3.57 Capital raised from Listed Debentures*



*Debentures indicate the listed debentures at the Colombo Stock Exchange. Issued date of the debenture is considered to calculate capital raised for the year.

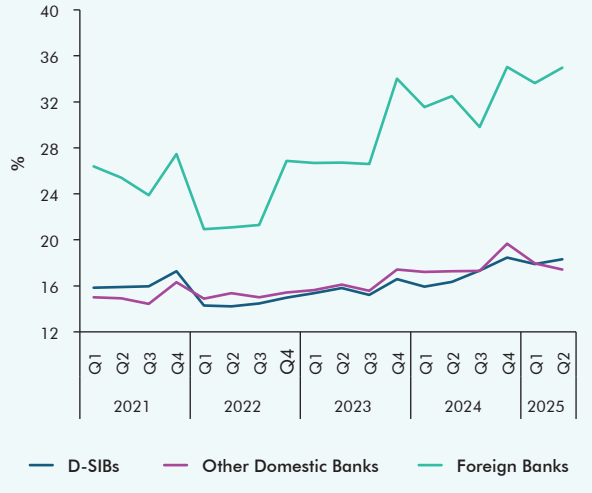
Source: Colombo Stock Exchange

an extremely high Total CAR, which further increased to 35.0% at end Q2 of 2025 compared to 32.5% at end Q2 of 2024. This was mainly due to low credit growth in foreign banks, which led to a growth of RWA by only 5.4% y-o-y, relative to the 13.4% y-o-y growth in the regulatory capital at end Q2 of 2025. Although the total regulatory capital of other domestic banks increased by 17.7% y-o-y, their RWA, driven by the expansion in credit, increased by 16.6% y-o-y, contributing to only a marginal increase in the Total CAR to 17.4% at end Q2 of 2025 compared to 17.3% at end of the corresponding period of the previous year.

The regulatory capital of the banking sector increased at end Q2 of 2025 compared to end Q2 of 2024, mainly due to the increase in CET-1 capital supported by the rise in published retained earnings. Published retained earnings of the sector increased by 12.8% y-o-y to Rs. 802.9 bn at end Q2 of 2025, strengthening the CET-1 capital. Accordingly, CET-1 capital represented more than 81% of the total regulatory capital of the sector, indicating that the sector possesses quality capital to withstand possible shocks. Further, strengthening CET-1 capital remains critical for ensuring long term financial stability and compliance with prudential regulatory requirements. Moreover, net Deferred Tax Assets (DTAs) of the sector contracted by 52.5%[18] y-o-y, expanding the CET-1 capital by Rs. 75.6 bn during the period. Meanwhile, Tier-2 capital also recorded a notable increase during the period under consideration, primarily due to issuance of subordinated debentures by banks, which grew by 42.6% y-o-y to Rs. 200.1 bn at end Q2 of 2025. Nevertheless, Tier-2 capital accounted for only 17.4% of the regulatory capital of the sector, indicating that banks have a considerable space to tap more hybrid instruments to diversify their capital structure.

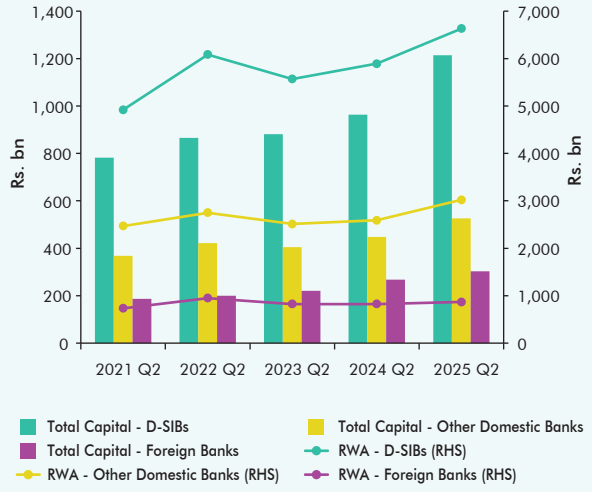
18 The decline in net DTAs of the sector was an adjustment to CET-1 capital under Basel III, where net DTAs that rely on future profitability to be realised are deducted from CET-1 capital. The rationale behind this deduction is that such DTAs may not be fully recoverable in times of financial stress, thereby overstating a bank's true loss-absorbing capacity. The decline in net DTAs during the quarter may be attributed to improved profitability of banks, allowing for the utilisation of previously recognised DTAs.

Figure 3.58 CAR by Bank Category



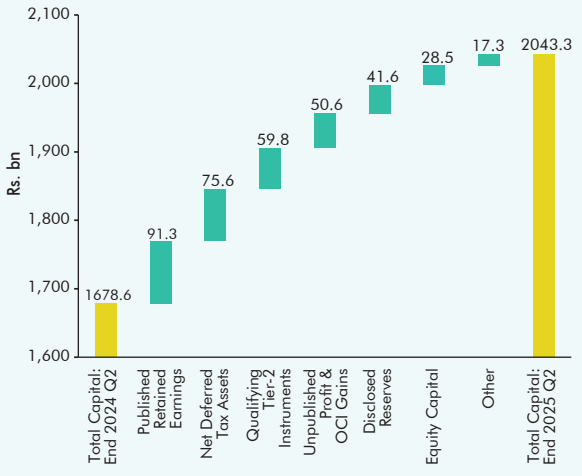
Source: Central Bank of Sri Lanka

Figure 3.59 Total Capital and RWA by Bank Category



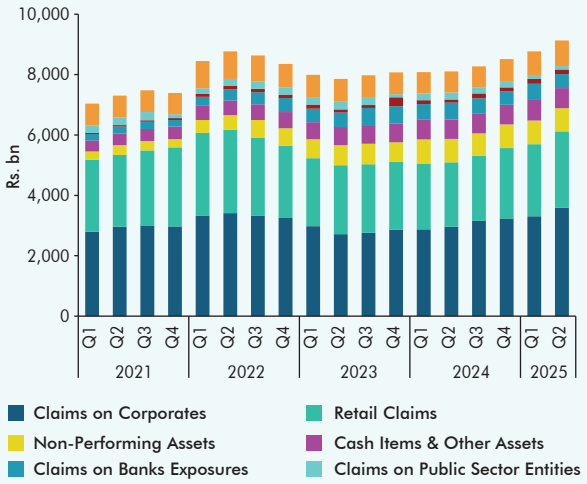
Source: Central Bank of Sri Lanka

Figure 3.60 Change in Regulatory Capital



Source: Central Bank of Sri Lanka

Figure 3.62 RWA for Credit Risk



Source: Central Bank of Sri Lanka

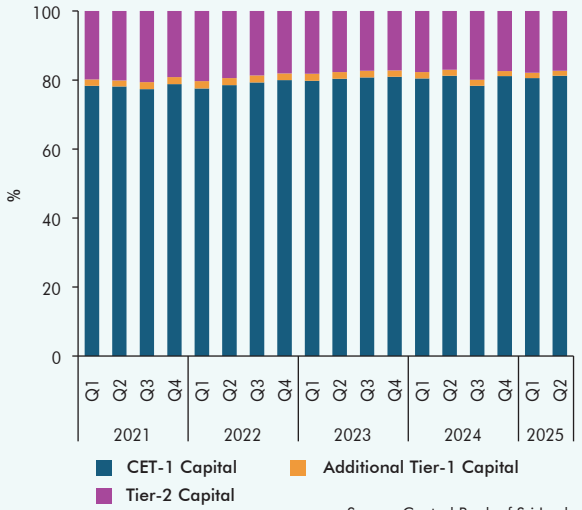
RWA for the credit risk category of the banking sector expanded due to a substantial increase in corporate and retail exposures. RWA for the credit risk category, which represents 86.8% of total RWA, increased by 12.6% y-o-y at end Q2 of 2025, mainly due to substantial increase in corporate claims[19] and retail claims.[20] Claims on corporates constitute 39.3% of the Total RWA for credit risk and increased by 21.2% y-o-y to Rs. 3.6 tn at end Q2 of 2025. The increase in RWA was further prompted by the increase in retail claims, which grew by 18.6% y-o-y to Rs. 2.5 tn at end Q2 of 2025. However, RWA for claims on public sector entities declined during the period, indicating a slowdown in lending to Government-related institutions, including SOEs.

The excess capital of D-SIBs, calculated based on the minimum regulatory requirements under Pillar 1 of the Basel framework, significantly grew during the period under consideration, supported by the strong internal capital generation, providing further space to expand their lending activities. The banking sector recorded an excess capital of Rs. 699.3 bn at end Q2 of 2025, reflecting an increase

19 Corporate claims include exposures to corporates, including exposures (loans, bonds, receivables, etc.) to incorporated entities, associations, partnerships, proprietorships, trusts, funds, and other entities with similar characteristics (BCBS Calculation of RWA for credit risk - CRE20.41)

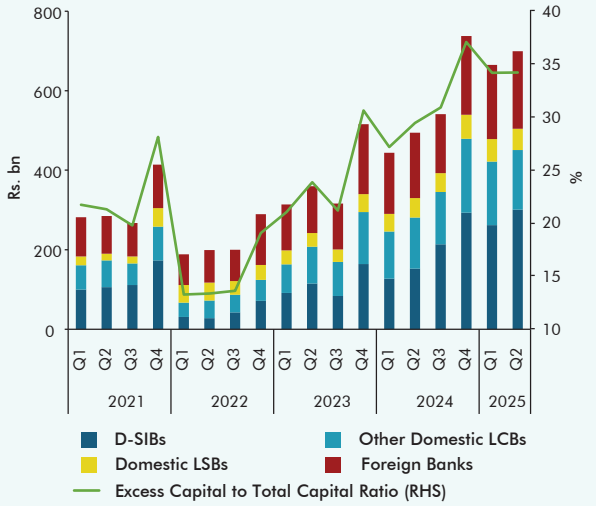
20 Retail claims include exposures to an individual person or persons; and exposures to SMEs (BCBS Calculation of RWA for credit risk - CRE20.63)

Figure 3.61 Composition of Regulatory Capital



Source: Central Bank of Sri Lanka

Figure 3.63 Capital in Excess of the Minimum Regulatory Requirement under Pillar 1



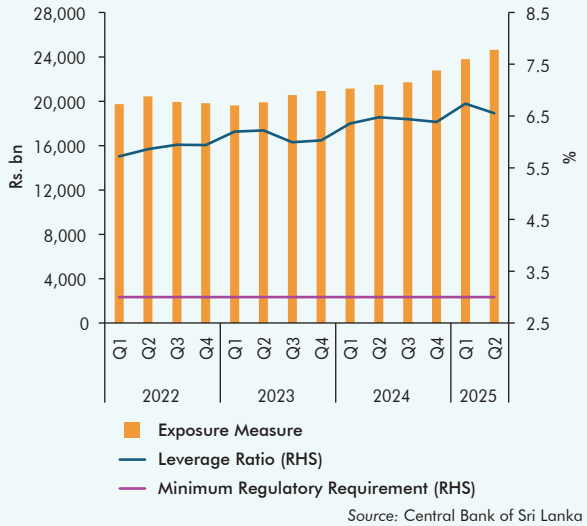
Source: Central Bank of Sri Lanka

of Rs. 204.8 bn compared to the excess capital recorded at end Q2 of 2024. The excess capital of D-SIBs grew by 97.5.% y-o-y, reaching Rs. 300.6 bn at end Q2 of 2025 and contributed 43.0% of the increase in excess capital of the sector. Furthermore, foreign banks also continued to maintain a higher level of excess capital, due to the low growth in credit and higher capital generation yet remained slightly below the excess capital level of other domestic banks. The increase in excess capital strengthens the resilience of the banking sector by providing additional buffers against potential shocks. Furthermore, it provides a leeway for the RWA to expand, which could support the banking sector's contribution to economic activity through credit growth. However, these estimates only reflect buffers over and above Pillar 1 risks, and banks are also required to hold additional capital for Pillar 2 risks as well.

The banking sector continued to record a high Leverage ratio[21] at end Q2 of 2025, though D-SIBs recorded a comparatively low Leverage ratio. Leverage ratio of the banking sector stood at 6.6% at end Q2 of 2025, which was well above the minimum regulatory requirement of 3%. D-SIBs reported the lowest Leverage ratio of 5.0% at end Q2 of 2025, which remained unchanged compared to Q2 of 2024.

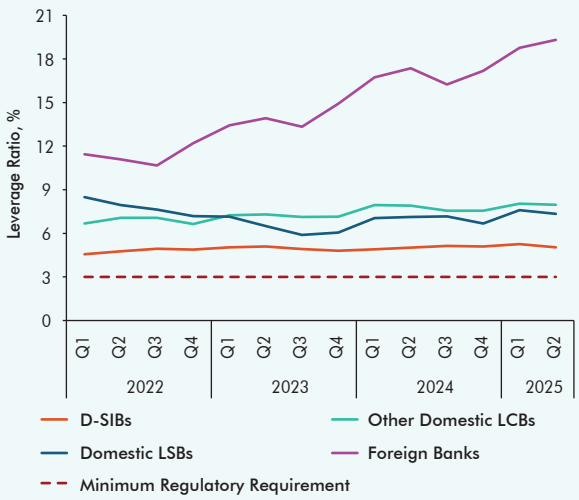
21 Leverage ratio, calculated as Tier-1 capital to total exposures, indicates the extent to which assets are funded by other than own funds. The numerator is Tier-1 capital, as defined under Basel III, while the denominator includes all balance sheet assets, derivative exposures, securities financing transaction exposures and off-balance sheet items (Financial Soundness Indicators Compilation Guide, 2019).

Figure 3.64 Leverage Ratio



Source: Central Bank of Sri Lanka

Figure 3.65 Leverage Ratio by Bank Category



Source: Central Bank of Sri Lanka

This indicates the comparatively low level of high-quality capital buffers of D-SIBs relative to the sector, which increases their vulnerability to financial shocks. Other domestic LCBs and LSBs maintained relatively strong Leverage ratios of 8.0% and 7.3%, respectively, at end Q2 of 2025. Foreign banks recorded a high Leverage ratio of 19.3% at end of Q2 of 2025, driven by a higher growth in Tier-1 capital compared to the growth in exposure measure, which remained considerably low due to low growth in credit of foreign banks.

Risks Emanating from Operations and Technologies

Operational risk emanating from IT and cybersecurity has become a key concern for the banking sector with the rapid evolution in digital transformation. The increasing threats of cyberattacks, data breaches, frauds, and other IT-related disruptions have been further amplified by the enhanced usage of Artificial Intelligence (AI). Significant cases of financial frauds disguised as attractive online offers have been reported, where mobile users inadvertently downloaded malicious apps, enabling scammers to gain easy access to banks and payment applications. Such incidents result in theft of funds, while threaten customer trust and the stability of the financial system. While regulators, including the Central Bank of Sri Lanka (CBSL), have strengthened cyber resilience frameworks, challenges

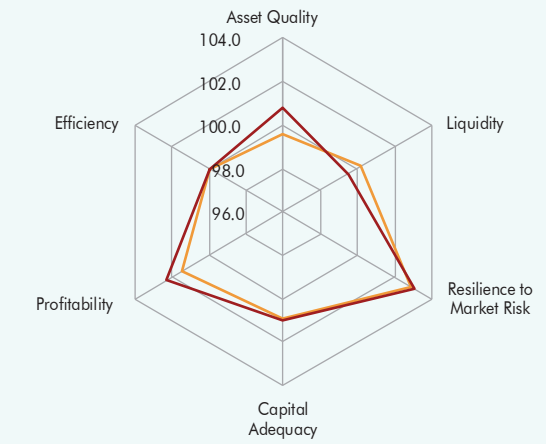
continue to remain due to poor public understanding of cyber threats, inadequate control of access, the emergence of ransomware, and the growing prevalence of social-engineering frauds. The pace of technological innovations, particularly in AI adoption and cloud computing, continues to outstrip the ability of many institutions to adapt, requiring banks to strengthen customer security, enhance awareness, and maintain proactive resilience practices.

Other operational risks of the banking sector arise from inadequate or failed internal processes, people, systems, or external events. Internal loss events involving bank staff have highlighted the need to reassess the effectiveness of existing control measures, strengthen checks and balances for financial transactions, and initiate disciplinary actions against officers involved in misconduct to prevent recurrence. The scope of operational risks extends beyond banks to finance companies, insurance companies, and financial market infrastructure providers. Disruptions in these entities can create systemic instability, harm payment and settlement systems, and undermine public confidence in the financial sector. Further, sector wide exposures related to shared service providers, third-party technology platforms, and institutional interconnections require careful monitoring and coordinated risk management among all stakeholders to mitigate risks.

3.2 Finance Companies Sector

The FCs sector demonstrated a notable expansion in terms of assets at end Q2 of 2025, reflecting a steady rebound in demand for credit. Asset quality and profitability of the sector improved notably at end Q2 of 2025 compared to end Q2 of 2024, while market risk and capital adequacy remained resilient during the period. However, liquidity of the sector slightly deteriorated during Q2 of 2025 relative to Q2 of 2024. Further, efficiency of the FCs sector marginally declined due to the rise in operating expenses as at end Q2 of 2025 compared to the corresponding period of the previous year.

Figure 3.66 Finance Companies Soundness Map*



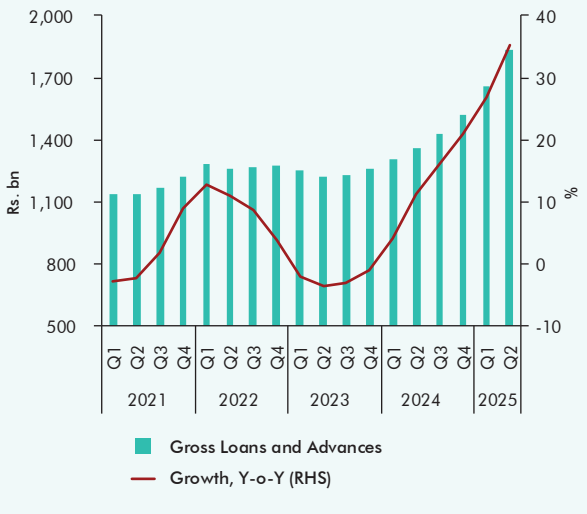
*Deviation from the centre indicates a positive impact to the FCs sector stability.

Source: Central Bank of Sri Lanka

Credit Risk

Lending activities of the FCs sector reported a significant expansion in H1 of 2025, supported by an increased demand for credit amidst easing macroeconomic conditions, reduction in market interest rates, and lifting of vehicle import restrictions. Accordingly, gross loans and advances of the sector grew significantly by 35.1% y-o-y at end Q2 of 2025, compared to a 11.4% growth reported at end of the corresponding period of the previous year. The increase in demand for credit supported by the lifting of all vehicle import restrictions by February 2025 after a period of approximately five years,

Figure 3.67 Gross Loans and Advances



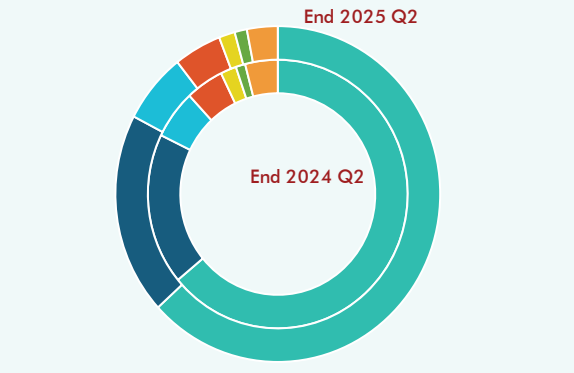
Source: Central Bank of Sri Lanka

mainly contributed to this significant credit expansion. Accordingly, vehicle backed loans recorded a notable increase of 33.4% y-o-y at end Q2 of 2025, out of which 65.1% was granted in 2025, underscoring the strong resurgence of vehicle financing following the policy relaxation. This sharp expansion in vehicle backed lending kept the concentration risk elevated for the sector, affecting the asset quality reinforced by any fluctuations in vehicle market prices and borrower repayment capacity.

The FCs sector recorded a strong credit growth amidst rising demand for credit along with lifting of vehicle import restrictions…

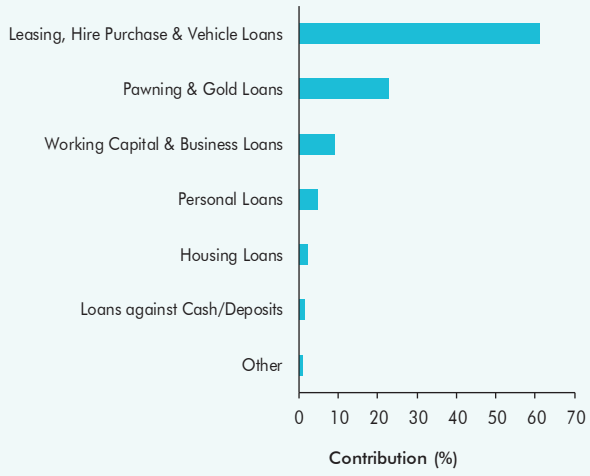
The credit portfolio of the FCs sector remained heavily concentrated to motor vehicle and gold backed lending products, posing collateral risk to the FCs sector. By end Q2 of 2025, these two categories together accounted for 82.6% of total loans and advances of FCs, underlining the sector's significant exposure to a narrow range of collateral types. As at end Q2 of 2025, vehicle backed loans grew by 33.4% y-o-y, whilst gold backed loans increased by 43.8% y-o-y, amidst continuous increase in global gold prices during the same reference period. The higher growth in gold backed lending indicates households' continued reliance on gold as a liquid asset for urgent financing requirements amid lingering income pressures. Such concentration into collateral based lending poses a risk to asset quality in the event of substantial price fluctuations in the underlying assets. Additionally, as at end Q2 of 2025, working capital and business loans of the FCs sector increased by 55.3% y-o-y, recording the fastest y-o-y growth among loan categories; however, their contribution to the overall portfolio remained relatively small, highlighting limited credit diversification of the sector.

Figure 3.68 Composition of Gross Loans and Advances



Source: Central Bank of Sri Lanka

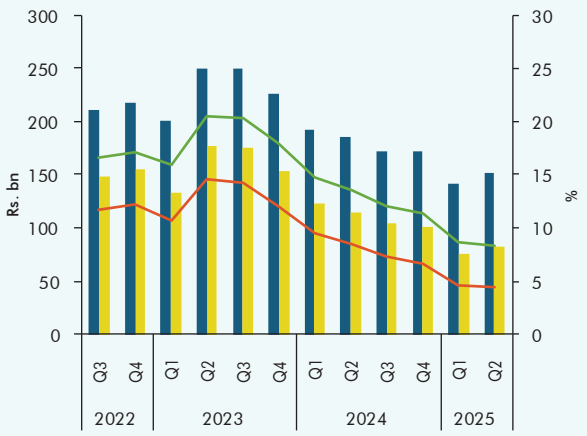
Figure 3.69 Product wise Contribution to the Y-o-Y Credit Growth



Source: Central Bank of Sri Lanka

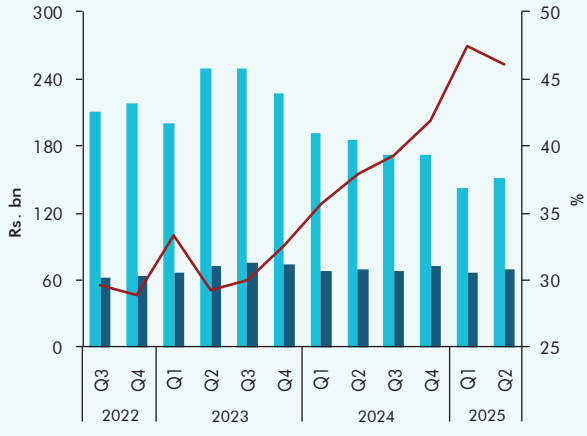
The asset quality of the FCs sector continued to improve during the period under review amidst improved macroeconomic conditions. Gross Stage 3 Loans of the sector declined by 18.0% y-o-y along with the significant increase in credit by 35.1% y-o-y, leading to a decline in the Gross Stage 3 Loans ratio to 8.3% at end Q2 of 2025, compared to 13.6% at end of the corresponding period of the previous year. Similarly, Net Stage 3 Loans of the sector contracted by 28.7% y-o-y, contributing to the decline in the Net Stage 3 Loans ratio to 4.5% y-o-y at end Q2 of 2025 from 8.4% at end Q2 of 2024. The category wise analysis based on the assets size highlighted that all three FCs categories (large, medium, small) recorded downward trends of Stage 3 Loans ratios by end Q2 of 2025, suggesting a broader improvement in asset quality. However, small FCs continued to display

Figure 3.70 Stage 3 Loans Ratios



Source: Central Bank of Sri Lanka

Figure 3.72 Stage 3 Impairment Coverage Ratio

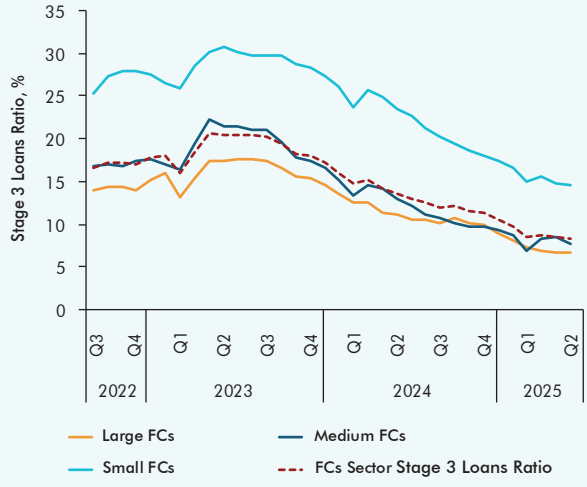


Source: Central Bank of Sri Lanka

significantly weaker credit performance, with an elevated Stage 3 Loans ratio of 14.5%, compared to 7.8% of medium FCs and 6.6% of large FCs as at end Q2 of 2025. This divergence underscores the importance of strengthening credit risk management frameworks among smaller institutions.

The Stage 3 Impairment Coverage ratio of the sector further strengthened at end Q2 of 2025, continuing with the upward trend started since Q3 of 2023, largely due to the decline in Stage 3 Loans.

Figure 3.71 Gross Stage 3 Loans Ratio by FCs Size*



*32 companies in the FCs sector are divided into three subcategories based on the assets base as at end Q2 of 2025. Accordingly, FCs with an asset base of over Rs. 100 bn, between Rs.50 bn to Rs. 100 bn, and less than Rs. 50 bn are classified as large, medium, and small FCs, respectively. With that, large, medium, and small sectors comprise of 7, 6, and 19 FCs, respectively.

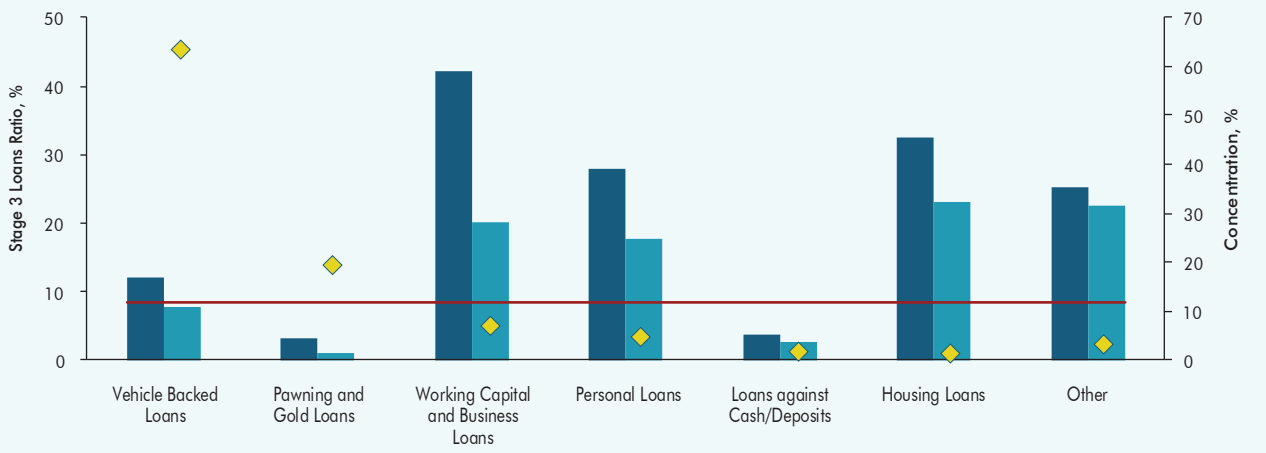
Source: Central Bank of Sri Lanka

The Stage 3 Impairment Coverage ratio notably improved to 46.1% at end Q2 of 2025, compared to 37.9% at end of the corresponding period of the previous year, indicating a larger impairment buffer against potential credit losses. Despite this improvement, the sector recorded a marginal reduction in absolute impairment, with the declines in impairment for Stage 3 Loans and total loans and advances by 0.4% and 1.9% y-o-y, respectively, at end Q2 of 2025. While the improvement in the Impairment Coverage ratio enhances the resilience of the sector, the overall Impairment Coverage ratio of the FCs sector continued to remain lower than that of the banking sector. Given the relatively weaker credit profiles of FCs borrowers compared to banks, maintaining a higher level of impairment would be prudent to safeguard against potential vulnerabilities in the event of adverse macroeconomic or sector-specific shocks.

Stage 3 Loans ratios for housing loans, working capital and business loans, personal loans, and other credit facilities remained elevated, standing noticeably higher than the FCs sector average. However, the risk exposure of these segments is somewhat contained given their relatively small collective share of 15.8% of the total loan portfolio.[22]

22 When the facilities granted for margin trading (reported Stage 3 Loans ratio of 3.0%) are excluded from "other credit facilities" the collective share of these segments amounts to 14.5% of the total loan portfolio.

Figure 3.73 Product wise Stage 3 Loans Ratios



Source: Central Bank of Sri Lanka

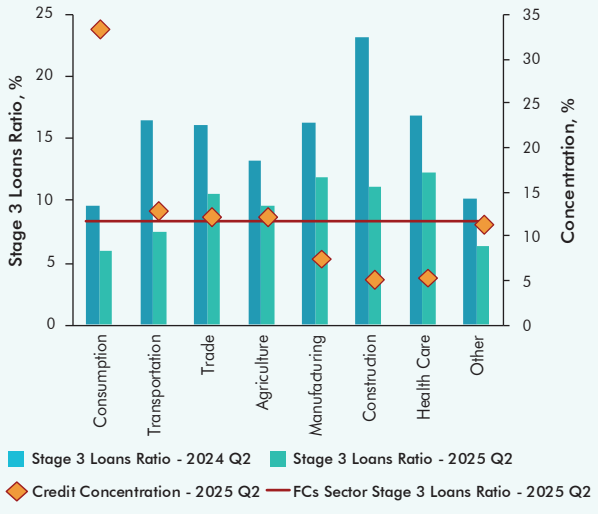
In contrast, vehicle backed lending and gold backed loans, which dominate the FCs sector credit portfolio, reported lower Stage 3 Loans ratios of 7.7% and 1.0% respectively, at end Q2 of 2025. This indicates that while concentration risk remains high, the dominant product categories currently exhibit stronger asset quality compared to smaller, riskier segments. Whilst credit quality of all sectors improved during the period under review, Stage 3 Loans ratios for health care and support services, manufacturing, construction and infrastructure development, and wholesale and retail sectors remained elevated as at end Q2 of 2025.

Liquidity Risk

Liquid assets of the FCs sector continued to remain above the minimum regulatory requirement as at end Q2 of 2025, despite recording a y-o-y contraction for the fourth consecutive quarter. Total liquid assets of the FCs sector declined by 7.3% y-o-y at end Q2 of 2025 amidst a significant growth of loans portfolio. Moreover, the Liquid Assets to External Funds[23] ratio of the FCs sector reduced to 15.0% by end Q2 of 2025 compared to 20.9% reported in Q2 of the previous year, while the Liquid

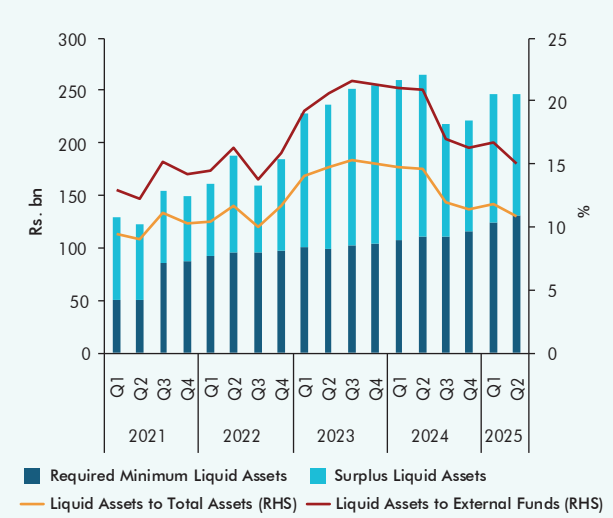
23 The FCs sector external funds consist of deposits and borrowings.

Figure 3.74 Sector wise Stage 3 Loans Ratios



Source: Central Bank of Sri Lanka

Figure 3.75 Regulatory Liquid Assets to External Funds and Total Assets



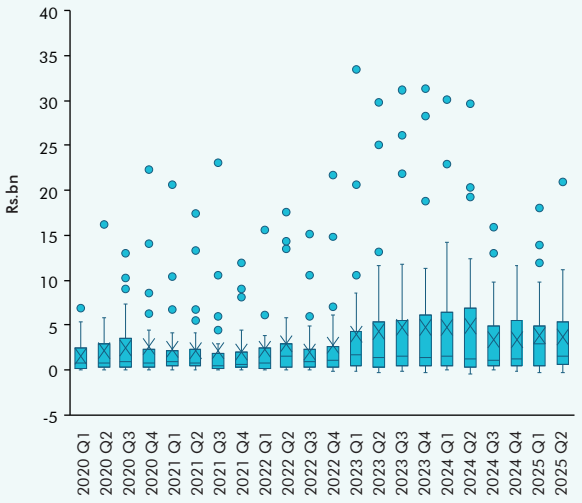
Source: Central Bank of Sri Lanka

Assets to Total Assets ratio also declined to 10.8% from 14.7% during the same reference period, due to higher expansion of loans and advances along with the contraction in liquid assets.

Holdings of government securities remained the largest component of the FCs sector's liquid assets portfolio, while deposits in commercial banks by FCs reported a significant growth during the period. FCs invested heavily in government securities since the second half of 2022 and throughout 2023 due to the high yields prevailed and the inherent risk-free nature of these securities. By end Q2 of 2025, investments in such securities accounted for 61.6% of total liquid assets compared to 69.8% reported in the corresponding period of the previous financial year, subsequent to a contraction of 18.2% y-o-y at end Q2 of 2025, which could be attributed to the significant expansion in credit. Furthermore, FCs sector deposits with commercial banks significantly grew by 51.9% y-o-y to Rs. 51.7 bn representing 21.0% of liquid assets of the sector, evidencing an increased interconnectedness between FCs and banks.

The funding structure of the FCs sector experienced significant shifts during the period under review, with a notable move towards borrowings as an alternative funding source. Borrowings of the sector increased substantially by 75.9% on a y-o-y basis, compared to the marginal

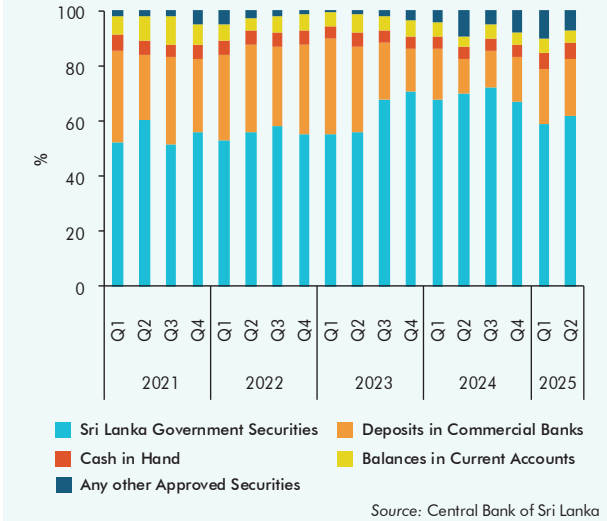
Figure 3.77 Distribution of Surplus Liquid Assets



Source: Central Bank of Sri Lanka

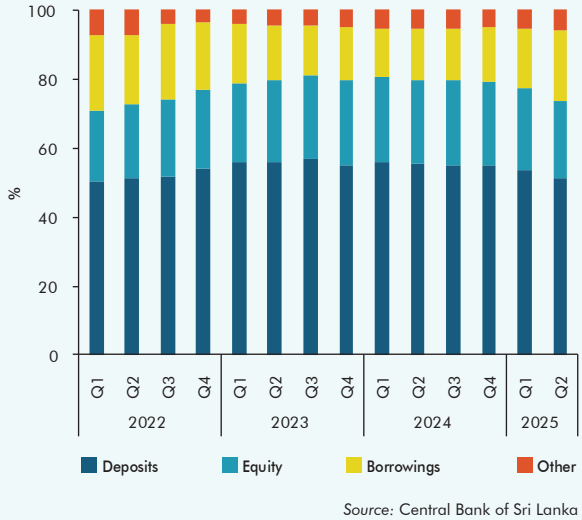
4.7% growth reported at end Q2 of 2024, reaching Rs. 472.1 bn at end Q2 of 2025. As a result of this shift, borrowings as a share of external fundings increased to 28.8% at end Q2 of 2025 from 21.1% reported at Q2 of 2024. This increasing reliance on borrowing could incur potential vulnerabilities in the sector, as borrowings remain a relatively less stable source of funding compared to deposits. Meanwhile, although public deposits with FCs only grew by 16.3% y-o-y to Rs.1,165.9 bn and its share in total funding declined to 51.1% by end Q2 of 2025, it remained the largest funding source of the FCs sector, followed by equity of Rs. 510.0 bn representing 22.4% share of total funding.

Figure 3.76 Composition of Liquid Assets



Source: Central Bank of Sri Lanka

Figure 3.78 Funding Structure of the FCs Sector



Source: Central Bank of Sri Lanka

The contractual maturity gap profile of the FCs sector revealed increased short term liquidity pressures in Q2 of 2025, mainly due to the substantial credit expansion. Maturity gap analysis of the sector indicated a notable shift in liquidity risk exposures between Q2 of 2024 and Q2 of 2025. In the very short term bucket (less than 7 days), the sector continued to maintain a surplus; however, a significant deterioration was observed in the 7–30 days bucket, where a marginal surplus in Q2 of 2024 turned into a sizeable deficit of Rs. 38.8 bn in Q2 of 2025, reflecting short term funding pressures. The medium term mismatches (3–12 months) remained negative, while the sector continued to record sizeable surpluses over the longer horizon, particularly in the 3–5 years bucket, which expanded sharply from Rs. 48.1 bn at end Q2 of 2024 to Rs. 182.1 bn at end Q2 of 2025. Nevertheless, the cumulative gap as a percentage of cumulative outflows shows a declining liquidity position in the immediate term, falling from 103.9% to 68.5% in the less than 7-days bucket, and from 37.6% to 12.2% in the 7–30 days bucket. These developments highlight increased short term refinancing risks, even though structural liquidity remains supported by longer term positive mismatches. However, the actual liquidity conditions of the FCs sector may differ when the behavioural maturities are factored into the contractual maturities, potentially altering the sector's short term liquidity dynamics.

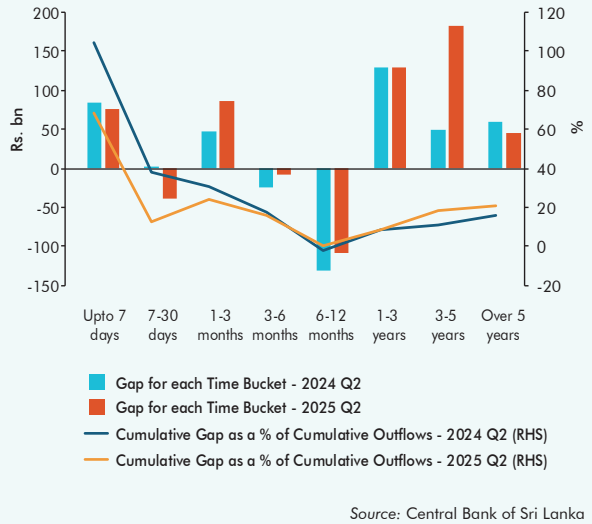
Profitability

Profit After Tax (PAT) of the FCs sector during Q1 of the financial year 2025/26[24] (hereafter referred to as Q2 of 2025) significantly increased mainly due to the robust growth in interest income. The sector's PAT during Q2 of 2025 was Rs. 18.0 bn, recording a significant growth of 59.3% on a y-o-y basis. The increase in Net Interest Income (NII) was the main contributor to the improved profitability during the period considered. However, rise in taxes, together with higher operating expenses primarily stemming from employee remunerations, negatively impacted PAT during the period considered. Moreover, seven largest companies, which represented 63.6% market share, became the dominant contributors to the FCs sector profitability in Q2 of 2025, accounting for 79.5% of the sector's total profit.

NII of the FCs sector significantly grew by 28.3% y-o-y to Rs. 57.0 bn in Q2 of 2025, compared to Rs. 44.4 bn reported a year ago. This growth was primarily attributed to the substantial expansion in interest income from loans and advances, which increased by 19.3% on a y-o-y basis in Q2 of 2025, demonstrating the sector's enhanced lending activities. Furthermore, the sector benefited from reduced interest expenses for deposits by 10.3% y-o-y

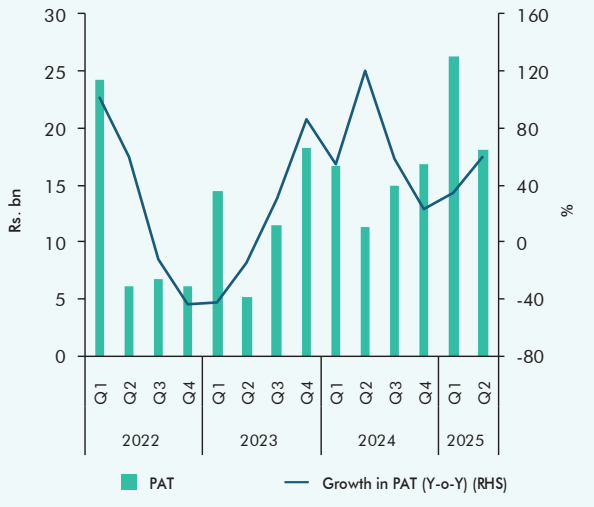
24 Financial year for FCs starts from 01 April in a given year and ends on 31 March of the following year.

Figure 3.79 Maturity Gap by Time Period



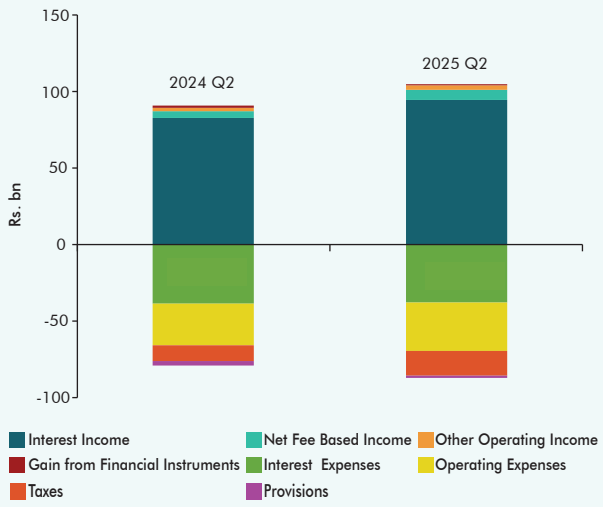
Source: Central Bank of Sri Lanka

Figure 3.80 Quarterly PAT



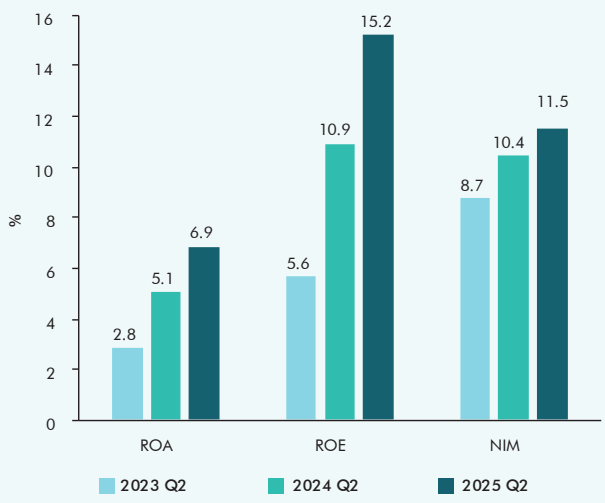
Source: Central Bank of Sri Lanka

Figure 3.81 Components of PAT of Q2 of 2024 and Q2 of 2025



Source: Central Bank of Sri Lanka

Figure 3.83 Profitability Indicators

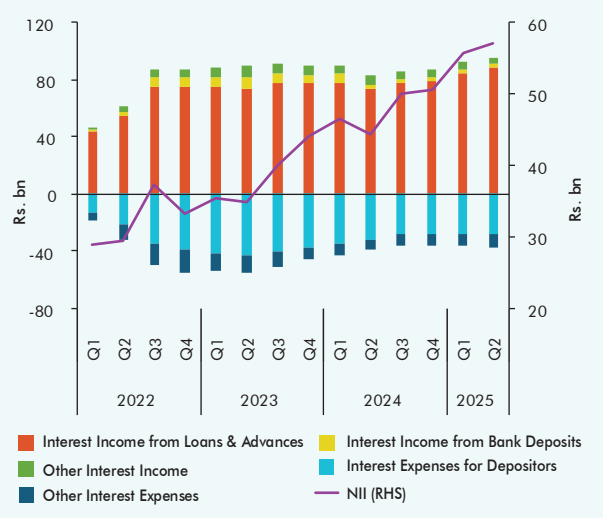


Source: Central Bank of Sri Lanka

during the period under consideration, contributing to the improved NII. This decline in interest expenses was mainly caused by declining market interest rates, which enabled FCs to reduce their cost of funds.

The continued increase in profitability of the FCs sector was further evident by the improved key profitability ratios in Q2 of 2025. Return on Assets (ROA) and Return on Equity (ROE) of the sector increased to 6.9% and 15.2%, respectively, in Q2 of 2025 compared to 5.1% and 10.9%, respectively, reported in Q2 of 2024. The number of companies recording a negative ROA declined from five in Q2 of 2024 to two in Q2 of 2025, indicating a broad-based recovery in profitability. Showing a significant improvement, 20 companies reported ROE above 10% in Q2 of 2025 relative to 13 FCs reported in the corresponding quarter of the previous year. Furthermore, the Net Interest Margin (NIM) of the FCs sector reached 11.5% in Q2 of 2025, marking the highest ratio during the last five years. This momentum in NIM reflects the rapid expansion in business of the sector and the sharp repricing of interest bearing liabilities compared to interest bearing assets during the monetary easing cycle. Furthermore, the risk based pricing adopted by FCs given the nature of its business models that mostly cater to sub-prime

Figure 3.82 Quarterly NII



Source: Central Bank of Sri Lanka

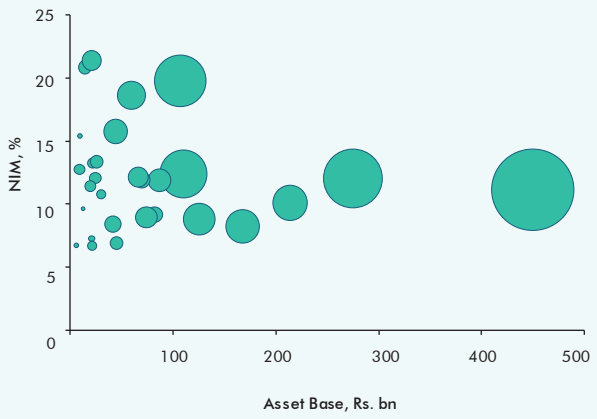
Table 3.1 FCs Distribution by Profitability Indicators

No. of FCs / Indicator (%)	ROA		ROE		NIM	
	2024 Q2	2025 Q2	2024 Q2	2025 Q2	2024 Q2	2025 Q2
Below 0	5	2	6	2	1	1
0 to 5	16	15	6	6	2	1
5 to 10	10	10	8	4	13	10
Above 10	2	5	13	20	17	20
Total FCs*	33	32	33	32	33	32

*The number of companies considered reduced from 33 in 2024 Q2 to 32 in 2025 Q2, following the merger of one FC with another in 2025.

Source: Central Bank of Sri Lanka

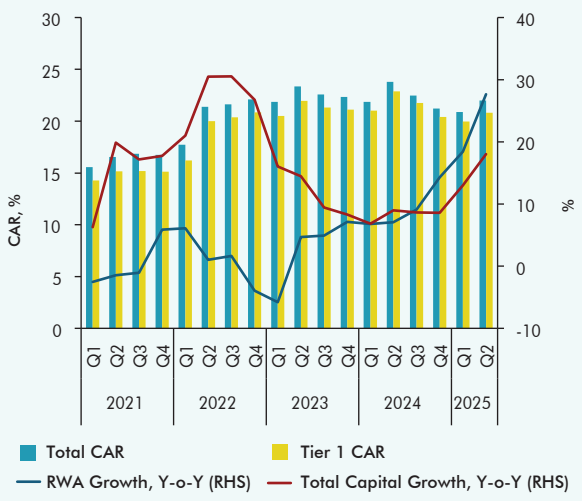
Figure 3.84 NIM of the FCs Vs. Asset Base and PAT (Q2 of 2025)*



*The size of each bubble reflects the PAT reported by the respective FC in Q2 of 2025. Two FCs that recorded losses during the same reference period are excluded from this chart.

Source: Central Bank of Sri Lanka

Figure 3.85 Capital Adequacy Ratios



Source: Central Bank of Sri Lanka

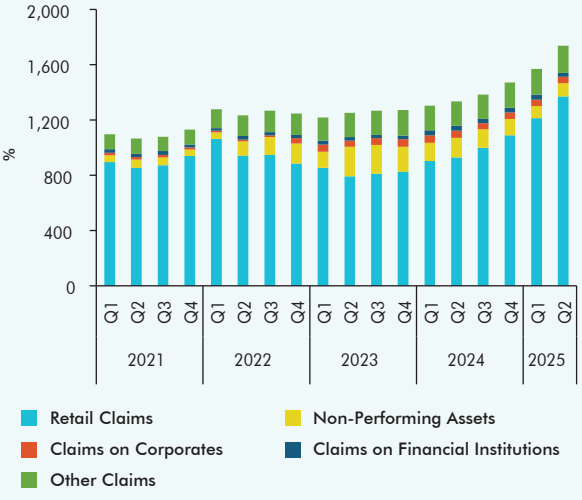
customer segments with elevated credit risk, further supported the high NIM of the sector. Moreover, 20 FCs recorded NIMs exceeding 10% in Q2 of 2025 compared to that of 17 in Q2 of 2024, reflecting the increasing reliance on interest income across the sector.

Capital Adequacy

Although a marginal deterioration in capital adequacy was observed at end Q2 of 2025 compared to Q2 of 2024, both regulatory minimum capital adequacy requirements and minimum core capital requirement of the FCs sector remained resilient. Capital Adequacy Ratios (CARs) of the FCs sector marginally deteriorated by end Q2 of 2025 compared to end Q2 of 2024, mainly due to the increase in Risk Weighted Assets (RWA) consequent to the substantial credit expansion. As at end Q2 of 2025, Total CAR and Tier-1 CAR of the sector declined to 22.0% and 20.8%, respectively, compared to 23.8% and 22.9%, respectively, reported at end of the corresponding period of the previous year. The RWA grew significantly by 27.7% y-o-y, whilst total regulatory capital reported a relatively lesser growth of 16.1% y-o-y, leading to the decline in capital ratios during the period considered. Nevertheless, except for one company[25], all FCs were compliant with the minimum capital adequacy requirements as at end Q2 of 2025. Additionally, except for three companies that collectively accounted only for 1.5% of the market share of the sector, all other companies were compliant with minimum core capital requirement of Rs. 2.5 bn as at end Q2 of 2025.

Reflecting the expansion of credit portfolio, RWAs of the FCs sector under the credit risk category recorded a significant growth at end Q2 of 2025. RWAs for credit risk accounted for 88.2% of total RWAs of the sector and increased by 30.2% y-o-y by end Q2 of 2025. It mainly consisted of retail claims which significantly grew by 47.5% y-o-y to Rs. 1,369.5 bn at end Q2 of 2025, indicating the rapid credit expansion in the sector.

Figure 3.86 RWA for Credit Risk



Source: Central Bank of Sri Lanka

25 CBSL has appointed an administrator for this FC on 04 July 2025, initiating the resolution process under the Banking (Special Provisions) Act, No. 17 of 2023.

Special Note 3

Strengthening Sri Lanka's Financial System Resilience through the Resolution Framework

The stability of a nation's financial system is crucial, as its disruption can have extensive adverse economic and social consequences. Within this system, Licensed Banks (LBs) and Finance Companies (FCs) licensed by the Central Bank of Sri Lanka (CBSL) play a central role; their failures cannot be treated like those of ordinary firms. A credible resolution framework ensures that such distress is managed in an orderly manner, preserving stability, protecting depositors, preventing contagion and avoiding taxpayer-funded bailouts thereby sustaining confidence in the financial system and the economy as a whole.

Recognising this, Sri Lanka has taken a significant step forward with the introduction of a comprehensive resolution framework for Financial Institutions (FIs) under the Banking (Special Provisions) Act, No. 17 of 2023 (BSPA). Aligned with international best practices, the framework equips CBSL with necessary legal and operational tools to manage distress in LBs and FCs (hereinafter collectively referred to as Licensed Financial Institutions (LFIs)) in an orderly manner, thereby safeguarding financial stability and resilience.

Why Does a Resolution Framework Matter?

FIs are integral to the payment system, credit intermediation, and mobilisation of public savings. However, even well-managed FIs may face distress due to external shocks, governance weaknesses or market disruptions. Without an effective resolution framework, such failures could trigger contagion, erode confidence, and impose significant fiscal costs.

The BSPA addresses these risks by enabling failing LFIs to be resolved in a structured and transparent manner. This ensures that critical financial functions are preserved, depositors are protected, contagion is contained, and reliance on taxpayer-funded bailouts is minimised. In doing so, the framework strengthens governance, promotes market discipline and enhances confidence in Sri Lanka's financial system.

Key Features of Sri Lanka's Resolution Framework

The BSPA empowers CBSL, as the resolution authority, to resolve LFIs subject to capital, liquidity, insolvency or any other risks in a timely manner. The objective is to safeguard financial stability by restoring distressed LFIs to viability where possible, protecting depositors and creditors, and ensuring that failures are managed in an orderly manner. The framework also provides for a depositor insurance scheme and a structured winding-up process when resolution is not feasible.

In exercising its resolution mandate, CBSL considers the structure, scale, complexity, interconnectedness, and risk profile of the LFI concerned. Under this framework, CBSL takes its best effort to ensure the stability of the financial system, the continuity of critical functions of distressed LFIs, protection of public funds by minimising the usage of Government financial support, the protection of depositors, minimising losses to creditors, and minimising overall cost of resolution of such institutions.

The resolution authority identifies and intervenes early through a set of pre-defined resolution triggers which provide objective criteria for initiating corrective and resolution actions on a distressed LFI. These triggers are linked to prudential indicators such as capital adequacy, liquidity and asset quality, while qualitative factors are also continuously assessed through the supervisory process. This enables CBSL to act promptly when an LFI shows signs of distress. By doing so, the authority ensures that failing LFIs are addressed in a timely and orderly manner, minimising disruption to the financial system.

Where an LFI is determined to be no longer viable or likely to be no longer viable and has no reasonable prospects of viability, CBSL may deploy any of the main resolution tools, such as appointment of an Administrator, effect a transfer of shares or assets and liabilities, cause capital infusion through existing and new shareholders, establishment of a bridge bank or provide temporary financial assistance with the support of the Government. In addition, the BSPA empowers CBSL to use such other resolution powers including removal or replacement of key positions or any employee, override the rights of shareholders, restructure or wind-down the operations, allocate losses to shareholders and subordinated debt holders and do any other activities, as necessary.

The framework also mandates resolution planning for all systemically important and impacted LFIs in keeping with international standards, allowing proactive identification of impediments and mitigation measures before a crisis arises.

The Financial Stability Fund as a Mechanism for Resolution Funding

The effectiveness of the resolution framework under the BSPA depends not only on strong legal powers but also on the availability of credible financial support in times of crisis. In this context, the Financial Stability Fund (FSF) has been established with the initial corpus provided by the Government, and the fund can be utilised for the establishment of a bridge bank, to provide temporary financial assistance by the Government or to capitalise a systematically important and impacted LFI. Over time, with the allocation of additional

funds by the Government, the FSF is expected to evolve into a self-sustaining fund, reinforcing Sri Lanka's financial safety net and further enhancing confidence in the stability of the financial system.

Enhancing Resilience through Preparedness

While a strong legal framework is essential, effective resolution also depends on operational readiness. To this end, CBSL has undertaken several initiatives to strengthen preparedness. These include developing a resolution policy and internal procedures, as well as building institutional capacity through the technical assistance provided by the Asian Development Bank (ADB), International Monetary Fund (IMF), and the World Bank. In addition, CBSL has introduced standardised data templates for LBs to collect resolution related information enabling timely access to critical data for resolution planning. Similarly, data templates will also be extended to FCs in the future to further strengthen the resolution planning framework across the sector.

Alignment with International Standards

Sri Lanka's resolution framework has been designed in line with the Financial Stability Board's (FSB) Key Attributes of Effective Resolution Regimes for FIs, which serve as the global standard for effective resolution practices. This alignment not only strengthens confidence among domestic stakeholders but also facilitates cross-border cooperation in developing the resolution framework. By maintaining consistency with evolving global practices, the framework ensures that Sri Lanka's financial safety net remains credible, resilient and well-integrated with international standards.

Resolution as a Pillar of Stability

The resolution framework is more than a crisis management tool. It represents an important element of Sri Lanka's financial stability. By empowering CBSL to act decisively in times of institutional distress, it reduces the risk of systemic disruptions, safeguards critical financial services, and limits reliance on public funds.

Looking ahead, strengthening operational capacity, enhancing inter-agency coordination and fostering greater industry awareness will be vital to ensure the framework's effectiveness. The CBSL remains committed to continuous improvement and collaboration with stakeholders, thereby embedding resolution as an integral element of Sri Lanka's financial system resilience.

References

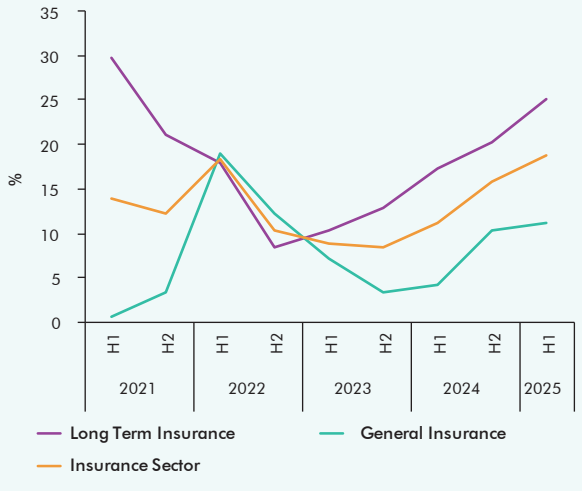
1. Central Bank of Sri Lanka (2023), Banking (Special Provisions) Act, No. 17 of 2023.
2. Financial Stability Board (2024), Key Attributes of Effective Resolution Regimes for Financial Institutions (Revised version).

3.3 Insurance Sector

Insurance penetration in the country improved during H1 of 2025 compared to H1 of 2024. Insurance penetration, as measured by annualised Gross Written Premium (GWP)[26] as a percentage of GDP[27] slightly improved to 1.2% at end H1 of 2025 compared to 1.1% at end H1 of 2024. The long term insurance subsector mainly contributed to insurance penetration in the country with a higher GWP.

The insurance sector demonstrated a notable growth in terms of GWP during H1 of 2025 compared to the corresponding period of 2024. GWP of the insurance sector grew by 18.9% y-o-y during H1 of 2025, primarily supported by the long term insurance subsector, in which GWP grew significantly by 25.0% y-o-y during H1 of 2025 compared to 17.4% y-o-y growth recorded in H1 of 2024. The GWP growth of the general insurance subsector also increased to 11.2% y-o-y during H1 of 2025 compared to 4.2% y-o-y growth recorded during H1 of 2024. With the continued revival of economic activities, GWP expanded across all categories in the

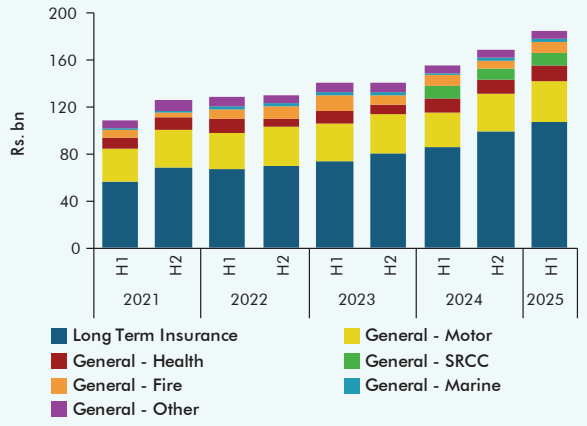
Figure 3.87 Growth in GWP (Y-o-Y)



Source: Insurance Regulatory Commission of Sri Lanka

26 Gross Written Premium is the total revenue from a contract expected to be received by an insurer before deductions for reinsurance or ceding commissions.
27 Gross Domestic Product for 2024 was used in the computation.

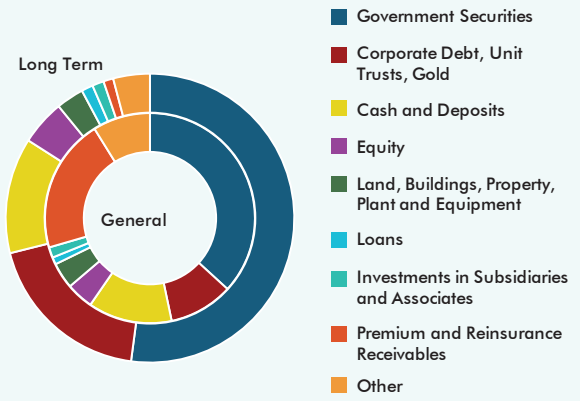
Figure 3.88 Subsector wise GWP*



*From Q2 of 2024, SRCC (Strikes, Riots and Civil Commotion) under General Insurance sub-sector has been presented separately according to the Cabinet Approval Memorandum Number MF/PE/007/CM/2024/098.

Source: Insurance Regulatory Commission of Sri Lanka

Figure 3.90 Composition of Assets of General and Long Term Insurance Subsectors



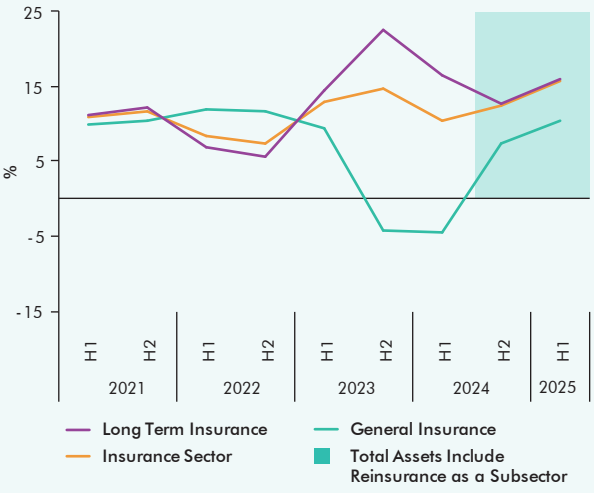
Source: Insurance Regulatory Commission of Sri Lanka

general insurance subsector in H1 of 2025, with motor insurance reporting the highest growth of 18.3% on a y-o-y basis.

Assets of the insurance sector[28] considerably grew on a y-o-y basis at end Q2 of 2025, primarily supported by the asset expansion in long term insurance. Out of the total assets of the insurance sector, long term insurance accounted for 75.7%, while general and reinsurance subsectors represented 23.3% and 1.0%, respectively, at end Q2 of 2025. Asset growth of the insurance sector improved to 15.7% y-o-y at end Q2 of 2025 compared to a growth of 10.5% y-o-y at end Q2 of 2024. Asset growth of the general insurance subsector significantly improved to 10.5% at end Q2 of 2025 compared to the contraction of 4.5% recorded at end Q2 of 2024, whilst asset growth of the long term insurance subsector slightly declined to 15.9% y-o-y at end Q2 of 2025 compared to 16.5% y-o-y recorded at end Q2 of 2024. Assets of general insurance expanded during the period mainly due to investments in equities, and reinsurance and premium receivables, while assets of life insurance increased mainly due to investments in government securities, corporate debt, and deposits. Furthermore, the share of government securities of long term insurance and general insurance subsectors out of their respective asset bases declined to 52.1% and 36.8%, respectively, at end Q2 of 2025, compared to 55.9% and 39.6%, respectively, at end Q2 of 2024, despite government securities continuing to dominate the asset portfolio of both general and long term insurance subsectors.

28 The total assets of the insurance sector include assets of the reinsurance sector from Q4 of 2024 onwards. Compulsory cession of reinsurance premiums ceded to the National Insurance Trust Fund (NITF) from the general insurance business is reported as a separate sub-sector since Q4 of 2024.

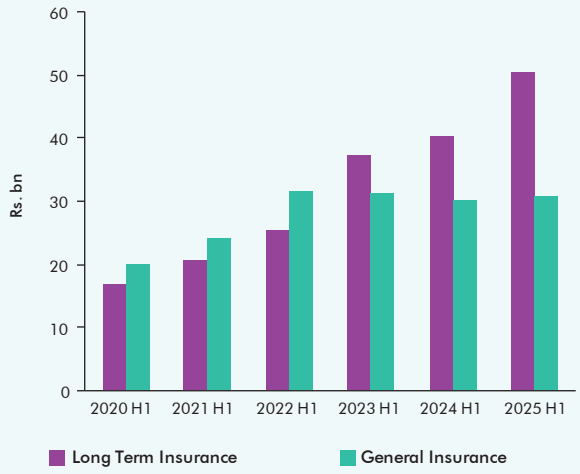
Figure 3.89 Growth in Assets (Y-o-Y)



Source: Insurance Regulatory Commission of Sri Lanka

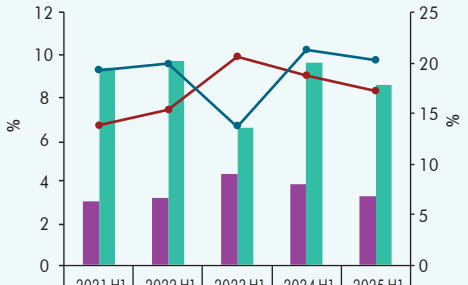
In H1 of 2025, the y-o-y growth in long term insurance claims was significantly higher than that of general insurance claims. Accordingly, long term insurance claims increased by 25.4%, while general insurance claims increased by 2.2% in H1 of 2025 compared to the corresponding period of the previous year. Within general insurance, claims on health insurance recorded the highest increase of 13.7% y-o-y, while motor insurance, which accounted for 57.5% of all general insurance claims, recorded a lower growth of 5.9% y-o-y in H1 of 2025.

Figure 3.91 Claims Paid by General and Long Term Insurance Subsectors



Source: Insurance Regulatory Commission of Sri Lanka

Figure 3.93 ROA and ROE



	2021 H1	2022 H1	2023 H1	2024 H1	2025 H1
Long Term - ROA (%)	3.0	3.2	4.3	3.8	3.2
General - ROA (%)	9.4	9.7	6.5	9.6	8.6
Long Term - ROE (%) (RHS)	13.9	15.4	20.6	18.7	17.2
General - ROE (%) (RHS)	19.3	19.9	13.6	21.4	20.2

Source: Insurance Regulatory Commission of Sri Lanka

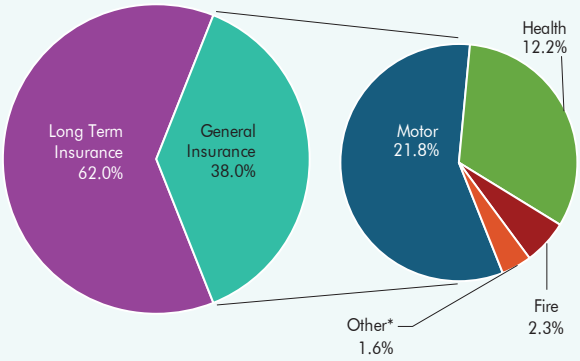
Both subsectors reported a downturn in profitability, as reflected by lower Return on Assets (ROA) and Return on Equity (ROE) in H1 of 2025. ROA of the long term insurance subsector decreased to 3.2% in H1 of 2025 from 3.8% in H1 of 2024, while ROA of the general insurance subsector declined to 8.6% in H1 of 2025 from 9.5% in H1 of 2024, indicating declined profitability relative to assets of both subsectors. Similarly, the decline in ROE of the long term insurance subsector to 17.2% in H1 of 2025 from 18.7% in H1 of 2024, compared to the decline of ROE of general insurance subsector to 20.2% in H1 of 2025 from 21.4% in the corresponding period of the previous year also indicated a moderate financial performance of both subsectors during the period under consideration. However, general insurance subsector's Profit Before Tax (PBT) reported a notable increase of 20.5% y-o-y in H1 of 2025.

Combined Operating Ratio (COR), which comprises Loss ratio[29] and Management Expense ratio[30], consistently exceeded 100% since 2022 for general insurance, indicating that underwriting operations remained weak during the period.

29 Loss ratio is the proportionate relationship of incurred losses to earned premiums expressed as a percentage. (*International Risk Management Institute, Inc.*). Loss ratio is calculated as the proportion of claims to net earned premium.

30 Management Expense ratio refers to the proportion of costs such as underwriting, operating and administration costs, financing costs, other insurance related costs and profit attributable to unit holders to net premiums earned.

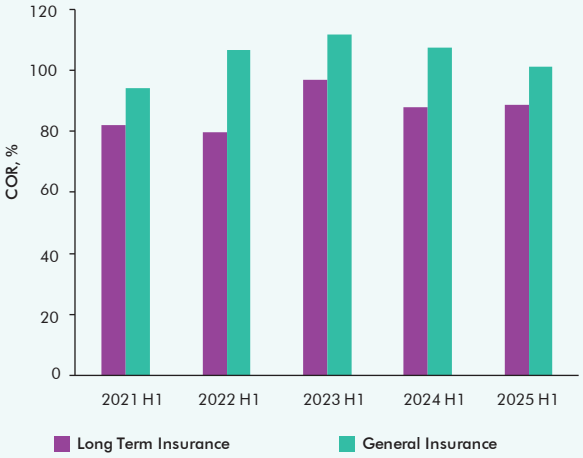
Figure 3.92 Claims Paid in H1 of 2025



*Includes claims paid under Marine, SRCC, and Other categories of general insurance subsector.

Source: Insurance Regulatory Commission of Sri Lanka

Figure 3.94 Subsector wise Combined Operating Ratio



Source: Insurance Regulatory Commission of Sri Lanka

Figure 3.95 Long Term Insurance Profitability - Loss Vs. Retention Ratios

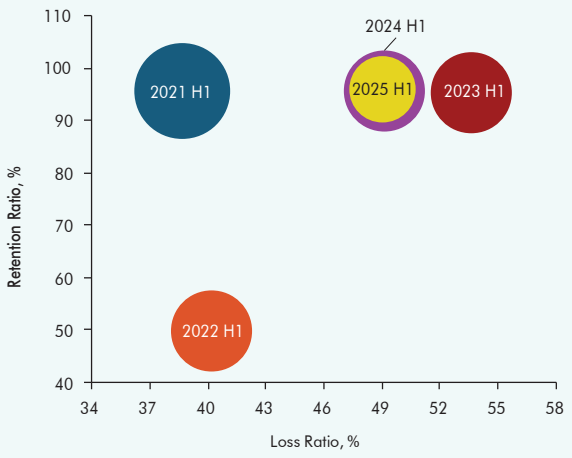
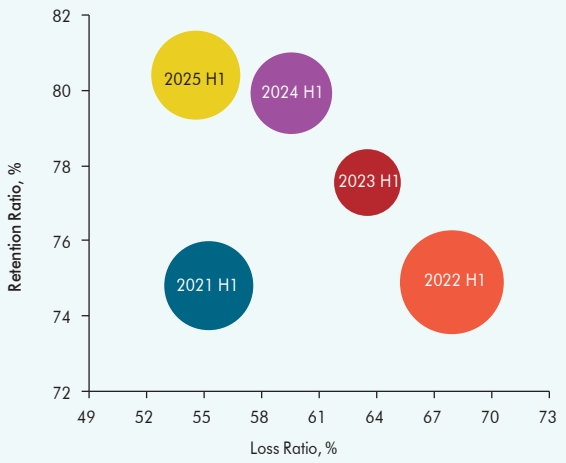


Figure 3.96 General Insurance Profitability - Loss Vs. Retention Ratios



Note: The above charts intends to show the positional indication of the three variables i.e., Retention Ratio, Loss Ratio, and Profitability Ratio from H1 of 2021 to H1 of 2025. Size of the bubbles represents the profitability for each quarter.

Source: Insurance Regulatory Commission of Sri Lanka

By end Q2 of 2025, COR for general insurance stood at 101.4%, whereas COR for long term insurance was lower at 88.6%. This reflects that underwriting operations of general insurers have remained marginally unprofitable despite an increase in PBT, while the long term insurance subsector continued to demonstrate stronger operational efficiency.

Both long term and general insurance subsectors demonstrated improvements in operational performance during H1 of 2025, as reflected by enhanced claims management and higher retention levels. Loss ratio of the long term insurance subsector edged down to 49.0% at end H1 of 2025 from 49.1% a year earlier, suggesting slightly better claims management, while that of the general insurance subsector declined more notably to 54.6% from 59.6% during the same period, indicating stronger control over claims costs. In parallel, Retention ratio[31] of both subsectors also marginally improved, with the long term insurance subsector increasing to 95.9% at end H1 of 2025 from 95.6% at end H1 of 2024, and the general insurance subsector rising to 80.4% from 79.9% during the same period, reflecting the effectiveness of policy retention strategies adopted by insurers.

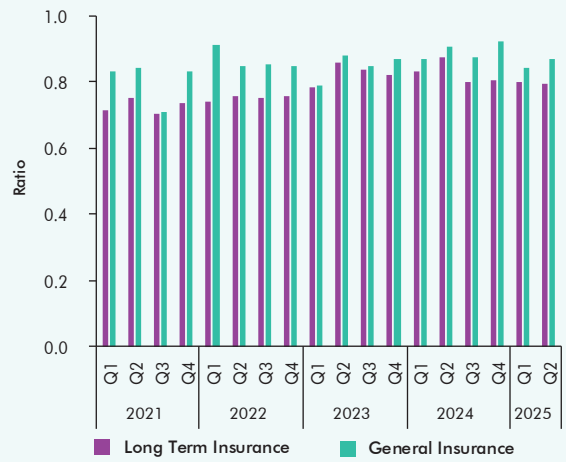
While premium stability showed contrasting movements between the two subsectors, liquidity ratios marginally declined during the period under consideration. Liquidity ratio[32] of the general insurance subsector marginally declined to 0.87 in Q2 of 2025 compared to 0.91 at end Q2 of 2024, while Liquidity ratio of the long term insurance subsector decreased to 0.80 at end Q2 of 2025 compared to 0.88 at end Q2 of 2024, reflecting a slight decline in liquidity position of the overall insurance sector. Premium Stability ratio[33] of the general insurance subsector declined to 8.6% at end Q2 of 2025 from 9.1% at end Q2 of 2024, while Premium Stability ratio of the long term insurance subsector notably improved

31 Retention ratio is calculated as Net Earned Premium as a proportion of Gross Earned Premium.

32 Liquidity ratio is calculated as the proportion of Liquid Assets (Government debt securities, Deposits and Cash & Cash Equivalents) to Total Liabilities.

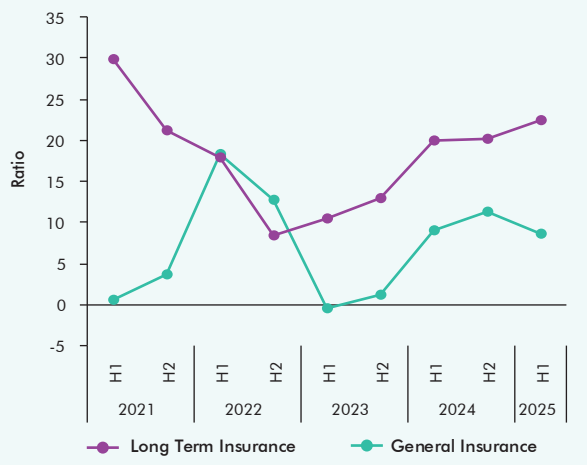
33 The Premium Stability ratio is used to measure the consistency and stability of an insurance company's premium income over a period of time. The Premium Stability ratio is calculated by comparing the premium income of 2025 H1 with premium income of 2024 H1.

Figure 3.97 Liquidity Ratios



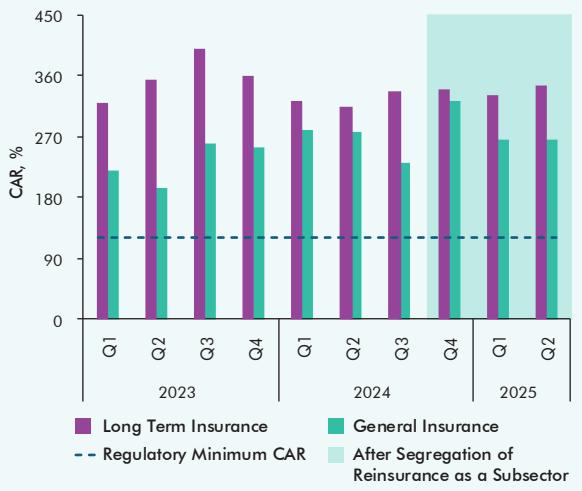
Source: Insurance Regulatory Commission of Sri Lanka

Figure 3.98 Premium Stability Ratios



Source: Insurance Regulatory Commission of Sri Lanka

Figure 3.99 Capital Adequacy Ratio



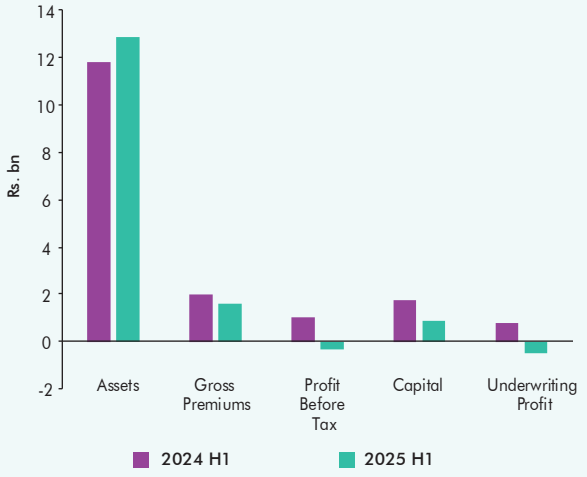
Source: Insurance Regulatory Commission of Sri Lanka

to 22.4% at end Q2 of 2025 from 17.4% at end Q2 of 2024, highlighting the effective measures adopted by long term insurance subsector in maintaining the premium levels.

Capital Adequacy Ratio (CAR) of both insurance subsectors continued to remain well above the regulatory thresholds, despite general insurance subsector recording a slight decline during the period under review. CAR for the general insurance subsector slightly declined to 265.0% at end Q2 of 2025 from 276.0% at end Q2 of 2024, although CAR for the long term insurance industry improved to 345.0% at end Q2 of 2025 from 312.0% at end Q2 of 2024. However, CARs of both sectors continued to surpass the regulatory minimum CAR requirement of 120.0%.

The reinsurance subsector, represented by the National Insurance Trust Fund (NITF), recorded a significant deterioration in performance in H1 of 2025 compared to H1 of 2024. PBT of Rs. 1,001.4 mn recorded in H1 of 2024 declined to a loss of Rs. 361.92 mn in H1 of 2025, while underwriting profit of Rs. 746.4 mn recorded in H1 of 2024 declined to a loss of Rs. 538.3 mn at end H1 of 2025. GWP contracted to Rs. 1,581.1 mn in H1 of 2025 from Rs. 1,981.0 mn in H1 of 2024, reflecting a contraction in reinsurance activities and possible changes in treaty arrangements. In addition, the capital of the subsector weakened considerably, declining to Rs. 861.0 mn at end H1 of 2025 from Rs. 1,732.2 mn at end H1 of 2024, signaling a notable erosion in financial strength and resilience of the reinsurance sector.

Figure 3.100 Reinsurance Subsector



Source: Insurance Regulatory Commission of Sri Lanka

Household and Corporate Sectors[1] 4

Credit extended to the Household[2] and Institutional[3] sectors recorded a notable growth during H1 of 2025 supported by lower interest rates and improving macroeconomic conditions. The Household sector credit has continued its upward momentum since 2024, surpassing pre-crisis levels. This trend reflects a sustained increase in credit demand in the Household sector, supported by gradually improving economic conditions and accommodative monetary policy stance. Further, Institutional sector credit also recorded a significant growth in H1 of 2025. Meanwhile, Non-Performing Loan (NPL) ratios in the Household sector have shown a gradual decline since mid-2024, with a notable decline observed in NPL ratios associated with credit extended by Non-Bank Financial Institutions (NBFIs), which accounts for approximately one-third of total Household sector credit. Moreover, the Institutional sector also managed to record a decline in the NPL ratio in H1 of 2025 compared to the corresponding period of the previous year. Looking ahead, there appears to be further room for credit expansion in the Household and Institutional sectors, supported by the prevailing favourable interest rates and macroeconomic conditions. Additionally, the NPL ratios in both sectors are likely to decline further, as the repayment capacity of households and institutions continues to strengthen in line with the ongoing recovery in domestic macroeconomic conditions.

Listed Non-Financial Corporates (NFCs), a key consumer of the financial services in the economy, recorded an improvement in overall performance during H1 of 2025 compared to previous years. The revenue of the listed NFCs recorded a moderate growth while the profitability improved significantly. Lower market interest rates and improving macroeconomic conditions continued to support the increased profitability of NFCs. Moreover, increase in gross profits and other income also played a key role in improvements in profitability. The Interest Coverage Ratio (ICR) across all sectors remained above one, indicating improved creditworthiness supported by enhanced profitability during the period. Improved debt repayment capacity among NFCs is expected to enhance the asset quality of financial institutions with the exposure to the sector, thereby contributing to overall financial stability. Further, the business conditions and outlook, as reflected in the Business Conditions Survey conducted by the Central Bank, remained positive throughout H1 of 2025. If these favourable sentiments persist in the period ahead, they are likely to further strengthen the performance and creditworthiness of NFCs.

---

1 Data presented in this chapter is based on information obtained from the Credit Information Bureau (CRIB) and the Colombo Stock Exchange (CSE). Thus, the data reported in this chapter is not directly comparable with Chapter 3, which is based on FinNet data.

2 The Household sector debt presented in this analysis, based on aggregate credit data obtained from CRIB, comprises loans and advances obtained by individuals identified through their National Identity Card or Passport number, and may also include borrowings by households for business activities in terms of Micro, Small, and Medium Enterprises (MSMEs).

3 The Institutional sector debt includes loans and advances obtained by institutions which are registered as business entities and accommodations to State Owned Business Enterprises (SOBEs) and the Government.

4.1 Risk Assessment on the Household and Institutional Sectors

This section assesses the potential financial vulnerabilities within the Household and Institutional sectors, based on aggregate credit data[4] obtained from the Credit Information Bureau (CRIB) on a quarterly basis, up to end June 2025.

Risk Assessment on Household Sector Credit

Credit extended to the Household sector recorded a notable growth during H1 of 2025, amidst comparably lower interest rates prevailed and continued improvements in macroeconomic conditions. Household sector credit, which constitutes 40.5% of the total formal financial sector lending,[5] expanded by 14.8% y-o-y by end Q2 of 2025, compared to the growth of 2.5% y-o-y recorded in the corresponding period of the previous year. Further, the banking sector disbursed new credit facilities amounting to Rs. 1,010.3 bn to households during H1 of 2025, which is a substantial increase from Rs. 736.4 bn disbursed in the corresponding period of the previous year. NBFIs[6] also recorded a notable uptick in new credit issuance to households over this period. The growth in household credit was supported by improved macroeconomic conditions, favourable interest rates, and increased willingness to lend by financial institutions, prompting increased borrowing for consumption and investment purposes. Moreover, by end Q2 of 2025, the banking sector continued to play a significant role in meeting borrowing needs of the Household sector, representing 64.7% of total Household sector credit. Meanwhile, NBFIs also played a considerable role by increasing its share of credit granted to the Household sector relative to the previous year, indicating an increase in penetration within the Household sector. Removal of the restrictions on vehicle imports mainly contributed to a significant credit expansion of NBFIs to the Household sector.

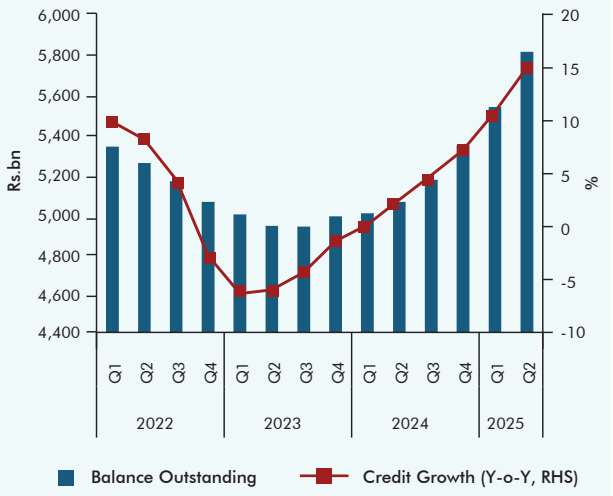
Household sector credit grew notably in H1 of 2025, supported by lower interest rates, improving macroeconomic conditions, and stronger lending appetite from financial institutions…

4 CRIB is in the process of incorporating pawning advances into its database. However, it includes unearned interest from leasing portfolios and several off-balance sheet items, such as bank guarantees and letters of credit.

5 Formal financial sector lending includes lending by licensed banks, finance companies and a specialised leasing company.

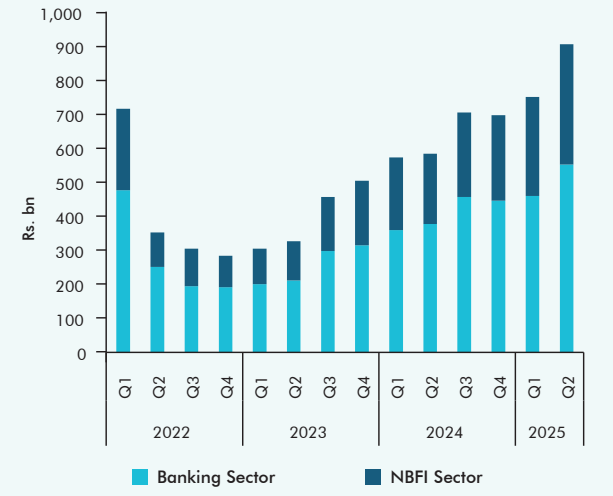
6 NBFIs include finance companies and a specialised leasing company.

Figure 4.1 Household Sector Credit



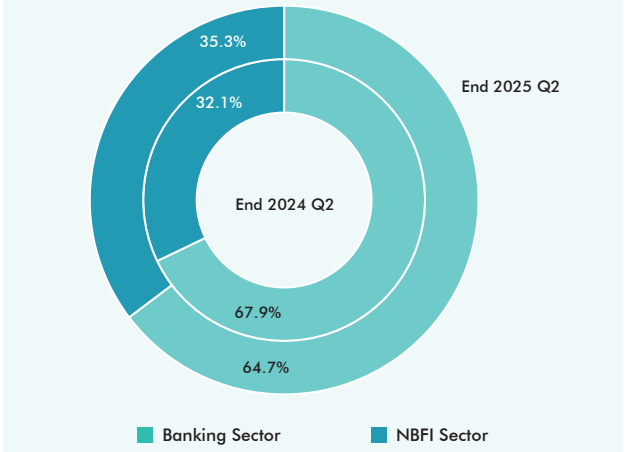
Source: Credit Information Bureau of Sri Lanka

Figure 4.2 Household Sector New Credit



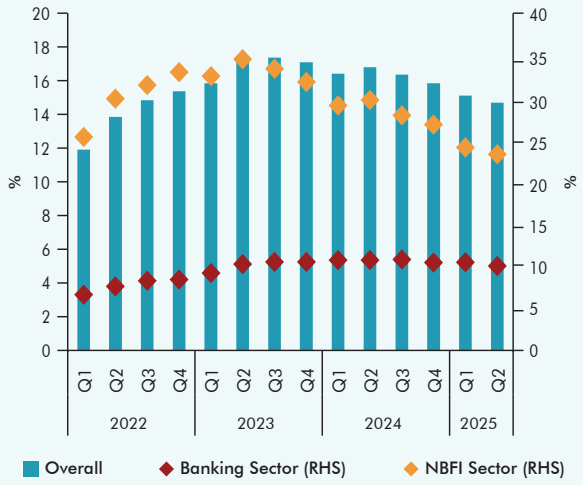
Source: Credit Information Bureau of Sri Lanka

Figure 4.3 Composition of Household Sector Credit



Source: Credit Information Bureau of Sri Lanka

Figure 4.5 Household Sector NPL Ratios



Source: Credit Information Bureau of Sri Lanka

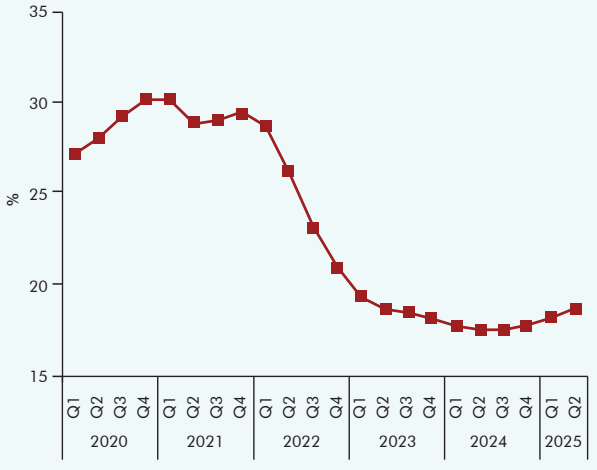
The Household sector Credit-to-GDP[7] ratio recorded a modest increase since Q4 of 2024, following a prolonged period of decline. This increase reflects a significant credit growth in the Household sector relative to robust GDP growth, primarily driven by the continued easing of interest rates and willingness to lend by banks and NBFIs, which stimulated demand for credit.

Credit quality of the Household sector continued to improve in 2025 compared to the previous year. By end Q2 of 2025, the NPL ratio of the Household sector declined to 15%, from 17.1% a year earlier, indicating an improvement in the credit quality of the sector. Banking sector NPL[8] ratio for households reached 10.2% by end Q2 of 2025 recording a marginal improvement compared to the NPL ratio of 10.9% recorded in Q2 of 2024. Notably, NPL ratios within the NBFI sector for households remained higher than those in the banking sector, highlighting the structural differences in risk profiles. However, the NPL ratio of the NBFIs improved gradually from Q2 of 2024 and reached 23.8% by end Q2 of 2025. It is

7 The Household sector Credit-to-GDP ratio was calculated using annualised nominal GDP, with credit comprising lending from both the banking and NBFI sectors.

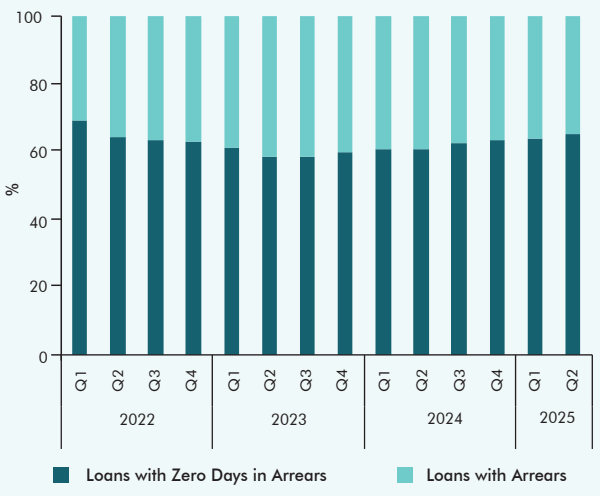
8 The analysis classifies loans with 90 days in arrears as NPLs. Thus, NPLs cannot be directly comparable with Chapter 3 of this report which are based on the SLFRS 9 guideline on classification on Stage 3 Loans.

Figure 4.4 Household Sector Credit-to-GDP



Source: Credit Information Bureau of Sri Lanka
Department of Census and Statistics

Figure 4.6 Household Sector Credit Quality



Source: Credit Information Bureau of Sri Lanka

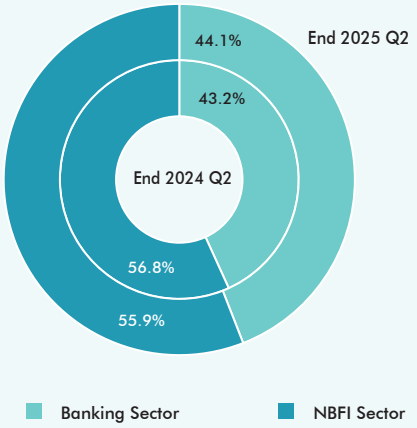
expected that the decline in the NPL ratio to continue in the coming quarters, supported by the credit growth in the Household sector amidst low interest rates, and with the stable and favourable macroeconomic conditions. Furthermore, the proportion of loans in non-arrears[9] status has been on an upward path since mid-2023, accompanied by a steady decline in loans with arrears, indicating a gradual improvement in sector-wide credit quality.

Although banks remained the primary source of credit to the Household sector, a relatively larger portion of NPLs originated from the NBFI sector, reflecting its higher credit risk exposure. In Q2 of 2025, NBFIs accounted for 55.9% of total Household sector NPLs, while the banking sector contributed 44.1% of total NPLs of the sector.

The majority of Household sector borrowers in the banking sector were classified as low risk and very low risk based on their credit score by the end June 2025, indicating a relatively strong credit profile within this group. However, 20.4% of these borrowers fell into the very high risk category, highlighting a notable portion with lower credit scores. In contrast, the NBFI sector showed a larger share of very high risk borrowers at 40%, with only 28.5% of borrowers in the low and very low risk categories, showing a riskier borrower profile for the NBFI sector compared to the banking sector. Overall, when combining both sectors, while most borrowers maintain manageable risk levels, a significant segment presents elevated credit risk, particularly within the NBFI sector.

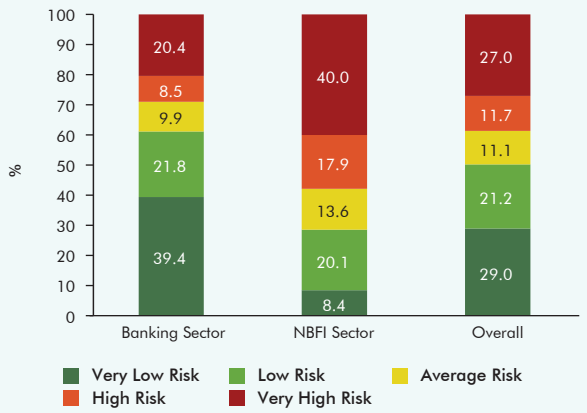
9 Facilities with zero days in arrears.

Figure 4.7 Composition of Household Sector NPLs



Source: Credit Information Bureau of Sri Lanka

Figure 4.8 Credit Risk Distribution* of Household Borrowers by end June 2025

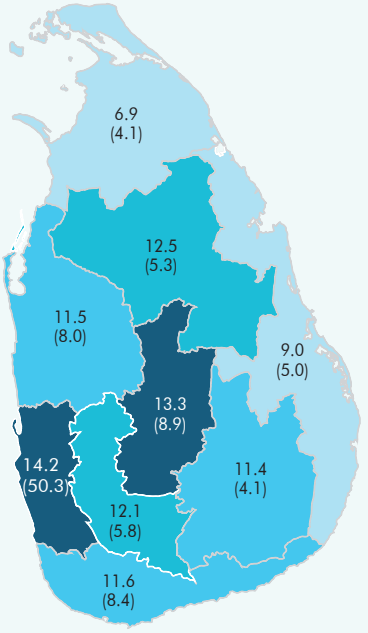


* Borrowers with credit scores in the range of 250-500 are classified as very high risk, those scoring between 500-550 as high risk, 550-580 as average risk, 580-610 as low risk, and scores between 610-900 as very low risk.

Source: Credit Information Bureau of Sri Lanka

The Western Province continued to hold the largest share of Household sector credit as of end June 2025, while also recording the highest NPL ratio among the nine provinces. The NPL

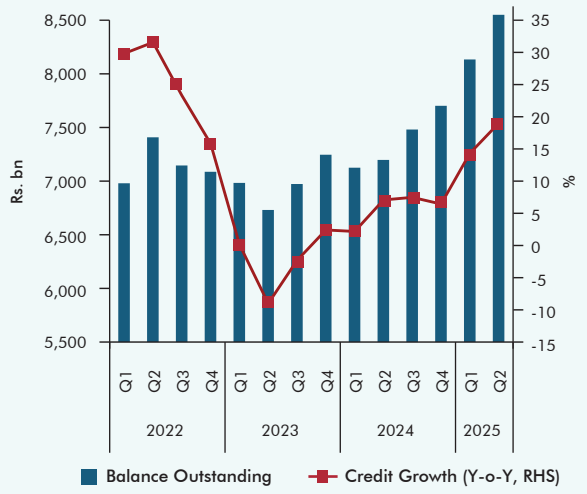
Figure 4.9 Distribution* of Household Sector NPL Ratios and Loans by end June 2025 (%)



* The value in parenthesis indicates the share of loans obtained by each province while the other value represents the NPL ratio of the specific province.

Source: Credit Information Bureau of Sri Lanka

Figure 4.10 Institutional Sector Credit



Source: Credit Information Bureau of Sri Lanka

Figure 4.12 Institutional Sector NPL Ratios

Source: Credit Information Bureau of Sri Lanka

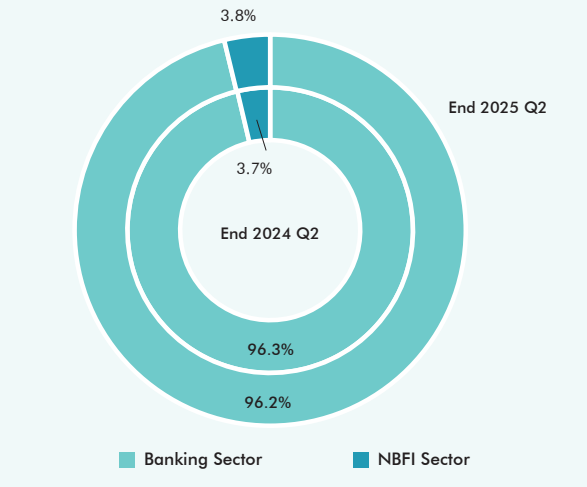
ratio of the Western Province stood at 14.2% followed by 13.3% in the Central Province and 12.5% in the North Central Province.

Risk Assessment on Institutional Sector Credit

The Institutional sector experienced a strong credit expansion during H1 of 2025. Institutional sector credit, which accounted for 59.5% of total formal financial sector credit, increased by 18.7% by end Q2 of 2025, compared to 6.9% in the corresponding period of the previous year. This robust expansion was driven by heightened business confidence and improved macroeconomic conditions coupled with the easing of market interest rates throughout the year. Moreover, the banking sector continued to play a pivotal role, providing the vast majority of loans with 96.2% of total Institutional sector credit.

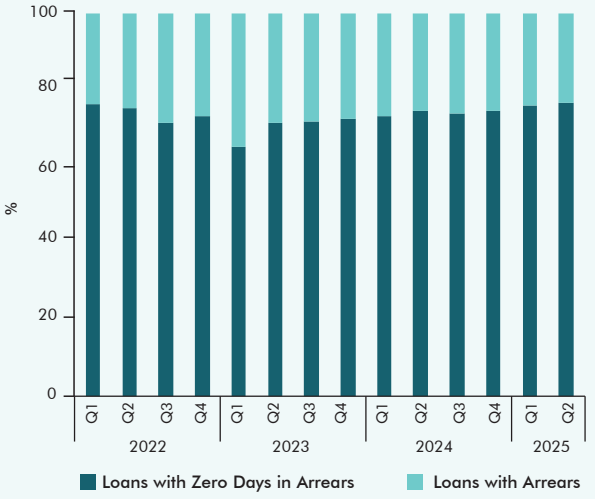
The NPL ratio for Institutional sector credit recorded a slight decline in Q2 of 2025 compared to the corresponding quarter of the previous year. By the end June 2025, the NPL ratio for the Institutional sector stood at 13.8%, down from 14.1% in the same period of the previous year. The proportion of loans within the Institutional sector that is not in arrears has consistently increased since early 2023, while the share of loans in arrears has gradually decreased over the same period.

Figure 4.11 Composition of Institutional Sector Credit



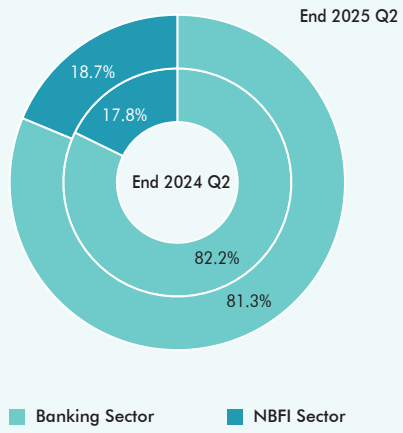
Source: Credit Information Bureau of Sri Lanka

Figure 4.13 Institutional Sector Credit Quality



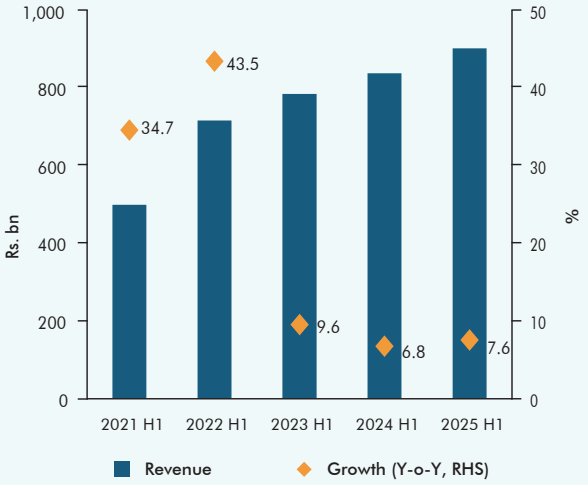
Source: Credit Information Bureau of Sri Lanka

Figure 4.14 Composition of Institutional Sector NPLs



Source: Credit Information Bureau of Sri Lanka

Figure 4.15 Revenue and Growth in Revenue of NFCs



Source: Colombo Stock Exchange

Among the total NPLs in the Institutional sector, the majority originated from the banking sector. As of end June 2025, banks accounted for 81.3% of Institutional sector NPLs, while the NBFIs represented 18.7%. Further, despite the larger share of NPLs in the banking sector, its NPL ratio remains significantly lower than that of the NBFI sector, reflecting differences in portfolio composition and risk profiles.

4.2. Risk Assessment on the Listed Non-Financial Corporates

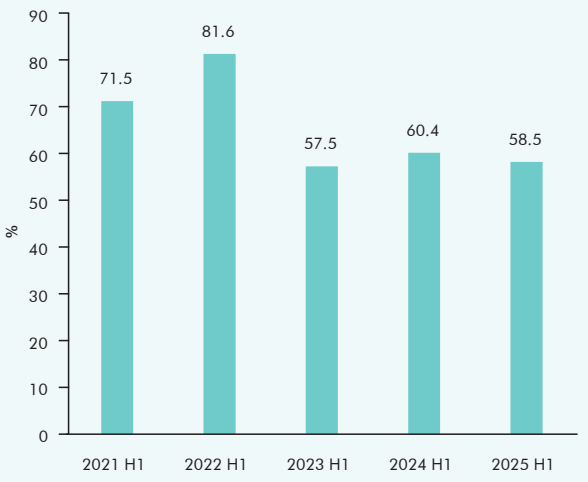
This section evaluates the potential risks and vulnerabilities arising from NFCs[10] and their implications for financial stability, based on the financial performance of 207 companies listed in the Colombo Stock Exchange (CSE) as of end June 2025. These listed entities serve as a proxy for the broader NFC sector, offering insights into key challenges and systemic risks that may emanate from the NFC sector which could affect the stability of the financial system.

Financial Performance of Listed NFCs as of End H1 of 2025

The listed NFC sector recorded moderate revenue growth during H1 of 2025, reflecting continued recovery in business activities. Revenue of listed NFCs expanded by 7.6% y-o-y during H1 of 2025, compared with 6.8% recorded in the corresponding period of the previous year. Although the share of listed NFCs reporting revenue growth declined slightly to 58.5% in H1 of 2025 from 60.4% reported in H1 of 2024, it continued to represent a significant majority, emphasising improved business conditions and stronger demand supported by favourable macroeconomic developments.

The Trading and Distribution sector contributed most to overall revenue growth during the period under review, followed by the Automobile sector. Notably, the Automobile sector posted the highest y-o-y revenue growth of 90.9% in H1 of 2025,

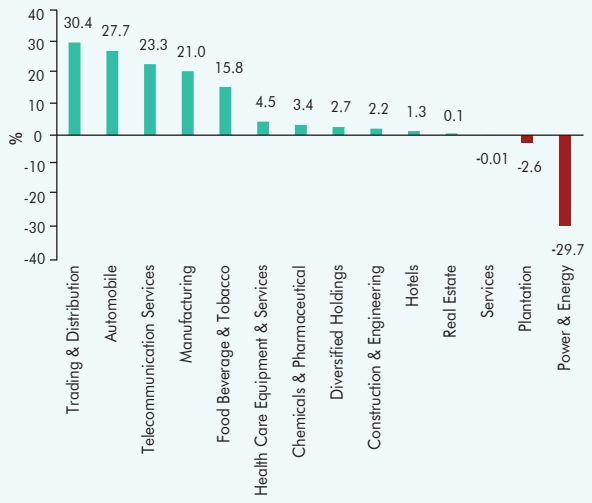
Figure 4.16 Share of NFCs that reported an Increase in Revenue



Source: Colombo Stock Exchange

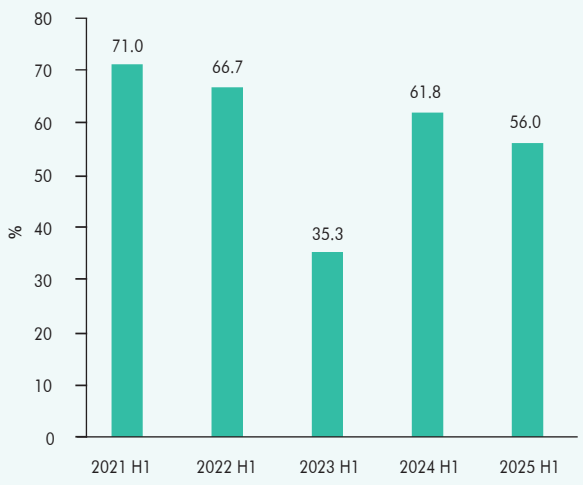
10 NFCs were extracted from CSE listed companies by excluding banks, insurance companies, and diversified financials.

Figure 4.17 Sectoral Contribution to Growth in Revenue - H1 of 2025



Source: Colombo Stock Exchange

Figure 4.19 Share of NFCs that reported an Increase in Net Profit



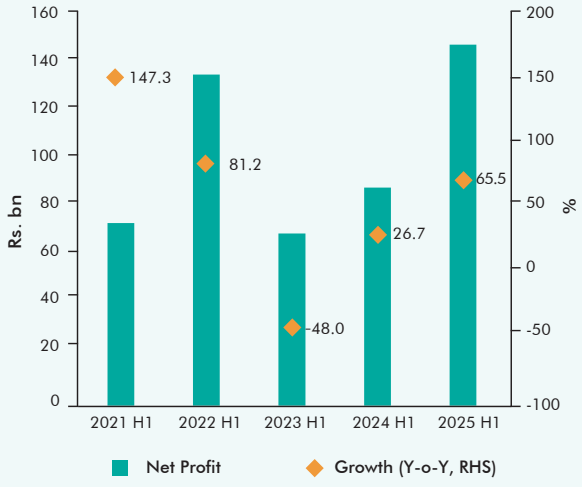
Source: Colombo Stock Exchange

supported by the relaxation of motor vehicle imports restrictions and pent-up demand for vehicles. The Power and Energy, Plantation, and Services sectors affected negatively to the revenue growth during the period. However, all the other sectors contributed positively, thereby supporting the moderate increase in revenues observed in the NFC sector.

Reflecting overall improvements in macroeconomic conditions, the listed NFC sector recorded a significant net profit growth during H1 of 2025, with a y-o-y increase of 65.5% compared to the corresponding period of the previous year. Despite this strong performance, the proportion of NFCs reporting improved profits declined slightly from 61.8% to 56%. Nevertheless, more than half of the NFCs recorded a growth in net profit, supporting overall economic expansion. During the same period, the sector experienced a notable y-o-y increase of 33.5% in Earnings Before Interest, Taxes, Depreciation, and Amortisation (EBITDA), indicating stronger operational performance and improved efficiency across the sector.

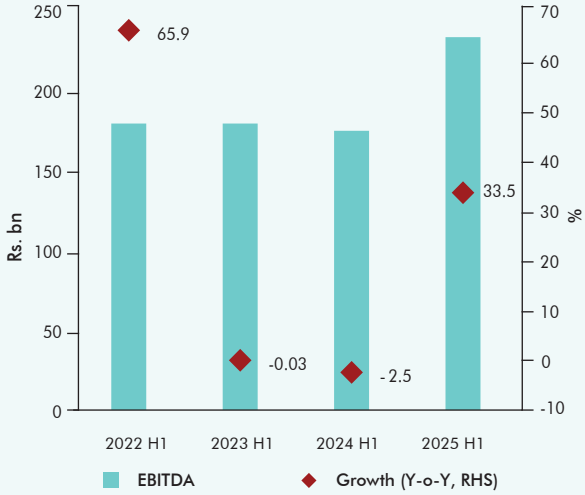
The notable improvement in net profit of listed NFCs was driven by multiple positive developments in both income and cost structures. Increased gross profit and a notable increase in other income were the key contributors, with gross profit rising by Rs. 33.2 bn and other income by

Figure 4.18 Net Profit and Growth in Net Profit of NFCs



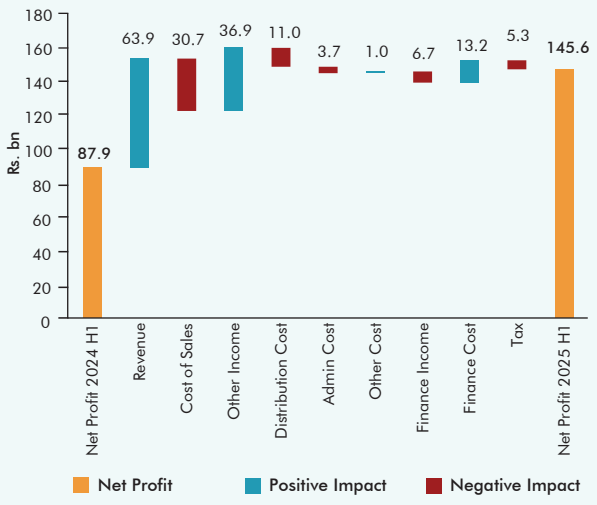
Source: Colombo Stock Exchange

Figure 4.20 EBITDA and Growth in EBITDA of NFCs



Source: Colombo Stock Exchange

Figure 4.21 Components of Net Profit



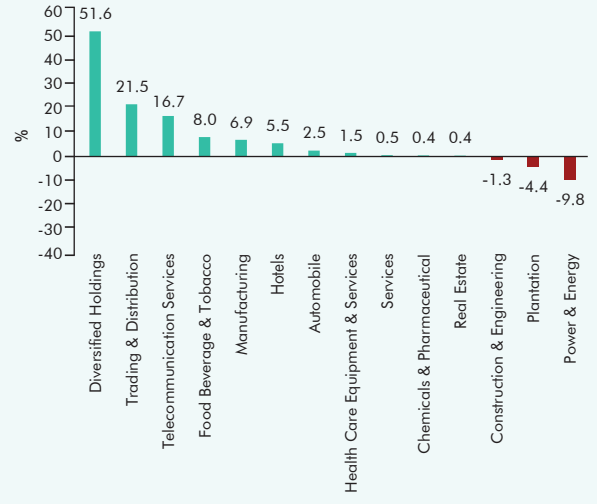
Source: Colombo Stock Exchange

Rs. 36.9 bn. The decline in finance cost, reflecting the easing of market interest rates, further strengthened profitability. Although administrative and distribution expenses recorded a marginal increase, their impact was offset by the significant gains in gross profit and other income. However, the overall performance of the sector was significantly influenced by a limited number of large companies, which played a key role in driving aggregate profitability. Accordingly, the sector's net profit expanded markedly from Rs. 87.9 bn in H1 of 2024 to Rs. 145.6 bn in H1 of 2025.

Many sub-sectors contributed positively to the notable net profit growth, with the Diversified Holdings sector making the largest contribution, followed by the Trading and Distribution sector. Telecommunications Services also accounted for a substantial contribution of 16.7%, with net profits rising sharply in H1 of 2025 compared to the corresponding period of the previous year, mostly on account of foreign exchange gains. The Automobile sector also recorded significant y-o-y growth in net profit in H1 of 2025, supported by the removal of restrictions on vehicle imports, and the resultant increase in demand for motor vehicles. By contrast, the Power and Energy and Plantation sectors exerted a negative influence on overall net profit growth, along with their subdued contribution to revenue performance.

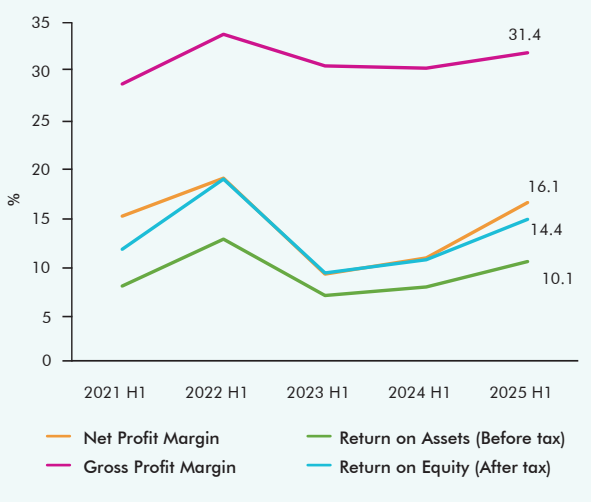
The listed NFC sector demonstrated notable improvements across all key profitability indicators during the period under review. Return on Assets (ROA) increased to 10.1% from 7.5%, while Return on Equity (ROE) increased to 14.4% from 10.3% recorded in the corresponding period of the previous year, reflecting stronger returns generated from both assets and equity. The net profit margin also recorded a significant improvement, rising to 16.1%, while the gross profit margin improved to 31.4%. These developments highlight a robust recovery supported by improved business confidence and favourable macroeconomic conditions. This further indicates adequate profitability, which may lead to improvements in the overall creditworthiness of the sector.

Figure 4.22 Sectoral Contribution to Growth in Net Profit - H1 of 2025



Source: Colombo Stock Exchange

Figure 4.23 Profitability Indicators of NFCs



Source: Colombo Stock Exchange

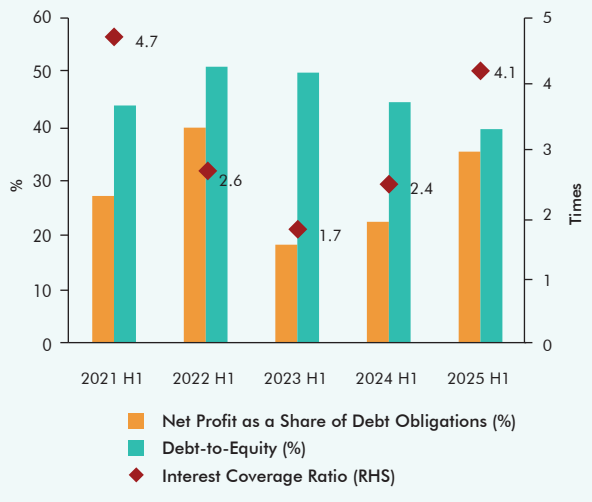
Corporate Sector Creditworthiness

Key financial performance indicators of listed NFCs indicate an improvement in debt-servicing capacity, supported by higher profitability and reduced leverage. Net profit relative to debt obligations increased to 34.9% in H1 of 2025, reflecting stronger earnings against debt commitments. The Debt-to-Equity ratio declined to 39%, indicating lower financial leverage and a more balanced capital structure compared to the peak observed in 2022. Meanwhile, the ICR[11] increased and remained well above one, primarily driven by a notable rise in Earnings Before Interest and Tax (EBIT) and a reduction in finance costs, indicating sufficient capacity to meet interest expenses. Collectively, these trends highlight the sector's enhanced financial resilience, supported by stronger profitability and lower reliance on debt financing.

The listed NFC sector demonstrated stronger profitability and improved resilience in H1 of 2025, indicating strengthened creditworthiness...

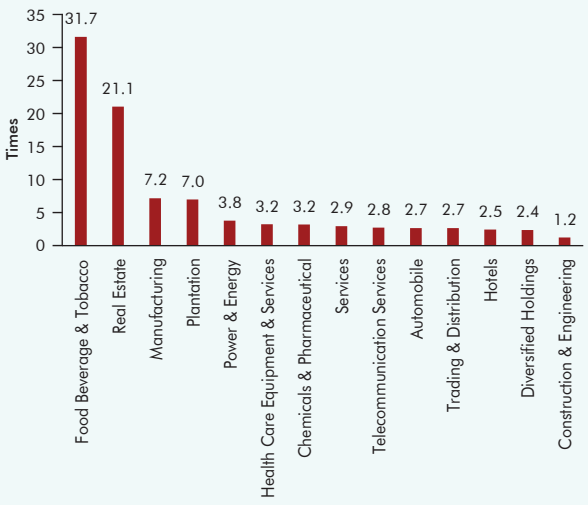
11 ICR assesses the corporate's ability to meet its interest obligations on outstanding debt. This is calculated by dividing EBIT by finance cost.

Figure 4.24 Key Financial Performance Indicators of NFCs



Source: : Colombo Stock Exchange

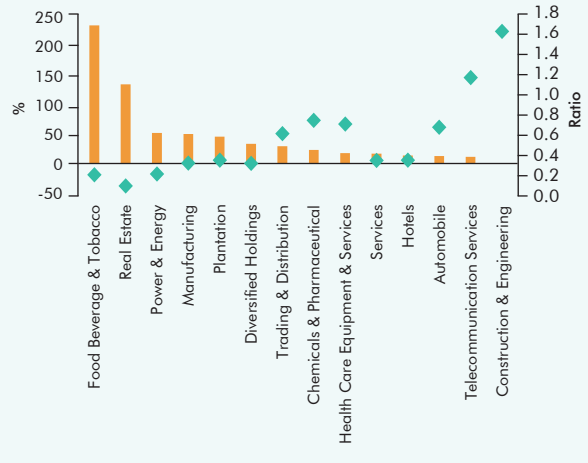
Figure 4.25 Sectoral Interest Coverage Ratio H1 of 2025



Source: : Colombo Stock Exchange

The ICR for all sub-sectors remained well above the threshold of one throughout the period under review, further highlighting the sector's improved debt servicing capacity. Among the sectors, the Food, Beverages, and Tobacco sector recorded the highest ICR, reflecting a strong financial position and robust capacity to meet interest obligations, followed by the Real Estate sector. However, the ICR for Construction and Engineering sector was relatively low, indicating the challenges faced by the sector to recover from the economic downturn. In addition, nearly two-thirds of listed NFCs (65.7%) maintained ICRs above one in H1 of 2025, indicating broad-based strengthening of debt repayment capacity across the sector.

Figure 4.26 Sectoral Financial Performance Indicators H1 of 2025



Source: : Colombo Stock Exchange

Sectoral financial indicators also reflect improved profitability and reduced leverage across most sectors. The Food, Beverages, and Tobacco and Real Estate sectors recorded the highest net profit relative to debt obligations and the lowest Debt-to-Equity ratios, signaling strong financial health. In contrast, only the Construction and Engineering sector which reported a net loss in H1 of 2025, and Telecommunications Services, maintained elevated Debt-to-Equity ratios exceeding one. Despite this, most sectors continued to achieve lower financial risk, supported by stronger profitability and lower reliance on debt financing. These trends support financial stability by reducing the likelihood of corporate defaults.

Policies for Financial Stability 5

The Central Bank strengthened its macroprudential policy framework during the period under review, thereby supporting and maintaining the stability of the financial system. In April 2025, the criteria for designating Domestic Systemically Important Banks (D-SIBs) were enhanced. Accordingly, five D-SIBs were designated by the Central Bank based on this prescribed criteria, to strengthen the loss absorbing capacity of those Licensed Banks (LBs), thereby enhancing their resilience to adverse shocks. The review of D-SIBs will be conducted annually, with a comprehensive assessment every three years. Meanwhile, the Central Bank also revised caps on Loan to Value (LTV) ratios on credit facilities granted in respect of motor vehicles to enhance their effectiveness in achieving the macroprudential objectives and reinforcing prudential credit standards. These revisions were also aimed at eliminating disparities in LTV ratio caps introduced in the past for various non-macroprudential purposes.

In addition to macroprudential policies, the Central Bank introduced a range of policy measures to enhance the overall financial system stability. Accordingly, the Central Bank issued Directions on "Corporate Governance for Licensed Banks" in September 2024 to further strengthen the governance processes and practices of all LBs, including state banks, thus facilitating the conduct of banking business in a responsible and accountable manner to promote safety and soundness of the banking sector and the financial system. Meanwhile, the regulatory framework for Finance Companies (FCs) was further strengthened, focusing on setting standards for improving risk management practices in the sector.

The resolution framework of the country was further strengthened during the period under review by extending the Banking (Special Provisions) Act, No. 17 of 2023 (BSPA) to FCs, developing resolution policies, operational manuals and establishing resolution triggers to ensure timely intervention and minimise financial system disruptions. Moreover, the Central Bank implemented proactive measures to safeguard financial system stability by strengthening financial consumer protection and, enhancing digital payment security, in response to the rising number of financial fraud, scam, and cyber threat incidents which may affect public confidence in the financial system. During the period under review, the Central Bank significantly expanded its Market Conduct Supervision function to ensure financial consumer protection of regulated Financial Institutions (FIs) and intensified its efforts to combat prohibited pyramid schemes. In addition, the Central Bank also strengthened Sri Lanka's Anti-Money Laundering and Countering the Financing of Terrorism (AML/CFT) regime by improving information sharing, enhancing due diligence, reconstituting the AML/CFT Task Force under a Presidential directive, and implementing legal amendments to align with international standards and address money laundering and terrorism financing risks. Further, the Central Bank advanced financial inclusion and literacy in Sri Lanka through the National Financial Inclusion Strategy (NFIS) and continued to implement the Financial Literacy Roadmap, collaborating with diverse stakeholders to promote informed financial participation by delivering targeted financial literacy programmes. Additionally, the launch of Sustainable Finance Roadmap 2.0 and related capacity building programmes guided FIs in aligning with the country's environmental and social goals, while strengthening the financial system's sustainability and resilience.

As the country emerges from an unprecedented economic crisis, increased credit flows to the private sector are to be expected. The Central Bank will closely monitor this rise in credit, which could drive the credit cycle further into its expansionary phase and potentially give rise to heightened risk-taking amidst renewed optimism. Additionally, the rising demand for motor vehicle imports following their relaxation, along with global price increases in safe haven assets such as gold amid geopolitical tensions, may have implications for loans and advances secured by such assets. The Central Bank continuously monitors these market developments as well as global and domestic macroeconomic conditions to identify potential vulnerabilities and promptly implement appropriate macroprudential and microprudential measures in collaboration with other financial regulators, ensuring the continued stability of the financial system.

5.1 Enhanced Macroprudential Policies for Stability

Domestic Systemically Important Banks

The Central Bank revised its framework on designating D-SIBs for the purpose of mitigating systemic risks and enhancing the soundness of the banking system to ensure financial system stability. The Basel Committee on Banking Supervision (BCBS) introduced guidelines for D-SIBs to hold higher loss absorbing capacity in order to reduce moral hazard, limit systemic risks from "too big to fail" banks, and enhance overall financial stability. In 2017, the Central Bank introduced a D-SIB buffer based on the asset base of banks and it was reviewed in 2019 to introduce a broader D-SIB framework on the principles stipulated in the BCBS framework. Subsequently, the Central Bank issued the enhanced criteria for the designation of D-SIBs through a rule gazetted on 17 April 2025.[1]

The Central Bank revised its framework on designating Domestic Systemically Important Banks...

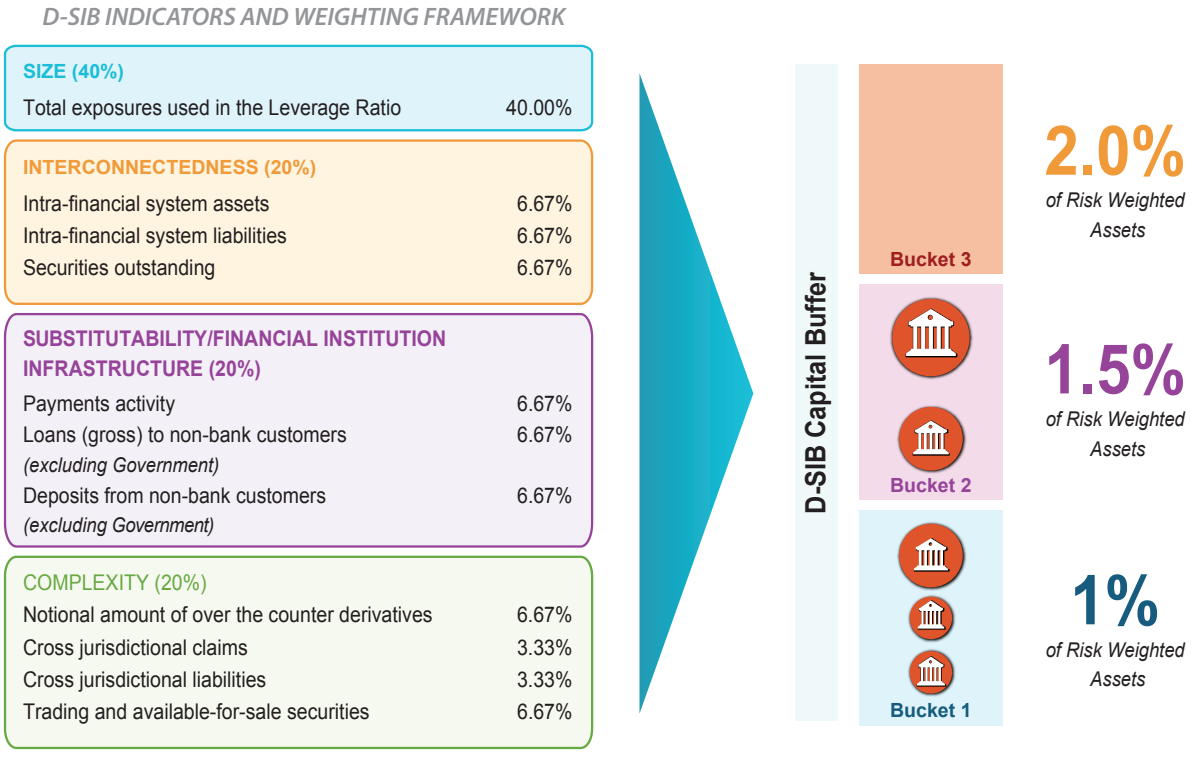
Criteria for the designation of D-SIBs is based on an indicator-driven approach with periodic reviews in place every three years. Eleven indicators, grouped under four major categories comprising size, interconnectedness, substitutability/financial institution infrastructure, and complexity were used to quantify the systemic importance of LBs.[2] Banks are designated as D-SIBs based on a score derived from the indicators, with specific weights[3] assigned to each indicator and broad category. Moreover, this process is supplemented by supervisory discretion.

1 Rules made under Section 105 read with Section 106(1) and Sections 64(1), and 68(1) of the Central Bank of Sri Lanka Act, No. 16 of 2023.

2 The comprehensive information on the criterias for designating D-SIBs can be accessed via the link: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/msd_gazette_20250417_2432_03_e.pdf

3 The indicators and weights assigned are given in Figure 5.1

Figure 5.1 D-SIB Indicators and Weighting Framework



The Central Bank, as the macroprudential authority of Sri Lanka, designated[4] five LBs representing approximately 67% of the market share as D-SIBs based on the prescribed criteria, to enhance the loss absorbing capacity of such LBs and increase the resilience of those LBs to adverse shocks. These D-SIBs are categorised under three buckets based on their systemic importance with progressively increasing Higher Loss Absorbency (HLA) requirements, necessitating the maintenance of additional Common Equity Tier - 1 (CET-1) capital as a percentage of Risk Weighted Assets. Further, data collection and D-SIB identification will be conducted annually, with a comprehensive review of the framework every three years as determined by the Governing Board of the Central Bank. Banks designated as D-SIBs that fail to meet the required additional CET-1 capital will be subject to restrictions, including limitations on dividend payments and other such restrictions imposed by the Central Bank from time to time.

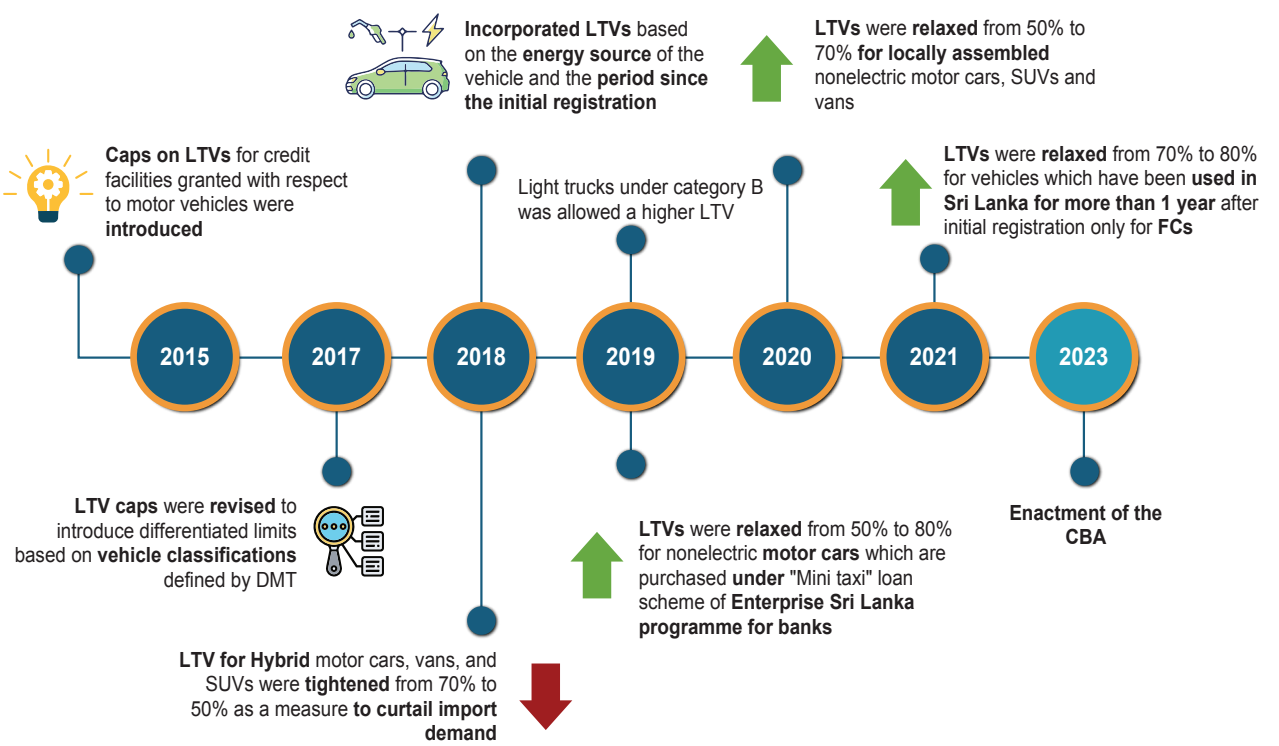
4 Central Bank of Sri Lanka Act, No. 01 of 2025: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/CBSL_Act_Directions_No_1_of_2025.pdf

Caps on LTV Ratio

Following the enactment of the Central Bank of Sri Lanka Act, No. 16 of 2023 (CBA), which empowers the Central Bank to implement macroprudential policies, the LTV framework applicable on credit facilities granted in respect of motor vehicles was reviewed to enhance their effectiveness in achieving the objectives of the Act. The LTV cap, a macroprudential tool, was first introduced in Sri Lanka with effective from September 2015[5] for credit facilities granted in respect of motor vehicles. Since then, these LTV caps have been revised from time to time to serve various requirements. Initially, the LTV cap on credit facilities in respect of motor vehicles was set at 70% in 2015. Subsequently, these LTV limits were revised and LTV caps, broadly based on vehicle classifications defined by the Department of Motor Traffic (DMT), were introduced in 2017.

5 Banking Act Direction No. 02 of 2015, Finance Business Act Direction No. 01 of 2015 and Finance Leasing Act Direction No. 01 of 2015

Figure 5.2 Evolution of LTV Framework since 2015



Moreover, LTV caps were introduced based on the energy source of the vehicle in 2018 complementing the prevailing LTV caps based on vehicle class. Further, LTV caps on credit facilities in respect of motor vehicles were revised from time to time, considering factors such as import demand and proposals made in the Government budget. With the enactment of the CBA, the Central Bank was designated as the macroprudential authority and was empowered to implement caps on LTV as a macroprudential tool to mitigate systemic risks. Therefore, the Central Bank reviewed the existing LTV caps on credit facilities granted for motor vehicles with the aim of enhancing the effectiveness of this tool in achieving its objective of mitigating systemic risks to be in accordance with the CBA, reinforcing prudential credit standards and thus contributing to financial system stability.

In July 2025, the Central Bank implemented revisions to the LTV caps applicable to credit facilities granted in respect of motor vehicles…

Following the careful review outlined above, the Central Bank revised LTV caps[6] applicable to credit facilities granted in respect of motor vehicles in July 2025. The key features of this revision include removing LTV caps based on the vehicle's energy source and whether it is domestically assembled, reducing the high LTV for commercial vehicles, and increasing the LTV for three-wheelers and motor cars, SUVs and vans. This revision aims to improve the effectiveness of caps on LTV as a macroprudential tool by focusing its application solely on macroprudential objectives. Going forward, the Central Bank will closely monitor market developments, and where warranted, revise the regulations on LTV caps related to motor vehicles to ensure the accomplishment of its macroprudential objectives.

6 Central Bank of Sri Lanka Act, No. 02 of 2025: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/CBSL_Act_Directions_No_2_of_2025_0.pdf

Table 5.1 Caps on LTV Ratio on Credit Facilities for Purchase of Motor Vehicles

Vehicle Category		Vehicle Class as per the classification of the DMT	LTV Ratio
Unregistered and registered vehicles which have been used in Sri Lanka for less than 1 year	**Commercial Vehicles**	C1, C, CE, D1, D, DE,G1, G, J and Light Trucks categorised under B	80%
	Motor Cars, SUVs and Vans	B (other than Light Trucks & Single Cabs)	60%
	Three Wheelers	B1	50%
	Any other Vehicle	A1, A and Single Cabs categorised under B	70%
Registered vehicles which have been used in Sri Lanka for more than 1 year (For both banks and FCs)			70%

Source: Central Bank of Sri Lanka

5.2. Other Financial Sector Policies

As a key regulatory initiative, Banking Act Directions on "Corporate Governance for Licensed Banks"[7] were issued in September 2024. This was introduced with a view to further strengthen the corporate governance processes and practices in LBs, thus facilitating the conduct of banking business in a responsible and accountable manner in order to promote safety and soundness of the banking sector and the financial system. These Directions mainly focus on enhancing the composition and independence of the Board of Directors, emphasising the competency and professional integrity of Directors, Chief Executive Officers, and Key Management Personnel, ensuring the effective functioning of Board subcommittees whilst improving risk oversight and control mechanisms, including the oversight of related party transactions.

To provide a strengthened framework to promote sound governance practices in LBs, the Banking Act Directions on Corporate Governance were issued…

7 Banking Act Directions No. 05 of 2024: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/Banking_Act_Directions_No_5_of_2024.pdf

The Central Bank continued to facilitate services to Small and Medium Enterprises (SMEs), during the period under review, recognising their critical role in economic growth, employment generation, and post-pandemic recovery. During H2 of 2024, amendments to the Banking Act Directions No. 01 of 2016 on "Capital Requirements under Basel III for Licensed Commercial Banks and Licensed Specialised Banks"[8] were issued providing a concessional risk weight to the exposures guaranteed by the National Credit Guarantee Institution Limited (NCGIL) and including NCGIL in the indicative list of FIs. Accordingly, LBs were encouraged to enhance credit flows to SMEs, considering the challenges posed by the COVID-19 pandemic, unprecedented economic conditions, and the need to revive the SME sector through a concessional risk weight which would reduce the capital cost for banks. Further, the Central Bank issued guidelines to LBs for reporting sex-disaggregated data on exposures to Micro, Small, and Medium Enterprises (MSMEs) based on the revised national definition of women-owned/led businesses, developed by the Ministry of Finance (MoF) in consultation with relevant stakeholders under the Financial Sector Stability and Reform Programme of the Asian Development Bank. This initiative was implemented with the aim of identifying financing gaps and formulating appropriate incentives and policies to enhance access to finance for women-led MSMEs.

The Central Bank, with a view to mitigate potential conflicts of interest and preventing the extension of more favourable treatment to related parties of LBs and to ensure the safety and soundness of the banking sector, issued several Directions during the period under review. During H2 of 2024 and in 2025 regulations[9] were issued to specify related parties of LBs, approved securities for accommodations granted to such related parties, and approved limits in respect of accommodations granted by LBs to related parties. This will improve risk oversight and control mechanism on related party transactions of LBs.

Improving the technology risk management and resilience of LBs was a key focus areas for the Central Bank. Accordingly, during H1 of 2025, Circular No. 02 of 2025 on "Reporting of Information Technology and Cybersecurity Incidents of Licensed Banks"[10] was issued further to the Banking Act Direction No. 16 of 2021 on the "Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks" to enhance the reporting requirements for Information Technology (IT) and cybersecurity incidents, with a view to strengthen the operational resilience of LBs amid growing reliance on digital infrastructure and related risks. Looking ahead, the Central Bank will further strengthen supervisory oversight of LBs by automating IT and cybersecurity incident reporting, formalising information-sharing arrangements, and adopting appropriate SupTech tools to enhance efficiency and effectiveness in monitoring technology risk. Further, steps are underway to review the existing guidelines on cloud computing in alignment with the sovereign cloud adoption policy, while amendments to the Directions on outsourcing of business operations of LBs are being considered to enable outsourcing of IT functions, with due emphasis on strengthening third-party risk management. In addition, the Central Bank has periodically introduced regulatory measures to ensure the smooth functioning of the banking system, including a Circular[11], revising publication formats for the quarterly and annual financial statements of LBs, thereby simplifying existing publication formats of publishing annual and quarterly financial information in the Press.

To further enhance the stability of the FCs sector, policy measures were introduced to strengthen the regulatory framework during

8 Banking Act Directions No. 04 of 2024: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/Banking_Act_Directions_No_4_of_2024.pdf

9 Gazette No. 2404/33: https://www.cbsl.gov.lk/sites-default/files/cbslweb_documents/laws/cdg/bsd_gazette_20241003_2404_33_e.pdf
Banking Act Directions No. 06 of 2024: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/Banking_Act_Directions_No_6_of_2024.pdf
Banking Act Directions of No. 07 of 2024: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/Banking_Act_Directions_No_7_of_2024.pdf
Banking Act Determination No. 04 of 2024: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/Banking_Act_Determination_No_4_of_2024.pdf
Banking Act Determination No. 01 of 2025: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/Banking_Act_Determination_No_1_of_2025.pdf

10 Circular No. 02 of 2025: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/bsd_circular_no_2_of_2025_e.pdf

11 Circular No. 05 of 2024: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/bsd_circular_no_5_of_2024_e.pdf

the review period. The regulatory framework of FCs was further strengthened, focusing on setting standards for improving risk management practices of the sector. Directions/guidelines on operational risk management, remuneration policies and disclosure requirements, deposit solicitation and maximum interest rates on deposits and debt instruments were issued during the period under consideration. The supervision on FIs was further enhanced to examine the measures and controls implemented by FCs to address enhanced regulatory requirements. Further, the revised framework for Phase II of the Masterplan was introduced in December 2024 aiming to develop a more resilient FCs sector with an execution period of three years, from 31 March 2025 to 31 March 2028. In addition, it is expected to reinforce the stability of the sector, with changes to the existing regulatory framework and by improving the corporate governance and management practices in view of the concerns identified during supervision.

In response to the rising incidence of financial frauds and scams, the Central Bank implemented proactive policy measures to strengthen consumer protection, enhance digital payment security, and promote public awareness. Sri Lanka has seen an increase in financial frauds and scams, posing potential risks to financial system stability. Despite a rise in digital payment related scams in early 2025, these incidents remain a small proportion of total transactions, indicating a limited impact at the current juncture on overall financial stability. Even though the number of financial scams as a percentage of overall digital payments is significantly low, the Central Bank took several measures to reduce scams. To safeguard Current Account/ Savings Account (CASA) of customers linked to mobile payment applications from unauthorised access, the Central Bank mandated Mobile Payment Application Providers (MPAPs) to enhance customer identification by verifying customer information during registration, with effect from 31 March 2025. Further, the Central Bank and FIs conducted awareness programmes throughout the year, to raise awareness on scams among the public.

The Central Bank took measures to enhance the resolution framework of the country and improve the operational readiness of FIs. The enactment of the BSPA in September 2023 marked a significant step in strengthening the resolution regime of the country. Resolution provisions of the BSPA which were initially applicable to LBs, were extended to FCs[12] during the period under review. This extension ensures a more comprehensive and unified resolution framework across the regulated financial sector. In addition, amendments to the Finance Business Act, No. 42 of 2011 are underway to enhance both supervisory oversight and resolution powers applicable to FCs. Further, the Central Bank has developed a Resolution Policy and an Operational Manual, setting out the internal procedures, roles and responsibilities for executing the resolution framework. Resolution Triggers for LBs were drafted to support timely intervention, with the aim of minimising disruption to the financial system. Similarly, resolution data templates for LBs were developed and the BSPA Direction[13] No. 01 of 2024 on the Data Templates for Resolution Planning was issued to facilitate institution-specific resolution planning. These reforms establish a more credible and transparent resolution framework, which is expected to strengthen market confidence in the financial safety net and enable the orderly resolution of distressed institutions with minimal disruption to the broader financial system.

Policy measures under the Financial Sector Safety Net Strengthening Project (FSSNP) were advanced to enhance the resilience of the Sri Lanka Deposit Insurance Scheme (SLDIS), strengthen its financial and institutional capacity, and ensure long term sustainability in line with international standards. Under the FSSNP, the World Bank disbursed USD 100 mn, out of an approved total of USD 150 mn loan to support the SLDIS, upon successful achievement of several Performance-Based Conditions (PBCs). These conditions were designed to address structural gaps in the SLDIS and align it with the Core Principles for Effective Deposit Insurance Systems (2014) issued by the International Association of Deposit Insurers (IADI). In addition, a

12 Extraordinary Gazette No. 2432/02 dated 16 April 2025, issued under Section 57 of the BSPA

13 BSPA Direction No. 01 of 2024 : https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/dird_direction_no_1_of_2024_e.pdf

fiscal backstop funding arrangement was established at the end of 2024 through a Memorandum of Understanding (MoU) signed between the Central Bank and the MoF which is a major step towards long term sustainability of the scheme.

The Central Bank strengthened measures to ensure financial consumer protection. The Financial Consumer Protection Regulations[14] No. 01 of 2023 are designed to promote fairness, transparency, and responsible business conduct among Financial Service Providers regulated by the Central Bank, while enabling financial consumers to make informed decisions with greater confidence. With the enforcement of these Regulations, the Central Bank significantly expanded its Market Conduct Supervision function to ensure effective compliance by regulated entities. Further, in line with its mandate to maintain financial stability and safeguard the interests of financial consumers, the Central Bank intensified its efforts to combat prohibited pyramid schemes, which continue to pose serious risks to the public. During the period under review, the Central Bank significantly expanded both its awareness and enforcement efforts in this domain.

During the period under review, the Central Bank took measures to strengthen the AML/CFT regime of Sri Lanka. New guidelines were introduced to facilitate improved information sharing with foreign Financial Intelligence Units (FIUs), streamline requests for financial information under the Financial Transactions Reporting Act (FTRA), No. 06 of 2006, and strengthen due diligence measures related to not-for-profit organisations. Further, targeting the third Mutual Evaluation of Sri Lanka, the AML/CFT Task Force was reconstituted under a Presidential directive in December 2024 with ministerial level representation. This move aims to enhance the monitoring of the institution-wise Action Plans to strengthen the country's AML/CFT framework. Furthermore, strengthening the regulatory framework, the Cabinet of Ministers approved to carry out amendments to the FTRA, the Prevention of Money Laundering Act, No. 05 of 2006, and the Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005 in May 2025. These amendments are expected to further strengthen Sri Lanka's AML/CFT legal framework in line with international standards.

The Central Bank also took measures to enhance the financial inclusion and financial literacy of the country, recognising that broader access to financial services and informed participation by households and businesses strengthen financial stability by promoting responsible financial behavior and reducing vulnerabilities to shocks. The Central Bank continued to play a lead role in spearheading the implementation of the NFIS, coordinating with a wide array of public and private sector stakeholders. In 2024, Phase I of the NFIS was successfully concluded, and both a demand side survey and an end term evaluation were initiated in H1 of 2025. Further, actions will be taken for the development of Phase II of NFIS in H2 of 2025. In 2025, the Central Bank continued to implement the Financial Literacy Roadmap (2024–2028), which was launched in May 2024 as one of the key deliverables of the NFIS Phase I. The roadmap sets a unified policy direction for fostering a financially aware and resilient population through well-coordinated and impactful literacy initiatives. Throughout the year, the Central Bank worked collaboratively with FIs, Government agencies, private sector, community-based organisations, and development partners to deliver targeted financial literacy programmes. Further, a comprehensive and inclusive curriculum was officially launched, providing a unified framework for designing financial education for various target groups, including youth, women, MSMEs, and rural populations.

The Sustainable Finance Roadmap 2.0 was launched in May 2025, which marked a significant milestone in scaling up sustainable finance activities within Sri Lanka's financial sector. Roadmap 2.0 with a five-year implementation plan (2025–2029), was developed through extensive consultations with financial sector stakeholders and international partners setting out a clear, operational, and practical framework to guide FIs in aligning their activities with the country's environmental and social development goals. The Sustainable Finance Roadmap 2.0 broadens its scope by integrating the

14 Financial Consumer Protection Regulation No. 01 of 2023: https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/laws/cdg/fcrd_regulations_no_01_of_2023_e.pdf

social dimension of sustainability, with particular emphasis on promoting financial inclusion and supporting a wider range of economic activities and it places a strong emphasis on addressing climate related financial risks, thereby strengthening the resilience of the financial system to climate impacts. In order to facilitate the successful implementation of the Sustainable Finance Roadmap 2.0, the Central Bank along with other stakeholders of the financial sector established a governance framework. Accordingly, a Stakeholder Committee for the implementation of the roadmap and three working groups were established. Further, to support the implementation of sustainable finance initiatives, the Central Bank conducted several knowledge sharing and capacity building programmes during the year for FIs and regulators. These initiatives were aimed at enhancing awareness, technical capabilities, and risk management practices related to sustainable finance and climate related financial risks.

Key Policy Changes and Regulatory Actions Implemented for the Financial Sector[1]

Macroprudential Surveillance

17 April 2025	"Criteria used to Designate Domestic Systemically Important Banks (D-SIBs) Rules No. 01 of 2025" issued in terms of section 68(1) of the Central Bank of Sri Lanka Act No. 16 of 2023 (CBA), was published in the Extraordinary Gazette Notification No. 2432/03 dated 17 April 2025.
	CBA Directions No. 01 of 2025 on "Domestic Systemically Important Banks" were issued to licensed banks designating D-SIBs in Sri Lanka, as per the criteria prescribed by Rules No. 01 of 2025 under the CBA.
	Banking Act Directions No. 02 of 2025 on "Domestic Systemically Important Banks" were issued to licensed banks introducing Higher Loss Absorbency (HLA) requirements as capital surcharge on D-SIBs as designated under the CBA, with a view of mitigating or eliminating identified systemic risks and thereby ensuring the soundness of the banking system.
05 May 2025	Sustainable Finance Roadmap 2.0: Scaling-Up Action for the Financial Sector of Sri Lanka was launched. This identifies priority actions for Funding Sustainable Development, Environment and Social Risk Management and Reporting and Disclosure needs for sustainability and climate risk and sets out an implementation plan accepted and validated by the key financial sector stakeholders for the period 2025-2029.
17 July 2025	CBA Directions No. 02 of 2025 on "Loan to Value Ratios for Credit Facilities Granted in Respect of Motor Vehicles" issued under Section 105(1) of the CBA, were issued to licensed banks, licensed finance companies, registered finance leasing establishments for the implementation of maximum caps on Loan to Value (LTV) ratio in respect of credit facilities granted for the purpose of purchase or utilisation of motor vehicles. Accordingly, with the issuance of this Direction, certain previous Directions concerning LTV ratios, issued under Sections 46(1) and 76J(1) of the Banking Act No. 30 of 1988, Section 12 of the Finance Business Act No. 42 of 2011 (FBA), and Section 34 of the Finance Leasing Act No. 56 of 2000 (FLA), were revoked with effect from 18 July 2025.

Financial Institutions

Licensed Banks

19 July 2024	Amendments to the Banking Act Directions No. 01 of 2016 on "Capital Requirements under Basel III for Licensed Commercial Banks and Licensed Specialised Banks" were issued assigning a risk weight of 20% for the portion of exposures guaranteed by National Credit Guarantee Institution Limited (NCGIL) and including NCGIL in the indicative list of Financial Institutions for the purpose of the cited Directions.
30 August 2024	With the development of a new national definition for "Women Owned/Led Businesses" in Sri Lanka by the Ministry of Finance (MoF) in consultation with relevant stakeholders, guidelines were issued to licensed banks for reporting sex-disaggregated data on exposures to Micro, Small, and Medium Enterprises (MSMEs) based on the revised definition of women entrepreneurs.
11 September 2024	Banking Act Determination No. 03 of 2024 was issued on "Minimum Number of Members of Boards of Directors of Selected Licensed Banks", determining the minimum number of members of the Board of Directors as ten for Bank of Ceylon and People's Bank and nine for National Savings Bank (NSB) and Pradeshiya Sanwardhana Bank.

1 Includes major financial sector policy measures implemented since 01 July 2024 until 31 July 2025.

30 September 2024	Banking Act Directions No. 05 of 2024 on "Corporate Governance for Licensed Banks" were issued with a view to further strengthening corporate governance processes and practices in licensed banks mainly through improving the composition and independence of the Board of Directors, ensuring the effective functioning of Board subcommittees, enhancing the effectiveness of risk oversight and control functions including improved oversight of related party transactions.
01 October 2024	Banking Act Determination No. 04 of 2024 was issued on "Approved Securities for Accommodation Granted to Related Parties of Licensed Banks", with a view to mitigating potential conflicts of interest and preventing the extension of more favourable treatment to related parties of licensed banks. Further, previous Directions issued in this regard were revoked.
03 October 2024	Limits for accommodation granted to related parties of licensed banks was published in the Extraordinary Gazette Notification No. 2404/33 dated 03 October 2024.
03 December 2024	Circular No. 03 of 2024 on "Guidelines for the Establishments of Mobile Banking Units of Licensed Commercial Banks" was issued with a view to strengthening the process and adopting a uniform practice among LCBs in establishing Mobile Banking Units.
19 December 2024	Circular No. 04 of 2024 on "Relief Measures to Assist the Affected Small and Medium Enterprises" was issued highlighting relief measures to be provided to Small and Medium Enterprises affected due to the Easter Sunday attacks, COVID-19 pandemic and the extraordinary macroeconomic conditions that prevailed during the recent past, as agreed by the Sri Lanka Banks' Association (Guarantee) Ltd.
31 December 2024	Circular No. 05 of 2024 on "Publication of Annual and Quarterly Financial Statements and other Disclosures by Licensed Banks" was issued specifying publication formats for the quarterly and annual financial statements of licensed banks in the Press, Annual Report and website of the respective bank, simplifying the existing publication formats of publishing annual and quarterly financial information in the Press.
01 January 2025	Circular No. 01 of 2025 on "Addendum to the Circular No. 04 of 2024 on Relief Measures to Assist the Affected Small and Medium Enterprises" was issued further clarifying its content with a view to ensuring effective implementation of the specified relief measures in a consistent manner across all licensed banks.
19 March 2025	Banking Act Directions No. 01 of 2025 on "Addendum to the Banking Act Directions No. 05 of 2024 on Corporate Governance for Licensed Banks" was issued, requiring directors representing shareholders who have acquired voting shares in contravention of Section 12(1C) of the Banking Act, No. 30 of 1988, related Directions, or the terms and conditions of the approval granted by the Central Bank of Sri Lanka, to abstain from participation and voting in appointing independent directors of the respective licensed bank.
07 May 2025	Circular No. 02 of 2025 on "Reporting of Information Technology and Cybersecurity Incidents of Licensed Banks" was issued to strengthen the reporting requirements related to Information Technology (IT) and Cybersecurity Incidents, in order to enhance operational resilience of licensed banks in view of the increased reliance on digital infrastructure and the associated risks that require a need for prompt and transparent reporting of such incidents to the Central Bank and relevant stakeholders to enable effective risk assessment, mitigate potential disruptions, and protect customer information and assets. The Circular was issued further to the Banking Act Direction No. 16 of 2021 on the Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks, as amended.
17 July 2025	Banking Act Determination No. 01 of 2025 on "Amendments to the Banking Act Determination No. 04 of 2024 on Approved Securities for Accommodation Granted to Related Parties of Licensed Banks" was issued, specifying the letter of undertaking issued by the General Treasury assuring budgetary provisions and timely settlement, provided such commitments are disclosed in the financial statements of the Government of Sri Lanka, as an approved security, when facilitating opening Letters of Credit (LCs) on behalf of Government Ministries, Departments, and State Owned Enterprises (SOEs).

Finance Companies (FCs), Specialised Leasing Company (SLC), Licensed Microfinance Companies (LMFCs) and Primary Dealer Companies (PDCs)

05 July 2024	The Governing Board of the Central Bank, in terms of the Regulations made under the Registered Stock and Securities Ordinance (RSSO) and the Local Treasury Bills Ordinance (LTBO), extended the suspension of Perpetual Treasuries Limited (PTL) from carrying on the business and activities of a Primary Dealer for a further period of six months with effect from 05 July 2024, in order to continue with the investigations being conducted by the Central Bank.
25 July 2024	Subsequent to the amalgamation of Multi Finance PLC (MFP) with LB Finance PLC as part of the Masterplan for Consolidation of Non-Bank Financial Institutions (NBFIs) (The Masterplan), the Central Bank cancelled the license issued to MFP to carry out finance business under the FBA Further, the registration of MFP issued under the FLA was cancelled by the Director, Department of Supervision of NBFIs.
22 October 2024	The Commercial High Court of Colombo issued an order to appoint a liquidator to TKS Finance Ltd in terms of Section 32(4) of the FBA.
23 October 2024	Guidelines on remuneration policies and disclosure requirements were issued with the objective of improving consistency, fairness and transparency in remunerating the directors and senior management of FCs.
21 November 2024	FBA Directions No. 03 of 2024 on “Deposit Solicitation by Finance Companies” was issued on deposit solicitation by FCs with a view of protecting depositors and promoting fair competition among FCs by specifying the conditions for acceptance of deposits, publishing of advertisements and offering incentive schemes for solicitation of deposits.
29 November 2024	FBA Directions No. 04 of 2024 on “Operational Risk Management” was issued to establish a sound operational risk management framework through formulation of operational risk management policy and procedures, operational risk governance structure and effective operational risk management processes across the FCs to identify, assess, monitor and report, and control and mitigate operational risk while ensuring delivery of uninterrupted services to the customers.
27 December 2024	With the conclusion of Phase I of the Masterplan for Consolidation, the revised framework of Phase II of the Masterplan was introduced to the FCs Sector aiming to develop a more resilient FCs sector in the medium to long term.
05 January 2025	The Governing Board of the Central Bank, in terms of the Regulations made under RSSO and LTBO, extended the suspension of PTL from carrying on the business and activities of a Primary Dealer for a further period of six months with effect from 05 January 2025, in order to continue with the investigations being conducted by the Central Bank.
23 June 2025	FBA Direction No. 01 of 2025 on “Maximum Interest Rates on Deposits and Debt Instruments” was issued to promote sustainable business practices in soliciting deposits and issuing debt instruments by providing a methodology for determining the maximum interest rates on deposits and debt instruments offered or paid by FCs.
04 July 2025	Nation Lanka Finance PLC (NLFP) has continuously been violating/contravening provisions of FBA and several Directions and Rules issued thereunder, and regulatory actions have been initiated in terms of Section 37(1) of the FBA. Further, resolution actions have been initiated under the provisions of the Banking (Special Provisions) Act No. 17 of 2023 (BSPA), with effect from 04 July 2025 and accordingly, an administrator has been appointed for the Company.
05 July 2025	The Governing Board of the Central Bank, in terms of the Regulations made under RSSO and LTBO, extended the suspension of PTL from carrying on the business and activities of a Primary Dealer for a further period of six months with effect from 05 July 2025, in order to continue with the investigations being conducted by the Central Bank.

Insurance[2]

09 August 2024	Guidelines were issued to all the long term insurers requiring them to include comprehensive details in the policy documents issued to the policyholders.
22 August 2024	Terms and Conditions were issued to the industry, amending the Terms and Conditions issued in 2017 in relation to the transactions involving reinsurance arrangements.
	Direction No. 05 of 2024 on "Sale of insurance products to customers of Mobile Network Operators' (MNOs) and Fixed Line Operators' (FLOs) through the usage of data and platform of MNOs and FLOs" was issued to the industry.
24 September 2024	Direction No. 06 of 2024 on "Insurance product information document by insurance companies and insurance intermediaries" was issued to the industry.
25 September 2024	Direction No. 07 of 2024 on "Overseas Health Insurance" was issued repealing Direction 11, which permits the registered insurance brokers to make referral to the authorised insurance brokers (for overseas health insurance business) for the placement of overseas health insurance products.
04 November 2024	New rules were issued to Insurance Brokers in respect of minimum capital requirements (net and stated capital), registration fee, requirements for reinsurance brokering business, etc.
25 April 2025	Direction No. 01 of 2025 on "Needs Assessment and Customer Onboarding Process for Long Term Insurance Business" was issued in accordance with Section 03 read with 96A of the Regulation of Insurance Industry Act, 43 of 2000 (RII Act). IRCSL aims to establish a framework that promotes need-based sales of insurance products by setting standards for customer onboarding and accurate assessment of customer needs of long term insurance companies.
	Direction No. 02 of 2025 on "Improving the confidence level of the policyholders" was issued in accordance with Section 03 of the RII Act. IRCSL aims to establish clear standards and practices that enhance customer confidence in insurance products and services.
16 May 2025	The amendments to the Guidelines on "Policy Framework for Long-Term Insurance Products" were issued in line with Section 37(2) of the RII Act, to ensure that the terms of the insurance contract covered by such products are fair and equitable.

Financial Market

Capital Market[3]

September 2024	Approval was obtained to endorse the Standard Shariah Compliant Securities Screening methodology for Whitelist Indices developed by the Accredited Shariah Scholars of the Securities and Exchange Commission (SEC).
	Approval in principle was obtained to introduce Social Bonds.
January 2025	Approval was obtained for the Capital Market Strategy 2025.
	Approval was obtained for increasing the per order value of share orders routed through mobile based application platforms operated by third party service providers.
March 2025	Approval was obtained to extend the scope of the initiative for establishing a multi-asset class derivatives exchange to facilitate the listing and trading of equity and debt securities.
	Approval was obtained to facilitate the introduction of Sustainability-Linked Bonds as part of Environmental, Social and Governance (ESG) related initiatives. Accordingly, approval was granted for the revision of Colombo Stock Exchange (CSE) Listing Rules to recognise all forms of GSS+ Bonds, including but not limited to Green, Blue, Social, Sustainability and Sustainability-Linked Bonds.

2 These are policy measures taken by the Insurance Regulatory Commission of Sri Lanka (IRCSL).
3 These are policy measures implemented by the Securities and Exchange Commission (SEC).

Financial Infrastructure

Payments and Settlements

03 December 2024	The Central Bank instructed all Mobile Payment Application Providers (MPAPs) to establish a suitable mechanism to obtain information to identify the user and verify the information provided by users when registering for Payment Apps in order to safeguard Current Accounts/Savings Accounts (CASA) of customers from unauthorised access, effective from 31 March 2025. Further, MPAPs were instructed to ensure the user of the Payment App, and the owner of the CASA is the same when a CASA is linked to a JustPay enabled Payment App. JustPay enables the user of a mobile application to link accounts of any financial institution of the user and make payments by pulling funds from such accounts that the user has linked to the mobile application.
20 December 2024	Effective from 01 January 2025, the maximum Merchant Discount Rate (MDR) of LANKAQR transactions was reinstated to 1% of the transaction amount to encourage financial institutions to promote LANKAQR. Further, the maximum per transaction limit of LANKAQR was increased from Rs. 200,000 to Rs. 500,000 while the minimum transaction limit of LANKAQR was reduced to Rs. 1 from Rs. 10.
27 January 2025	In order to encourage adoption of digital transactions, the Central Bank mandated a maximum per transaction fee of Rs. 15 for the payments effected through GovPay, the platform for making digital payments to the government institutions which do not have an internal IT system, effective from 01 February 2025.
07 February 2025	Effective from 15 February 2025, the Central Bank decided a fee of Rs. 25 as the maximum fee that could be charged on a Common Electronic Fund Transfer Switch (CEFTS) transaction effected through Internet Banking, Mobile Banking and ATMs of respective member of CEFTS. Further, it was decided that the maximum fee charged on a transaction effected through the LankaPay Online Payment Platform (LPOPP), which facilitates payments to institutions such as Inland Revenue Department, Sri Lanka Customs shall not exceed Rs. 25 per transaction.
20 February 2025	Approval was granted for LankaPay (Pvt) Ltd (LPPL) to join with the AliPay Singapore E-Commerce Private Limited for the acceptance of LANKAQR transactions made by tourists through AliPay+ enabled mobile applications at LANKAQR merchants.
11 June 2025	Effective from 25 June 2025, the maximum value for fund transfers initiated by the customers of Primary Participants in the Sri Lanka Interbank Payment System (SLIPS) was increased from Rs. 5 mn to Rs. 10 mn per transaction. Further, approval was granted to facilitate government related transactions up to a maximum per transaction limit of Rs. 50 mn through SLIPS via the accounts maintained at the Central Bank.

Anti-Money Laundering (AML) and Countering the Financing of Terrorism (CFT)

26 July 2024	An administrative penalty amounting to Rs. 1,000,000 was imposed on MCB Bank Ltd owing to the bank's failure to adhere to the Financial Transactions Reporting Act, No. 06 of 2006 (FTRA).
06 August 2024	Red Flag Indicators No. 03 of 2024 on “Large Scale Scam Operations” was issued.
10 September 2024	An administrative penalty amounting to Rs. 1,000,000 was imposed on Bank of China Ltd owing to the bank's failure to adhere to the FTRA.
01 October 2024	Red Flag Indicators No. 04 of 2024 on “Website Spoofing Scams” was issued.
02 October 2024	Circular No. 03 of 2024 on "Ensuring Institutional Compliance of the Restricted Dealers with the Provisions of the FTRA" was issued.
	An administrative penalty amounting to Rs. 750,000 was imposed on Vogue Jewelers for failure to adhere to the FTRA and Designated Non-Finance Business (Customer Due Diligence) Rules (CDD Rules), No. 01 of 2018.
05 November 2024	Red Flag Indicators No. 05 of 2024 on “Tax Related Money Laundering” was issued.

18 December 2024	An administrative penalty amounting to Rs. 2,000,000 was imposed on Indian Bank owing to the bank's failure to adhere to the FTRA and Financial Institutions CDD Rules, No. 01 of 2016.
	An administrative penalty amounting to Rs. 1,000,000 was imposed on Amana Takaful Life PLC owing to the company's failure to adhere to the FTRA and Insurers CDD Rules, No. 01 of 2019.
23 December 2024	Under the directions of H.E. the President, the AML/CFT Task Force was reconstituted with a ministerial-level representation.
31 December 2024	Red Flag Indicators No. 01 of 2024 on “Unregulated Online Money Lending Activities” was issued.
14 February 2025	Red Flag Indicators No. 01 of 2025 on “Large Scale Scam Operations Through Call Centers” was issued.
27 February 2025	Guideline No. 01 of 2025 on “Requesting Information from Foreign Financial Intelligence Units (FIUs) Related to ML/TF Investigations” was issued.
05 March 2025	Red Flag Indicators No. 02 of 2025 on “Large Scale Scam Operations in the Form of Part-time Online Jobs” was issued.
20 March 2025	Guideline No. 02 of 2025 on “Requesting Financial Information under the FTRA” was issued.
	Guideline No. 03 of 2025 on “Requesting Assistance for Investigations” was issued.
28 March 2025	An administrative penalty amounting to Rs. 1,500,000 was imposed on Bally’s Limited for its failure to comply with the FTRA and the Designated Non-Finance Business CDD Rules, No. 01 of 2018.
	An administrative penalty amounting to Rs. 1,500,000 was imposed on Bellagio Limited for its failure to comply with the FTRA and the Designated Non-Finance Business CDD Rules, No. 01 of 2018.
04 April 2025	Circular No. 01 of 2025 was issued on Conducting Enhanced Due Diligence with respect of Non-Governmental organisations, Not-for-Profit organisations or charities under Financial Institutions CDD Rules, No. 01 of 2016.
16 April 2025	An administrative penalty amounting to Rs. 3,500,000 was imposed on NSB owing to the bank's failure to adhere to the FTRA and Financial Institutions CDD Rules No. 01 of 2016.
26 May 2025	The policy approval to amend the FTRA, Prevention of Money Laundering Act, No. 05 of 2006 and Convention on the Suppression of Terrorist Financing Act, No. 25 of 2005 was granted by the Cabinet of Ministers at the Cabinet Meeting held on 26 May 2025.
01 July 2025	An administrative penalty amounting to Rs. 2,000,000 was imposed on LOLC Finance PLC owing to the Company's failure to adhere to the FTRA and Financial Institutions CDD Rules No. 01 of 2016.
07 July 2025	An administrative penalty amounting to Rs. 1,000,000 was imposed on Fintrex Finance PLC owing to the Company's failure to adhere to the FTRA.

Foreign Exchange Management

01 July 2024	Rules No. 01 of 2024, issued under Section 105 read with Sections 7(1)(c) and Part VI of the CBA, published in the Extraordinary Gazette Notifications No. 2391/02 dated 01 July 2024, was issued by repealing the Rules No. 01 of 2022, issued by the Monetary Board of the Central Bank and published in the Extraordinary Gazette Notification No. 2270/66, dated 11 March 2022, as amended, in respect of the receipt of export proceeds into Sri Lanka and the conversion of such export proceeds into Sri Lanka Rupees.

01 August 2024	Directions No. 05 of 2024 were issued on the Visa Programme - Special Accounts by rescinding Directions No. 07 of 2021 dated 18 March 2021, Directions No. 08 of 2021 dated 18 March 2021 and Directions No. 11 of 2021 dated 08 November 2022 on Sri Lanka - My Dream Home Programme, Resident Guest Scheme and Golden Paradise Visa Programme, respectively.
	Directions No. 06 of 2024 were issued amending the Directions No. 03 of 2021 dated 18 March 2021 on Electronic Fund Transfer Cards (Directions) to replace the account types of Resident Guest Rupee Current Account and Senior Foreign Nationals' Rupee Account as Visa Programme – Sri Lanka Rupee Account.
19 December 2024	Order under Section 22 of the Foreign Exchange Act, No. 12 of 2017 (FEA), published in the Extraordinary Gazette Notifications No. 2415/56 dated 19 December 2024, was issued relaxing several restriction/limitations imposed under the Order, published in the Extraordinary Gazette Notifications No. 2389/08 dated 18 June 2024.
10 March 2025	Directions No. 01 of 2025 were issued to Authorised Money Changers who are engaged in money changing business by rescinding the Directions No. 11 of 2020 dated 15 December 2020 and Directions No. 05 of 2022 dated 15 June 2022 on the same.
18 June 2025	Order under Section 22 of the FEA, published in the Extraordinary Gazette Notifications No. 2441/14 dated 18 June 2025, was issued relaxing several restriction/limitations imposed under the Order, published in the Extraordinary Gazette Notifications No. 2415/56 dated 19 December 2024.

Deposit Insurance and Resolution

17 July 2024	Governing Board approval was obtained for the Resolution Policy which outlines the objectives, guiding principles, and strategic approach to resolving non-viable financial institutions.
03 October 2024	The Financial Stability Fund was established on 03 October 2024 with the nominal amount of Rs. 500 mn provided by the MoF in line with the Financial Sector Stability and Reforms Programme of the Asian Development Bank (ADB).
10 October 2024	Governing Board approval was obtained for the developed set of resolution triggers for licensed banks to facilitate timely intervention in failing institutions.
29 October 2024	Direction was issued to all the licensed banks to implement resolution data templates to collect critical information for the preparation of resolution plans on 29 October 2024.
27 December 2024	BSPA Directions No. 02 of 2024 on "Amendments to the BSPA Directions No. 01 of 2023 on Administration and Management of the Sri Lanka Deposit Insurance Scheme" were issued.
16 April 2025	The Order under Section 57 of BSPA, extending the Resolution Provisions applicable to licensed banks and FCs was issued.
04 July 2025	A resolution action was implemented under the BSPA and appointed an Administrator for Nation Lanka Finance PLC with appropriate resolution authority for intervention and public communication.

Appendix 1 — Financial Soundness Indicators - Banking Sector

	2020	2021	2022	2023	2024*	2025 Jun**
1. Capital Adequacy						
1.1 Capital Adequacy Ratio (a)	17.1	16.5	16.2	18.4	20.3	19.4
1.2 Tier-1 Capital Ratio (b)	13.6	13.2	13.2	15.2	16.7	16.1
1.3 Net Non-performing Loans (c) to Equity Capital & Reserves	17.2	11.5				
1.4 Net Stage 3 Loans (Net NPL) (d) to Equity Capital & Reserves			44.0	40.9	31.5	30.7
1.5 Debt to Equity Capital & Reserves	134.9	148.9	117.1	79.1	62.9	67.5
1.6 Equity Capital & Reserves to Total Assets	8.6	8.7	8.2	8.7	9.3	9.2
2. Asset Quality						
2.1 Non-performing Loans (e) to Total Loans and Advances	4.9	4.5				
2.2 Stage 3 Loans (NPL) (f) to Total Loans and Receivables (f)			11.3	12.8	12.3	12.0
2.3 Net Non-performing Loans (c) to Total Loans and Advances	2.4	1.7				
2.4 Net Stage 3 Loans (Net NPL) (d) to Total Loans and Receivables (f)			6.5	7.0	6.0	5.8
2.5 Total Provisions (g) to Total Loans & Advances	3.0	3.4				
2.6 Total Provision Coverage Ratio (h)	61.3	75.8				
2.7 Total Impairment (Total Provision) Coverage Ratio (i)			7.9	8.6	8.5	8.1
2.8 Specific Provision Coverage Ratio (j)	51.7	64.0				
2.9 Stage 3 Impairment (Provision for NPL) Coverage Ratio (k)			45.2	49.0	54.1	54.5
2.10 Total Provisions (g) to Total Assets	1.9	2.1				
2.11 Total Impairment (Total Provisions) (l) to Total Assets			4.7	4.7	4.5	4.3
2.12 Total Loans & Receivables to Total Assets	62.0	61.9	58.3	54.0	51.8	51.9
2.13 Investments to Total Assets	28.8	29.1	30.5	35.8	41.0	41.6
2.14 Total Income to Total Assets	8.9	8.1	12.2	13.8	10.5	5.3
2.15 Net Interest Income to Total Assets	2.9	3.2	3.9	3.5	4.1	2.1
2.16 Operating Income (m) to Total Assets	3.9	4.2	5.3	4.5	4.4	2.7
3. Earnings & Profitability						
3.1 Return on Equity (ROE) – After Tax (n)	11.4	14.5	10.4	11.5	17.4	18.5
3.2 Return on Assets (ROA) – Before Tax (o)	1.4	1.6	0.9	1.5	2.6	2.6
3.3 Return on Assets (ROA) – After Tax (p)	1.0	1.2	0.8	1.0	1.6	1.7
3.4 Interest Income to Total Income	89.1	87.8	88.1	92.6	96.9	89.3
3.5 Net Interest Income to Total Income	32.8	40.2	31.8	25.4	39.3	39.9
3.6 Non-Interest Income to Total Income	10.9	12.2	11.9	7.4	3.1	10.7
3.7 Non-Interest Expenses (Operating Expenses) to Total Income	19.4	22.0	13.7	13.3	19.2	18.4
3.8 Staff Expenses to Non-Interest Expenses	46.4	45.2	53.5	50.8	54.3	53.9
3.9 Staff Expenses to Total Income	9.0	9.9	7.3	6.7	10.4	9.9
3.10 Provision Charge to Total Income	6.4	6.7				
3.11 Impairment Charge (Provision Charge) to Total Income			19.9	6.1	-6.8	2.5
3.12 Total Cost to Total Income (q)	75.7	69.5	70.0	80.5	76.9	68.0
3.13 Efficiency (Operating Cost) Ratio (r)	51.8	48.1	31.4	40.5	45.3	36.4
3.14 Net Interest Margin (s)	3.1	3.4	4.0	3.7	4.4	4.5
4. Liquidity						
4.1 High Quality Liquid Assets (All Currency) to Total Assets	24.0	22.5	18.5	32.2	38.6	38.0
4.2 Rupee LCR	255.9	217.8	237.8	240.9	349.9	328.6
4.3 All Currency LCR	202.1	171.8	191.2	288.4	313.8	283.1
5. Assets / Funding Structure						
5.1 Deposits to Total Assets	76.0	76.4	78.8	81.5	81.1	80.7
5.2 Borrowings to Total Assets	11.5	13.1	9.6	6.9	5.8	6.2
5.3 Capital to External Funds (t)	9.8	9.9	9.3	9.8	10.7	10.6
5.4 Credit to Deposits	81.6	82.7	73.9	66.3	63.9	64.3
5.5 Credit to Deposits & Borrowings	70.8	70.6	65.9	61.1	59.6	59.6
5.6 Credit to Deposits & Borrowings & Capital	64.5	64.2	60.3	55.7	53.8	53.9

Source: Central Bank of Sri Lanka

* Revised
** Provisional
(a) The ratio of regulatory capital to risk-weighted assets
(b) The ratio of core capital to risk-weighted assets
(c) Non performing loans net of interest in suspense and specific provisions
(d) Net of Stage 3 impairment and including undrawn portion
(e) Net of interest in suspense
(f) Including undrawn portion
(g) Specific loan loss provisions and general loan loss provisions
(h) The ratio of specific provisions and general provisions to non-performing loans net of interest in suspense
(i) The ratio of total impairment to total loans and receivables
(j) The ratio of specific provisions to non-performing loans net of interest in suspense
(l) Individual impairment and collective impairment
(m) Operating income (gross income) includes net interest income and non-interest income
(n) Profit after tax (annualised) as a percentage of average equity
(o) Profit before tax (annualised) as a percentage of average assets
(p) Profit after tax (annualised) as a percentage of average assets
(q) The ratio of interest expenses and non-interest expenses to interest income and non-interest income
(r) The ratio of operating expenses to gross income
(s) The ratio of net interest income (annualised) to average sssets
(t) Deposits and borrowings (debt)

Appendix 2 Financial Soundness Indicators - Licensed Commercial Banks

	2020	2021	2022	2023	2024*	2025 Jun**
1. Capital Adequacy						
1.1 Capital Adequacy Ratio (a)	17.1	16.7	16.0	18.3	20.1	19.3
1.2 Tier-1 Capital Ratio (b)	13.6	13.2	13.1	15.1	16.5	15.9
1.3 Net Non-performing Loans (c) to Equity Capital & Reserves	15.5	9.9				
1.4 Net Stage 3 Loans (Net NPL) (d) to Equity Capital & Reserves			43.5	40.2	29.7	29.9
1.5 Debt to Equity Capital & Reserves	137.9	154.6	118.0	75.0	61.4	66.9
1.6 Equity Capital & Reserves to Total Assets	9.0	9.0	8.6	9.0	9.6	9.5
2. Asset Quality						
2.1 Non-performing Loans (e) to Total Loans and Advances	4.7	4.3				
2.2 Stage 3 Loans (NPL) (f) to Total Loans and Receivables (f)			11.5	13.0	12.2	12.0
2.3 Net Non-performing Loans (c) to Total Loans and Advances	2.2	1.4				
2.4 Net Stage 3 Loans (Net NPL) (d) to Total Loans and Receivables (f)			6.5	6.9	5.8	5.7
2.5 Total Provisions (g) to Total Loans & Advances	3.1	3.4				
2.6 Total Provision Coverage Ratio (h)	64.7	80.4				
2.7 Total Impairment (Total Provision) Coverage Ratio (i)			8.2	8.9	8.7	8.3
2.8 Specific Provision Coverage Ratio (j)	54.6	67.9				
2.9 Stage 3 Impairment (Provision for NPL) Coverage Ratio (k)			46.2	50.1	56.0	55.8
2.10 Total Provisions (g) to Total Assets	2.0	2.2				
2.11 Total Impairment (Total Provisions) (l) to Total Assets			5.1	5.0	4.7	4.5
2.12 Total Loans & Receivables to Total Assets	64.6	64.5	59.9	55.6	52.9	53.0
2.13 Investments to Total Assets	26.4	26.6	28.5	33.8	39.8	40.4
2.14 Total Income to Total Assets	8.7	7.9	12.2	13.7	10.3	5.2
2.15 Net Interest Income to Total Assets	2.9	3.1	4.0	3.6	4.1	2.1
2.16 Operating Income (m) to Total Assets	3.9	4.2	5.6	4.7	4.4	2.7
3. Earnings & Profitability						
3.1 Return on Equity (ROE) – After Tax (n)	10.9	13.8	11.0	11.8	17.8	18.3
3.2 Return on Assets (ROA) – Before Tax (o)	1.4	1.6	1.0	1.6	2.7	2.6
3.3 Return on Assets (ROA) – After Tax (p)	1.0	1.2	0.9	1.1	1.6	1.7
3.4 Interest Income to Total Income	87.9	86.3	86.9	92.1	96.8	88.3
3.5 Net Interest Income to Total Income	33.0	39.7	32.7	26.4	39.5	39.5
3.6 Non-Interest Income to Total Income	12.1	13.7	13.1	7.9	3.2	11.7
3.7 Non-Interest Expenses (Operating Expenses) to Total Income	19.7	22.2	13.4	13.2	19.1	18.0
3.8 Staff Expenses to Non-Interest Expenses	45.2	43.6	51.4	48.4	52.0	51.6
3.9 Staff Expenses to Total Income	8.9	9.7	6.9	6.4	9.9	9.3
3.10 Provision Charge to Total Income	7.1	7.3				
3.11 Impairment Charge (Provision Charge) to Total Income			21.8	6.6	-8.3	3.0
3.12 Total Cost to Total Income (q)	74.7	68.8	67.5	78.8	76.4	67.1
3.13 Efficiency (Operating Cost) Ratio (r)	51.7	48.2	29.2	38.3	44.7	35.3
3.14 Net Interest Margin (s)	3.1	3.3	4.1	3.8	4.3	4.4
4. Liquidity						
4.1 High Quality Liquid Assets (All Currency) to Total Assets	21.3	20.1	17.3	31.1	38.0	37.2
4.2 Rupee LCR	244.1	213.1	248.5	346.1	351.0	325.6
4.3 All Currency LCR	184.9	159.9	190.5	285.4	311.0	276.4
5. Assets / Funding Structure						
5.1 Deposits to Total Assets	74.7	75.1	77.9	81.3	80.6	80.3
5.2 Borrowings to Total Assets	12.4	14.1	10.1	6.7	5.9	6.4
5.3 Capital to External Funds (t)	10.3	10.3	9.7	10.2	11.1	11.0
5.4 Credit to Deposits	86.5	87.6	76.9	68.4	65.5	66.0
5.5 Credit to Deposits & Borrowings	74.2	73.7	68.1	63.1	61.1	61.1
5.6 Credit to Deposits & Borrowings & Capital	67.3	66.9	62.0	57.3	55.0	55.1

Source: Central Bank of Sri Lanka

* Revised
** Provisional
(a) The ratio of regulatory capital to risk-weighted assets
(b) The ratio of core capital to risk-weighted assets
(c) Non performing loans net of interest in suspense and specific provisions
(d) Net of Stage 3 impairment and including undrawn portion
(e) Net of interest in suspense
(f) Including undrawn portion
(g) Specific loan loss provisions and general loan loss provisions
(h) The ratio of specific provisions and general provisions to non-performing loans net of interest in suspense
(i) The ratio of total impairment to total loans and receivables
(j) The ratio of specific provisions to non-performing loans net of interest in suspense
(k) The ratio of Stage 3 impairment to Stage 3 loans
(l) Individual impairment and collective impairment
(m) Operating income (gross income) includes net interest income and non-interest income
(n) Profit after tax (annualised) as a percentage of average equity
(o) Profit before tax (annualised) as a percentage of average assets
(p) Profit after tax (annualised) as a percentage of average assets
(q) The ratio of interest expenses and non-interest expenses to interest income and non-interest income
(r) The ratio of operating expenses to gross income
(s) The ratio of net interest income (annualised) to average sssets
(t) Deposits and borrowings (debt)

Appendix 3 Financial Soundness Indicators - Licensed Specialised Banks

	2020	2021	2022	2023	2024*	2025 Jun**
1. Capital Adequacy						
1.1 Capital Adequacy Ratio (a)	16.8	14.6	18.5	20.1	22.9	21.3
1.2 Tier-1 Capital Ratio (b)	13.7	12.0	14.8	16.8	19.8	18.6
1.3 Net Non-performing Loans (c) to Equity Capital & Reserves	36.8	27.6				
1.4 Net Stage 3 Loans (Net NPL) (d) to Equity Capital & Reserves			50.3	49.6	53.5	40.6
1.5 Debt to Equity Capital & Reserves	101.6	93.6	106.4	129.5	81.4	74.5
1.6 Equity Capital & Reserves to Total Assets	5.6	6.4	5.6	5.9	6.5	7.0
2. Asset Quality						
2.1 Non-performing Loans (e) to Total Loans and Advances	6.9	6.5				
2.2 Stage 3 Loans (NPL) (f) to Total Loans and Receivables (f)			9.0	10.6	12.9	11.4
2.3 Net Non-performing Loans (c) to Total Loans and Advances	4.9	4.1				
2.4 Net Stage 3 Loans (Net NPL) (d) to Total Loans and Receivables (f)			6.4	7.3	8.8	7.3
2.5 Total Provisions (g) to Total Loans & Advances	2.5	2.8				
2.6 Total Provision Coverage Ratio (h)	36.7	43.8				
2.7 Total Impairment (Total Provision) Coverage Ratio (i)			4.3	5.5	6.1	5.8
2.8 Specific Provision Coverage Ratio (j)	30.9	37.5				
2.9 Stage 3 Impairment (Provision for NPL) Coverage Ratio (k)			31.4	34.0	34.5	38.4
2.10 Total Provisions (g) to Total Assets	1.1	1.2				
2.11 Total Impairment (Total Provisions) (l) to Total Assets			1.9	2.4	2.6	2.3
2.12 Total Loans & Receivables to Total Assets	43.6	44.0	45.4	42.0	43.2	41.9
2.13 Investments to Total Assets	46.0	46.5	46.8	51.3	51.7	52.5
2.14 Total Income to Total Assets	9.9	9.0	11.5	14.7	12.1	5.7
2.15 Net Interest Income to Total Assets	3.1	3.9	2.8	2.6	4.5	2.5
2.16 Operating Income (m) to Total Assets	3.5	4.1	2.9	3.1	4.8	2.7
3. Earnings & Profitability						
3.1 Return on Equity (ROE) – After Tax (n)	16.7	21.5	3.4	7.7	12.4	20.7
3.2 Return on Assets (ROA) – Before Tax (o)	1.3	1.7	0.3	0.4	1.4	2.3
3.3 Return on Assets (ROA) – After Tax (p)	0.9	1.3	0.2	0.4	0.8	1.4
3.4 Interest Income to Total Income	96.3	97.4	98.6	97.0	97.7	96.8
3.5 Net Interest Income to Total Income	31.7	43.7	24.1	17.8	37.3	43.3
3.6 Non-Interest Income to Total Income	3.7	2.6	1.4	3.0	2.3	3.2
3.7 Non-Interest Expenses (Operating Expenses) to Total Income	17.3	20.5	16.7	14.0	19.7	21.6
3.8 Staff Expenses to Non-Interest Expenses	55.0	55.7	67.2	67.8	70.3	69.7
3.9 Staff Expenses to Total Income	9.5	11.4	11.2	9.5	13.9	15.0
3.10 Provision Charge to Total Income	2.2	3.0				
3.11 Impairment Charge (Provision Charge) to Total Income			3.4	2.6	4.1	-1.7
3.12 Total Cost to Total Income (q)	81.9	74.3	91.2	93.2	80.1	75.2
3.13 Efficiency (Operating Cost) Ratio (r)	52.0	47.3	65.4	67.2	49.7	46.5
3.14 Net Interest Margin (s)	3.4	4.1	2.8	2.6	4.6	5.1
4. Liquidity						
4.1 High Quality Liquid Assets (All Currency) to Total Assets	42.9	38.9	27.9	40.4	43.9	44.6
4.2 Rupee LCR	300.4	235.3	197.6	313.2	342.4	350.6
4.3 All Currency LCR	298.6	235.3	194.5	308.1	336.5	345.1
5. Assets / Funding Structure						
5.1 Deposits to Total Assets	84.6	85.7	85.9	83.7	85.4	84.3
5.2 Borrowings to Total Assets	5.7	6.1	6.0	7.7	5.3	5.2
5.3 Capital to External Funds (t)	6.3	7.2	6.1	6.5	7.2	7.8
5.4 Credit to Deposits	51.6	52.5	52.9	50.2	50.6	49.7
5.5 Credit to Deposits & Borrowings	48.3	49.0	49.5	46.0	47.6	46.8
5.6 Credit to Deposits & Borrowings & Capital	45.5	45.7	46.6	43.2	44.4	43.4

Source: Central Bank of Sri Lanka

* Revised
** Provisional
(a) The ratio of regulatory capital to risk-weighted assets
(b) The ratio of core capital to risk-weighted assets
(c) Non performing loans net of interest in suspense and specific provisions
(d) Net of Stage 3 impairment and including undrawn portion
(e) Net of interest in suspense
(f) Including undrawn portion
(g) Specific loan loss provisions and general loan loss provisions
(h) The ratio of specific provisions and general provisions to non-performing loans net of interest in suspense
(i) The ratio of total impairment to total loans and receivables
(j) The ratio of specific provisions to non-performing loans net of interest in suspense
(k) The ratio of Stage 3 impairment to Stage 3 loans
(l) Individual impairment and collective impairment
(m) Operating income (gross income) includes net interest income and non-interest income
(n) Profit after tax (annualised) as a percentage of average equity
(o) Profit before tax (annualised) as a percentage of average assets
(p) Profit after tax (annualised) as a percentage of average assets
(q) The ratio of interest expenses and non-interest expenses to interest income and non-interest income
(r) The ratio of operating expenses to gross income
(s) The ratio of net interest income (annualised) to average sssets
(t) Deposits and borrowings (debt)

Appendix 4

Financial Soundness Indicators - Finance Companies Sector

		2020 Mar	2021 Mar	2022 Mar	2023 Mar	2024 Mar*	2025 Mar**	2025 Jun**
1. Capital Adequacy								
1.1	Regulatory Capital to Risk Weighted Assets (RWCAR)	12.0	14.8	17.3	22.0	21.9	20.9	22.0
1.2	Tier 1 Capital/Risk Weighted Assets (Tier 1 RWCAR)	10.6	13.6	15.8	20.7	21.0	20.0	20.8
1.3	Regulatory Capital to Total Assets	12.2	15.0	16.3	18.9	18.7	17.8	19.0
1.4	Borrowings to Equity (times)	1.9	1.1	1.1	0.7	0.6	0.7	0.9
1.5	Investment Properties to Regulatory Capital	15.5	16.6	16.9	17.3	18.0	18.5	16.5
1.6	Net Stage 3 Loans to Regulatory Capital	26.6	15.6	9.2	43.2	37.5	20.0	18.9
2. Asset Quality								
2.1	Gross Stage 3 Loans to Total Advances	11.6	11.3	9.0	15.9	14.7	8.6	8.3
2.2	Impairment for Total Advances	6.4	7.2	6.3	7.6	7.0	5.5	5.0
2.3	Stage 3 Impairment Coverage Ratio	54.5	64.0	69.6	33.3	35.7	47.4	46.1
3. Earnings and Profitability								
3.1	Return on Assets (Annualised)	1.7	3.1	5.3	3.8	5.5	6.6	6.9
3.2	Return on Equity (Annualised)	6.2	12.8	20.8	9.4	12.9	15.2	15.2
3.3	Interest Income to Interest Expenses	180.9	204.2	252.1	171.2	185.3	237.1	249.9
3.4	Net Interest Income to Profit After Tax	955.6	381.3	213.5	407.3	321.4	289.7	315.9
3.5	Operating Cost to Net Interest Income	79.9	70.6	63.6	62.8	60.7	58.1	56.1
3.6	Net Interest Income to Average Assets (Annualised)	7.4	7.4	8.0	8.5	10.0	10.7	11.5
3.7	Net Interest Income to Interest Income	44.7	51.0	60.3	41.6	46.0	57.8	60.0
3.8	Non-Interest Expenses to Total Cost	39.3	42.4	49.2	29.4	33.2	45.3	44.8
3.9	Efficiency Ratio	77.7	62.4	49.1	58.6	52.4	48.6	48.5
3.10	Cost to Income Ratio	91.1	81.7	67.0	82.8	76.8	67.6	67.7
4. Liquidity								
4.1	Liquid Assets to Total Assets	8.3	8.9	9.8	14.0	14.8	11.8	10.8
4.2	Liquid Assets to Deposits and Borrowings	11.0	12.6	14.1	19.2	21.0	16.7	15.0
4.3	Net Loans to Total Borrowings	291.2	375.5	337.4	412.2	488.7	438.6	369.6
5. Assets/Funding Structure								
5.1	Borrowings to Total Assets	26.4	20.2	22.6	17.3	14.1	17.1	20.7
5.2	Investment to Total Assets	9.5	11.4	11.3	20.2	22.7	17.4	15.9

* Revised
** Provisional

Source: Central Bank of Sri Lanka

DESIGNED AND PRINTED BY M.D. GUNASENA AND COMPANY PRINTERS (PVT) LTD

ISBN 978-624-6764-11-1